Initiation of Coverage

AI Infrastructure

Levered returns on demand for compute; Initiating coverage of 5 AI colocation stocks

Equities

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Initiating coverage of AI colocation stocks with a bullish view

We are initiating coverage with Buy ratings on five data center stocks (HUT, WULF, APLD, CORZ, CIFR) positioned for rapid growth as AI adoption ramps and model developers' ability to meet demand remains constrained. Time to power remains the gating factor in scaling compute and their cryptominer legacies with favorable grid access has already translated into ~5GW of leased capacity (~$125B in contracted revs), with expansion opportunities for an additional ~12GW. Power pipelines provide an enviable position with AI infrastructure requirements set to triple to UBSe ~260GW of new data center capacity globally from '28-30E. We forecast ~80% annual EBITDA growth on average across our coverage from 27-29E (~10% above Street in '29E) while shares trade at 12-18x 2028E EBITDA, largely reflecting already contracted assets. Our price targets imply 36% upside potential on average, supported by delivery execution and conversion of pipeline power into long-term contracted cash flows.

Levered to volatility of the AI trade but multi-year catalyst path ahead

The risk profile of these stocks reflect their early stage and leverage to the overall AI trade. Shares are off ~45% from recent highs (still +45% in LTM), reflecting concerns on pacing of frontier model performance, rising NIMBY risks, power uncertainty in Texas, higher yields and lackluster enthusiasm on levered AI names overall. At current valuations, we estimate shares are largely pricing-in already contracted assets, with little value ascribed to expansion opportunities amid a generational investment cycle. We see a multi-year catalyst path that includes (1) delivery execution, (2) pipeline clarity, (3) new lease agreements, (4) declining risks premiums, (5) REIT conversion and (6) strategic value given the widening value gap between data center infrastructure and the compute deployed within it.

Stock framework: Value creation potential, downside protections, geo diversity

Share performance is highly correlated (+0.86 average across pairs over last 3 months), supporting our constructive ratings across the group. That said, individual stocks have demonstrated periods of relative outperformance, particularly when investor enthusiasm on the AI trade is more constructive. Our stock selection framework therefore prefers those with (1) greater upside potential from pipeline conversion, taking into account what is currently priced-in & value creation demonstrated in prior leases (**+HUT/WULF/CIFR**), (2) high credit counterparties and lease protections amid a more risk averse market (**+HUT/CIFR**; potential for APLD/CORZ as backlogs commence) and (3) geographic location and diversity of power portfolios (**+APLD/CORZ**, **-CIFR)**.

- **HUT (Buy; $143 PT, 45% upside):** We believe HUT offers the best combination of factors in our framework given its sizeable pipeline, track record of value creation and current leases with high quality tenants/support and strong protections. We forecast $2.3B of revenues in 2029E (~10% above Street) and estimate shares are assigning minimal value to a ~2.8GW IT pipeline (incl. tenant expansion options) despite recent leases creating ~$10 of per share value for each 100MW. UBS Evidence Lab satellite imagery of the River Bend campus in Louisiana also provides a positive read, with early construction progress adding to our conviction on an ability to translate execution creditability into incremental leases.
- **WULF (Buy; $24 PT, 41% upside**): A demonstrated ability to convert brownfield industrial sites at locations in closer proximity to large population centers provides a point of differentiation as inference use cases scale. While the approach is not without risk (amid rising NIMBY pushback across the country), we estimate shares

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are pricing in a <10% premium to contracted asset value despite a visible path to increasing leased capacity by ~50% through the Muskie campus. We expect delivery execution to lower the risk premium in shares and support EBITDA of ~ $500M in 2027E, increasing to $1.5B+ in 2029E.

- **APLD** (**Buy; PT $38, 35% upside):** We see opportunities for estimate revisions and multiple expansion given tenant expansion options at existing campuses and an already substantial 1.3GW backlog that should improve and diversify the tenant mix (from 100% direct neocloud exposure today to majority investment grade by 2H28). We expect revenues of $0.9B in F27E, increasing ~90% annually to $3.4B by F29E (~5% above Street). In our view, APLD also represents a prime candidate for REIT conversion (14x '28E EBITDA vs. DC REITs at ~19x).
- **CORZ** (**Buy $24 PT, 33% upside):** CORZ similarly provides upside potential from earnings revisions and multiple expansion from capacity deliveries for higher credit quality tenants and AMD's expansion options. Despite the most geographically diverse footprint, a proven track record of execution and tenant expansion options that provide line of sight to *tripling* the platform, shares trade at 12x '28E EBITDA versus peers at 13-18x. We expect delivery of AMD capacity and initial expansion options to drive EBITDA ~90% annual growth, reaching $1.5B+ in '29E.
- **CIFR (Buy; $23 PT, 25% upside):** Shares trade at a ~30% premium to contracted asset value, but we believe this discounts near-term leasing opportunities that could increase contracted capacity by ~70% and support our outlook for ~$850M of EBITDA in 2028E. High concentration in Texas (~95% of portfolio) adds risk, but recent disclosure on Batch Zero classifications of Cipher's longer-dated pipeline (that could ~6x the platform over time) is a positive step in lowering the uncertainty risk premium in shares, in our view. Further clarity on energization timelines in the coming months should support investor willingness to underwrite expansion opportunities that are receiving little valuation credit today. We therefore see the greatest upside potential and widest risk skew for CIFR shares across our coverage (~+145%/-60% upside/downside).

While risk-reward skews for the group screen positive, we acknowledge downside scenarios ranging from 50-70%, even after the recent sell-off. The group remains in the early stages of its colocation transition (just ~15% of contracted capacity delivered) and extended delays against delivery commitments could result in significant penalties. Further increases in rates could squeeze equity valuations given high leverage and already narrow spreads between development yields and the cost of capital.

Figure 1: UBS Digital Infrastructure Coverage Snapshot ($Ms)

New Digital Infrastructure Coverage

						EBITDA			EV/EBITDA		
Ticker	Company	Rating	Price Target	Share Price	% Upside	2027E	2028E	2029E	2027E	2028E	2029E
HUT	Hut 8	Buy	143	99	45%	161	1,237	1,982	93.3x	17.3x	13.0x
WULF	TeraWulf	Buy	24	17	41%	476	1,158	1,559	29.7x	14.7x	12.7x
APLD[1]	Applied Digital	Buy	38	28	35%	455	1,289	2,200	29.2x	15.5x	12.6x
CORZ	Core Scientific	Buy	24	18	33%	673	1,165	1,555	15.8x	12.0x	10.8x
CIFR	Cipher Digital	Buy	23	18	25%	649	854	1,055	19.0x	17.5x	15.9x

Existing Digital Infrastructure Coverage

						EBITDA			EV/EBITDA		
Ticker	Company	Rating	Price Target	Share Price	% Upside	2027E	2028E	2029E	2027E	2028E	2029E
EQIX	Equinix	Buy	1,265	1,021	24%	5,896	6,711	7,699	20.7x	18.9x	17.1x
DLR	Digital Realty	Buy	227	182	25%	4,299	4,880	5,440	20.8x	19.4x	18.1x
FRMI	Fermi	Neutral	6	5	20%	-19	501	855	na	15.9x	14.3x

Source: UBS estimates, Factset, company data ; Notes: 1 - APLD based on fiscal year ending May; Priced as of September 18

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Executive Summary

We are initiating coverage of five data center stocks positioned for rapid growth as AI adoption ramps in enterprise and consumer markets. Model developers and applications providers' ability to meet this demand remains constrained by access to compute and data center infrastructure as the supply chain struggles to expand.

Compute is largely provided by hyperscalers and neoclouds that have a core competence in scaling infrastructure while providing capital efficient avenues to expand. Hyperscale revenue growth, revenue backlogs and capital expenditures in support of this growth are all accelerating, highlighting the momentum building for supply side participants. Third party data center developers are an increasing part of this equation as hyperscalers, neoclouds, model developers and even the accelerator providers themselves look to supplement organic builds and support ecosystem development.

Against this backdrop, time to power is the key factor in data center development. Their origins as cryptominers gave Hut 8, TeraWulf, Core Scientific, Cipher Digital and Applied Digital access to preferred grid interconnects that has already translated into 4.8GW of leased colocation capacity, with expansion potential for an additional 12GW. They occupy the enviable position of right place, right time with the skills and assets to supply crucial inputs in the largest infrastructure spending project in history. While not without risks, we believe continued expansion of the Frontier combined with the move to open source and broader AI adoption sets the stage for outsized returns for these stocks after the recent pullback.

Figure 2: UBS Digital Infrastructure Coverage Snapshot ($Ms)

New Digital Infrastructure Coverage

Ticker	Company	Rating	Price Target	Share Price	% Upside	Market Cap[2]	Enterprise Value	EBITDA			EV/EBITDA		
								2027E	2028E	2029E	2027E	2028E	2029E
HUT	Hut 8	Buy	143	99	45%	13,265	14,984	161	1,237	1,982	93.3x	17.3x	13.0x
WULF	TeraWulf	Buy	24	17	41%	13,694	14,156	476	1,158	1,559	29.7x	14.6x	12.7x
APLD[1]	Applied Digital	Buy	38	28	35%	10,581	13,283	455	1,289	2,200	29.2x	15.4x	12.5x
CORZ	Core Scientific	Buy	24	18	33%	8,674	10,641	673	1,165	1,555	15.8x	12.0x	10.8x
CIFR	Cipher Digital	Buy	23	18	25%	10,617	12,323	649	854	1,055	19.0x	17.5x	15.9x

Existing Digital Infrastructure Coverage

Ticker	Company	Rating	Price Target	Share Price	% Upside	Market Cap	Enterprise Value	EBITDA			EV/EBITDA		
								2027E	2028E	2029E	2027E	2028E	2029E
EQIX	Equinix	Buy	1,265	1,021	24%	101,459	121,870	5,896	6,711	7,699	20.7x	18.9x	17.1x
DLR	Digital Realty	Buy	227	182	25%	66,868	89,612	4,299	4,880	5,440	20.8x	19.4x	18.1x
FRMI	Fermi	Neutral	6	5	20%	3,328	4,381	-19	501	855	na	15.9x	14.3x

Source: UBS estimates, Factset, company data ; Notes: 1 - APLD based on fiscal year ending May; 2 - Market cap includes impact of dilutive shares from convertible notes where applicable; Priced as of September 18

More recent concerns around pacing frontier model performance adds another layer of uncertainty, but most data points continue to indicate that demand will outpace supply (e.g., Microsoft ramp, OpenAI limiting access to Astra, etc.). The UBS Semiconductor research team now estimates AI infrastructure will scale to an incremental ~260GW of capacity from 2028-30, a ~3x increase from ~90GW for 2025-27. These AI/HPC colocation companies have collectively accounted for ~5% of global demand for AI infrastructure, implying an incremental leasing opportunity of ~13GW over the next several years as compute requirements scale.

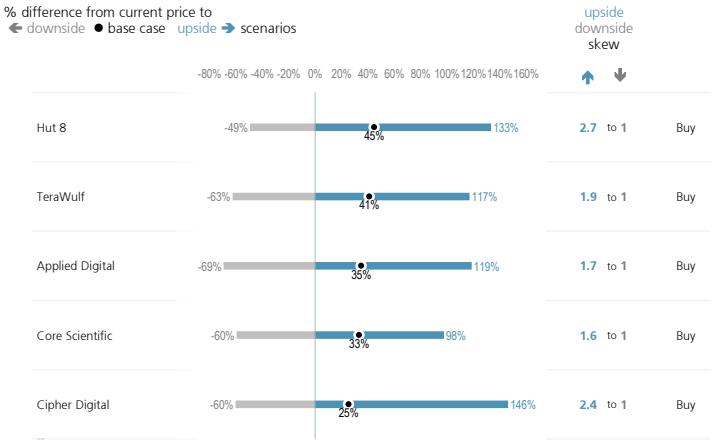
While the opportunity for growth is substantial, the risk profile of these stocks reflect their early stage nature. Downside scenarios could emerge from aggressive timelines to meet delivery commitments, the increasing complexity of AI developments across a constrained supply chain and rising interest rates that could pressure equity valuations and narrow already tight spreads between development yields and the cost of capital.

The group trades at 12-18x '28E EBITDA vs. established REIT peers at ~19x despite prospects for significantly faster growth. Discounted valuations reflect execution risks, high tenant concentration and exposure to non-traditional markets that lowers visibility on lease renewal and thus terminal values. That said, we see a multi-year catalyst path that should drive upward estimate revisions and multiple expansion. Near-term opportunities include execution against delivery milestones, clarity on pipeline capacity

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(particularly in Texas) and new lease announcements, while longer dated opportunities include declining risks premiums (with a shift from development-stage uncertainty to contracted infrastructure cash flows), REIT conversion and strategic value given a widening value gap between physical infrastructure and the compute deployed within it.

Figure 3: UBS AI Colocation Coverage Upside/Downside Skews



Source: UBS estimates, company data, Factset; Priced as September 18

A Rundown of Key Catalysts and Dates by Stock:

- **HUT:** Final Base Load designation and initial energization at Beacon Point (Dec '26/1Q27), delivery of initial colocation capacity (2Q27/3Q27); New disclosures and updates to the pipeline through River Bend expansion and conversion of residual mining sites.
- **WULF:** RFS of all Lake Mariner capacity with commencement of Googe's full credit support (March '27), Project financing and early development progress at Hawesville (by 1H27); Lease agreement at Muskie Data campus.
- **APLD:** Revenue commencement on ~700MW (UBSe by mid-27), Exercise of 250MW in tenant expansion options with improved pricing and yields; Compute deals and separation of GPU cloud ChroneScale; REIT conversion.
- **CIFR:** Final Batch Zero designations and power allocations for projects in conditional Studied Load category (Dec '26; April '27); RFS for three already leased sites (Jan, Feb and May '27); New lease signings at Reveille, Ulysses and Odessa.
- **CORZ:** Exercise of 1.9GW in AMD expansion options (through 2028); (2) RFS for initial AMD leased capacity (1H27); (3) Progress on behind-the-meter initiatives and clarity on MW allocation for new grid power at Pecos (April '27).

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MACRO SUPPLY AND DEMAND BACKDROP

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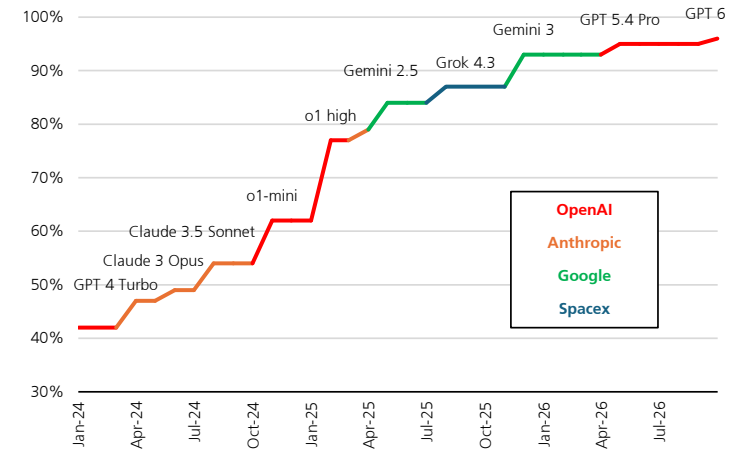
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Demand Read at the Intelligence Layer: Frontier vs. Open Source & the Compute Arms Race

AI leadership has become the strategic imperative for the largest technology companies, driving a compute arms race that is increasingly constrained by access to power.

- The largest technology companies view AI as the foundational platform for the next generation of applications across new and existing verticals. As a result, leadership at or near the frontier is non-negotiable. When one provider raises the bar on model performance or compute scale, competitors are forced to respond, creating a self-reinforcing investment cycle across the industry.
- Rapid advances in model performance continue to highlight the intense competition among leading AI labs. Leadership among frontier models is constantly evolving as competitors at the AI Intelligence layer deploy increasingly large compute clusters to improve performance. Recent model releases (e.g., Grok 4.6 and 4.7 and OpenAI GPT-6 Astra) underscore the urgency with which AI developers are scaling infrastructure. The resilience of scaling laws, the pursuit of more capable models and token demand remain key drivers of accelerating compute demand.
- At the same time, enterprises are increasingly scrutinizing AI spending, leading to more rapid adoption of lower-cost and more token-efficient **open-source models.** We see open source as a double-edged sword for infrastructure providers. In the near term, pressure on frontier model monetization could moderate investment by some closed-model developers. Over the medium term, however, we see open-source adoption as a net positive as it broadens the tenant base, increases competition among AI developers and lowers the cost of deploying AI applications - ultimately supporting broader adoption of AI products and higher infrastructure demand.
- As AI developers secure increasingly large compute deployments, we believe owners of power-rich campuses capable of delivering AI capacity within 12-24 months will become increasingly valuable participants in the AI infrastructure ecosystem.

Competition for the Frontier: GPQA Diamond Score by Leading Model



Rapid Open-Source Adoption: Silicon Data Token Expenditure Index



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Source: UBS, Epoch AI, Bloomberg

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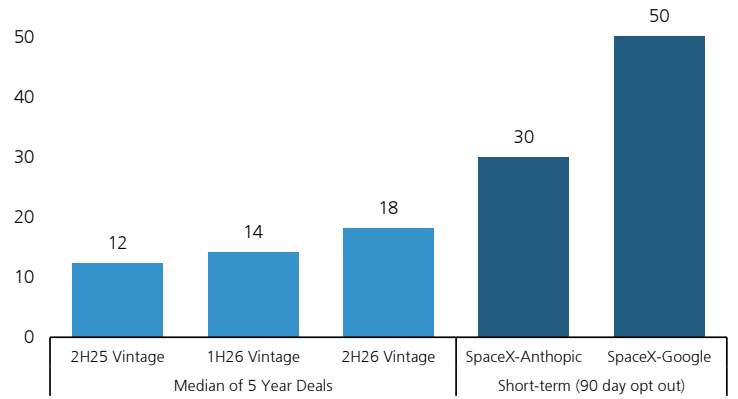
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Demand Read at the Cloud Layer: A Compute Crunch and Pricing Surge

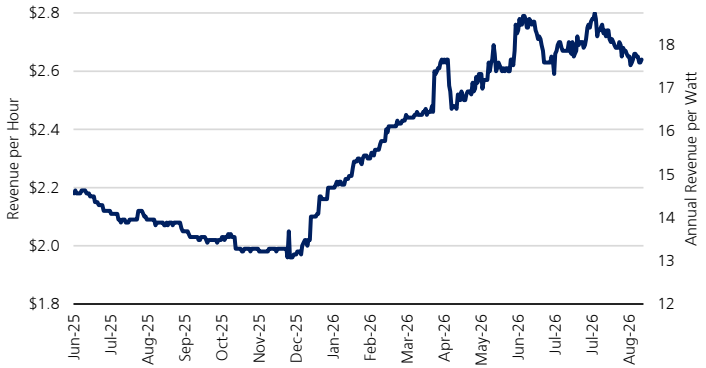
The recent inflection in GPU pricing highlights the current supply-demand imbalance for AI compute and incentive for hyperscalers/neoclouds to scale capacity, in turn supporting the outlook for colocation demand

- This is most evident in SpaceX's compute deals for near-immediate access to scaled capacity at Colossus. We estimate pricing at $30-$50M/MW annually, implying payback on infrastructure investment of just ~1 year.
- While short-duration agreements with 90-day opt-outs, they highlight the current premium for immediately available compute. Nebius similarly indicated that recent short-term deals priced at $40M+/MW.
- Spot rental pricing for NVIDIA H100 and B200 GPU have likewise moved higher and currently imply annualized revenue of ~$17M/MW and ~$25M/MW, respectively. Longer-duration cloud contracts have also continued to move higher but still reflect more equilibrium-based pricing and IRRs.
- Colocation rental rates have remained relatively consistent at $1.5-2.0M/MW annually (paid by CSPs for leased capacity), suggesting greater potential for margin capture at the cloud providers and/or room for colo rates to move higher.

AI Cloud Compute Deals (Annual Revenue per Watt)



Silicon Data H100 GPU Pricing (Revenue per Hour and Watt)



Silicon Data B200 Pricing (Revenue per Hour and Watt)



Notes: Annual revenue per watt based on 1.3kw per H100 and 1.9kw per B200

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Source: UBS, company data, Bloomberg

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Demand Read at the Hardware Layer: AI Power Model tracking to ~70 GW

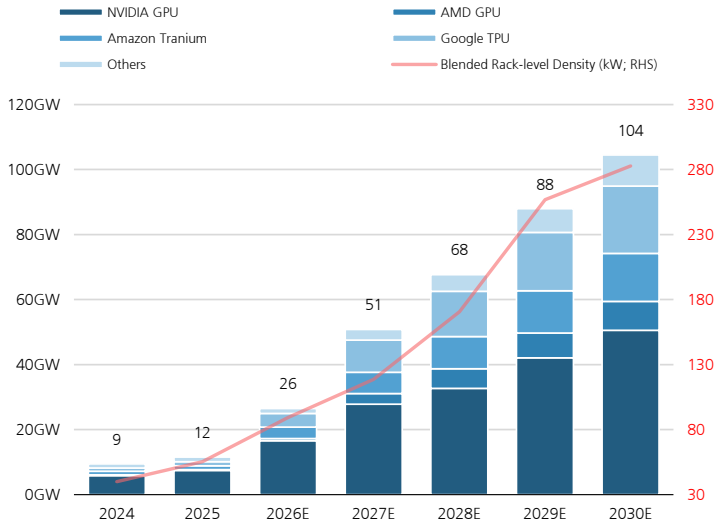
Rising accelerator power consumption and system density are driving a step-change in data center power requirements, increasing global demand for AI infrastructure to nearly ~260GW of incremental IT load required from 2028-30

- The UBS Global Semiconductor team's AI Power Model indicates demand for incremental data center should scale from **~25GW of IT load in 2026 to ~70GW in 2028 and ~100GW by 2030.**
- The largest contributors include Nvidia's Rubin and coming Feynman platforms and next-generation custom accelerators including Google's TPU v8 and v9 and Amazon Tranium4.

Rising Power Density Across Accelerator Generations

Company	Accelerator	Release Date	TDP (watts)	Total W per XPU	kW / Rack
	CPU	n/a	100-300	150-400	5-15
NVIDIA	Hopper (H100/200)	2023	700	~1,400	45
	Blackwell (B200/GB200)	2024	1,300	~1,700	120
	Blackwell Ultra (B300/GB300)	2025	1,400	~1,900	140
	Rubin (V200/VR200)	2026	2,300	~3,100	225
	Rubin Ultra V300/VR300)	2027E	2,760	~3,500	500
	Feynman	2028E	6,000	~6,900	1,000
AMD	MI300	2023-24	750	~1,250	40
	MI455	2026	2,300	~3,300	235
	MI500	2027E	~2,500	~3,900	1,000
Google	TPU v6 (Trillium)	2024	300	~625	40
	TPU v7 (Ironwood)	2025	1,100	~1,400	90
	TPU v8 (Sunfish/Zebrafish)	2026E	~950	~1,450	50-90
	TPU v9 (Pumafish/Humufish)	2027E	2,400	~3,100	200
Amazon	Trainium2	2024	500	~700	45
	Trainium3	2026	1,000	~2,100	155
	Trainium4	2027E	3,200	~4,600	330

Data Center Annual GW Additions from Accelerator Sales



Rapid increases in power density and required evolutions across the cooling and power stacks suggest a continuation of greenfield AI data center developments, rather than attempts at retrofitting existing assets and capacity.

- Rack level systems beyond densities of 100kW typically require Direct Liquid to Chip (DLC) cooling or a combination of DLC and Rear Door Heat Exchangers (RDHX).
- Above 200kW, copper reaches physical limits, leading to rollout of 800V DC architectures that will see medium voltage AC power from the grid stepped down to 800V DC at the facility edge, with power at this higher voltage flowing to compute racks with fewer conversion steps along the way.

UBS

Source: UBS estimates, company data

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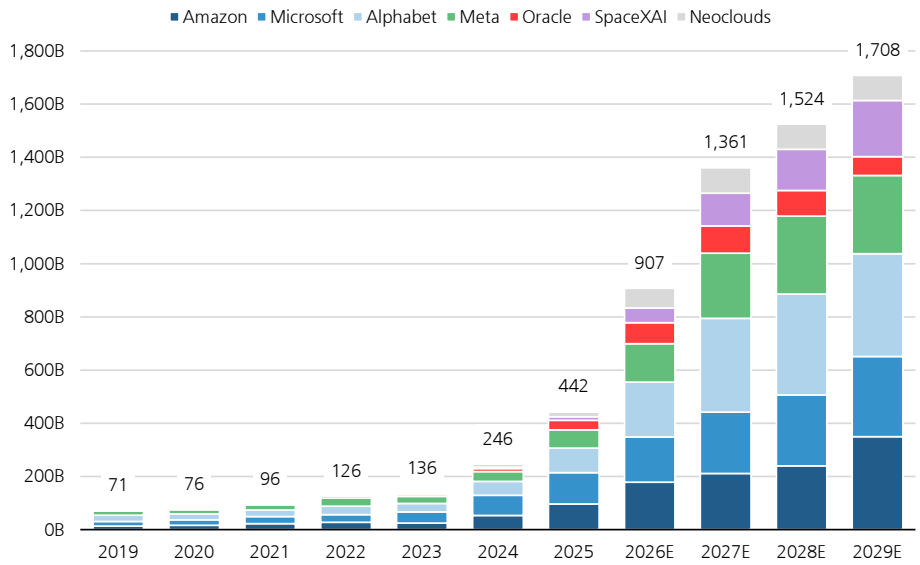
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An Outsourcing Option for a Generational Investment Cycle

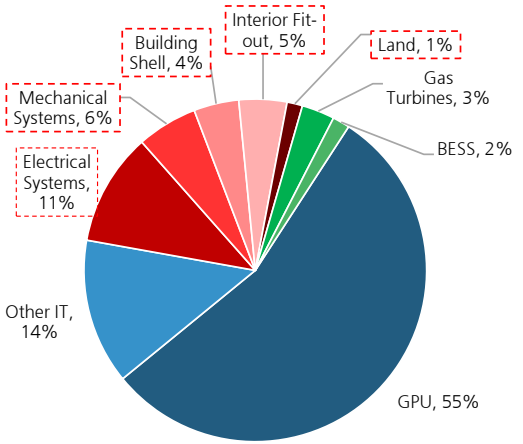
Hyperscale spending continues to accelerate with UBS analysts now projecting capex of ~$5.5T from 2026-29E, an unprecedented scale that represents the largest infrastructure investment cycle in history

- While the absolute level of hyperscale capex highlights the magnitude of demand for AI infrastructure, we believe it will lead to greater use of third-party data center developers to reduce upfront capital requirements amid investor sensitivity around rising spending intensity.
- The wholesale data center industry has long served as a mechanism for hyperscalers and other large tenants to convert upfront infrastructure capex into long-duration lease agreements, shifting ~25% of $50-60B/GW in total AI data center capex to third-party developers.
- Third party operators also provide the relief valve and speed-to-power when internal build pipelines can't keep pace with demand, which is indicative of the current environment.

Hyperscale Capex ($Bs)



Share of AI Data Center Development Capex



Upfront Capex outsourced to AI/HPC Colocation providers in leased facilities

UBS

Source: UBS estimates, company data, Factset

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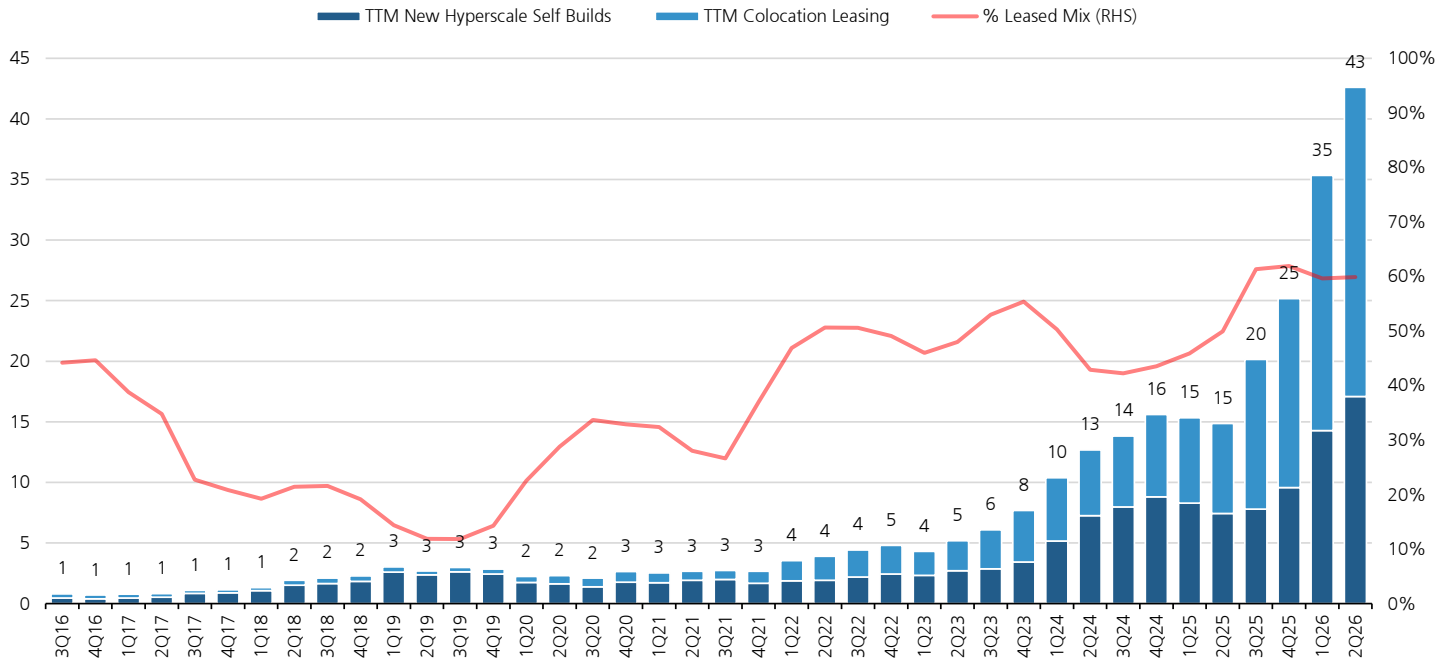
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Rising Mix of Leased Capacity amid the Demand Surge

AI infrastructure deployment continues to accelerate, with third-party leasing and hyperscale self-build commencements totaling ~43GW in North America over the past 12 months.

- Recent activity includes ~25GW of pre-leased capacity and ~17GW of hyperscale self-build commencements, likely targeting delivery over the next 1.5-3 years. At ~$50B/GW of total AI deployment cost, **this implies >$2T of upcoming capital spend**, which should alleviate concerns around any near-term slowdown in AI infrastructure spending.
- Third-party leasing has recently accounted for ~60% of new capacity demand, up from ~40% in prior years, highlighting efforts to secure access to power and data center capacity before timelines extend further.
- While referring to third-party cloud capacity, Alphabet's comments during its 2Q26 earnings call captured the current backdrop: "*Given the supply-constrained environment, we plan to expand the use of third-party capacity as a bridging strategy while we build out more internal capacity.*"

New North America Data Center Demand in GW



UBS

Source: UBS, Data Center Hawk

Ryan Gravett, John C. Hodulik, Batya Levi

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Grid Congestion & Supply Scarcity in Traditional Data Center Markets

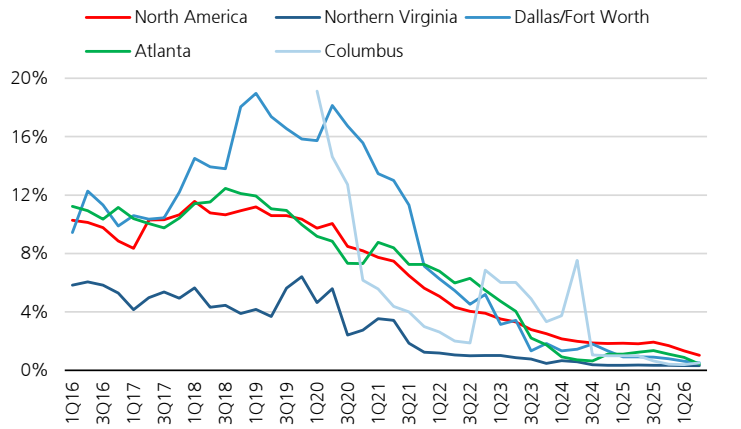
The surge in demand for data center power and capacity has driven a mismatch between infrastructure requirements and the grid's ability to serve new load.

- Recent regulatory frameworks have moderated speculative requests for generation and large-load interconnections, but the queue still well exceeds the existing base of U.S. generation.
- This has led to congestion across transmission and interconnection systems that have extended grid interconnection timelines to 5+ years and access to capacity in traditional data center markets, with vacancy rates at all time lows of <2%.

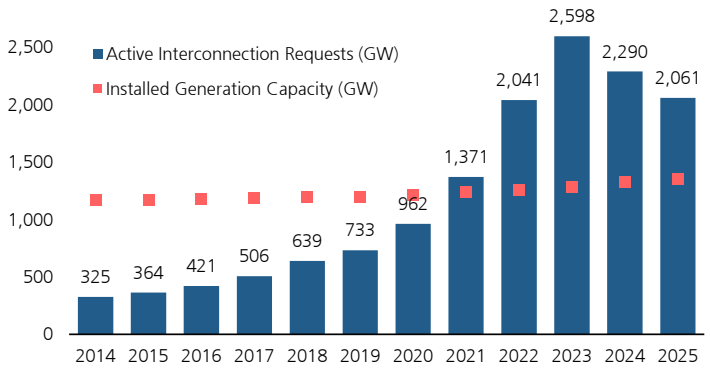
Well before the emergence of large-scale AI data center demand, bitcoin miners secured large scale power blocks and advantageous positions in interconnection queues envisioned for future mining sites.

- These locations have access to abundant power, transmission infrastructure and low-cost electricity; all key attributes that have proven valuable for a pivot to AI and HPC data center development.

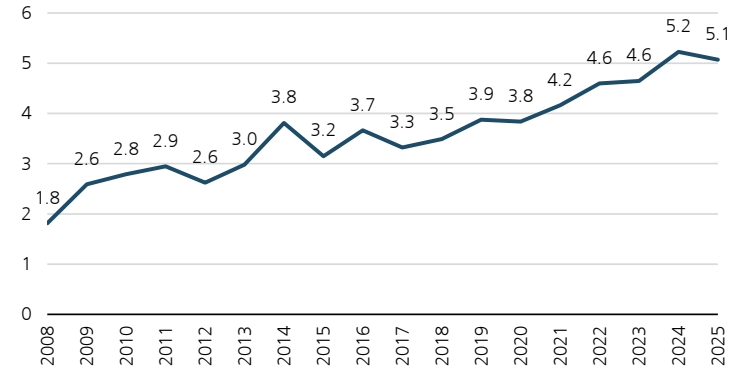
Primary/Secondary Colocation Market Vacancy Rates



U.S. Nameplate Generation Capacity vs. Requests for Interconnection



U.S. Electrical Grid Interconnection Time (in Years)



UBS

Source: UBS, Data Center Hawk, EIA, Lawrence Berkeley National Laboratory

Ryan Gravett, John C. Hodulik, Batya Levi

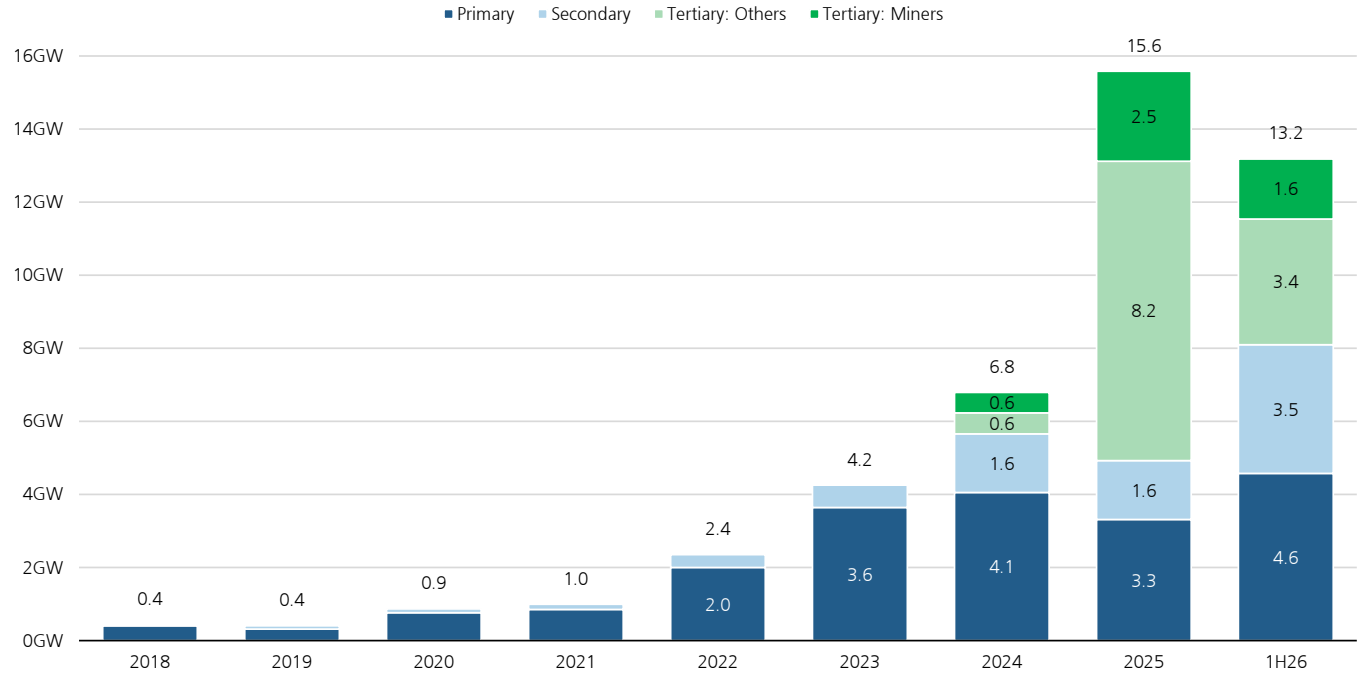
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Providing a Solution for the Primary Supply-side Bottleneck

Miners have already established a meaningful position within data center colocation, leasing 6.5GW of IT load over the past ~2 years through retrofits of existing assets, favorable interconnection positions and increasingly new site development by leveraging existing tenant relationships.

- Primary and secondary data center markets remain the preference for tenants given latency benefits and proximity to existing infrastructure but lengthening timelines have incentivized a search for new locations with speed to market advantages for large and inexpensive power allocations.

North America Colocation Leasing by Market Type



For primary markets we include, among others, Northern Virginia, Dallas, Santa Clara, Chicago, Atlanta and Phoenix. Secondary markets include Columbus, Reno, Austin, Salt Lake City, San Antonio and Las Vegas

Source: UBS, Data Center Hawk, company data

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MINERS WITHIN THE AI INFRASTRUCTURE BUILDOUT

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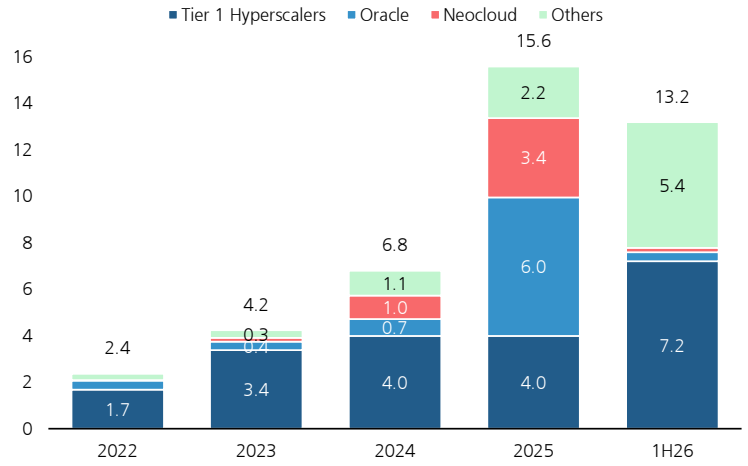
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An Expanding Tenant Base across Hyperscalers, AI Labs & Semis

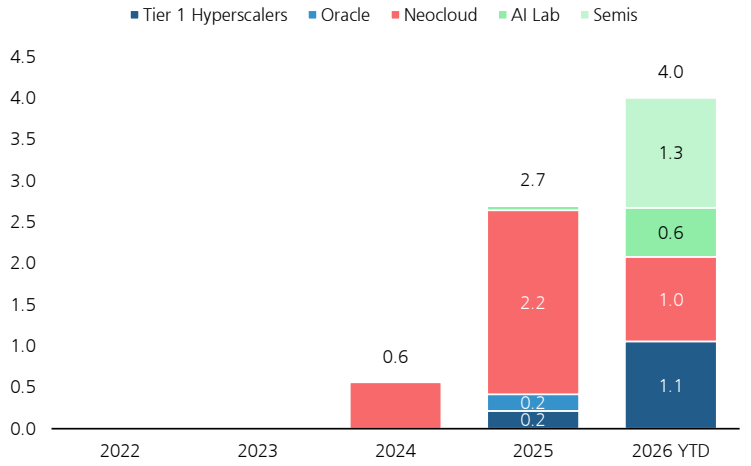
As demand scales and miners establish credibility, we expect the tenant mix to evolve from predominately neocloud toward higher-credit-quality cohorts. While this shift leads to lower expected yields to compensate for better risk profiles, it should support higher valuation multiples and investor confidence in long-term cash flows.

- Neoclouds (with credit and/or lease support from high IG partners) accounted for nearly all miner leasing activity through YE25, but execution creditability has supported diversification of the tenant base that now spans Amazon, Meta, Oracle, NVIDIA and AMD. While the shift reflects the increasing relevance for miners within the colocation market, it is also indicative of broader sector trends with demand waves and capacity digestion periods across tenant cohorts.
  - **Tier 1 Hyperscalers:** Total leasing volumes from Amazon, Microsoft, Google, Meta reached ~7GW in 1H26, accelerating from ~4GW annually in recent years when new capacity skewed to self-build activity. Miners have participated through direct leases with Amazon and Meta.
  - **Oracle/Neoclouds:** Given balance sheet constraints, Neoclouds and Oracle have historically outsourced/leased the vast majority of data center capacity requirements and thus represent a large opportunity for the colocation market, despite this cohort's smaller overall data center footprints relative to hyperscalers. These tenants accounted for ~9GW of ~16GW all leased capacity in 2025 (~60%) but the recent slowdown is indicative of typical digestion phases (~0.6GW in 1H26).
  - **AI Labs** are increasingly bypassing portions of the traditional cloud value chain and procuring infrastructure through direct colocation leases through 20 year deals.
  - **Semis:** NVIDIA and AMD have emerged as major tenants of third-party capacity as they look to support ecosystem development and ensure capacity is built for end products. While adding a new cohort of high credit quality tenants, it adds some uncertainty on the ultimate off-takers of leased capacity.

Total North America Leased Capacity by Tenant Cohort (GW)



Miners Leased Capacity by Tenant Cohort (GW)



Notes: Tier 1 Hyperscalers include Amazon, Microsoft, Meta, Google; Neoclouds include Coreweave, Nebius, Nscale, Lambda, Fluidstack

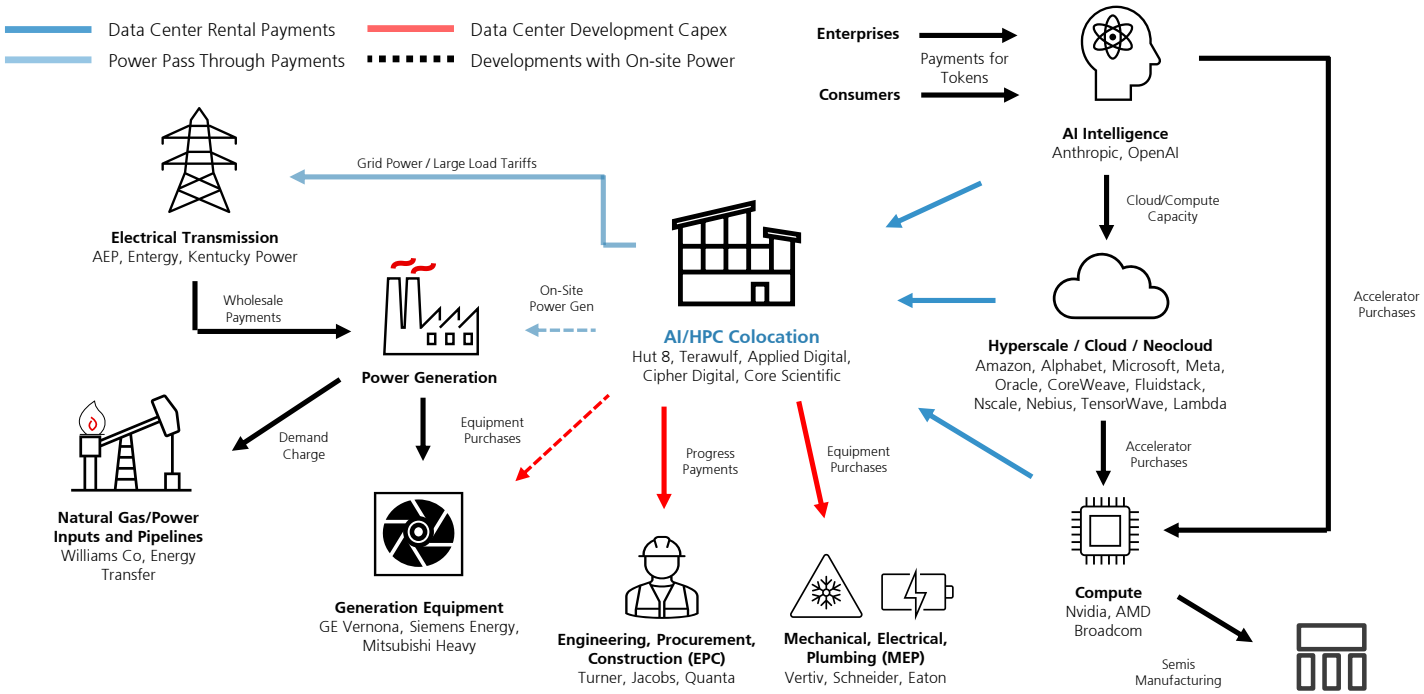
Source: UBS, Datacenterhawk

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Mapping the Flow of Dollars and End Demand Exposure

While contractual lease credit is increasingly diversified across hyperscalers, investment-grade technology companies and neoclouds, ultimate AI infrastructure remains more concentrated, with leading AI labs representing meaningful look-through demand across multiple counterparties.



Companies listed are examples and not fully comprehensive.

AI/HPC data center operators at the center of the diagram provide a similar solution as colocation providers in our coverage (Equinix, Digital Realty) and many private players (Vantage, CyrusOne, QTS, Switch, SB Energy), assuming development risk by acquiring or preparing existing sites, with capital deployed toward electrical and mechanical infrastructure to support AI workloads, while earning long-term recurring rental revenue with economics underwritten to a targeted yield on development cost.

Source: UBS

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Framing Value Creation from Lease Signings

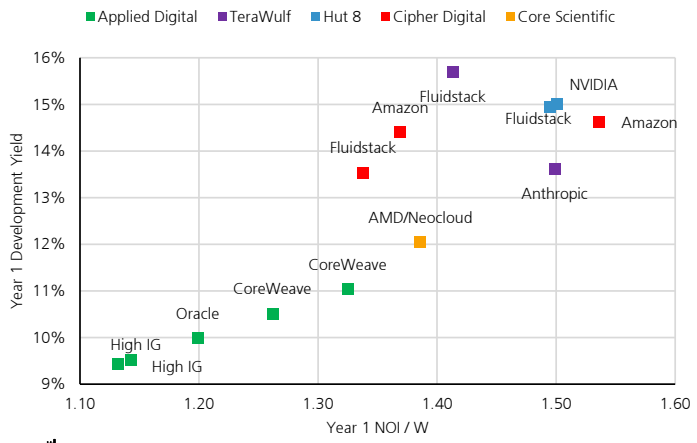
Across the /HPC Colocation, we see Hut 8 establishing a strong foundation and benchmark for future agreements, with an estimated $12-14M per MW of equity value creation in prior signings. Leases have combined attractive economics with high credit quality tenants/support, while limiting exposure to delivery penalties and compensation for backstop support. Cipher's recent leases similarly screen as high quality.

- To compare lease economics, we focus on Year 1 NOI (adjusting for lease structure, margins, duration, escalators) against disclosed capex to estimate development yields.
- We apply this framework to estimate incremental value creation from prior lease signings and potential value creation from the lease-up of development pipelines. All else equal, every ~100bps increase in yield translates to ~$1-2M of incremental equity value per MW.
- Implied development yields for the group are above typical industry benchmarks (HSD to LDD), largely a function of management quoted capex that have ranged of $8-12M/MW versus most market participants citing ~$11-15M/MW.
- Brownfield characteristics can support lower costs but many disclosed capex figures likely exclude site acquisition and capitalized interest (which adds ~$2-3M/MW to project cost), making relative yield comparisons more susceptible to differences in disclosures (e.g., APLD quotes more typical capex of $11-13M/MW). Our estimates for future value creation incorporate capitalized interest during development and generally ascribe higher capex figures to account for incremental site-level investments that may be required.

Est. Equity Value Creation / MW from Lease Signings ($Ms)

	CIFR	CORZ	APLD	HUT	WULF
IT MW Leased	493	1,119	1,410	949	839
Development Yield	14%	19%	10%	15%	15%
Est. NAV / MW	12	8	4	12	12

Disclosed Lease Economics by Company and Tenant Across Deals



Value Creation Example: Hut 8's Beacon Point ($Ms)

Lease Details	
Date Announced	5/6/2026
Tenant	NVIDIA
Tenant Credit Rating	AA
Gross MW	500
IT MW	352
Lease Structure	NNN
Duration (Years)	15
Renewal Option	3 x 5
Project Financing Yield	6.13%
First Delivery	2Q27
Years to Final Delivery	1.7

Disclosed Lease Economics	
Total NOI	9,825
Average Annual NOI	655
Escalator	3.0%
Year 1 NOI	527
Year 1 NOI / MW	1.5
Capex / MW	10.0
Development Capex	3,520
Development Yield	**15%**
Capitalized Interest	338
Total Capex	3,858

Value Creation Estimate

	Cap Rate at Stabilization		
	6.0%	6.5%	7.0%
Enterprise Value	8,782	8,106	7,527
Increase in Net Debt	3,858	3,858	3,858
Equity Created	**4,924**	**4,249**	**3,670**
Equity / IT MW	14.0	12.1	10.4
Equity / HUT Share	39.96	34.47	29.78
PV of Equity Created	**3,861**	**3,332**	**2,877**

HUT Share Performance

Date	HUT	Market Cap
4/30/2026	75.78	9,339
5/13/2026	107.36	13,231
Increase	**31.58**	**3,892**

Source: UBS estimates, company data

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A Substantial TAM to Convert Pipelines into Contracted Cash Flows

With global data center capacity requirements scaling to an estimated 65GW+ annually from 2028, new lease opportunities should largely be a function of the timing and availability of power pipelines.

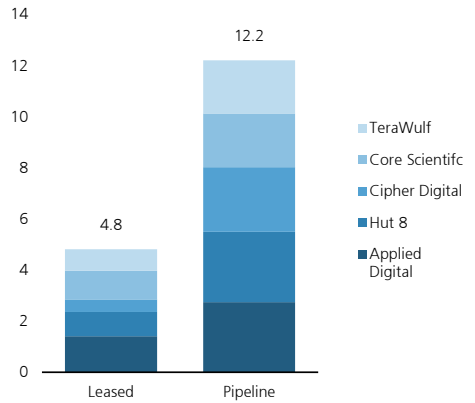
- Bitcoin mining companies that have pivoted to colocation represented ~13% of third-party leasing in North America over the past ~3 years and just ~7% of overall demand for new capacity, taking into account hyperscale self-builds.
- Assuming a similar share of demand, we see the opportunity scaling to 15GW+ of demand over the next several years. For companies under coverage, this compares to development pipelines and expansion options that collectively total an estimated ~12GW of IT load, including ~6GW of higher visibility opportunities that should come available within hyperscale pre-leasing windows in the next 2-3 years.
- We thus expect lease agreements to be largely a function of the timing and availability of power, while still contingent on demonstrating execution against delivery commitments for already contracted capacity to drive repeat business.

Share of Demand for Data Center Capacity

Amounts in IT GW	2023	2024	2025	1H26	2026E	2027E	2028E	2029E	2023-1H26	2H26-29E
Global AI Power Model (Forward Year)	**9.5**	**11.5**	**26.5**	**25.4**	**50.8**	**67.7**	**87.9**	**104.5**	**72.9**	**285.5**
Total North America DC Demand	**7.6**	**15.0**	**25.8**	**24.5**	**38.1**	**47.4**	**59.8**	**67.9**	**72.9**	**188.7**
% of Total GPU Power Demand	80%	130%	97%	96%	75%	70%	68%	65%	100%	66%
Of Which New Hyperscale Self Builds	**3.4**	**8.2**	**10.2**	**11.3**	**17.1**	**21.3**	**26.9**	**30.6**	**33.1**	**84.6**
As % of Total Demand	44%	55%	40%	46%	45%	45%	45%	45%	45%	45%
Of Which Leaesd from Third Parties	**4.2**	**6.8**	**15.6**	**13.2**	**20.9**	**26.1**	**32.9**	**37.3**	**39.8**	**104.1**
As % of Total Demand	56%	45%	60%	54%	55%	55%	55%	55%	55%	55%
Leased within Primary Markets	**3.6**	**4.1**	**3.3**	**4.6**	**7.3**	**9.1**	**11.5**	**13.1**	**15.6**	**36.5**
As % of Total Leased	86%	60%	21%	35%	35%	35%	35%	35%	39%	35%
Leased within Secondary Markets	**0.6**	**1.6**	**1.6**	**3.5**	**4.2**	**5.2**	**6.6**	**7.5**	**7.4**	**19.9**
As % of Total Leased	14%	24%	10%	27%	20%	20%	20%	20%	18%	19%
Leased within Tertiary Markets	**0.0**	**1.1**	**10.7**	**5.1**	**9.4**	**11.7**	**14.8**	**16.8**	**16.9**	**47.7**
As % of Total Leased	0%	17%	68%	39%	45%	45%	45%	45%	42%	46%
Leased to Miners[1]	**0.0**	**0.6**	**2.7**	**2.1**	**3.1**	**3.9**	**4.9**	**5.5**	**5.3**	**15.3**
Miners as % of Tertiary Leasing	0%	50%	25%	41%	33%	33%	33%	33%	32%	32%
Miners as % of Total Leasing	0%	8%	17%	16%	15%	15%	15%	15%	13%	15%
Miners % of Total Demand	0%	4%	10%	8%	8%	8%	8%	8%	7%	8%

Red based on actuals from Datacenterhawk

UBS HPC Coverage: Leased vs. Pipeline IT GW



(1) Miners includes the five companies under coverage as well as other publicly traded mining companies with contracted AI Colocation capacity

UBS

Source: UBS estimates, company data, Data Center Hawk

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Pipeline Positioning & Next Lease Candidates

We expect the next wave of lease announcements to be driven by operators that combine customer acquisition momentum and, most importantly, near-term power availability.

- Given uneven company disclosures, we attempt to categorize unleased capacity into tiers based on timing, site readiness, commercial engagement and leasing visibility.
- Capacity within hyperscale pre-leasing windows, generally ~18 months before delivery, is the key differentiator. We generally include these opportunities within our Tier 1 category and see the greatest near-term potential for lease announcements at:

1. **Cipher Digital:** Three sites totaling 477MW gross / ~340MW IT within the scarce 2027 delivery window: ERCOT interconnection-approved Reveille, PJM approved Ulysses in Ohio and residual mining capacity in Odessa, TX. Leasing these sites would increase Cipher's contracted capacity by ~70%.
2. **TeraWulf:** Muskie's initial 500MW gross / 400MW IT phase is approaching pre-leasing windows ahead of late-2028 power availability. Leasing this phase would increase contracted capacity by ~50%.
3. **Applied Digital**: Two potential tenant expansions totaling 250MW IT at Polaris Forge 2 and Delta Forge 1 that offer higher conversion probability through existing customer relationships.

Miner Leasing Scorecard

Company	Leasing Veolcity[1]	IT MW Delivered[1]	IT MW Signed	Power Pipeline (estimated IT MW) Tier 1	Tier 2	Tier 3	Tier 1-3
Applied Digital	5	175	1,410	250	~950	~1,500	~2,700
Hut 8	3	0	949	~	~1,800	~1,000	~2,800
TeraWulf[2]	3	102	839	400	~1,700	~	2,082
Cipher Digital	4	0+	493	~340	~700	~1,500	~2,500
Core Scientific	1	437	1,120	~	~380	1,710	2,094
Total	**16**	**~720**	**4,801**	**~1,000**	**~5,500**	**~5,700**	**~12,200**

(1) Number of lease announcements and MW delivered within the last 12 months

(2) Excludes Abernathy, TX joint venture (announced sale of equity interest)

Power Pipeline Tier Definitions

- **Tier 1: Identified Near-Term Lease Candidates.** Sites with development milestones, energization timelines or capacity delivery dates that fall within pre-leasing windows (12-18 months) and specific management commentary regarding customer engagement.
- **Tier 2: Visible Sites with Longer Timelines or broader pipeline disclosures.** Named or disclosed sites but falling outside of pre-leasing windows or less evidence of customer discussions. We also include more broadly disclosed pipeline figures that we believe have a higher probability of conversion despite limited site-specific information.
- **Tier 3: Longer-Dated Optionality.** Sites with longer-dated power deliveries, limited disclosures or tenant expansion options that provide value but where timelines or power status is less certain (e.g., behind-the-meter generation initiatives)
- **Tier 4: Early-Stage Development Opportunities.** Capacity that companies have publicly disclosed as being under evaluation, acquisition or diligence, or projects subject to future ERCOT batch reviews.

UBS

Source: UBS estimates, company data

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DELIVERY AND EXECUTION MILESTONES APPROACHING

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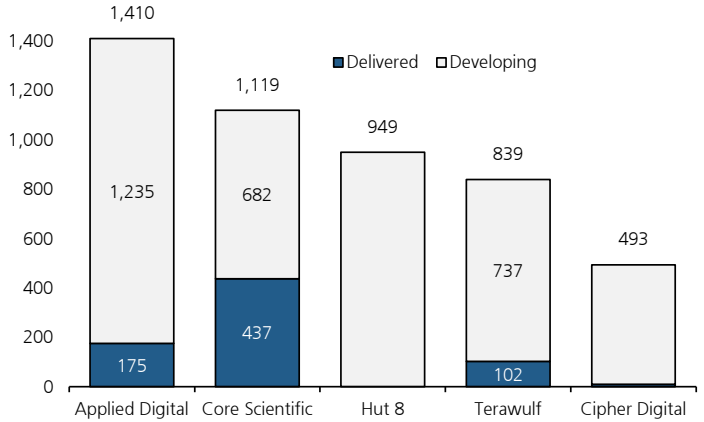
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Major Delivery Milestones Approaching

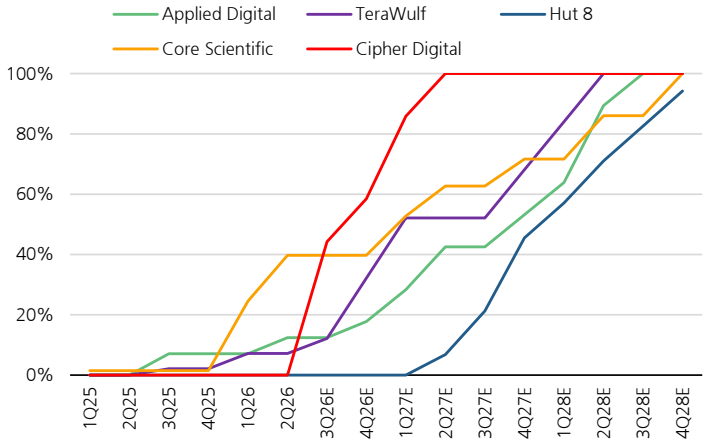
As lease activity matures into construction execution, we expect increasing investors to focus on RFS performance, penalty exposure and the ability to convert on-time delivery into repeat leasing opportunities.

- We see upcoming opportunities to demonstrate delivery execution as a key catalyst for unlocking repeat lease agreements and supporting valuation credit of uncontracted development pipelines.
- As of recent updates, the group has collectively delivered ~720MW, or just ~15% of contracted capacity. An incremental 1.6GW is set to be delivered by mid-2027, bringing total deliveries to 2.3GW or ~50% of leased capacity.
- Labor constraints remain the primary construction bottleneck and we expect 45-60 day RFS delays to remain common. Penalties are typically modest at first but escalate over time, often as a percentage of monthly recurring charges or rent abatements that accrue daily across delay buckets (e.g., 0-30 days, 30-60 days and 60-90+ days). Missing outside delivery dates, typically in the 180+ day range, represents the main risks to equity valuations as tenants often have termination rights, enhanced remedies, the ability to assume greater control over project execution.
- IG-backed credit support for a number of neocloud lease agreements (e.g., Fluidstack/Google with TeraWulf and Cipher Digital) typically does not commence until RFS has been achieved. This makes upcoming delivery execution far more significant to equity valuations than a simple push to the right of estimates. That said, timelines are often adjusted for customer design changes, evolving equipment specifications or mutually agreed modifications. Contracts also typically include force majeure protections and carve-outs for utility-related delays outside the developer's control.

Current MW Delivered vs. Contracted



Delivery Ramp Forecasts: % of Contracted Capacity Delivered



UBS

Source: UBS estimates, company data

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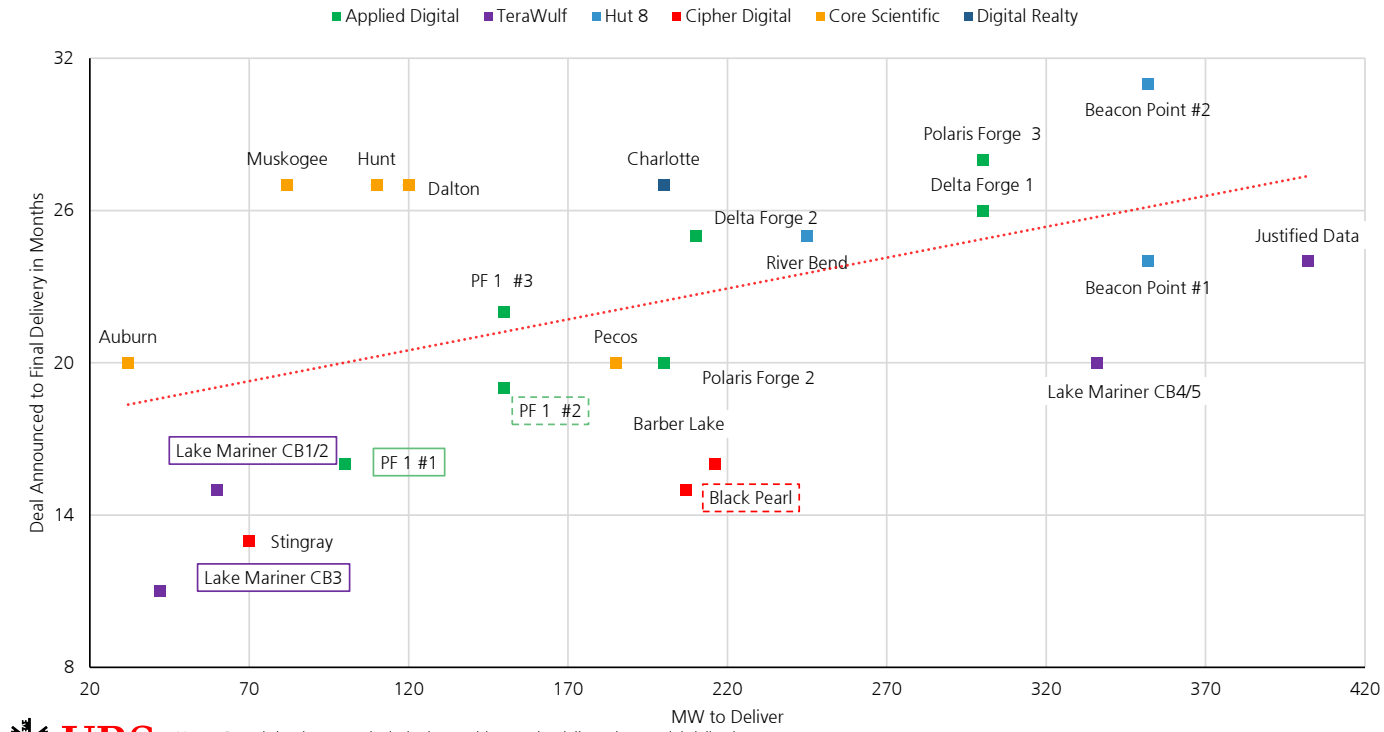
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Framing Relative Delivery Timelines & Risks

To frame relative execution risk, the chart below highlights MW delivery commitments against management-provided or estimated timelines. The ideal quadrant is the upper left, indicating the greatest amount of time relative to the amount of capacity. These figures depict estimated final delivery timelines by site, though initial delivery requirements are often the more significant risk.

- We also include Digital Realty's hyperscale development in Charlotte as a benchmark to highlight the delivery timelines targeted by newer operators relative to a seasoned developer with a ~20 year track record. The Charlotte lease represents 200MW with an average timeline to capacity delivery of ~27 months, highlighting the fairly aggressive timelines for new HPC/AI data center operators.

MW to Deliver vs. Delivery Timing



Notes: Boxed developments include those with capacity delivered or partial deliveries

Source: UBS estimates, company data

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Satellite Image Diligence to Monitor Development Progress

To further diligence delivery progress, we are leveraging UBS Evidence Lab satellite imagery for select AI/HPC development sites. The image below shows Hut 8's River Bend campus in Louisiana, its first AI/HPC development and lease with Fluidstack. We also include satellite imagery of Cipher Digital's Black Pearl campus in West Texas and Applied Digital's Delta Forge 1 campus in the company sections that follow.

- At River Bend, satellite imagery from mid July shows substantial early-stage development progress, with sitework largely complete and foundation pours underway. Delivery of the first 65MW data hall is expected in 2Q27, implying a ~1-year remaining construction timeline from the date of the image and a positive read on early execution.

Hut 8 River Bend Development



Source: UBS Evidence Lab; Image by Planet

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Lower Visibility to Power in Texas

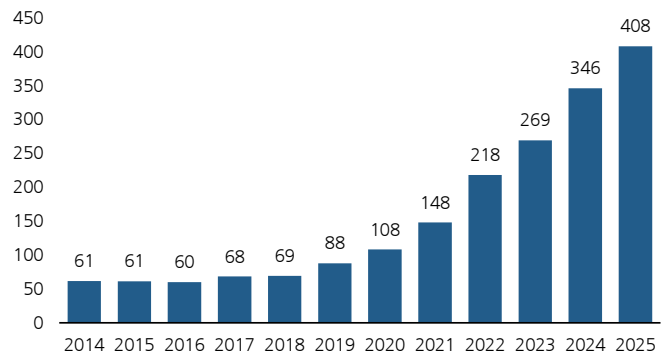
Separate but related developments in Texas in recent months has lowered visibility on power allocations and energization ramps

- With ERCOT's queue reaching ~470GW (vs. statewide peak demand of just ~85GW), the **Batch Zero framework** was implemented to manage the surge through a system-wide review to reduce speculative applications, creating risks around power allocations and timelines for developers.
- Governor Abbott's directive to ERCOT and the PUCT in early August **to audit all data center projects** delayed the Batch Zero process. Initial Batch Zero project categories were targeted for early August, but on September 3 ERCOT provided conditional classifications to TSP and DSPs with developers subsequently notifying market participates on project classifications.
- In addition, growing local pushback on the state's major transmission upgrade projects has added another layer of risk. To accommodate rapid load growth, Texas plans to build large-scale **765-kV transmission lines** with in-service dates between 2028-30. Political and landowner opposition to proposed routes (e.g., 3 of 5 line segments for the Permian Basin Reliability Plan (PBRP) approved by PUCT thus far) creates risks for projects with late-decade energization ramps.
- While transmission project delays are unlikely to impact MW *allocations* in the Batch Zero review, they could impact energization *timelines* if transmission infrastructure can not support grid reliability. Here are the key dates and developments we will be monitoring:
  - **Final Batch Zero designations (December 10, 2026)** as projects with conditional classifications are still subject to final verifications. This aligns with the expected completion of Governor Abbott's audit (conditional Base Load projects still need to pass the audit).
  - **State Office of Administrative Hearings (timing TBD)** on recommendations for two PBRP transmission projects that have not been approved by PUCT (Bell County East-Bill Hill-Sand Lake).
  - **Preliminary Power Allocation Results (April 27)** for projects under Studied Load category.

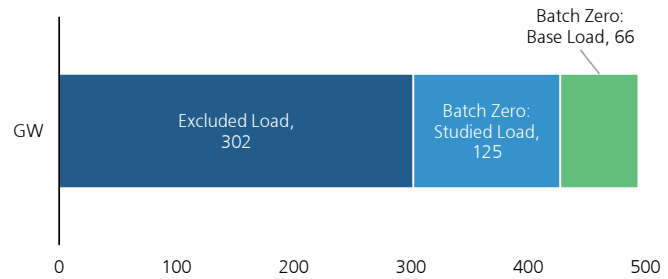
Conditional Batch Zero Classifications by Company

Company	Site	Gross MW	Conditional Classification	Targeted Energization	Leased
Cipher Digital	Reveille	70	Exempt	3Q27	
	Stingray	100	Base Load	4Q26	✓
	Colchis	1,000	Base Load	2028-29	
	Mikeska	500	Studied Load; PCLR Qualified	2028-29	
	Apollo	900	Studied Load; PCLR Qualified	2030+	
	Stingray Phase II	200	Studied Load; PCLR Qualified	2030+	
	McLennan	500	Studied Load	2028	
	Milsing	500	Excluded	2030+	
	Barber Lake Phase II	500	Excluded	2030+	
Hut 8	Beacon Point	1,000	Base Load	1Q27 / 1Q28	✓
Core Scientific	Hunt	431	Base Load	2027-29	Partial
	Pecos	300	Studied Load	TBD	

ERCOT Interconnection Queue (in GW)



Batch Zero Project Classifications (in GW)



Base Load: Advanced projects that will not require re-evaluation (i.e., MW allocations generally not impacted)

Studied Load: Available power determined based on grid reliability and could result in reduced allocation (i.e., likely to be impacted/haircut)

Excluded Load: Projects deferred to a future batch process

Source: UBS, company data, Lawrence Berkeley National Laboratory, ERCOT

Ryan Gravett, John C. Hodulik, Batya Levi

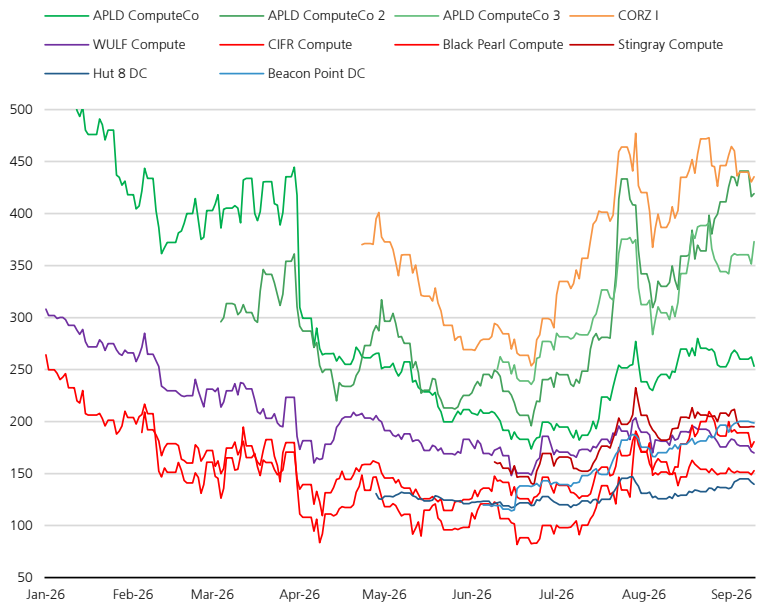
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The Bifurcation in Credit Spreads

Rising yields highlight the growing risk premium the market is ascribing to non-investment grade players and tenants in the AI buildout

- Yields on miner project financings without high investment-grade direct tenants or backstop support have increased ~150bps in the past two months, vs. just +60bps for high IG-backed loans.
- We estimate every 100bps increase in cost of capital equates to ~2x turns of EBITDA multiple compression, underscoring the value of high investment-grade credit support. Higher financing costs are particularly relevant given the timing gap between lease signing (with yields and economics locked-in) and project financing raises, leaving exposure to narrower spreads between development yields and the cost of capital.
- We also utilize credit spreads across project financing raises as a benchmark to frame relative cap rates for leased sites. For example, we apply an ~10% cap rate for Core Scientific's direct leases with CoreWeave (~10x NOI) but a 6.5% cap rate (15x NOI) for Cipher Digital's direct leases with Amazon in our SOTP framework.

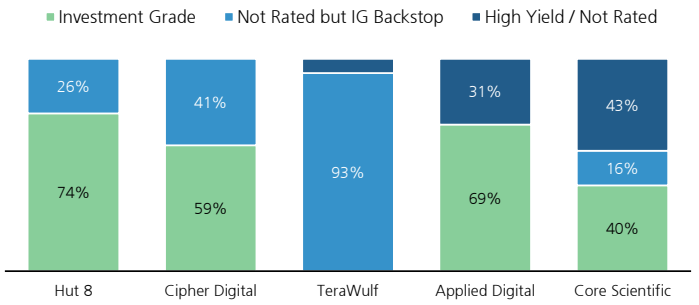
Option Adjusted Spreads across Project Financings



Summary of Project Financing Raises ($Ms)

Company	Campus	Subsidiary	Tenant / Support	Lease Announced	Date Raised	Principal	Current YTM	2 Month Change
TeraWulf	Lake Mariner	Wulf Compute	Google	8/18/2025	10/23/2025	3,200	6.65%	21bps
Applied Digital	Polaris Forge 1	APLD ComputeCo	CoreWeave	5/28/2025	11/13/2025	2,350	7.45%	74bps
Cipher Digital	Barber Lake	Cipher Compute	Google	11/20/2025	11/20/2025	1,733	6.38%	107bps
Cipher Digital	Black Pearl	Black Pearl Compute	Amazon	11/3/2025	2/4/2026	2,000	6.16%	52bps
Applied Digital	Polaris Forge 2	APLD ComputeCo 2	Oracle	10/22/2025	3/4/2026	2,150	8.76%	210bps
Core Scientific	Multi-site	Core Scientific I	CoreWeave	2/5/2025	4/22/2026	3,300	8.94%	126bps
Cipher Digital	Stingray	Stingray Compute	Amazon	3/25/2026	4/30/2026	810	6.65%	69bps
Hut 8	Beacon Point	Beacon Point DC	NVIDIA	5/6/2026	6/4/2026	4,250	6.96%	82bps
Hut 8	River Bend	Hut 8 DC	Google	12/17/2025	6/8/2026	3,250	6.58%	41bps
Applied Digital	Polaris Forge 1	APLD ComputeCo 3	CoreWeave	8/29/2025	6/9/2026	1,590	8.41%	118bps

Tenant Mix including Credit Backstop Support by Year 1 NOI



UBS

Source: UBS estimates, Company data, Factset

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WHAT'S PRICED IN

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What's Priced in?

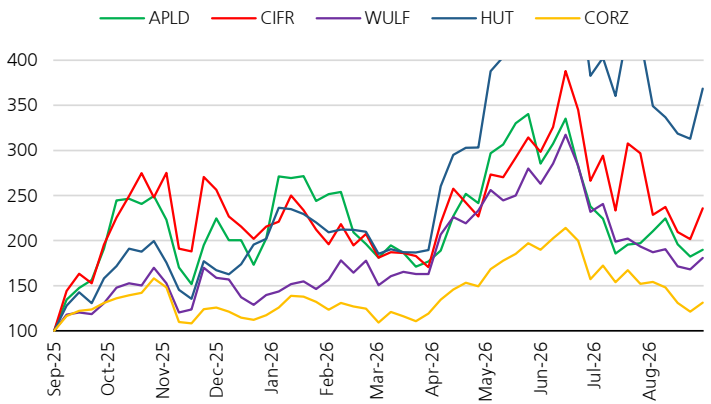
We estimate shares are largely pricing in the value of already contracted capacity, implying limited credit for development pipelines and platform expansion. Given the recent pullback and our outlook for a multi-year catalyst path, we see an attractive risk-reward.

- Shares on average are up ~45% over the last 12 months but down ~45% from recent highs as investors discount a wall of worry around AI ecosystem health, development risks and rising financing costs.
- The pullback reflects concerns from the rapid adoption of open-source models and implications for frontier/closed model providers, rising development and NIMBY risks, power uncertainty in Texas, widening credit spreads and higher rates overall and other idiosyncratic trading factors.
- While risks related to delivery execution and capital costs remain, we see many of these issues as transitory and believe upcoming clarity and catalysts can drive earnings growth, upward estimate revisions and multiple expansion.

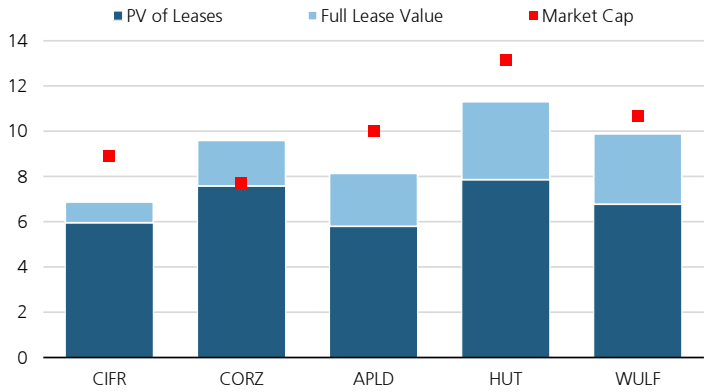
Catalyst Path for HPC/AI Colocation Stocks

	Potential Catalysts	Timing	Most Exposed
Near-term	Delivery & revenue commencement	0-12 Months	CIFR (100% by mid-27), WULF (~50% by 1H27)
	ERCOT Clarity	Dec '26 / April '27	CIFR, CORZ, HUT
Medium-term	Incremental lease announcements	0-24 Months	CIFR, WULF, APLD with near-term leasing potential
	Declining risk premiums	12-24 Months	All; ~90% of group's capacity delivered by mid-28
Long-term	REIT conversion	24+ Months	All
	Strategic value	24+ Months	All

Indexed Share Performance



Current Market Cap ($Bs) vs. Estimated Value of Leased Capacity



UBS

Source: UBS estimates, company data, Factset

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Catalyst Path: Near and Medium-term Opportunities

Near Term (0-12 months): Delivery Execution and Pipeline Clarity

- Delivery milestones and revenue commencement: On-time capacity deliveries should convert lease value into reported revenue and cash flow, reducing the execution discounts embedded in shares.
- ERCOT and pipeline clarity: Disclosures around final Batch Zero classifications (December 10, 2026) and power allocations for Studied Load projects (April 2027) should improve visibility on pipeline potential and tenant engagement for Texas-based operators.

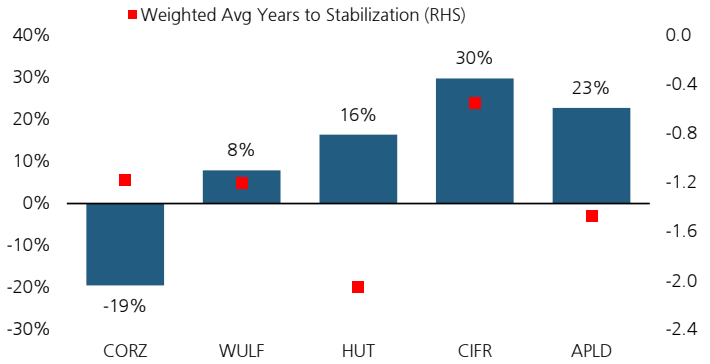
Medium Term (0-24 months): Estimate revisions through platform expansion and declining risks premiums

- Incremental lease announcements: Based on Tier 1-2 pipeline opportunities, we see the potential for operators to double contracted capacity portfolios over the next 2-3 years.
- Declining risk premiums with shift to infrastructure cash flow profile: As delivered and revenue-generating capacity becomes a larger portion of enterprise value, equity risk premiums should compress and trading profiles should increasingly reflect contracted infrastructure rather than development-stage volatility.

Potential Upside to Leased Capacity from Pipeline

	Tier 1	Tier 2	Tier 3	Tiers 1-3	Tier 4	Tiers 1-4
Cipher Digital	69%	143%	304%	515%	140%	655%
Core Scientific	~	34%	153%	187%	179%	366%
Applied Digital	18%	67%	106%	191%	253%	445%
Hut 8	~	185%	105%	291%	508%	799%
TeraWulf	48%	200%	0%	248%	~	248%
Total	**21%**	**114%**	**119%**	**253%**	**230%**	**483%**

Current Prem/Disc to Stabilized Asset Value



Potential for Declining Risk Premiums

	CIFR	CORZ	APLD	HUT	WULF	DLR	EQIX[2]
Portfolio Metrics							
% of Leased Capacity Delivered	0% +	39%	12%	0%	12%	77%	98%
Occupancy	100%	100%	100%	~	100%	90%	78%
# of Markets[1]	3	7	5	2	2	55	77
Tenant Conceration							
Number of Tenants[1]	2	3	3	2	3	5,500	10,500
#1 Tenant % of Revenue[1]	59%	45%	55%	74%	49%	11%	2.3%
#1 Tenant[1]	Amazon	CoreWeave	Meta	NVIDIA	Anthropic	Microsoft	~
#1 Tenant Credit Rating[1]	AA	B+	AA-	AA	Not Rated	AAA	AA/AAA
Equity Risk Premium							
Adjusted Beta	2.58	2.27	3.03	2.15	2.33	0.65	0.62
Equity Risk Premium	5.5%	5.5%	5.5%	5.5%	5.5%	5.5%	5.5%
Risk Free Rate	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%
Implied Cost of Equity	**18.7%**	**17.0%**	**21.2%**	**16.3%**	**17.3%**	**8.1%**	**7.9%**

Source: UBS estimates, company data

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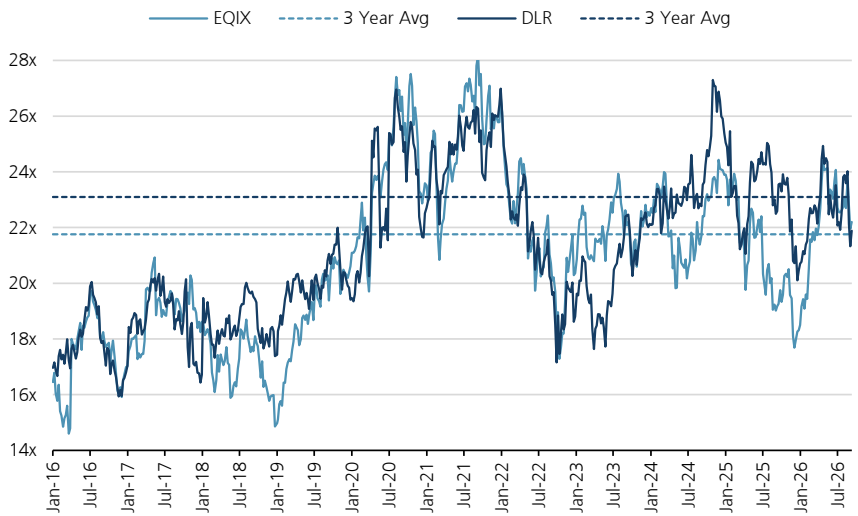
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Catalyst Path: Longer-term Opportunities

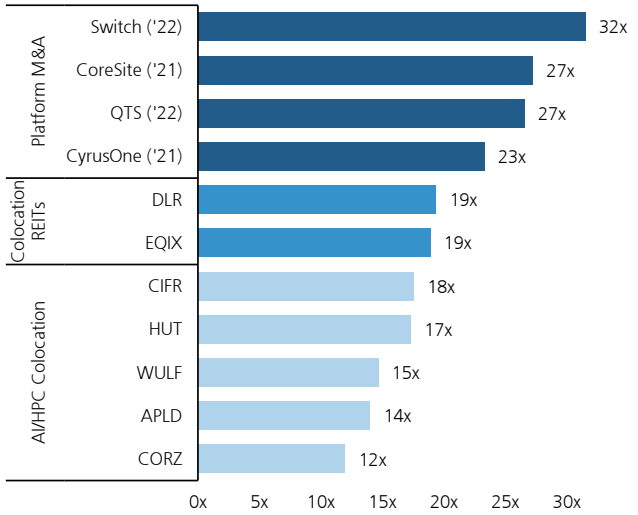
Longer Term Catalysts (24+ months): REIT conversion and strategic optionality should expand the investor base and multiples

- REIT conversion: Qualifying colocation rental income creates a path to a broader investor base and higher valuation multiples through eventual REIT conversions. While NOLs limit the immediate need, EQIX and DLR trade at ~19x our 2028E EBITDA, a ~40% valuation premium to the HPC colocation group.
- Platform consolidation: The sector's historical low barriers to entry have attracted new entrants and contributed to recurring waves of consolidation. Scale can improve procurement efficiencies across the supply chain, while supporting tenant and geographic diversification to lower the cost of capital. Larger data center platforms were acquired at 23-30x EV/EBITDA during the 2021-22 phase, though many of those transactions were sponsor-led.
- Vertical M&A: The widening value gap between physical infrastructure and the compute deployed within it could attract strategic interest from cloud, chip or AI platform providers. We'd highlight Aligned Data Centers recently closed acquisition by a consortium that included NVIDIA and Microsoft that valued the company at $40B, or $8M per operating and planned MW vs. HPC colocation providers currently at $2-4M.

Historical EV / Forward EBITDA at Established Data Center REITs



Data Center EV / 2028E EBITDA (except M&A comps)



UBS

Source: UBS estimates, company data, Factset

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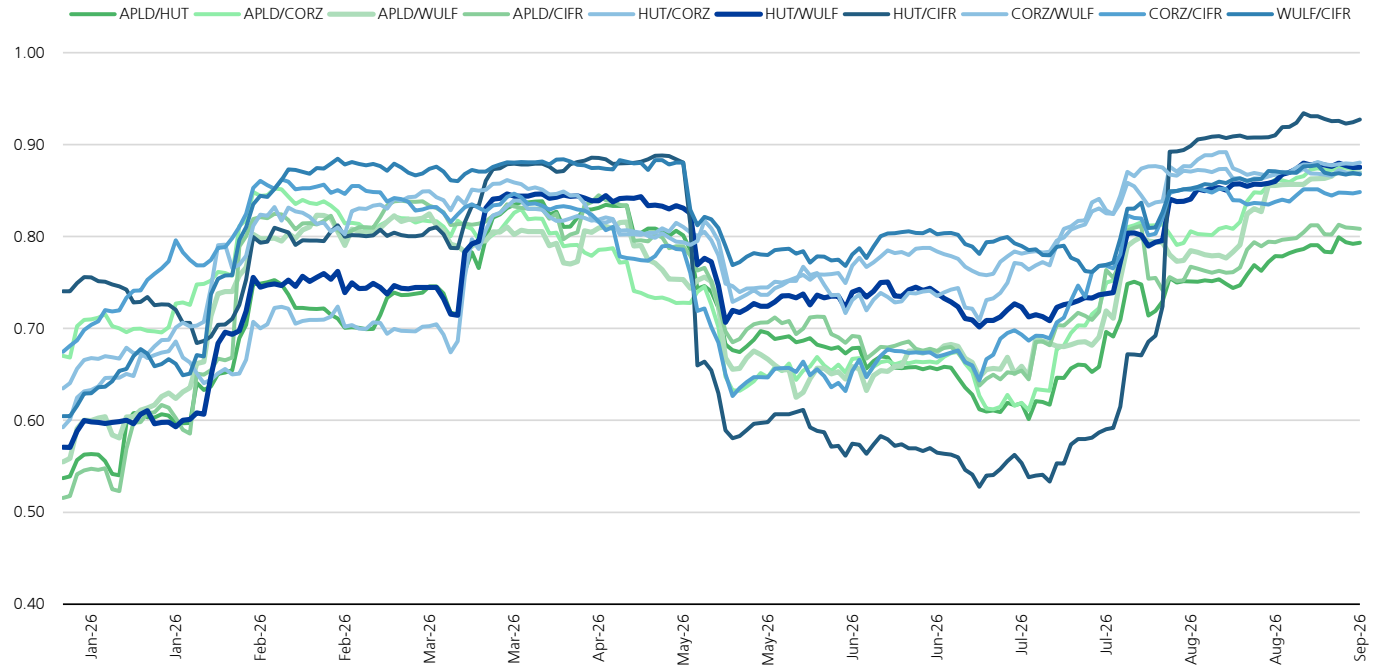
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High Correlations But Opportunities for Relative Outperformance

Share performance is highly correlated across the group and currently running at an average of +0.86 across pairs. That said, individual stocks have demonstrated periods of relative outperformance, particularly when investor enthusiasm on the AI trade is more constructive.

- Our relative stock selection framework thus prefers those with (1) greater upside potential from pipeline conversion, taking into account what is currently priced-in & value creation potential demonstrated from prior leases (**+HUT/WULF/CIFR**), (2) high credit counterparties and lease protections amid a more risk averse market (**+HUT/CIFR**; **APLD/CORZ** as backlogs commence and tenant mix improves) and (3) geographic location and diversity of power portfolios (**+APLD/CORZ**; **-CIFR**).

Correlations of Share Performance Across Pairs (rolling 3 months of daily returns)



Source: UBS, Factset

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Valuation and Price Target Approach

With most contracted HPC lease revenues yet to materialize and the group's rapid transition from low-multiple, high-risk bitcoin mining to fixed-payment cash long-duration leases, historical valuation markers are less relevant. We therefore ground our price targets in public data center REITs under coverage, including EQIX and DLR, which have traded at 15-28x forward EV/EBITDA over the past 10 years.

- Despite the potential for significantly faster growth than established data center REITs (growing low-double digits), we apply multiples toward the mid to lower end of the historical range of data center REIT peers (15-22x EBITDA) to reflect the group's (1) greater execution risks, (2) high tenant concentration, (3) exposure to non-traditional markets (adding to lease renewal and terminal value risks) and (4) lower cash conversion from EBITDA in the early years of leases with large, non-cash straight line accounting adjustments.
- Multiples are applied against our 2028E EBITDA estimates with variances across the HPC colocation stocks to reflect (1) tenant quality and associated risks and cost of capital, (2) the portion of signed leases that remains in the delivery ramp beyond 2028 and (3) the scale and quality of pipeline optionality.
- We supplement our EV/EBITDA framework with a SOTP analysis comprising (1) the contracted lease portfolio and (2) a probability-weighted value of leasing the development pipeline.
- Our SOTP framework generally assigns 50-60% to the present value of already contracted assets at stabilization and 40-50% to pipeline optionality. This provides a valuation anchor from signed, long-duration cash flows while preserving upside from future lease conversion without giving full credit to uncontracted capacity.

Price Target Basis for HPC Colocation Coverage

	HUT	WULF	APLD	CORZ	CIFR
Rating	**Buy**	**Buy**	**Buy**	**Buy**	**Buy**
Price Target	143	24	38	24	23
Current Share Price	99	17	28	18	18
% Upside	45%	41%	35%	33%	25%
Applied EV / EBITDA '28E	**22x**	**19x**	**16x**	**15x**	**20x**
Implied EV / EBITDA '29E	16x	16x	14x	13x	18x

Peer EV / NTM EBITDA	**EQIX**	**DLR**	**Peer Avg**
Historical Low	15x	16x	15x
-1 Standard Deviation	18x	19x	18x
Historical Average	21x	21x	21x
+1 Standard Deviation	24x	24x	24x
Historical High	28x	27x	28x

Implied Sum-of-the-Parts Valuation

	HUT	WULF	APLD	CORZ	CIFR
Leased IT MW	949	840	1,410	1,119	493
Pipeline IT MW	2,758	2,082	2,737	2,094	3,231
Portfolio IT MW	**3,707**	**2,922**	**4,147**	**3,213**	**3,724**
Ascribed Equity Value ($Ms) / MW	4.7	5.8	3.4	3.5	3.5
Per Share Value					
(1) Property Equity	63	11	14	16	10
Corp Net Cash, CIP & Other	9	2	5	3	3
(2) Pipeline Equity	71	11	19	5	10
Price Target	**143**	**24**	**38**	**24**	**23**
As % of Price Target					
(1) Property Equity	44%	45%	38%	67%	44%
Corp Net Cash, CIP & Other	6%	8%	13%	12%	11%
(2) Pipeline Equity	50%	46%	50%	21%	45%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

Source: UBS estimates, company data; Priced as of September 18

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SOTP Framework: Contracted Assets

1. Contracted Lease Portfolio

- Given the concentration and scale of signed transactions, contracted leases drive a significant initial increase in financial contribution, followed by steadier growth of ~2-3% annually from contractual escalators.
- We therefore anchor our valuation of leased capacity to transactions involving stabilized data center assets, which provide similar long-duration cash flow streams.
- Individual stabilized assets and smaller portfolios have typically traded at cap rates of 6-7%. Public data center REITs currently trade closer to ~5% implied cap rates, reflecting the additional value from forward development pipelines.
- Within our SOTP, we apply higher cap rates of 6.5-10% to reflect (1) the recent move higher in yields, (2) non investment-grade counterparties on certain leases, (3) potential renewal risk for developments in non-traditional markets and (4) differences in lease duration.
- Our cap rates are applied against expected cash NOI, adjusting for straight line accounting that can inflate GAAP revenue figures by up to ~30% relative to cash payments in the initial years of a lease.
- We also discount equity value of contracted assets between 10-20% to reflect remaining construction, financing and execution risk as of our price target date (i.e., higher discount rates ascribed to leased assets that are furthest from stabilization). Cipher Digital is the exception, as we expect all currently contracted capacity to reach stabilization prior to our price target date of YE27.

(1) Contracted Asset Valuation ($Ms)

	HUT	WULF	APLD	CORZ	CIFR
Leased IT MW	949	840	1,410	1,119	493
Stabilized Cash NOI	1,448	1,181	1,742	1,362	698
Cap Rate	**6.7%**	**7.0%**	**7.0%**	**7.9%**	**6.9%**
Property Value	21,617	16,870	24,890	17,241	10,121
Property NAV	9,954	9,818	6,240	9,041	5,897
Property NAV / MW	12	12	4	8	12
Equity Discount Rate	15%	13%	14%	15%	na
PV of Property NAV	8,622	8,674	5,475	7,842	5,897

Data Center Cap Rate Comparables

Stabilized Data Center Transactions

Acquiror	Seller	Market/Property	Date	Value	Cap Rate
Digital Realty	Blackstone	Northern Virginia Development Assets	6/29/2026	7,800	6.5%
U.S. Hyperscale DC Fund	Digital Realty	Northern Virginia, Dallas, Atlanta, others	5/15/2025	1,600	5.8%
HMC Capital	JDM Partners	Texas, Kansas	12/17/2024	248	6.3%
HMC Capital	Prologis/Skybox	Chicago	12/12/2024	712	5.9%
Digital Core REIT	Digital Realty	Wilhelm-Fay-Straße 24, Frankfurt	12/5/2024	489	5.7%
Wren House/BlackRock	QTS	Northern Virginia 3 assets	11/13/2024	1,200	5.9%
Digital Realty	Acquired land and shell	Pudongweg 37, Amsterdam	8/7/2024	48	5.7%
Brookfield	Digital Realty	Cyxtera assets (Santa Clara / New Jersey)	3/28/2024	277	6.1%
GI Partners	Digital Realty	CH1 and CH3	1/12/2024	900	6.5%
Realty Income JV	Digital Realty	Northern Virginia	11/13/2023	250	6.9%
TPG	Digital Realty	Northern Virginia	7/27/2023	1,500	6.0%
GI Partners	Digital Realty	Northern Virginia	4/30/2023	150	5.5%
				Average	**6.0%**
				Median	**5.9%**

Publicly Traded Stabilized Data Center REITs

Company	NOI	Property Value	Cap Rate
Digital Core REIT	91	1,535	5.9%
NTT DC REIT	102	1,450	7.0%
		Average	**6.5%**

Publicly Traded Development Data Center REITs

Company	NOI	Property Value	Cap Rate
Equinix	6,160	118,018	5.2%
Digital Realty	4,004	78,798	5.1%
		Average	**5.2%**

Source: UBS estimates, company data

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SOTP Framework: Pipeline Assets

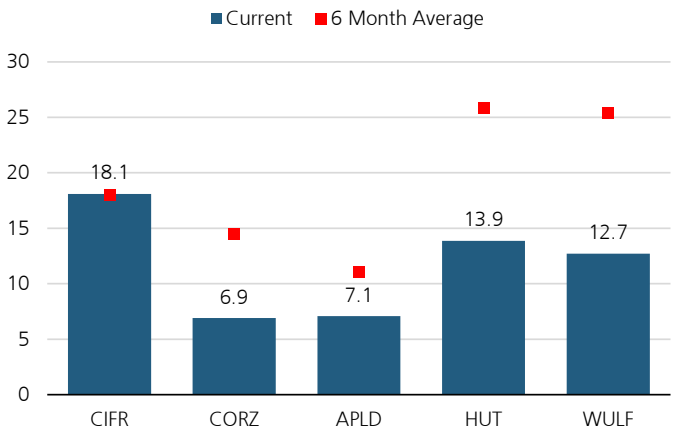
2. Development Pipeline

- Our pipeline valuation incorporates three key assumptions: (1) the potential IT MW available for lease, (2) probability weightings based on the assessed likelihood of leasing that capacity under our tier framework and (3) the equity value created per MW based on recent and our expectations for future lease agreements.
- Our approach generally assigns a ~70% probability to high candidate locations with capacity deliveries within pre-leasing windows (consistent with broader industry pre-leasing trends), ~30% to opportunities within the next 2-3 years to account for greater uncertainty and time value of money discounts and 10-20% for longer dated opportunities where milestones such as energization, permitting, or turbine acquisitions are less clear.

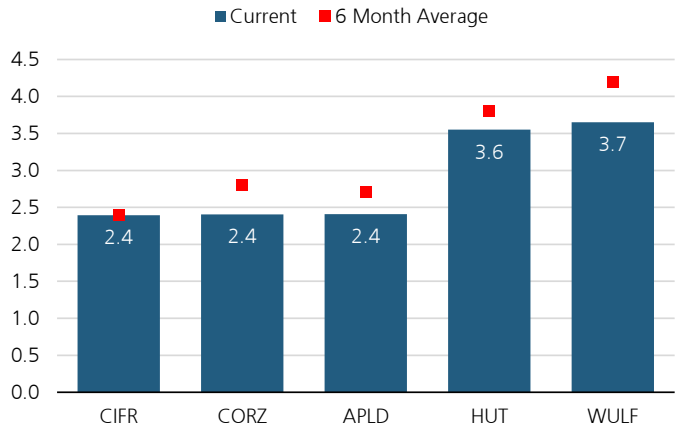
(2) Pipeline Valuation ($Ms)

	HUT	WULF	APLD	CORZ	CIFR
Tier 1 Pipeline MW	0	400	250	0	343
Tier 2 Pipeline MW	1,758	1,682	947	384	704
Tier 3 Pipeline MW	1,000	0	1,539	1,710	1,479
Total Pipeline IT MW	**2,758**	**2,082**	**2,737**	**2,094**	**2,526**
Value Ascribed / MW	**3.5**	**4.3**	**2.7**	**1.2**	**2.4**
Est. Full NAV / MW	13	11	9	8	11
Ascribed Pipeline Probability	28%	39%	30%	15%	22%

Equity/NAV ($Ms) per Leased MW



Equity/NAV ($Ms) per Portfolio MW (Leased plus Pipeline)



UBS

Source: UBS estimates, company data, Factset

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Key Risks

The group is exposed to tenant concentration, delivery execution, financing, power availability and growing regulatory and local pushback to data center development.

- **Tenant concentration:** AI/HPC revenue is highly concentrated, with most companies under coverage having only 2-3 tenants across signed leases. While many contracts include backstops or guarantees, several leases remain tied to high-yield or non-rated counterparties, increasing counterparty risk.
- **Delivery execution:** Most operators have limited track records delivering hyperscale AI/HPC capacity, yet current project timelines remain aggressive in our view. Missing RFS deadlines can trigger rent abatements, liquidated damages or in some cases tenant termination rights. Post-RFS SLA failures can also result in service credits, penalties or more severe remedies.
- **Construction cost inflation and overruns:** For cost components that are not locked in through GMP contracts or other protections, operators remain exposed to labor, equipment and development cost inflation. Given high loan-to-cost levels and project leverage, cost overruns could pressure development yields, equity requirements and returns.
- **Financing availability and cost of capital:** Continued access to project financing, debt and equity capital remains critical and the recent widening of credit spreads across the AI infrastructure ecosystem highlight the potential pressure on equity values. Project financing raised to date totals ~$25B, but these projects represent just half of the total capital requirements for contracted leases across the group. Projects that have not yet secured financing require ~$24B of total capex.
- **Power delivery / energization delays:** Delays in utility commitments, interconnection studies or energization timelines could impact revenue commencement, customer relationships and investor confidence in uncontracted power pipelines. ERCOT Batch Zero and other large-load review processes add timing and allocation risk.
- **Regulatory/NIMBY**: Large-load data center projects face rising scrutiny around grid reliability, permitting, water usage and emissions. Changes in utility tariffs, curtailment rules, interconnection requirements or local approvals could delay projects or pressure economics.
- **AI demand:** Shares remain highly levered to the broader AI infrastructure trade. AI demand is likely to be uneven and technological improvements in accelerator efficiency, model architecture or inference optimization could reduce future power intensity and pressure longer-term capacity assumptions.
- **Equipment:** Rapid changes in AI hardware architectures, cooling requirements and power distribution standards could alter customer specifications during development. Long-lead electrical and mechanical equipment also remains a source of RFS risk.
- **Market Pricing:** Third-party data center capacity has historically been exposed to cycles of excess supply and compression in market rental rates. If industry supply accelerates or customer demand moderates, lease rates and expected development yields for future projects could decline.
- **Residual bitcoin mining exposure:** Several companies retain exposure to bitcoin mining economics, which remain dependent on non-controllable factors including bitcoin spot prices, network hashrate, power costs and the upcoming halving cycle. Some retain bitcoin holdings on balance sheet, which is subject to mark-to-market adjustments based on changes in bitcoin spot prices.

Source: UBS

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COMPANY SECTIONS

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UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can Hut 8 scale colocation revenues to $2B+ by 2029?
Yes. We believe signed leases establish a strong template for value creation, while execution against upcoming capacity deliveries should enhance credibility and broaden the potential tenant base. We expect ~950MW of contracted capacity to commence by early 2029 and incorporate an additional ~750MW from '29-30E. We forecast Digital Infrastructure revenues of $2.1B in '29E (Street $1.9B).

Q: Can Hut 8 generate $1B+ of EBITDA in 2028?
Yes. We expect Hut 8 to deliver 430MW of capacity by YE27 and 890MW by YE28 as Phase 2 of Beacon Point nears completion. UBS Evidence Lab satellite imagery of the River Bend campus provides a positive read on early development progress and we see Beacon Point's conditional Base Load classification as a positive step towards maintaining energization timelines. We forecast $1.2B of EBITDA in '28E vs. Street's $1.1B.

UBSVIEW

We are initiating coverage of HUT with a Buy rating. We believe shares provide an attractive risk-reward and a number of catalysts ahead, including (1) final Base Load designation and initial energization at Beacon Point, (2) execution against initial capacity deliveries and (3) progress towards new lease announcements (incl. improved visibility on expansion opportunities at River Bend and optionality on converting power resources at American Bitcoin). In our view, Hut 8's contracted leased portfolio provides a combination of attractive economics with high credit quality tenants/ support while mitigating risk to the downside through relatively less exposure to delivery penalties and construction cost overruns. We believe this provides a strong foundation for future lease opportunities and estimate recent deals have created $12-14M of NAV per MW, implying $150 of potential per share value creation from the lease-up of the current development pipeline, before taking into account expansion options at River Bend.

EVIDENCE

Hut 8 has signed 949MW of IT leases, including 352MW from Fluidstack/Google and 704MW from a high investment grade company widely reported as NVIDIA. These deals represent average annual NOI of $1.7B+, or UBSe $1.4B+ of cash NOI at stabilization. The company has yet to deliver HPC/ AI capacity, but UBS Evidence Lab satellite imagery indicates substantial early progress at the River Bend campus in Louisiana ahead of initial capacity deliveries by 2Q27. Additional pipeline opportunities include an estimated ~2.5GW gross, or ~1.8GW IT across sites where the company has a path to ownership through land/power exclusivity or tendered interconnection rights and existing bitcoin mining operations.

WHAT'S PRICED IN?

Applying a 6.7% cap rate on stabilized cash NOI, we estimate shares are currently pricing in a ~15% premium to the value of Hut's contracted lease portfolio, effectively giving credit for delivery execution but minimal value for future development opportunities. Shares trade at 13x UBS 2029E EBITDA, similar to HPC colocation peers and a ~30% discount to data center REITs.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	Avg Operating IT MW (27-28)	EBITDA ('28E)	Leased MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$230 upside	~750	$1.3B+	~2,300	~$3.7B	~$9M
$143 base	~660	~$1.2B	~1,700	~$2.5B	~$5M
$50 downside	~530	<$1.0B	949	~$1.4B	~$2M

Source: UBS

COMPANY DESCRIPTION

Hut 8 was formed through the merger of Hut 8 Mining and US Bitcoin, combining power management, bitcoin mining and hosting expertise in one entity. In recent years, Hut has expanded from Bitcoin mining and hosting into the hyperscale data center market, supporting AI and high-performance computing workloads as a colocation provider.

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PIVOTAL QUESTIONS

Q: Can Hut 8 generate data colocation revenues of $2B+ over the medium term and maintain strong economics on future lease agreements?

UBSVIEW

Yes. We believe existing leases provide a strong foundation across economics, high credit quality tenants or support (without compensation provided in exchange for backstops), earnings visibility (15 year lease durations under triple-net structures, lowering operational risks) and risk mitigation (lower exposure to delivery penalties and construction cost overruns). We estimate these deals have created $12-14M of NAV per MW and expect execution against upcoming capacity deliveries to establish further creditability and support incremental leasing opportunities. We estimate the company's development pipeline at ~1.8GW IT, and incorporate an additional ~750MW of leased capacity in our outer year forecasts (~30% pipeline conversion). Along with ~950MW of currently contracted capacity set to commence by by early 2029, we estimate Digital Infrastructure revenues of $2B+ in '29E (in line with Street). With the full lease up of the current development pipeline, we see the potential for an incremental $150 of per share of value creation.

EVIDENCE

Hut 8 has signed 949MW of IT leases, including 245MW from Fluidstack/Google and 704MW from a high investment grade company widely reported as NVIDIA. This deals represent average annual NOI of $1.7B+, or UBSe $1.4B+ of cash NOI at stabilization. The company has yet to deliver HPC/AI capacity, but UBS Evidence Lab satellite imagery indicates substantial early progress at the River Bend campus in Louisiana ahead of initial capacity deliveries by 2Q27. Additional pipeline opportunities include an estimated ~2.5GW gross, or ~1.8GW IT across sites where (1) the company has a path to ownership through land/power exclusivity or tendered interconnection rights, (2) existing bitcoin mining sites that could be repurposed for AI/HPC colocation and (3) expansion options from previously signed leases.

WHAT´S PRICED IN?

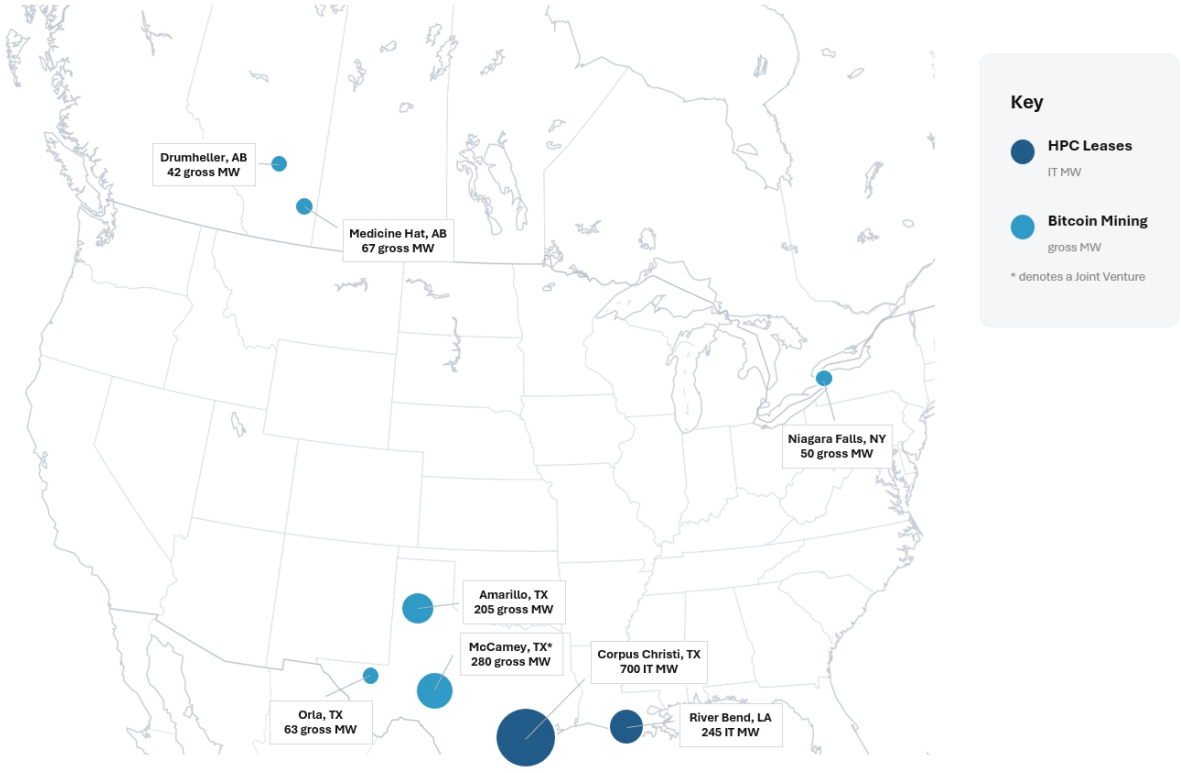
Applying a 6.7% cap rate on cash NOI, we estimate shares are pricing in a ~15% premium to the contracted lease portfolio at stabilization, effectively giving credit for delivery execution but little value for future development opportunities. With a near full year contribution from all contracted leases in 2029, shares trade at 13x EBITDA, similar to HPC colocation peers despite the relative quality of Hut's leased portfolio, and a ~30% discount to established data center REITs (EQIX and DLR).

Hut 8: Leveraging a broader energy platform in the shift to AI colocation

Hut 8's AI platform is anchored by the company's broader energy infrastructure mandate, spanning bitcoin mining, traditional colocation, AI cloud / GPU-as-a-service, power generation, managed services and now, most significantly, AI colocation. The power portfolio has been relatively location agnostic across North America, including sites in Texas, upstate New York and Alberta, Canada, reflecting the legacy footprint created through the 2023 merger of U.S. Bitcoin Corp and Canada-focused Hut 8. Rather than repurposing existing bitcoin mining sites, Hut 8 has thus far leaned on its energy infrastructure expertise to identify sites capable of supporting large-scale greenfield AI data center developments.

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Figure 4: Hut 8 Data Center Footprint



Source: UBS

The company was the last in our AI/HPC colocation coverage to sign a lease, but the approach has been rewarded given the growing constraints around access to compute and scaled power over the past ~18 months. Lease agreements signed thus far possess many attractive attributes across lease economics, protections around delivery risk and penalties, alignment with blue-chip partners in EPC and utility procurement and backstop support for investment-grade project financing, with less value transferred to counterparties in return.

The leased portfolio stands at 949MW of IT capacity and 1.3GW gross, representing ~ $26B of contracted revenue and NOI over 15 years, or ~$1.8B on average annually. This capacity encompasses just three transactions with two tenants in Fluidstack (with Google and Anthropic in support) and a high investment grade company that has been widely reported as NVIDIA. We believe the repeatability and structure demonstrated across recent transactions should alleviate future risks around the company's ability to manage construction complexity and access financing, allowing the platform to continue to scale.

Contracted Lease Portfolio: Early execution sets the template

Hut 8's initial lease agreement and customer followed a familiar pattern across the sector: a neocloud tenant supported by the broader hyperscale ecosystem. The inaugural lease signed in December 2025 totalled 245MW IT (300MW gross) with **Fluidstack** at the **River Bend** campus in Louisiana, a site acquired in early 2025. The transaction was signed amid the broader expansion of the Google and Fluidstack ecosystem. We believe it set a strong template for future deals, with a 15-year base term, three five-year renewal options, a triple-net structure with full expense pass-through and attractive economics with an initial stabilized development yield of ~15%, based on management's quoted capex and other disclosed figures.

Similar to other neocloud-backed leases, the structure includes support from Google, but fully covers lease obligations (not just the project financing), tenant fit-out costs up to specified thresholds and assumption of the lease if Fluidstack defaults within the first six years. After that period, Google may either assume the lease or pay guaranteed

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obligations, including discounted accelerated rent to repay outstanding debt. Importantly, Hut 8 did not issue warrants in exchange for this support, despite River Bend being its first large-scale AI/HPC lease.

Figure 5: Hut 8 Signed Leases ($Ms)

Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Year 1 Yield
River Bend	River Bend, LA	245	Fluidstack	12/17/2025	15 Years	NNN	7,000	467	1.54	6,810	454	1.49	2,450	15%
Beacon Point #1	Corpus Christi, TX	352	High IG Company	5/6/2026	15 Years	NNN	9,800	653	1.50	9,825	655	1.50	3,520	15%
Beacon Point #2	Corpus Christi, TX	352	High IG Company	7/20/2026	15 Years	NNN	9,800	653	1.50	9,825	655	1.50	3,520	15%
Hut 8		**949**			**15 Years**		**26,600**	**1,773**	**1.51**	**26,460**	**1,764**	**1.50**	**9,490**	**15%**

Source: UBS, company data

Notes: Total Revenues and NOI based on base lease duration excluding renewal options; Annual Revenues and NOI based on average over contract duration

Hut 8's next lease followed the same playbook at its **Beacon Point** campus in Nueces County, Texas, a site originally envisioned for bitcoin mining. The initial lease announcement in April 2026 included 500MW gross and 352MW IT with economics and structure broadly consistent with River Bend. The tenant was only disclosed as a high investment-grade company, though press reports have identified the counterparty as **NVIDIA**. Management indicated IT load density increased by ~52% during lease negotiations, broadly consistent with the power-density transition from NVIDIA Blackwell to Rubin architectures, suggesting Beacon Point could become one of the earliest large-scale deployments optimized for Rubin-class infrastructure. The initial Beacon Point lease included an option and exclusivity period for an additional 500MW gross, which was exercised two months later under the same terms, bringing total leased capacity at the site to 1GW gross and 704MW IT.

For Hut 8 and the broader colocation industry, we see direct leasing by NVIDIA and other semis companies as providing a new high-credit-quality tenant cohort outside of the typical top four hyperscalers, but more broadly raising investor sensitivity around circularity and end tenant exposure. Of note, press reports have highlighted Beacon Point as the data center site for the recent Lambda and Anthropic AI compute deal. Through Hut 8 data center infrastructure leased to NVIDIA, Lambda will operate the GPUs acquired from NVIDIA, with Anthropic as the end compute offtaker. The deal is reportedly valued at ~$35B and covers ~350MW (i.e., initial phase of Beacon Point), implying a five year deal if pricing is consistent with recent long-term compute deal comps at ~$20M per MW annually.

Lambda would represent a lower credit quality tenant but NVIDIA's ability to assign the lease is limited through project financing covenants. The lease may only be assigned to (1) a "Qualifying Tenant," defined as NVIDIA, Apple, Microsoft, Amazon, Alphabet or Meta; (2) another party with a guarantee from a Qualifying Tenant or (3) another party that receives a credit rating that is at least consistent with NVIDIA's rating (AA per S&P). As such, we still expect full backing of lease obligations that are consistent with a high investment grade counterparty, in line with Google's support at Hut 8's River Bend development.

Based on management's disclosures, Hut 8's lease economics screen attractive relative to HPC colocation peers and the industry broadly. We focus on expected Year 1 NOI per MW at stabilization, incorporating disclosures on total contract value, margin structure, contractual escalators and lease duration. On this basis, Hut 8 leases entail NOI per MW at ~$1.5M versus most peer signings in the $1.1-1.4M range. Management's guidance includes development capex of $9-11M/MW across all sites, implying initial stabilized development yields of 14-17%.

Delivery Progress: Still early in site development but hitting initial milestones

Hut 8 remains in the early stages of its AI colocation pivot, with initial deliveries at River Bend and Beacon Point targeted for 2Q27 and 3Q27, respectively. While both campuses rank among the largest AI colocation developments currently under construction, with 250MW to 350MW of IT capacity each, we view development timelines as commensurate (final deliveries are expected 23 to 25 months from initial lease announcements). Project financing for River Bend and Phase 1 of Beacon Point totalling ~$7.5B were secured ~18 months ahead of our estimated completion dates, and we expect financing for Beacon Point Phase 2 as ERCOT clarity improves.

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We also view Hut 8's ability to secure marquee development partners amid significant industry-wide construction and supply chain constraints as a key differentiator for a new entrant. The company has aligned with Jacobs as EPCM contractor and Vertiv as infrastructure partner across both projects, while also securing long-term power arrangements through 16-year energy service agreements (ESAs) with Entergy in Louisiana and AEP in Texas.

Figure 6: Hut 8 Estimated Delivery Timeline

Hut 8

Announced | Delivered | Target | Delay

Site	Building	Tenant	Location	IT MW	Announce to Deliver	IT MW / Mo	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
River Bend	Data Hall 1	Fluidstack	River Bend, LA	65	19 Months	3.4																
	Data Hall 2	Fluidstack	River Bend, LA	60	21 Months	6.0																
	Data Hall 3	Fluidstack	River Bend, LA	60	23 Months	8.0																
	Data Hall 4	Fluidstack	River Bend, LA	60	25 Months	9.8																
										0	0	0	0	0	0	65	125	245				
Beacon Point	Building 1 Hall 1	High IG Co	Corpus Christi, TX	77	16 Months	4.8																
	Building 1 Hall 2	High IG Co	Corpus Christi, TX	55	17 Months	7.8																
	Building 1 Hall 3	High IG Co	Corpus Christi, TX	55	19 Months	9.8																
	Building 1 Hall 4	High IG Co	Corpus Christi, TX	55	21 Months	11.5																
	Building 1 Hall 5	High IG Co	Corpus Christi, TX	55	23 Months	12.9																
	Building 1 Hall 6	High IG Co	Corpus Christi, TX	55	24 Months	14.7																
	Building 2 Hall 1	High IG Co	Corpus Christi, TX	77	23 Months	3.3																
	Building 2 Hall 2	High IG Co	Corpus Christi, TX	55	24 Months	5.5																
	Building 2 Hall 3	High IG Co	Corpus Christi, TX	55	26 Months	7.2																
	Building 2 Hall 4	High IG Co	Corpus Christi, TX	55	28 Months	8.6																
	Building 2 Hall 5	High IG Co	Corpus Christi, TX	55	30 Months	9.9																
	Building 2 Hall 6	High IG Co	Corpus Christi, TX	55	31 Months	11.4																
													0	0	0	0	77	187	297	429	539	649
Hut 8 Contracted IT Load										0	0	0	0	0	0	65	202	432	542	674	784	894
IT Load Delivered										0	0	0	0	0	0	65	202	432	542	674	784	894
IT Load Outstanding										894	894	894	894	894	894	829	692	462	352	220	110	0
Incremental IT Load Delivered										**0**	**0**	**0**	**0**	**0**	**0**	**65**	**137**	**230**	**110**	**132**	**110**	**110**

Source: UBS, company data

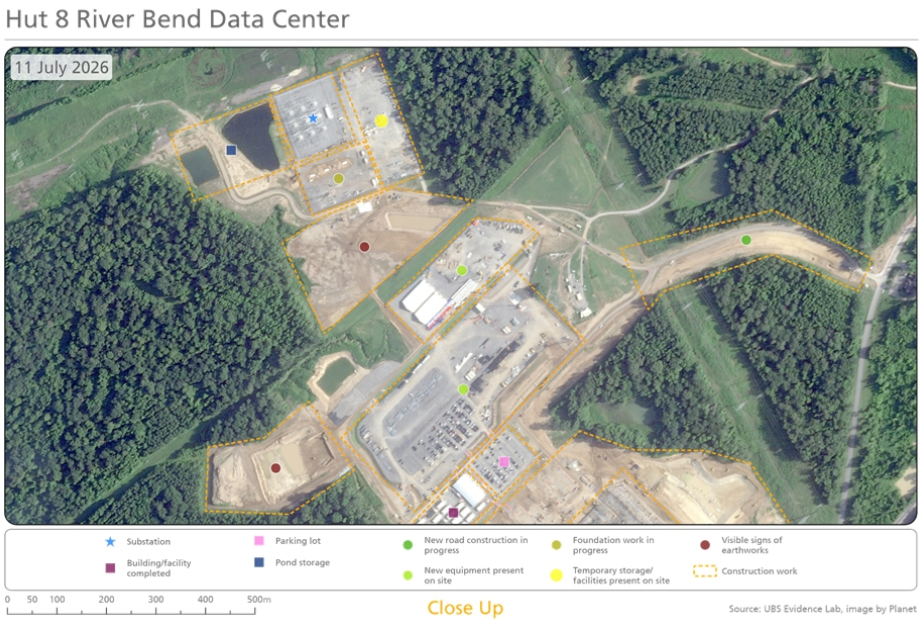
Project financing for River Bend and Phase 1 of Beacon Point were raised at ~95% loan-to-cost (LTC), increasing sensitivity to execution risk and potential cost overruns. That said, the notes were priced at 6.19% and 6.13%, respectively, and received BBB- and Baa2 ratings, making them the only investment-grade project financings across our mining coverage universe. We believe the combination of Google's support at River Bend, an investment-grade counterparty at Beacon Point and guaranteed maximum price (GMP) construction contracts with an established EPC partner in Jacobs mitigate execution risk.

River Bend: First opportunity to demonstrate execution for future projects

To monitor development progress, we will be utilizing UBS Evidence Lab satellite imagery across selected project sites, including the River Bend campus. As Hut 8's first AI colocation development, River Bend will likely serve as the benchmark for the company's execution capabilities and future project delivery credibility. The site is located in West Feliciana Parish, north of Baton Rouge.

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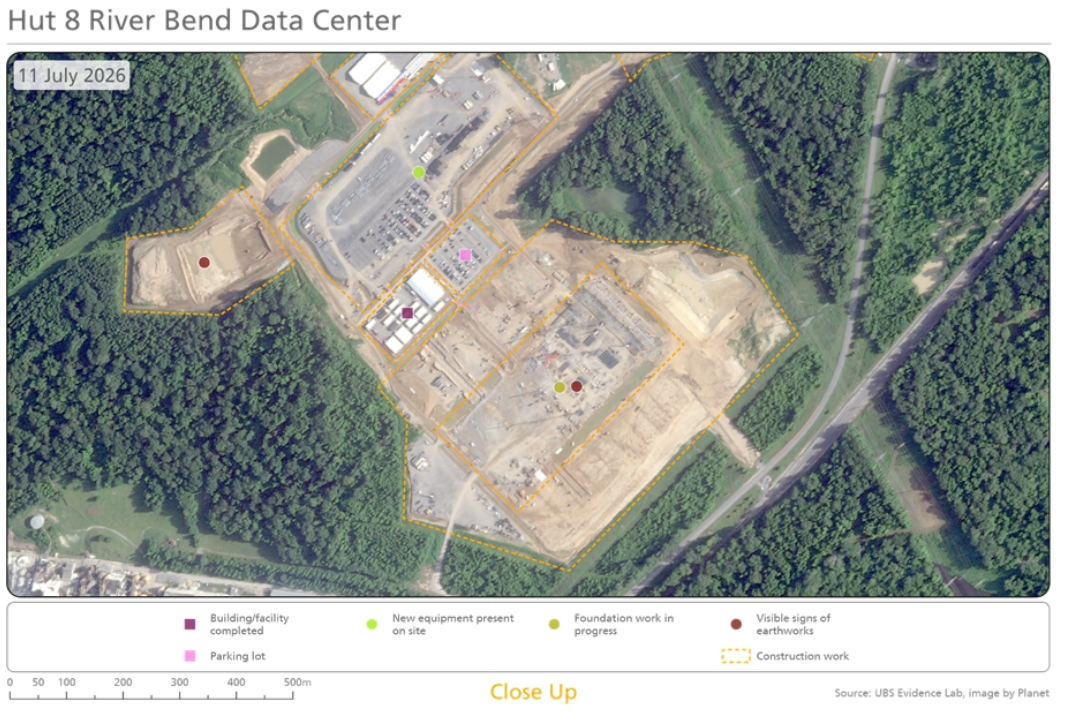
Figure 7: Hut 8 River Bend Construction Progress



Source: UBS Evidence Lab; image by Planet

Recent imagery indicates continued progress on substation construction, consistent with management commentary that steel erection began in mid-July. Management also stated that building foundations are expected to be completed by the end of August and recent social media posts indicate vertical construction has commenced. Initial delivery of the first 65MW data hall is targeted for 2Q27, implying roughly one year of construction from the date of the images. The remaining three data halls, totalling an additional 180MW of IT capacity, are expected to be delivered in 45-60 day intervals thereafter, implying full campus delivery by late 2027.

Figure 8: Hut 8 River Bend Construction Progress



Source: UBS Evidence Lab; Images by Planet

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Missed Ready-for-Service (RFS) milestones and associated penalties remain a key risk for new entrants in the AI colocation market. That said, we view management's transparency regarding contractual penalty structures as a positive signal. Company commentary and debt-rating disclosures indicate that the River Bend lease does not include standard tenant termination rights following a 180-day delay. Instead, tenants possess step-in rights allowing them to assume responsibility for bringing the facility to operational readiness. Any accumulated delay credits would then be applied against future rent obligations, but capped at 60% of total rental payments.

Beacon Point: Uncertainty in Texas but recent updates encouraging

Beacon Point's scale, at 1GW of gross power, is substantially larger than most third-party AI colocation developments and typically associated with hyperscaler self-build projects. Each 352MW IT / 500MW gross building includes six data halls, with initial delivery targeted in 3Q27 for Building #1 and 2Q28 for Building #2. With a similar 45-60 day delivery cadence as River Bend, we estimate the first building should be fully delivered by mid-2028 and the second building by 1H29. Management indicated that initial energization from AEP is targeted for 700MW in 1Q27, which would fully cover Phase 1's 500MW of gross capacity, while the remaining 300MW would be energized in 2Q28, aligning with Phase 2 delivery targets. That said, a number of separate but interrelated developments across Texas in recent months have lowered investor visibility on timelines to energization for developers across the state.

To start, notification of conditional classifications under ERCOT's Batch Zero review process was initially expected in early August, but Governor Abbott's directive instructing the Public Utility Commission of Texas (PUCT) and ERCOT to audit all data center projects (across tax incentives, power sourcing, water consumption and local community impacts) delayed the process. Still, ERCOT disclosed that five advanced projects with interconnection agreements and targeted energization dates in 1Q27 (i.e., consistent with the characteristics of Beacon Point) could be included in August QSA (quarterly assessment to analyze grid stability) in parallel with the data center audit and ahead of Batch Zero conditional classifications.

On September 3, ERCOT provided its notification to Transmission and Distribution Service Providers of conditional Batch Zero classifications. Shortly thereafter, Hut 8 indicated Beacon Point as being conditionally included in the Base Load classification, clearing a major hurdle and potential downside risk to energization and lease commencement timelines. While Beacon Point has not received *final* designation as Base Load, the remaining steps are generally around verifications and any cure deficiencies. The Batch Zero Eligibility Verification Report is scheduled for December 10 and the PUCT open meeting to discuss the results on December 17, suggesting full clarity on Batch Zero classification before year end.

The pace of recent regulatory developments and uncertainty in Texas still create risks. For example, recent local pushback on planned 765kv transmission projects across the state has the potential to impact energization timelines, even for projects that achieve Base Load classification under the Batch Zero framework. Still, we believe visibility has improved for Beacon Point, and the gap between the project's targeted energization (1Q27) and initial capacity requirements (3Q27) provides leeway.

Power Portfolio: A broad foundation to scale the platform and drive shares

Hut 8 provides less site-level disclosure on its development pipeline than some peers, but reported capacity metrics still provide a useful framework for assessing future leasing potential. The company separates its pipeline into **Capacity in Development,** where it has pre-leased capacity and/or is actively investing in commercialization through land and power agreements, infrastructure buildout and customer engagement, and **Capacity under Exclusivity**, where Hut 8 has a path to ownership through land and power exclusivity or tendered interconnection rights.

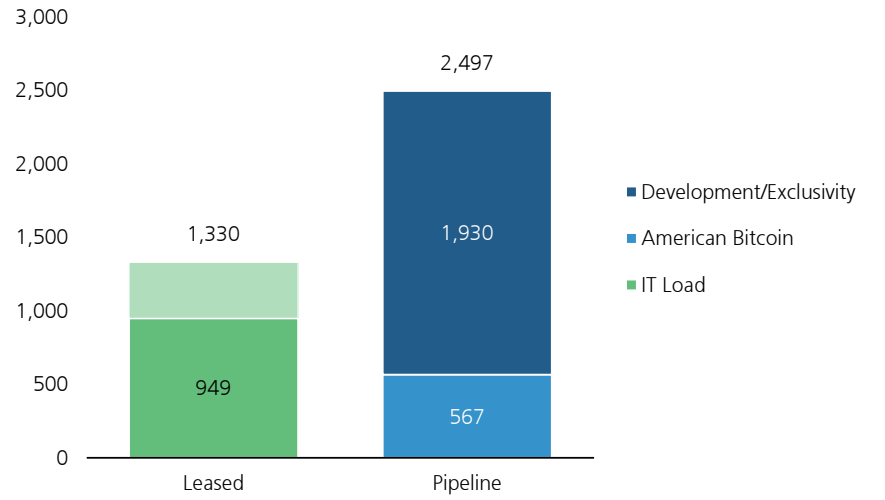
Prior to signing the 1.3GW gross of AI/HPC leases over the past ~8 months, these two categories totalled 2.8GW, implying pipeline conversion of nearly 50% in a relatively short period. The exclusivity and development pipelines, excluding already leased sites, stand at ~1.9GW currently and we expect replenishing this pipeline to become a key

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focus after recent leasing success.

In addition, we see American Bitcoin as a source optionality. ABTC was initially framed as the separate vehicle to sustain mining operations but existing power allocations at the sites and growing constraints for large load interconnects provide an increasingly attractive avenue to redirect capacity to AI/HPC uses cases. American Bitcoin sites include 427MW of capacity across five locations in Alberta, Texas and New York, increasing to 567MW when including the 50% of the King Mountain joint venture in McCamey, Texas.

Figure 9: Hut 8 Power Portfolio in Gross MW



Source: UBS, company data

Additional sources of pipeline optionality

Hut 8 also discloses 5.7GW of **Capacity under Diligence**, which includes sites where management is evaluating power availability, land control, utility engagement, infrastructure readiness, fiber connectivity, regulatory considerations and commercial viability for large-load use cases. Management has indicated that the combined potential pipeline (Under Exclusivity and Diligence) is spread across just six states and 11 locations, for an average of ~680MW per site.

Additionally, we see upside from current pipeline disclosures as these figures exclude expansion options at River Bend, where the original lease announcement included tenant options for up to 1GW IT of additional capacity through a ROFO structure. Updates on this opportunity have been limited, but we believe the company is still evaluating power expansion options and see updates from management as a catalyst, given the greater probability of exercised expansion options relative to new greenfield site leasing. Management has broadly indicated interest in on-site generation, including potential collaboration with Entergy at River Bend.

In summary, we see a pipeline of 2.5GW gross (~1.8GW) that could expand to 3.8GW gross (~2.8GW IT) with progress on expansion potential at River Bend. Our outer year forecasts incorporate an additional ~750MW IT of leasing, equivalent to 25-30% of current pipeline opportunities. To help frame the potential upside, we estimate that each 100MW of leasing equates to potential value creation of ~$9 per HUT share, or ~$150 across all currently identified pipeline capacity, and ~$240 when including expansion potential at River Bend.

Business Mix: AI colocation set to simplify Hut 8's financials over time

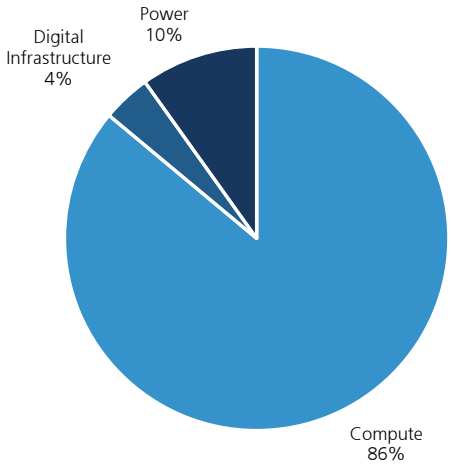
We expect AI colocation to become the dominant earnings driver by mid-2027 as initial lease commencements ramp, though Hut 8's current revenue and business mix spans multiple lines, adding some complexity but creating a clear path toward simplification. The company reports across three segments that generally map to the data center infrastructure value chain: **Compute**, where Hut 8 retains IT hardware exposure, **Digital**

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Infrastructure, which includes data center colocation, and **Power**.

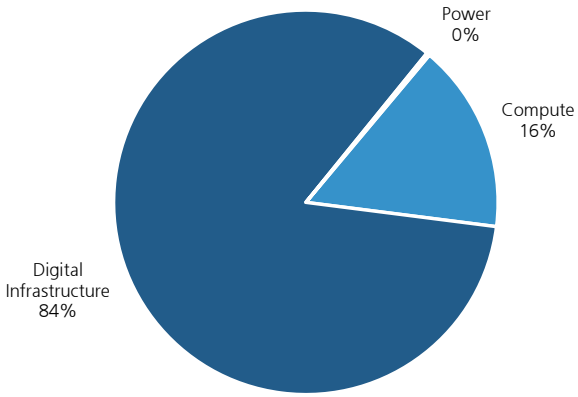
AI Colocation leases will reside in Digital Infrastructure, which today includes small-scale traditional retail colocation across five sites in Canada from legacy Hut 8 operations, totalling ~3MW. Compute includes traditional cloud and managed services at those sites, as well as bitcoin self-mining and a small GPU cloud business through the Highrise AI subsidiary, operating ~1.1K GPUs as of management's latest update. The Power segment includes certain managed services for bitcoin operations and previously included a 310MW portfolio of natural gas power plants in Ontario that were sold in early 2026, highlighting early efforts toward simplification.

Figure 10: Revenue Mix 2025



Source: UBS, company data

Figure 11: Revenue Mix 2028E

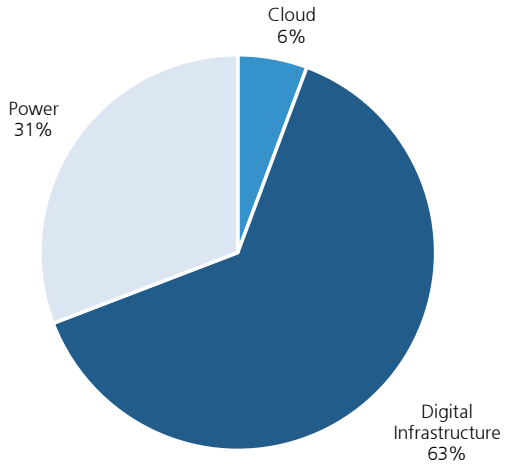


Source: UBS estimates, company Data

While peers have largely repurposed bitcoin mining power resources and operations, Hut 8 reduced its exposure through last year's spin-off of mining assets into publicly listed American Bitcoin (NASDAQ: ABTC), a bitcoin treasury and mining company co-founded by Eric Trump and Donald Trump Jr. Hut 8 contributed its mining ASICs and related operations in exchange for a majority ownership stake in ABTC, while also securing managed services and colocation agreements at these sites, creating a more fixed and less volatile revenue stream from these assets. That said, related revenue is eliminated at the intercompany level given consolidation, optically implying more exposure to Bitcoin than underlying economics. Based on the current ABTC market capitalization and Hut 8's 54% ownership (down from 64% over the past year as American Bitcoin raises equity), the implied value amounts to just ~$300M, or $2 per HUT share.

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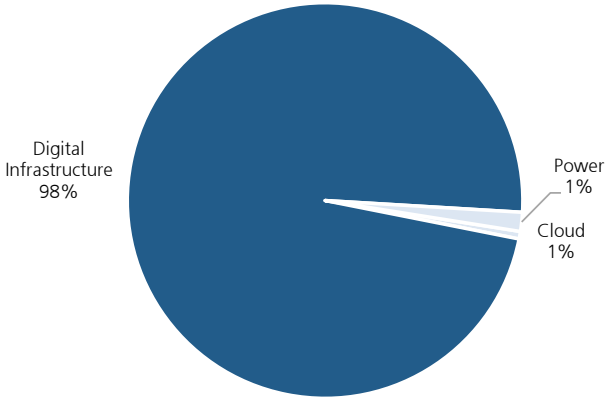
Figure 12: Rev Mix '25 (adj. for American Bitcoin)



Source: UBS estimates, company data

Notes: Removes self-mining activities and adds back colocation revenues at mining sites that are eliminated in consolidation

Figure 13: Rev Mix '28E (adj. for American Bitcoin)



Source: UBS estimates, company data

Notes: Removes self-mining activities and adds back colocation revenues at mining sites that are eliminated in consolidation

UBS Forecasts for Hut 8

We forecast total revenue of ~$330 million in 2026E, increasing to ~$2.2 billion in 2029E as AI colocation leases at River Bend and Beacon Point reach stabilization. We incorporate an additional ~750MW of leased capacity in our estimates from 2029. Our forecast includes ~$1.2B and ~$2.1B of Digital Infrastructure segment revenue in 2028/29E, recognized under ASC 842 straight-line lease accounting. Consistent with our approach across coverage, we reflect the difference between cash rent and straight-line revenue recognition as a working capital headwind. Given the triple-net structure of the leases, we expect substantially all incremental revenue to flow through to EBITDA, driving consolidated EBITDA growth from roughly breakeven in 2026E to ~$1.9B in 2029E, implying EBITDA margins of ~83%.

We assume the continued consolidation of self-mining operations at American Bitcoin pending further updates the potential to repurpose power for HPC/AI colocation. Our mining forecasts assume existing operations continue largely as currently configured and incorporate Bitcoin price assumptions based on the forward curve.

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Figure 14: Hut 8 Summary Financials

	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30
$ in Ms unless noted	**1Q26**	**2Q26**	**3Q26E**	**4Q26E**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Operating MW	668	710	710	710	710	798	988	1,306	723	978	710	1,306	1,962	2,573	3,105
Digital Infrastructure	1	1	1	1	1	17	64	151	17	10	5	233	1,253	2,127	2,824
Compute	66	72	77	98	96	95	94	94	81	202	314	379	246	200	199
Power	4	1	1	1	1	1	1	1	57	23	7	4	4	4	4
Total Revenues	**71**	**75**	**80**	**100**	**98**	**113**	**159**	**246**	**162**	**235**	**326**	**616**	**1,503**	**2,331**	**3,026**
Cost of Revenues	26	27	28	28	57	53	49	38	87	108	109	197	129	141	152
Gross Profit	**45**	**48**	**52**	**72**	**41**	**59**	**110**	**209**	**76**	**127**	**217**	**419**	**1,374**	**2,190**	**2,874**
Gross Margin	64%	64%	65%	72%	42%	53%	69%	85%	47%	54%	67%	68%	91%	94%	95%
UBS Adj. EBITDA	**15**	**23**	**22**	**42**	**9**	**32**	**77**	**176**	**14**	**55**	**101**	**293**	**1,235**	**1,933**	**2,541**
EBITDA Margin	21%	31%	27%	42%	9%	28%	48%	71%	8%	23%	31%	48%	82%	83%	84%
Capex	37	580	915	1,315	1,515	1,570	1,582	1,282	124	203	2,847	5,949	4,252	3,747	3,196
Free Cash Flow	-64	-585	-1,061	-1,418	-1,662	-1,755	-1,732	-1,358	-118	-338	-3,128	-6,507	-4,154	-3,066	-2,063
Net Debt	606	989	1,952	3,271	4,835	6,540	7,872	8,880	230	795	3,271	8,880	12,492	15,558	17,621
LQA Net Leverage	-0.6x	-2.6x	1.5x	14.3x	54.7x	34.3x	21.3x	11.9x	0.2x	-0.6x	14.3x	11.9x	7.8x	7.8x	6.7x
Net Debt incl. Digital Assets ex ABTC	-390	73	849	2,156	3,709	5,404	7,076	8,378	-734	-545	2,156	8,378	12,479	15,543	17,604
Net Debt incl. Digital Assets	**-518**	**-53**	**482**	**1,684**	**3,135**	**4,727**	**6,296**	**7,492**	**-719**	**-592**	**1,684**	**7,492**	**11,300**	**14,105**	**15,891**
LQA Net Leverage	0.5x	0.1x	0.4x	7.3x	35.5x	24.8x	17.1x	10.0x	-1.3x	4.4x	48.0x	21.5x	8.6x	7.0x	6.1x
Digital Infrastructure															
Operating MW	3	3	3	3	3	91	281	599	3	3	3	599	1,255	1,333	1,333
PUE	1.20	1.20	1.20	1.20	1.20	1.34	1.37	1.38	1.20	1.20	1.20	1.38	1.40	1.00	0.78
Operating IT MW	3	3	3	3	3	68	205	435	3	3	3	435	897	1,327	1,702
Revenues / kW / Mo	0	0	0	0	0	159	158	157	0	0	0	157	156	159	155
Revenues	**1**	**1**	**1**	**1**	**1**	**17**	**64**	**151**	**17**	**10**	**5**	**233**	**1,253**	**2,127**	**2,824**
NOI	**0**	**0**	**0**	**0**	**-30**	**-9**	**43**	**141**	**2**	**1**	**0**	**145**	**1,236**	**2,101**	**2,790**
NOI Margin	-19%	-7%	15%	15%	-2220%	-56%	67%	94%	11%	7%	1%	62%	99%	99%	99%
Compute															
Operating MW	665	707	707	707	707	707	707	707	410	665	707	707	707	707	707
Average Hashrate (EH/s)	26.9	29.9	29.9	29.9	29.9	29.9	29.9	29.9	5.5	26.9	29.9	29.9	29.9	29.9	29.9
Bitcoin Mined	817	935	1,021	1,148	1,109	1,080	1,060	1,051	1,184	1,803	3,922	4,301	2,593	1,971	1,861
Bitcoin Price Realized	76,077	71,905	70,606	80,508	81,703	82,803	83,903	85,038	60,419	103,664	74,945	83,337	87,788	93,461	99,068
Revenues	**66**	**72**	**77**	**98**	**96**	**95**	**94**	**94**	**81**	**202**	**314**	**379**	**246**	**200**	**199**
Gross Profit	**44**	**48**	**51**	**72**	**71**	**68**	**67**	**68**	**36**	**124**	**215**	**274**	**137**	**89**	**84**
Gross Margin	67%	66%	66%	73%	74%	72%	71%	72%	44%	61%	69%	72%	56%	44%	42%
Revenue Mix %															
Digital Infrastructure	2%	2%	2%	1%	1%	15%	40%	61%	11%	4%	2%	38%	83%	91%	93%
Compute	93%	97%	97%	98%	98%	84%	59%	38%	50%	86%	96%	61%	16%	9%	7%
Power	5%	2%	1%	1%	1%	1%	1%	0%	35%	10%	2%	1%	0%	0%	0%
Capacity Mix (Gross MW)															
Digital Infrastructure	1%	0%	0%	0%	0%	11%	28%	46%	0%	0%	0%	46%	64%	52%	43%
Compute	99%	100%	100%	100%	100%	89%	72%	54%	57%	68%	100%	54%	36%	27%	23%
Power	0%	0%	0%	0%	0%	0%	0%	0%	43%	32%	0%	0%	0%	0%	0%

Source: UBS estimates, company data

Figure 15: UBS Estimates vs. Street

	Street	UBSe	Street	UBSe	Street	UBSe
$ in Ms	**2026E**	**2026E**	**2027E**	**2027E**	**2028E**	**2028E**
Power	9	7	10	4	11	4
Digital Infrastructure	5	5	218	233	1,136	1,253
Compute	286	314	361	379	261	246
Total Revenues	**300**	**326**	**587**	**616**	**1,384**	**1,503**
Power	4	2	3	0	3	0
Digital Infrastructure	0	0	201	145	1,070	1,236
Compute	182	215	227	274	154	137
Gross Profit	**185**	**217**	**422**	**419**	**1,169**	**1,374**
Gross Margin	61.5%	66.6%	71.9%	68.0%	84.5%	91.4%
Company EBITDA	**-286**	**35**	**354**	**349**	**1,111**	**1,319**
EBITDA Margin	-95.3%	10.8%	60.3%	56.6%	80.3%	87.8%
UBS EBITDA		**101**		**293**		**1,235**
EBITDA Margin		31.1%		47.6%		82.2%
Capex	2,143	2,847	4,632	5,949	4,454	4,252

Source: UBS estimates, company data, Visible Alpha

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Initiating Coverage of HUT with a Buy Rating

We are initiating coverage of HUT with a Buy rating and 12-month price target of $143. Our valuation applies 22x 2028E EBITDA, a slight premium to the historical average of established data center REITs, with the implied multiple dropping to 16x in 2029E as all currently contracted capacity is delivered. We believe a slight premium to the long-term data center REIT multiple is warranted as the quality, protections and economics of leases signed to date help offset risks from the company's still early stage of its capacity delivery ramp.

Figure 16: HUT Price Target Basis

Multiple Based Valuation						
$ in millions	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30	Dec-31
	2026E	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Valuation Drivers						
AI Colocation Revenues	0	228	1,248	2,122	2,818	3,166
AI Colocation Cash NOI	0	180	997	1,724	2,331	2,690
Consolidated UBS EBITDA	101	293	1,235	1,933	2,541	2,843
(-) ABTC EBITDA	133	189	55	7	2	-4
(+) EBITDA from CSA/MSA	54	56	56	56	57	58
Hut 8 Standalone EBITDA	**23**	**161**	**1,237**	**1,982**	**2,597**	**2,905**
Contracted IT MW	949	949	949	949	949	949
Portfolio IT MW	3,707	3,707	3,707	3,707	3,707	3,707
EV Bridge						
Hut 8 Shares Outstanding	134	136	138	140	142	144
Hut 8 Market Cap	13,265	13,462	13,660	13,857	14,055	14,252
Hut 8 Digital Assets	762	149	32	33	35	37
Hut 8 Net Debt	2,918	8,527	12,511	15,577	17,639	16,333
Hut 8 Equity investments	42	34	26	24	22	20
ABTC Shares outstanding	86	103	106	106	106	106
ABTC Market Cap	871	1,040	1,073	1,073	1,073	1,073
HUT 8 Ownership in ABTC	395	395	395	395	395	395
Hut 8 Enterprise Value	14,984	21,411	25,718	28,982	31,242	30,133
Multiples at Current Share Price						
EV / Revenues	0.0x	65.7x	17.2x	12.1x	10.3x	9.9x
Cap Rate	0.0%	1.2%	4.7%	6.7%	8.0%	8.6%
EV / EBITDA	482.4x	93.3x	17.3x	13.0x	11.2x	10.8x
Equity / Contracted IT MW	12.6	14.0	14.2	14.4	14.6	14.8
Equity / Portfolio IT MW	3.2	3.6	3.6	3.7	3.7	3.8
Multiples at Target Price						
EV / Sales	0.0x	91.8x	22.0x	15.0x	12.5x	11.9x
Cap Rate	0.0%	0.9%	3.6%	5.4%	6.6%	7.2%
EV / EBITDA	718.2x	130.4x	22.2x	16.1x	13.6x	12.9x
Equity / Contracted IT MW	18.2	20.2	20.5	20.8	21.1	21.4
Equity / Portfolio IT MW	4.7	5.2	5.3	5.3	5.4	5.5

Price Target Basis: EV/EBITDA	
Hut 8 Adj. EBITDA ('28E)	1,237
Target Multiple	22x
Enterprise value	**27,465**
(+) Digital Assets ('27E)	149
(-) Net Debt ('27E)	8,527
(+) Equity Investments ('27E)	34
(+) ABTC Equity ('27E)	395
Equity value	**19,516**
Shares Outstanding ('27E)	136
12mo Price Target	**143**
HUT 8 Share Price	99
ABTC Share Price	10.10

Source: UBS estimates, company data

EBITDA and Enterprise Value Considerations

Our valuation incorporates several adjustments to reported financials to separate the value of colocation operations and Bitcoin mining activities at American Bitcoin. First, we adjust our EBITDA estimates to (1) exclude our estimate of EBITDA generated directly by American Bitcoin and (2) include EBITDA associated with the Colocation Services Agreement between Hut 8 and American Bitcoin. We similarly adjust net debt to exclude miner purchase obligations and cash attributable to American Bitcoin. Finally, we include only the Bitcoin held directly by Hut 8 in our enterprise value calculation (and not American Bitcoin), and assume Hut 8's holdings are sold down over time based on the futures curve. With those adjustments, we value Hut 8's ownership stake in American Bitcoin separately and at current market value of ~$270 million. We also do not include mark-to-market adjustments on Bitcoin holdings within our EBITDA forecasts.

Sum-of-the-Parts framework

To derive a NAV for currently contracted Hut 8's leases, we apply a 6.7% cap rate on cash NOI in '29E from the contracted lease portfolio (i.e., the highest multiple ascribed to contracted assets across our HPC colocation coverage to reflect the tenant quality and lease duration and protections). We then discount property NAV and total Hut 8 equity back to our price target date at 15%, taking into account execution uncertainty of projects under development as of our price target date (YE27). Our pipeline valuation includes Capacity Under Exclusivity/Development and existing bitcoin mining sites within our Tier II category. In addition, we include expansion options of 1GW at the River

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Bend campus in our lower visibility Tier III category.

Figure 17: Hut 8 Sum-of-the-Parts Framework

Sum-of-the-Parts

$ in millions

(1) Contracted Assets

Stabilized NAV	**YE28**	**PV of NAV / Equity**	**YE26**	**YE27**	**YE28**
NTM Cash NOI ('29E)	1,448	% Capacity Delivered	0%	46%	94%
Cap Rate	6.7%	Equity Cost of Capital	20%	15%	11%
Stabilized Property Value	**21,617**	Property Equity	6,913	8,622	9,954
Project Debt	11,663	**Total Equity**	**7,854**	**9,796**	**11,309**
Property Equity	**9,954**				
Corp Net Debt, CIP & Other	-1,355	Contracted IT MW	949	949	949
Total Equity	**11,309**	Property Equity / MW	7.3	9.1	10.5
		Total Equity / MW	8.3	10.3	11.9

(2) Pipeline Assets

Category	**Gross MW**	**IT MW**	**NAV**	**Value / MW**	**Probability**	**Full NAV**	**Full NAV / MW**
Tier 1 Pipeline	0	0	0	8.9	70%	0	13
Tier 2 Pipeline	2,497	1,758	6,679	3.8	30%	22,265	13
Tier 3 Pipeline	1,350	1,000	3,040	3.0	24%	12,662	13
Total Pipeline	**3,847**	**2,758**	**9,720**	**3.5**	**28%**	**34,926**	**13**

Sum-of-the-parts (as of YE27)

	Value	**Per Share**	**%**
Property Equity	8,622	63	44%
Pipeline Equity	9,720	71	50%
Corp Net Cash, CIP & Other	1,174	9	6%
Total UBS Equity Value	**19,516**	**143**	**100%**

Source: UBS estimates, company data

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UPSIDE/DOWNSIDE SPECTRUM



HUT is trading at $98.74 as of September 18

Value drivers	Avg Operating IT MW (27-28)	UBS Adj. EBITDA ('28E)	Leased IT MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$230 upside	~750	~$1.3B+	~2,300	~$3.7B	~$9M
$143 base	~660	~$1.2B	~1,700	~$2.5B	~$5M
$50 downside	~530	<$1.0B	949	~$1.4B	~$2M

Source: UBS

Risk to the current share price is skewed 2.7:1 to the upside

UPSIDE ($230): Our upside case assumes Hut 8 leases roughly half of its pipeline and expansion options, bringing total contracted capacity to 2.3GW. Assuming similar economics as recent lease agreements, we estimate this would support ~$2.3B of incremental cash NOI at stabilization (~$3.7B in total) after additional capex requirements of ~$15B. Applying a 6.5% cap rate, consistent with recent valuations for hyperscale data center assets, we arrive at an upside per share price of $230.

BASE ($143): Our base case assumes Hut 8's leased portfolio is delivered on time and schedule, supporting a ramp in revenue recognition as all currently leased assets commence by early 2029. We incorporate an additional ~750MW of leasing in our outer year estimates, or ~25% conversion of the existing pipeline. Our price target is based on 22x 2028 EBITDA, and implies ~50% of equity value ascribed to corporate and currently leased assets and ~50% to pipeline opportunities.

DOWNSIDE ($50): Our downside case assumes <6 month delays for capacity deliveries and a ~150bps increase in treasury yields and cap rates. This would drive downside to our 2028-29 estimates and weigh on the multiple. We assume 14-12x '28-29E EBITDA, near the low end of the historical range for data center comps, on lowered estimates for a downside per share price of $50.

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UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can TeraWulf generate $2B+ of HPC revenues by 2029?
Yes. The Hawesville brownfield development and lease for Anthropic reinforces our view that TeraWulf can identify and convert new sites to scale alongside AI ecosystem participants. With all ~840MW of contracted capacity set to be delivered by mid-28 and an additional 550MW of leases in our outer year estimates (~30% pipeline conversion), we forecast $1.8B of HPC segment revenues in '28E (Street $1.7B) and ~$2.3B in '29E.

Q: Can TeraWulf deliver on contracted capacity and generate $1B+ of EBITDA in 2028?
Yes. We expect TeraWulf to deliver ~570MW of operating capacity by YE27, including all Lake Mariner capacity by the 1H27 and initial capacity at Hawesville by YE27. We expect remaining Hawesville leases to ramp through 1H28, supporting full year HPC NOI of ~$1.3B and total EBITDA of ~$1.2B (Street $1.1B).

UBS VIEW

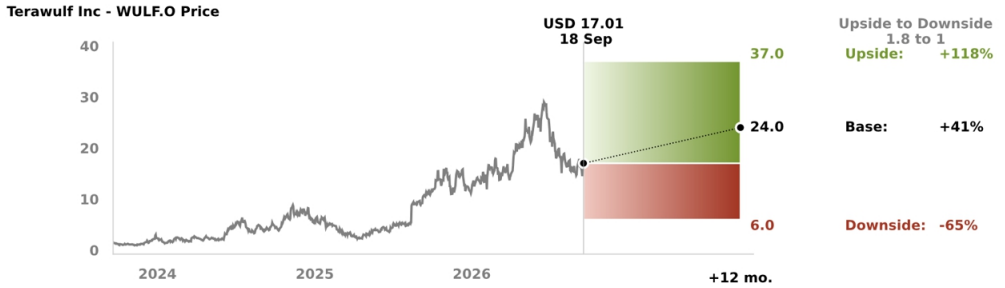
We are initiating coverage of WULF with a Buy rating. We believe WULF offers a compelling combination of valuation support from its contracted asset portfolio and upside from leasing near-term opportunities. Transactions signed to date have established attractive economics and a repeatable blueprint for future growth, with recent deals creating an estimated ~$12M of equity value per MW, implying up to ~$30 per share of value creation from the full lease-up of the current development portfolio. Equally important, the Hawesville, KY lease validates an ability to identify and convert brownfield industrial sites for HPC use, supporting our view that TeraWulf can scale into a broader data center platform rather than rely solely on repurposing legacy bitcoin mining assets.

EVIDENCE

TeraWulf has signed 840MW of IT leases to date, including 60MW with Core42, 378MW with Fluidstack/Google and 402MW directly with Anthropic. Theses deals represent average annual revenue of ~$1.8B and NOI of ~$1.5B, or ~$1.2B of NOI in the initial years at stabilization. The company has delivered 102MW of capacity to-date, representing 23% of its Lake Mariner campus and ~12% of total contracted capacity. Additional pipeline opportunities of 2.1GW IT include ~800MW at a former strip mine in eastern Kentucky with initial power availability in late 2028 (i.e., approaching ~18 month hyperscale pre-leasing windows) and ~800MW at a former coal plant in Maryland.

WHAT'S PRICED IN?

Applying a ~7% cap rate to leased assets, we estimate WULF shares trade at a <10% premium to the value of contracted assets at stabilization, pricing in an execution risk premium and little credit for the development pipeline.



Value drivers	Operating IT MW (YE27)	EBITDA ('28E)	Leased IT MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$37 upside	600+	$1.3B+	~2,100	~$3.2B	~$10M
$24 base	570	~$1.2B	~1,400	~$2.0B	~$6.5M
$6 downside	~400	~$900M	840	~$1.2B	~$2M

Source: UBS

COMPANY DESCRIPTION

TeraWulf was founded as a Bitcoin mining company focused on developing energy-advantaged digital infrastructure. The company has shifted its focus to high-performance computing and AI hosting, leveraging its power and data center assets to serve hyperscale compute customers alongside its legacy mining operations.

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PIVOTAL QUESTIONS

Q: Can TeraWulf generate $2B+ of HPC revenues through its brownfield development strategy?

UBSVIEW

Yes. We believe WULF offers a compelling combination of valuation support from its contracted asset portfolio and near-term upside from leasing its development pipeline that could increase contracted capacity by ~50% in the near term. Equally important, the Hawesville, KY lease validates an ability to identify and convert brownfield industrial sites for HPC use, supporting our view that TeraWulf can scale into a broader data center platform rather than rely solely on repurposing legacy bitcoin mining assets in New York. With ~840MW of contracted capacity set to be delivered by mid-28 and an additional 550MW of assumed leases in our outer year estimates (~30% conversion of the pipeline), we forecast $1.8B of HPC segment revenues in '28E (Street $1.7B) and ~$2.3B in '29E.

EVIDENCE

TeraWulf has signed 840MW of IT leases to-date, representing average annual revenue of ~$1.8B and NOI of ~$1.5B, or ~$1.2B of NOI in the initial years at stabilization. The company has delivered 102MW of capacity, representing 23% of its Lake Mariner development for Core42 and Fluidstack/Google and ~12% of total contracted capacity. Pipeline opportunities of 2.1GW IT include ~800MW at a former strip mine in eastern Kentucky with initial power availability in late 2028 (i.e., approaching ~18 month hyperscale pre-leasing windows) and ~800MW at a former coal plant in Maryland.

WHAT'S PRICED IN?

Applying a ~7% cap rate to leased assets, we estimate WULF shares trade at a <10% premium to the value of assets at stabilization, effectively pricing in a risk premium for delivery execution and no credit for the development pipeline. Execution on Fluidstack deliveries over the next ~6 months should activate Google's financial backing for the Lake Mariner assets, a key value-unlock that should reduce the equity risk premium.

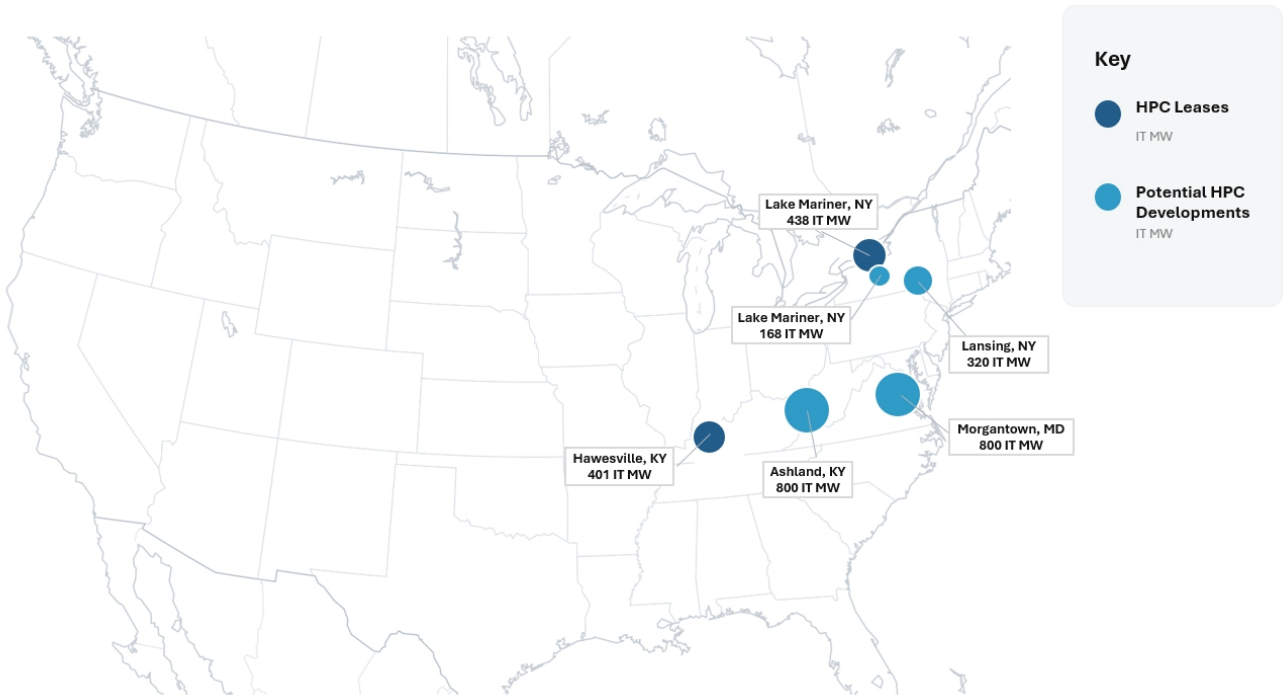
TeraWulf: Scaling AI infrastructure through brownfield developments

TeraWulf's emergence as a scaled participant in the AI infrastructure market reflects management's 30+ years of experience and operating history across power and infrastructure markets. Rather than pursuing purely greenfield developments, the company has leveraged its energy market expertise to identify and develop underutilized industrial sites with existing power infrastructure that can be repurposed for AI/HPC workloads. These assets generally fall outside traditional data center markets but remain closer to major population centers, offering a combination of large-scale power access and stronger latency characteristics than many remote AI campuses.

The platform is anchored by the Lake Mariner campus, a retired coal-fired power plant in upstate New York where TeraWulf previously operated ~250MW of bitcoin mining capacity and has since signed 438MW of IT capacity under HPC colocation leases. The facilities are designed to support high-density AI workloads with a targeted PUE of 1.25, benefiting from the region's climate, existing power infrastructure and brownfield characteristics. More recently, the company has expanded its development strategy into additional brownfield opportunities across the Ohio River Valley and Mid-Atlantic.

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Figure 18: TeraWulf Data Center Footprint



Source: UBS, company data

In total, TeraWulf has signed leases representing 839MW of IT load and $19B of contracted revenues across lease durations of 10-20 years, representing an average of $1.8B in revenues and $1.5B in NOI annually. This includes 378MW IT for Fluidstack, which is providing cloud capacity through Google TPUs, and the more recent 401MW IT lease directly with Anthropic, aligning the company with AI labs and their ability to support ecosystem development across the AI infrastructure value chain.

Contracted Lease Portfolio: Brownfield replicability and leverage to the Anthropic ecosystem

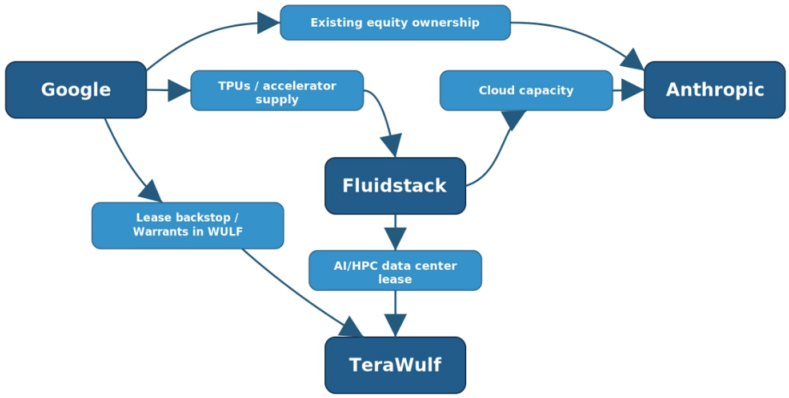
The pivot into HPC colocation has been a steady evolution, with each lease demonstrating progress on commercial engagement, execution and replicability. After demonstrating the ability to support AI workloads through the 2.5MW "Wulf Den" proof-of-concept deployment, TeraWulf signed its first scaled HPC lease in late 2024 with **Core42**, the sovereign cloud arm of Abu Dhabi's G42, for 60MW of IT capacity at **Lake Mariner**. While the transaction did not include a traditional investment-grade backstop, the agreements are guaranteed by parent company G42 and Core42 provided $90M of customer prepayments to help fund development, which are currently being amortized against initial rent.

The demonstrated execution on the initial Core42 lease ultimately led to the much larger **Fluidstack / Google-backed** transaction at **Lake Mariner**. The agreement initially covered more than 200MW of IT capacity, expanded through the exercise of a 160MW option and ultimately increased to 378MW through design changes and upgrades, firmly establishing TeraWulf as a scaled participant in the AI infrastructure buildout.

Given Fluidstack's credit profile, Google is providing credit support for TeraWulf's $3.2B of project financing, with the backstop commencing as each phase of capacity is delivered. In exchange, Google received warrants representing ~14% of TeraWulf's shares at issuance, or ~12% of current shares, that vest upon capacity delivery or 180 days after the applicable target delivery date, when tenant termination rights could begin. Because Google's credit support becomes effective only after the corresponding capacity is delivered, on-time execution carries greater implications than a simple deferral of lease revenue. We believe this is reflected in the high execution risk premium currently embedded in shares, and should dissipate over time as delivery milestones are achieved.

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Figure 19: TeraWulf positioning within the AI Development at Lake Mariner



Source: UBS

Once capacity is delivered and lease revenue commences, Google's support amortizes as project debt is repaid. If Fluidstack defaults on its payment obligations or becomes insolvent, Google assumes the lease directly. After the sixth year of the lease, Google has the option to pay a termination fee that could also result in equity ownership in the site. While the structure strengthens the financeability of the project, it also increases TeraWulf's exposure to the financial condition and long-term demand requirements of Anthropic as the ultimate compute customer.

Following the Fluidstack transactions, TeraWulf signed a 401MW IT lease directly with **Anthropic** in early July for capacity at its **Justified Data campus in Hawesville, Kentucky**, furthering its position within Anthropic's infrastructure ecosystem. The agreement carries a 20-year base term with two five-year extension options, making it among the longest-duration leases signed by a bitcoin miner in our tracked universe. The transaction coincides with Anthropic's compute buildout and recent efforts to secure large-scale capacity directly, including arrangements involving existing GPU capacity from SpaceX.

We see the lease as a positive signal for TeraWulf's alignment and ability to scale with the AI ecosystem. That said, the site itself is equally important to our WULF thesis. Hawesville demonstrates that TeraWulf's opportunity is not limited to repurposing bitcoin mining power; it also highlights an ability to identify and convert brownfield industrial sites into AI/HPC infrastructure assets. TeraWulf acquired the former aluminum smelter site for ~$200M in February and signed the Anthropic lease just ~6 months later. The site ceased smelting operations in 2022 but includes existing transmission infrastructure, an energized substation and land for expansion, making it a prime example of the company's brownfield strategy.

Figure 20: TeraWulf Signed Leases ($Ms)

Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Year 1 Yield
Lake Mariner Data	Lake Mariner, NY	60	Core42	12/23/2024	10 Years	Modified Gross	1,085	109	1.58	922	92	1.34	432	19%
Lake Mariner Data	Lake Mariner, NY	210	Fluidstack	8/14/2025	10 Years	Modified Gross	3,980	398	1.65	3,383	338	1.41	1,890	16%
Lake Mariner Data	Lake Mariner, NY	168	Fluidstack	8/18/2025	10 Years	Modified Gross	3,225	323	1.67	2,741	274	1.42	1,512	16%
Justified Data	Hawesville, KY	401	Anthropic	7/6/2026	20 Years	Modified Gross	19,000	950	1.76	16,150	808	1.50	4,411	14%
TeraWulf		**839**			**15 Years**		**27,290**	**1,846**	**1.78**	**23,197**	**1,570**	**1.51**	**8,245**	**15%**

Source: UBS, company data

Notes: Year 1 Rent based on $/kw/mo; Total Revenues and NOI based on lease excluding renewal options; Annual Revenues and NOI based on average over contract duration

TeraWulf's leases are structured as modified gross agreements with management targeting ~85% NOI margins, implying NOI per MW of ~$1.4M in year one of stabilization for the Fluidstack deals and ~$1.5M in the Anthropic lease. Implied development yields on incremental capex screen attractive at ~16% for Laker Mariner and ~14% for Hawesville, but also reflect tenant risk profile, even accounting for Google's support at Lake Mariner. Yields also benefit from dual transmission feeds at

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Lake Mariner that reduce the need for backup generation, with management originally targeting capex of just $8-10M/MW and more recently updating to $9.1M/MW. Guidance at Hawesville includes $10-12M/MW, more consistent with broader industry benchmarks when excluding ancillary items such as initial land and site acquisition costs and capitalized interest.

Delivery Progress: Large delivery milestones approaching

TeraWulf remains early in its delivery ramp and recent updates highlight the operational complexity of AI infrastructure as customer requirements continue to evolve. All capacity under the 60MW Core42 lease at Lake Mariner reached RFS in late March, representing ~15 months from lease announcement to full delivery. The remaining 378MW of IT load for Fluidstack is spread across three buildings: Colocation Building #3 (42MW) and the larger Colocation Buildings #4 and #5, each at 168MW. TeraWulf recently achieved RFS on Colocation Building #3, triggering ~$600M (or ~1/3) of Google's credit support for the project.

Figure 21: Estimated TeraWulf Delivery Timeline

TeraWulf

Site	Building	Tenant	Location	IT MW	Announce to Deliver	IT MW / Mo	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E
							Announced			Delivered		Target		Adjusted						
Lake Mariner Data	Building 1	Core42	Lake Mariner, NY	18	8 Months	2.3														
	Building 2	Core42	Lake Mariner, NY	42	15 Months	4.0														
	Building 3	Fluidstack	Lake Mariner, NY	42	11 Months	3.8														
	Building 4	Fluidstack	Lake Mariner, NY	168	14 Months	12.0														
	Building 5	Fluidstack	Lake Mariner, NY	168	20 Months	16.8														
							0	0	18	18	60	60	102	270	438					
Justified Data	Building 1	Anthropic	Hawesville, KY	134	18 Months	7.4														
	Building 2	Anthropic	Hawesville, KY	134	21 Months	12.8														
	Building 3	Anthropic	Hawesville, KY	134	24 Months	16.8														
														0	0	0	0	134	268	402
Contracted IT Load							0	0	18	18	60	60	102	270	438	438	438	572	706	840
Incremental IT Load Delivered							**0**	**0**	**18**	**0**	**42**	**0**	**42**	**168**	**168**	**0**	**0**	**134**	**134**	**134**

Source: UBS estimates, company data

Initial expectations called for all Lake Mariner capacity to be delivered by YE26 but lease amendments signed in July updated delivery timing, with management now expecting energization of the first 42MW data hall at Colocation Building #4 in September, with phased deliveries thereafter, and initial energization of the first data hall at Colocation Building #5 in early January 2027, with remaining deliveries through the end of March.

Management framed the revised timing as coordinated with the tenant and driven primarily by customer-requested design changes as requirements evolved through development. As part of the lease amendment, TeraWulf will receive $300M of additional rent payments over the 10-year lease term in exchange for funding $150M of incremental tenant fit-out capex, implying a mid-teens yield and modestly positive NPV assuming a 10% discount rate.

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Figure 22: Lake Mariner Data Center Development



Source: Epoch AI, 'Frontier Data Centers'

At the same time, management highlighted ongoing constraints around labor and the addition of ~1,000 electricians at the site that should maintain targeted delivery schedules. Satellite images from Epoch AI (as of July 23) align with management commentary around the completion of Colocation Building #3 in mid-July, while the exterior shell of CB #4 appears complete but CB #5 still earlier in the development process.

In total, HPC leases at Lake Mariner represent 438MW of IT load, or ~530MW of gross capacity, effectively absorbing the campus's existing power footprint for AI/HPC use. The campus has the potential to expand to 750MW gross and received a negative declaration from the New York DEC (Department of Environment Conservation), a positive milestone towards further campus expansion and converting the residual 145MW of self-mining operations into a new colocation building. For now, we assume remaining mining operations wind down by the end of the year as power is allocated to the HPC portion of the campus.

Early milestones upcoming for Hawesville

Initial capacity at the 401MW Hawesville development is expected by the end of 2027 and full capacity by mid 2028, implying a 19-25 month timeline for a project of significant scale. The site benefits from existing transmission infrastructure, an energized substation and other brownfield characteristics, but will still require $10-12M/MW of capex, or ~$4.4B in total.

Project financing has not yet been raised, though management expects investment-grade credit support, either through Anthropic achieving investment-grade status directly or from the provider of its accelerators. Management targets an ~80% / 20% debt-to-equity mix across developments, suggesting that the equity component of Hawesville has already been secured through the $1.1B equity raise completed earlier this year. We expect the proceeds to support site development through at least the end of 2026. The company recently reached another significant milestone, with the Kentucky PSC approving the 482MW Electric Service Agreement for the campus after determining that the structure includes protections for existing customers and establishes fair and reasonable rates.

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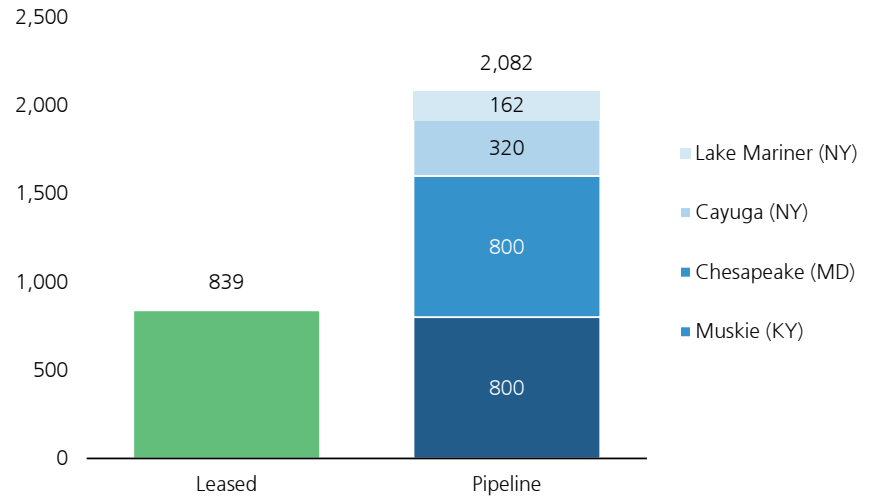
Power Portfolio: Extending the brownfield approach with multi-GW power pipeline

TeraWulf's current power portfolio currently stands at 3.6GW of gross (2.9GW of IT), including ~2.6GW gross (~2.1GW IT) of un-leased capacity across four sites with varying timelines for power availability. The sites generally follow the same playbook as Lake Mariner and Hawesville: power-rich brownfield or legacy industrial locations with existing infrastructure, non-traditional data center market characteristics and the potential to be repurposed for AI/HPC workloads.

The **Muskie Data** campus represents TeraWulf's most immediate and likely next leasing opportunity with initial energization expected in 2H28. The site is located in Grayson, Kentucky at an industrial park and former strip mine that was acquired for $167M, including deferred and contingent consideration based on leased capacity. In connection with the acquisition, TeraWulf secured an electric service agreement with Kentucky Power for 500MW and a letter of agreement for a full 1GW, which requires construction of a 345kV substation.

The initial power ramp of 500MW beginning in 2H28 places the site near hyperscale pre-leasing windows of ~18 months prior to delivery. The remaining 500MW is expected in 2030, with management also indicating an option to expand the campus to 2GW of gross power. Management was particularly constructive on the leasing opportunity during the 2Q26 call, citing strong demand, the highest level of engagement across its active data room and interest in both the initial tranche and the broader site over time.

Figure 23: TeraWulf Power Portfolio in IT MW



Source: UBS, company data

Beyond Muskie, power deliveries are largely concentrated toward the end of the decade, with ~2.1GW of power (~1.7GW of IT load) expected in 2029-30, representing ~80% of the disclosed power pipeline. The **Chesapeake Data** campus in Morgantown, MD is one of the more longer-dated opportunities but could represent the most meaningful next-stage leasing opportunity after Muskie, in our view. The site follows a similar brownfield strategy, leveraging a former coal-generation campus in a non-traditional data center market with strong proximity to major demand centers. Located ~50 miles from Ashburn, VA, or an estimated 2-3ms round-trip from the world's largest data center market, Chesapeake could offer a compelling combination of scale, cost efficiency and latency characteristics for a broad range of workloads.

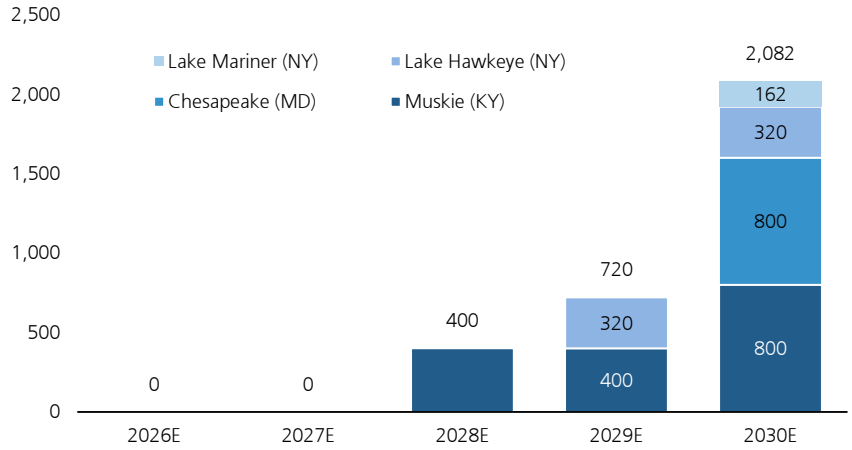
The Chesapeake site includes the Morgantown Generating Station, which currently has 210MW of operational capacity serving PJM. Given the existing electrical infrastructure, TeraWulf plans to add on-site generation and battery storage, though the project is not expected to be behind-the-meter. Instead, incremental power would be sold into the grid to position the site as a net supplier. The current plan contemplates two phases, each including 500MW of generation capacity and data center load and 250MW of battery storage, with operations targeted for 2030. In addition to underlying data center

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infrastructure capex of $8-12M/IT MW, management estimates on-site generation costs of $2-3M/gross MW and battery storage costs of $1M/MW. Assuming a 1.25 PUE, we estimate capex of $10-13B at full buildout. Site acquisition remains subject to final regulatory approvals, though TeraWulf cleared a major hurdle recently with FERC approval on July 29.

The remaining disclosed pipeline is located in New York with an incremental ~320MW of IT expected at **Lake Hawkeye** in Lansing, NY by 2029 and an incremental 162MW of IT at **Lake Mariner** by 2030. Our visibility into these opportunities is lower given recent regulatory developments and growing NIMBY risks around future development. New York became the first state to implement a broad moratorium and construction ban on data center developments above 50MW for one year in July, though management has emphasized that the Executive Order should not impact timing, as Lake Mariner is already permitted and Lake Hawkeye remains early in development and has not yet been affected.

Figure 24: Availability Timing of Unleased Development Pipeline (in IT MW)



Source: UBS, company data

Relative to peers, TeraWulf has provided more explicit leasing targets, with management guiding to 250-500MW of IT signings per year, with the Anthropic lease alone putting the company near the high end of that range for 2026. Management has noted that future leasing above this target is constrained by financing availability, with the high end of the target requiring up to $5B of annual capital, and increasingly by labor availability.

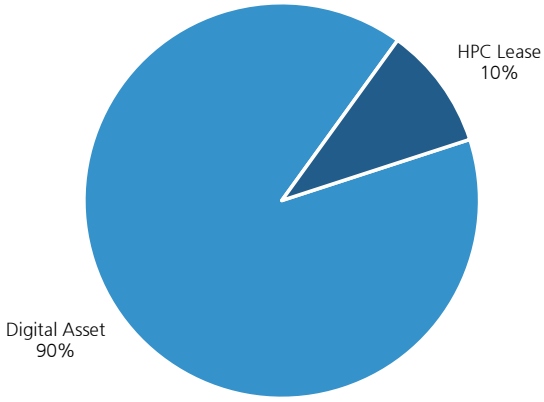
We estimate the most recent 401MW lease at Hawesville supports $12M per MW of equity value creation, or ~$5.80 per WULF share. A full lease up of the current development pipeline at similar economics would therefore support $30 per share of incremental value creation, or ~$7.50 for each 500MW annual leasing target.

Business Mix: Revenue mix rapidly shifting to HPC colocation

TeraWulf operates a relatively simplified business structure, with historical operations primarily tied to bitcoin self-mining at Lake Mariner. The company began generating HPC lease revenue in 2H25 as initial Core42 capacity was delivered, with revenue from the Fluidstack leases set to contribute in 3Q26. We estimate HPC colocation will represent more than 80% of total revenue in 2026 and expect it to account for essentially all of TeraWulf's revenue and operating mix as early as the start of 2027 as remaining power for mining activities at Lake Mariner is repurposed for HPC leased capacity.

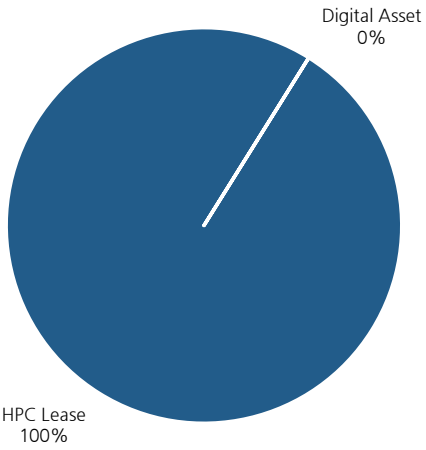
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Figure 25: Revenue Mix 2025



Source: UBS, company data

Figure 26: Revenue Mix 2028E



Source: UBS estimates, company data

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UBS Forecasts for TeraWulf

We forecast TeraWulf total revenues increasing from $260M in '26E to $850M in '27E, including ~$185M and ~$730M of HPC rental revenues under straight-line accounting as contribution from the Lake Mariner leases ramp. We assume the company exits 2026 with 270MW of operating and revenue generating IT capacity (102MW as of July), with the full 438MW at Lake Mariner delivered by 2Q27. We expect total and base revenues of $1.78B and $1.54B in '28E, as capacity at the Hawesville campus comes online. Our outer year forecasts include 550MW of additional lease signings, equating to ~30% of the current 2.1GW pipeline.

We assume 84% NOI margins on HPC segment base revenues as assets reach stabilization, driving total company EBITDA from ~$50M in '26E, to ~$475M in '27E and ~$1.2B in '28E. Management has guided to $75-100M of cash SG&A for 2026, and we expect overhead to continue to scale as the platform expands. We still expect operating leverage as lease commencements ramp, with SG&A as a percentage of sales falling from 14% in 2027E to ~7% in 2028E, driving total company EBITDA margins from 56% to 65% in 2027/28E.

Figure 27: TeraWulf Summary Financials

	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30
$ in Ms unless noted	**1Q26**	**2Q26**	**3Q26E**	**4Q26E**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	2024	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Operating MW	263	243	248	323	373	523	523	683	195	223	323	683	1,004	1,254	1,691
Revenues	**34**	**45**	**64**	**117**	**158**	**209**	**239**	**246**	140	**168**	**260**	**852**	**1,782**	**2,294**	**2,994**
Cost of Revenues	2	12	17	19	22	32	32	39	63	83	51	125	240	293	382
Operating Expenses	11	23	13	20	26	33	38	44	8	20	68	141	264	316	408
Gross Profit	**20**	**9**	**34**	**78**	**111**	**144**	**169**	**163**	70	**66**	**141**	**587**	**1,278**	**1,685**	**2,203**
Gross Margin	60%	20%	53%	67%	70%	69%	71%	66%	50%	39%	54%	69%	72%	73%	74%
SG&A	128	127	32	32	40	41	42	41	71	148	319	164	178	201	211
As % of Sales	376%	284%	50%	27%	25%	20%	17%	17%	50%	88%	123%	19%	10%	9%	7%
Adj. EBITDA	**-4**	**-18**	**14**	**59**	**84**	**116**	**141**	**136**	60	**-23**	**51**	**476**	**1,158**	**1,559**	**2,072**
EBITDA Margin	-12%	-41%	22%	50%	53%	55%	59%	55%	43%	-14%	20%	56%	65%	68%	69%
Capex	523	856	791	743	735	740	733	749	268	1,060	2,912	2,957	2,918	2,959	2,701
Free Cash Flow	-529	-979	-843	-722	-720	-699	-682	-699	-225	-1,032	-3,072	-2,800	-2,488	-2,336	-1,663
Net Debt	2,197	2,185	2,795	3,384	4,122	4,759	5,458	6,176	214	1,449	3,384	6,176	9,036	10,841	11,975
LQA Net Leverage	-134.9x	-29.8x	49.1x	14.3x	12.3x	10.3x	9.7x	11.4x	3.5x	-62.7x	66.5x	13.0x	7.8x	7.0x	5.8x
HPC Leases															
Operating MW	73	98	173	323	373	523	523	683	0	23	323	683	1,004	1,254	1,691
PUE	1.22	1.21	1.20	1.20	1.19	1.19	1.19	1.19	0	1.25	1.20	1.19	1.20	1.21	1.22
Operating IT MW	60	81	144	270	312	438	438	572	0	18	270	572	840	1,040	1,390
Rental Rate ($ / kW / mo)	150	127	134	156	156	157	158	137	0	127	108	144	182	177	179
Annual Base Revenue / MW	1.8	1.5	1.6	1.9	1.9	1.9	1.9	1.6	0	1.5	1.3	1.7	2.2	2.1	2.1
HPC Lease Revenues	**18**	**27**	**45**	**97**	**137**	**177**	**207**	**207**	**0**	**14**	**186**	**728**	**1,541**	**2,001**	**2,612**
Power & Other Revneues	3	5	8	16	22	32	32	39	0	3	33	125	240	293	382
Total HPC Revenues	**21**	**32**	**53**	**113**	**158**	**209**	**239**	**246**	**0**	**17**	**219**	**852**	**1,782**	**2,294**	**2,994**
Net Operating Income	**10**	**9**	**34**	**77**	**111**	**144**	**169**	**163**	0	**7**	**130**	**587**	**1,278**	**1,685**	**2,203**
NOI Margin ex Power	58%	33%	75%	80%	81%	81%	82%	79%	0	52%	70%	81%	83%	84%	84%
Digital Assets															
Operating MW	190	145	75	0	0	0	0	0	195	200	0	0	0	0	0
Average Hashrate (EH/s)	7.9	5.6	3.1	1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Bitcoin Mined	168	179	147	56	0	0	0	0	2,278	1,496	550	0	0	0	0
Bitcoin Price Realized	76,780	69,483	70,606	80,508	81,703	82,803	83,903	85,038	65,828	102,006	74,344	83,361	88,170	93,461	99,068
Digital Asset Revenues	**13**	**13**	**10**	**5**	**0**	**0**	**0**	**0**	140	**152**	**41**	**0**	**0**	**0**	**0**
Gross Profit	**10**	**1**	**0**	**1**	**0**	**0**	**0**	**0**	70	**59**	**12**	**0**	**0**	**0**	**0**
Gross Margin	79%	5%	0%	19%	nm	nm	nm	nm	50%	39%	29%	nm	nm	nm	nm
Revenue Mix %															
HPC Leases	52%	60%	71%	83%	86%	85%	87%	84%	0%	8%	72%	85%	87%	87%	87%
Digital Assets	38%	29%	16%	4%	0%	0%	0%	0%	100%	90%	16%	0%	0%	0%	0%
Capacity Mix (Gross MW)															
HPC Leases	28%	40%	70%	100%	100%	100%	100%	100%	0%	10%	100%	100%	100%	100%	100%
Digital Assets	72%	60%	30%	0%	0%	0%	0%	0%	100%	90%	0%	0%	0%	0%	0%

Source: UBS estimates, company data

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Figure 28: UBS Estimates vs. Street

	Street	UBSe	Street	UBSe	Street	UBSe
$ in Ms	**2026E**	**2026E**	**2027E**	**2027E**	**2028E**	**2028E**
Digital Assets	50	41	42	0	46	0
HPC Lease	217	219	877	852	1,763	1,782
Total Revenues	**267**	**260**	**889**	**852**	**1,682**	**1,782**
Digital Asset		12		0		0
HPC Lease		31		587		1,278
Gross Profit	**202**	**43**	**702**	**587**	**1,347**	**1,278**
Gross Margin	75.6%	16.5%	79.0%	68.8%	80.1%	71.7%
Adj. EBITDA	**63**	**51**	**528**	**476**	**1,086**	**1,158**
EBITDA Margin	23.6%	19.6%	59.5%	55.9%	64.6%	65.0%
Capex	3,416	2,912	4,012	2,957	4,067	2,918

Source: UBS estimates, company data, Visible Alpha

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Initiating Coverage of WULF with a Buy Rating

We are initiating coverage of WULF with a Buy rating and 12-month price target of $24. Our valuation applies 19x to 2028E EBITDA, a slight discount to the historical range for data center REITs, with the implied multiple falling to ~16x in 2029E with a full year contribution from currently contracted leases. We believe a multiple at a slight discount to the long-term average of established operators is warranted as solid economics of TeraWulf's already signed leases and meaningful pipeline opportunities (including the potential to increase contracted capacity by ~50% in the near-term) is balanced against its early stage of delivery execution and a greater potential for NIMBY related headwinds at sites located in closer proximity to large population centers.

Figure 29: WULF Price Target Basis

Multiple Based Valuation

$ in millions	Dec-26 **2026E**	Dec-27 **2027E**	Dec-28 **2028E**	Dec-29 **2029E**	Dec-30 **2030E**	Dec-31 **2031E**
Valuation Drivers						
Revenues	260	852	1,782	2,294	2,994	3,439
HPC Cash NOI	131	511	1,020	1,325	1,771	2,101
EBITDA	51	476	1,158	1,559	2,072	2,398
Contracted IT MW	840	840	840	840	840	840
Portfolio IT MW	2,922	2,922	2,922	2,922	2,922	2,922
EV Bridge						
Shares outstanding	805	809	812	844	873	878
Market cap	13,694	13,756	13,818	14,354	14,857	14,939
Net debt	1,250	3,982	6,782	8,531	9,609	8,505
Equity Investments	24	0	0	0	0	0
Capped Call	764	764	764	764	764	764
Enterprise value	14,156	16,973	19,836	22,121	23,701	22,680
Multiples at Current Share Price						
EV / Sales	39.4x	16.6x	9.5x	8.6x	7.4x	6.9x
Cap Rate	1.3%	3.6%	6.0%	6.7%	8.0%	8.9%
EV / EBITDA	200.9x	29.7x	14.7x	12.7x	10.7x	9.9x
Equity / Contracted IT MW	14.4	16.3	16.4	16.4	17.1	17.7
Equity / Portfolio IT MW	4.1	4.7	4.7	4.7	4.9	5.1
Multiples at Price Target						
EV / Sales	58.5x	23.2x	12.7x	11.1x	9.4x	8.7x
Cap Rate	0.9%	2.6%	4.5%	5.2%	6.3%	7.0%
EV / EBITDA	298.3x	41.6x	19.5x	16.4x	13.5x	12.4x
Equity / Contracted IT MW	20.3	23.0	23.1	23.2	24.1	25.0
Equity / Portfolio IT MW	5.8	6.6	6.6	6.7	6.9	7.2

Price Target Basis: EV/EBITDA	
EBITDA ('28E)	1,158
Target multiple	19x
Enterprise value	**22,341**
(-) Net debt ('27E)	3,982
(+) Equity Investments ('27E)	0
(+) Capped Call ('27E)	764
Equity value	**19,124**
Shares outstanding ('27E)	809
12mo Price Target	**24**
Current share price	17
% upside/(downside)	41.1%

Source: UBS estimates, company data

Enterprise Value Considerations

Our enterprise value bridge incorporates all shares from convertible notes within our fully diluted share count, partially offset by the reduction to our net debt estimates as well as the value we ascribe to the company's capped calls on its convertibles. Similarly, our assessed share count includes all warrants through the treasury method.

Sum-of-the-parts Framework

To derive a stabilized property value of currently contracted capacity as of YE28, our SOTP framework applies a ~7% cap rate on estimated cash NOI at 2029E from TeraWulf's contracted lease portfolio. We then discount the value of property equity and total WULF equity back to our price target date at 13%, taking into account the execution uncertainty of projects still under development as of our price target date (YE27). Our pipeline valuation includes a ~70% probability ascribed to the 400MW for phase 1 of Muskie, the company's most visible near-term opportunity in our view.

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Figure 30: WULF Implied SOTP

Sum-of-the-Parts

$ in millions

(1) Contracted Assets

Stabilized NAV	**YE28**	**PV of NAV / Equity**	**YE26**	**YE27**	**YE28**
NTM Cash NOI ('29E)	1,181	% Capacity Delivered	32%	68%	100%
Cap Rate	7.0%	Equity Cost of Capital	17%	13%	10%
Stabilized Property Value	**16,870**	Property Equity	7,198	8,674	9,818
Project Debt	7,052	**Total Equity**	**8,515**	**10,260**	**11,613**
Property Equity	**9,818**				
Corp Net Debt, CIP & Other	-1,795	Contracted IT MW	840	840	840
Total Equity	**11,613**	Property Equity / MW	8.6	10.3	11.7
		Total Equity / MW	10.1	12.2	13.8

(2) Pipeline Assets

Category	**IT MW**	**Probability**	**Disc. Value**	**Value / MW**	**Full Value**	**Value / MW**
Tier 1 Pipeline	400	70%	3,023	7.6	4,318	11
Tier 2 Pipeline	1,682	32%	5,841	3.5	18,158	11
Total Pipeline	**2,082**	**39%**	**8,864**	**4.3**	**22,477**	**11**

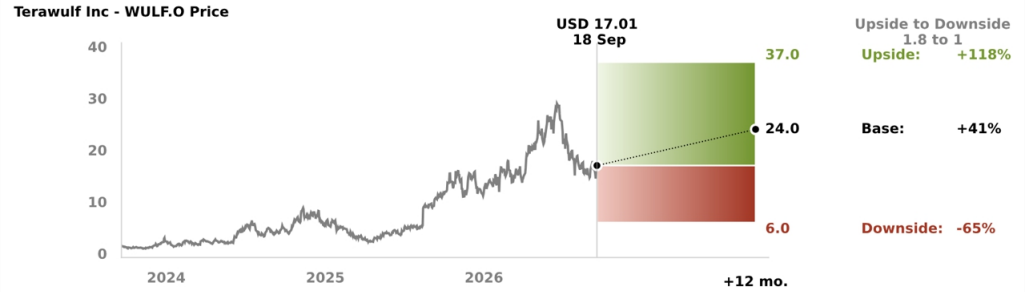
Sum-of-the-parts (as of YE27)

	Value	**Per Share**	**%**
Property Equity	8,674	11	45%
Pipeline Equity	8,864	11	46%
Corp Net Debt, CIP & Other	1,586	2	8%
Total UBS Equity Value	**19,124**	**24**	**100%**

Source: UBS estimates, company data

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UPSIDE/DOWNSIDE SPECTRUM



WULF is trading at $17.01 as of September 18

Value drivers	Operating IT MW (YE27)	EBITDA ('28E)	Leased IT MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$37 upside	600+	~$1.3B+	~2,100	~$3.2B	~$10M
$24 base	570	~$1.2B	~1,400	~$2.0B	~$6.5M
$6 downside	~400	~$900m	840	~$1.2B	~$2M

Source: UBS

Risk to the current share price is skewed 1.9:1 to the upside

UPSIDE ($37): Our upside case assumes TeraWulf executes on pre-leasing roughly half of its current development pipeline, bringing total leased capacity to ~2.1GW. Assuming similar economics as recent lease agreements, we estimate this would support ~$2.0B of incremental cash NOI at stabilization (~$3.2B in total) after additional capex requirements of ~$14B. Applying a 6.5% cap rate, consistent with recent historical valuations for hyperscale data center assets, we arrive at an upside per share price of $37.

BASE ($24): Our base assumes TeraWulf's leased portfolio is delivered on time and schedule, supporting a ramp in revenue recognition and all leased assets reaching stabilization by mid year 2028. We include an additional 550MW of leased capacity (~30% pipeline conversion) in our outer year estimates. Our price target is based 19x 2028 EBITDA, and implies ~55% of equity value ascribed to corporate and contracted assets and ~45% to pipeline opportunities.

DOWNSIDE ($6): Our downside case assumes <6 month delays for capacity deliveries and a ~150bps increase in yields and cap rates. This would drive downside to our 2028 estimates and weigh on the multiple and risk premium. We assume ~11x EBITDA, the low end of the historical range for data center comps, on lowered estimates for a downside per share price of $6.

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UBS Research THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can APLD scale to 2GW+ with improved economics on future lease agreements?
Yes. The acceleration in leasing velocity earlier this year improved APLD's tenant mix while bringing contracted capacity to 1.41GW. Our outer year estimates reflect an additional ~700MW (~25% conversion of existing pipeline), supporting total operational capacity of 2.1GW by YE F30. With contracted capacity already at significant scale, we expect a shift towards improved economics for future lease signings (UBSe rental rates of $130/kw/mo vs. recent signings at ~$112 and current market at $130-160). We expect this to drive total revenues of $3.4B in F29 vs. Street $3.2B.

Q: Can APLD deliver on contracted capacity and generate $1B+ of EBITDA in F2028?
Yes. The company has demonstrated early execution with 175MW of on-time capacity deliveries for CoreWeave. We expect operating capacity to reach ~600MW by YE F27, and ~1.3GW by YE F28. We forecast HPC Hosting segment NOI of ~$1.36B in F28E, supporting total company EBITDA of $1.2B+ vs. Street's ~$1.1B.

UBSVIEW

We are initiating coverage of APLD with a Buy rating. We believe APLD shares offer investors upside catalysts through a platform that has already demonstrated credibility across lease signings and delivery of AI data center capacity at scale. We see new lease signing potential in the near-term through tenant expansion options that should also bring improved economics, highlighting the value of a substantial development pipeline that extends across greenfield sites, existing campus expansions and progress towards on-site generation. More than other HPC colocation stocks, we see an opportunity for risk premium reduction and multiple expansion through (1) a shifting tenant base from entirely high-yield today to majority investment grade by early '28, (2) refinancing opportunities across the debt stack and the Macquarie partnership as projects reach stabilization and (3) an eventual REIT conversion. Shares also provide optionality through the scaling and a potential separation of majority owned GPU cloud ChronoScale.

EVIDENCE

Applied Digital has signed 1.41GW of IT leases, including 400MW with CoreWeave, 200MW with Oracle and 810MW with an high IG hyperscaler (UBSe Meta). The deals represent average annual revenue of ~$2.4B and NOI of ~$2.1B, or UBSe ~$1.7B of cash NOI at initial stabilization. The company has delivered 175MW of capacity, representing 44% of CoreWeave commitments and ~12% of total contracted capacity. Additional pipeline opportunities include an estimated ~2.7GW IT across sites with land under control or executed utility agreements, on-site generation through Base Electron and existing miner colocation capacity.

WHAT'S PRICED IN?

Applying a ~7% cap rate to leased assets, we estimate APLD shares trade at a ~20% premium to the value of currently contracted assets, effectively giving credit for delivery execution but little value for expansion opportunities. We see APLD as a prime candidate for REIT conversion over the next few years given the significant scale of its contracted portfolio and legacy colocation business. Shares trade at a ~30% discount to established data center REITs.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	Operating IT GW (YE F28)	EBITDA (F28-29)	Leased IT GW	Cash NOI at Stabilization	Equity Value / Portfolio IT MW
$61 upside	~1.4	$1.8B+	2.6+	~$3.5B	~$6M
$38 base	~1.3	~$1.7B	2.1	~$2.6B	~$3.5M
$9 downside	~1.0	~$1.4B	1.4	~$1.7B	~$1M

Source: UBS

COMPANY DESCRIPTION

Applied Digital began as a provider of hosting infrastructure for cryptocurrency miners. The company has repositioned itself as a digital infrastructure operator, developing and operating data centers designed for AI and high-performance computing workloads.

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PIVOTAL QUESTIONS

Q: Can Applied Digital scale to 2GW+ and achieve improved economics on future lease agreements?

UBSVIEW

Yes, Applied Digital has already demonstrated credibility across lease signing execution and an ability to deliver AI data center capacity at scale. We see near-term new lease potential through ~250MW of existing tenant expansion options that should drive improved economics and the value of a substantial overall development pipeline that encompasses greenfield sites, existing campus expansion opportunities and early progress towards on-site generation through Base Electron (UBSe ~2.7GW IT pipeline). Our outer year estimates reflect an additional ~700MW (~25% conversion of existing pipeline), supporting total operational capacity of 2.1GW by YE F30. With the acceleration in leasing velocity earlier this year (810MW from April-June with a high investment-grade tenant), we expect Applied Digital's tenant mix to reach majority investment grade by early 2028. Along with an eventual REIT conversion and refinancing opportunities across the debt stack and Macquarie partnership, we see an opportunity for risk premium reduction and multiple expansion.

EVIDENCE

Applied Digital has signed 1.4GW of IT leases, including 400MW with CoreWeave, 200MW with Oracle and 810MW with an high IG hyperscaler (UBSe Meta). These deals represent average annual revenue of ~$2.4B and NOI of ~$2.1B, or~$1.7B of NOI in the initial years at stabilization. The company has delivered 175MW of AI/HPC capacity, representing 44% of commitments for CoreWeave and ~12% of total contracted capacity. Additional pipeline opportunities include an estimated ~3.9GW gross, or ~2.7GW IT across sites with land under control and/or executed utility agreements, on-site generation through Base Electron (partially-owned/aligned Independent Power Producer) and existing miner colocation capacity.

WHAT'S PRICED IN?

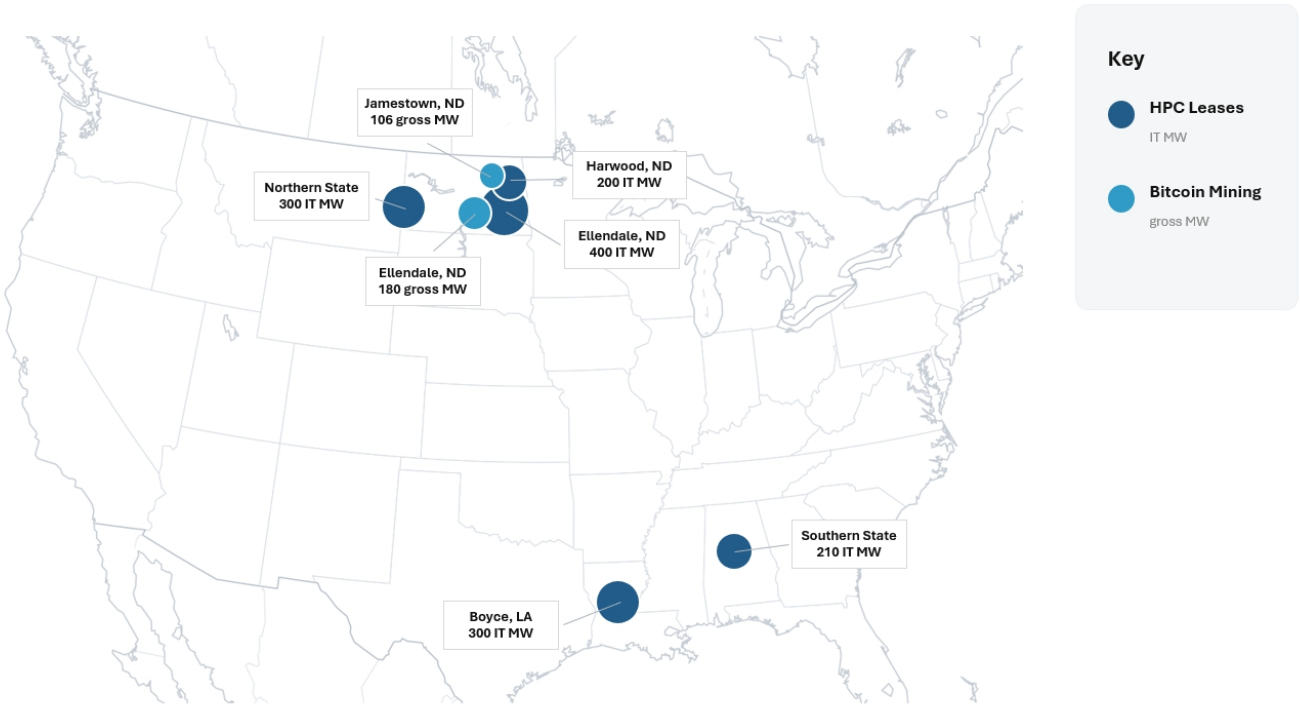
Applying a ~7% cap rate to leased assets, we estimate APLD shares trade at a ~20% premium to the value of the contracted assets, effectively giving the company credit for delivery execution but little value ascribed to future lease opportunities.

Applied Digital: Exceptional leasing momentum and early delivery execution

Unlike other miners in our coverage, Applied Digital was historically not exposed to bitcoin self-mining, but rather operated (and continues to do so) a more traditional colocation business model through purpose built mining facilities where the end tenants are miners. This legacy created a valuable foundation and footprint for AI infrastructure given access to inexpensive and scaled power at legacy campuses in North Dakota. More recently, Applied has demonstrated an ability to scale its platform beyond North Dakota with new lease agreements in Louisiana and a second Southeast location that appears to be in Alabama. The pace of leasing activity has been particularly impressive, with 1.41GW of IT load leased in <1.5 years - the strongest momentum across our AI/HPC colocation coverage (for reference scaled operator Digital Realty with a ~20 year track record currently operates ~1.7GW of wholesale data center capacity and 3GW of total leased capacity across wholesale/retail footprints). Applied's leases represent ~$36B of contracted base revenues over 15-year initial terms, or ~$2.4B of revenue and ~$2.1B of NOI on average annually.

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Figure 31: Applied Digital Data Center Footprint



Source: UBS, company data

HPC/AI facilities are generally designed as 100-150MW data centers capable of supporting 250kW racks for both training and inference workloads, with flexibility to deploy air- or liquid-cooling architectures. In addition to scaled facilities, the company's main North Dakota campus offers a differentiated value proposition relative to both traditional data center markets and newer AI infrastructure hubs. Electricity prices are ~24% below the national average while the cooler climate supports more efficient operations, with Applied Digital targeting a PUE of 1.15 versus ~1.4 in warmer regions such as Texas. Relative to major data center markets such as Northern Virginia, we estimate this translates to $40-60M of annual power cost savings for a 100MW IT deployment or 2-3% of incremental operating margin capture for the end cloud service provider/tenant.

These advantages are offset by weaker network density and higher latency relative to traditional data center hubs, which may reduce the range of workloads suitable for deployment over time while introducing renewal risk at lease expiration. Assuming 2-milliseconds round-trip latency per 100 miles, we estimate ~10% of the U.S. population resides within 10 milliseconds of North Dakota, though ~1/3 is reachable within 20 milliseconds, sufficient for most applications today. In our view, the willingness of three separate tenants to sign leases in the region provides evidence that large-scale AI customers continue to value power availability above geographic proximity for many workloads.

Contracted Lease Portfolio: Improving tenant quality as velocity accelerates

Over the past 18 months, Applied Digital's lease portfolio has evolved from CoreWeave-backed deployments at its Ellendale campus to a more diversified tenant base that now includes investment-grade and high investment-grade counterparties. In our view, the improvement in both the quality and risk profile of the company's contracted revenue stream demonstrates an ability to replicate its model and expand into a scaled data center platform over time.

The company's initial AI/HPC lease at **Polaris Forge 1** was signed with **CoreWeave** in mid-2025 and included 250MW of IT load and later expanded by an additional 150MW, bringing total commitments to 400MW. Unlike several other miner-backed leases with high-yield or non-rated neocloud tenants, the CoreWeave agreements do not include an investment-grade backstop for lease or financing obligations. Applied raised $2.35B of

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senior notes at an initial YTM of 10% to fund construction of a second building for CoreWeave, secured by both this new facility and the 100MW building that was already developed. That said, credit quality has improved as the leases were restructured through a CoreWeave SPV that achieved an investment-grade rating, supported by an investment-grade offtaker of the underlying cloud capacity over ~5 years, and yields on these notes were recently trading in the mid ~7% range. Applied Digital raised $1.59B of senior notes to fund the remaining 150MW CoreWeave commitment with an initial yield of 7.00%, highlighting the improved credit profile of the leases. For this development, the company has an MOU to assign the lease to a CoreWeave subsidiary if it similarly achieves an IG rating.

Polaris Forge 2 represents Applied Digital's first lease with an investment-grade tenant in **Oracle** for a total of 200MW IT at the Harwood, ND campus near Fargo. Construction at the site includes two 150MW building, or 300MW of total IT capacity, providing the tenant with an option for an additional 100MW. The lease was signed in October 2025, and the lack of exercised expansion option to date aligns with Oracle's broader capacity digestion earlier this year. Our conversations with private operators have recently indicated a pick up in conversations with Oracle and Applied Digital management has similarly suggested the option is close to finalization.

The company's leasing activity accelerated further with **Delta Forge 1**, a 300MW lease announced in April 2026 at the first campus outside of North Dakota in Boyce, Louisiana. This transaction began a two-month period in which Applied Digital signed 810MW of leases with the same high investment-grade hyperscale customer that disclosures from Data Center Hawk suggest is **Meta**. This would also be consistent with the broader acceleration in Meta's third-party leasing activity during 1H26 that totalled a staggering 4.0GW.

Delta Forge 1 was followed by a 300MW lease at **Polaris Forge 3** with the location only disclosed as a Northern State, which Data Center Hawk suggests is near Bismarck, ND. The company also announced **Delta Forge 2**, a 210MW lease with the same customer in a new Southern State that appears to be Alabama per DC Hawk.

Figure 32: Applied Digital Signed Leases ($Ms)

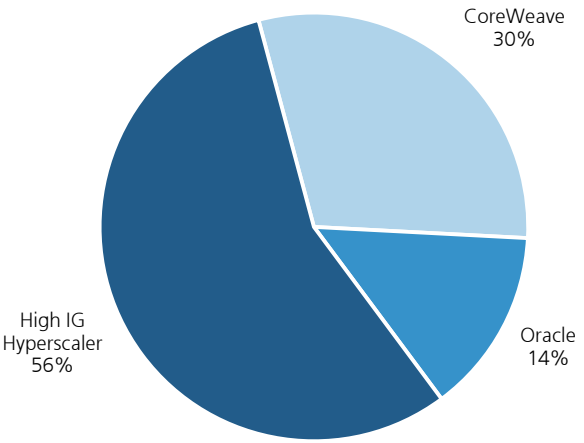
Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Year 1 Yield
Polaris Forge 1	Ellendale, ND	250	CoreWeave	5/28/2025	15 Years	Modified Gross	7,000	467	1.51	6,160	411	1.32	3,000	11%
Polaris Forge 1	Ellendale, ND	150	CoreWeave	8/29/2025	15 Years	Modified Gross	4,000	267	1.43	3,520	235	1.26	1,800	11%
Polaris Forge 2	Harwood, ND	200	Oracle	10/22/2025	15 Years	Modified Gross	5,000	333	1.39	4,300	287	1.20	2,400	10%
Delta Forge 1	Boyce, LA	300	High IG	4/23/2026	15 Years	Modified Gross	7,500	500	1.34	6,375	425	1.14	3,600	10%
Polaris Forge 3	Bismarck, ND	300	High IG	5/20/2026	15 Years	Modified Gross	7,500	500	1.34	6,375	425	1.14	3,600	10%
Delta Forge 2	Brookwood, AL	210	High IG	6/8/2026	15 Years	Modified Gross	5,200	347	1.33	4,420	295	1.13	2,520	9%
Applied Digital		**1,410**			**15 Years**		**36,200**	**2,413**	**1.39**	**31,150**	**2,077**	**1.19**	**16,920**	**10%**

Source: UBS, company data; Total revenue and NOI figures based on initial contract length

The acceleration in leasing velocity has quickly shifted Applied Digital's contracted portfolio from a higher risk and concentration to direct neocloud exposure, to majority high investment grade. At stabilization, we estimate a tenant mix of 56% Meta (AA-), 14% Oracle (-BBB) and 30% CoreWeave (B+).

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Figure 33: Tenant Mix by Estimated NOI at Stabilization

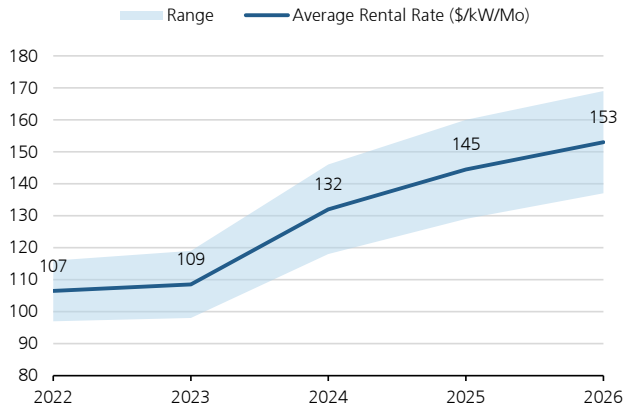


Source: UBS estimates, company data

The company's leases use modified-gross structures, with electricity treated as a full pass-through. Deal disclosures suggest a blended NOI margin of ~86% (range of 85-88% plus or minus 3 points across deals) and management expects capex at $11-13M/MW across all developments. Expected economics on incremental leases have trended lower, with estimated year one development yields moving from ~11% in the CoreWeave leases, to ~10% for Oracle and ~9-10% for Meta. We view this as reasonable given the improving tenant quality and lower credit risk embedded in more recent contracts and Applied's ability to quickly shift the overall risk profile of the business through these leases. Yields are also lower than those implied at HPC/AI colocation peers, but are broadly consistent with those disclosed by public and private wholesale peers. Differences in management disclosures on capex can drive large variances, making the comparisons less than perfect.

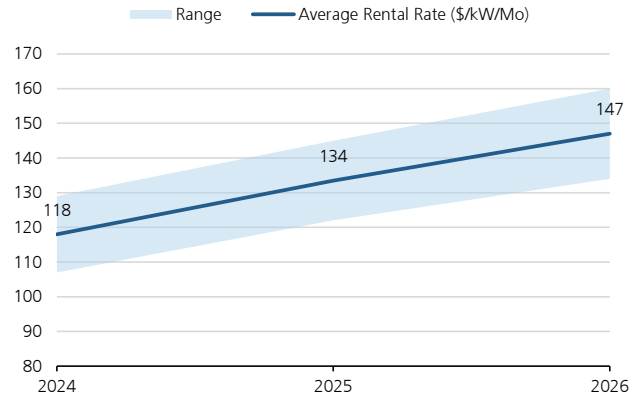
Management has more recently indicated that its underwriting includes a degree of conservatism and that projects could outperform stated economics. For example, Applied Digital reported a 91% NOI margin in the F4Q May quarter and management noted that the high end of its $11-13M/MW range includes initial campus development costs such as substations and transmission infrastructure, suggesting lower build costs for subsequent phases of campus expansion. Similarly, management has also indicated that the next wave of leases should reflect improved pricing given tightening supply-demand dynamics, which is generally consistent with Data Center Hawk indications for upward momentum in hyperscale rental pricing.

Figure 34: Hyperscale Rental Rates (25-100MW)



Source: UBS, Data Center Hawk

Figure 35: Hyperscale Rental Rates (>100MW)



Source: UBS, Data Center Hawk

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We estimate base rental rates on Applied Digital's most recent leases at ~$112/mo/kw vs. current market rental rates for 100+ MW transactions across the U.S. in the ~$130-160/kw/mo range. For subsequent lease signings reflected in the outer years of our forecast, we incorporate initial rental rates of ~$130, as we expect tertiary locations to continue to see discounted rental rates relative primary and secondary data center locations. This would still represent a 15-20% premium to the recent lease agreements and bring developments yields up ~200bps to ~11.5% (or 12.5% at the low-end of management's capex range).

Delivery Progress: Hitting milestones but big tests ahead

Applied Digital remains in the early stages of its transition toward AI/HPC colocation but has thus far executed on 175MW of IT deliveries representing ~12% of contracted capacity, with remaining deliveries extending through the end of 2028. Early execution includes progress at the **Polaris 1** campus with the first 100MW building delivered in November 2025 and the initial 75MW phase for the second building in early July 2026. The first capacity block took 24 months from construction start to RFS, while the second building reached initial delivery in under 12 months, highlighting improved execution velocity. Updates from the F4Q earnings call were also constructive, with management indicating that all active construction projects remain on time and on budget.

Figure 36: Applied Digital Estimated Delivery Timeline

Applied Digital — Announced | Delivered | Target | Delay

Site	Building	Tenant	Location	IT MW	Announce to Deliver	IT MW / Mo	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Polaris Forge 1	Building 2	CoreWeave	Ellendale, ND	100	16 Months	6.3																
	Building 3 - P1	CoreWeave	Ellendale, ND	75	13 Months	5.8																
	Building 3 - P2	CoreWeave	Ellendale, ND	75	19 Months	7.9																
	Building 4	CoreWeave	Ellendale, ND	150	22 Months	6.8																
									100	100	100	175	175	250	250	400						
Polaris Forge 2	Building 1	Oracle	Harwood, ND	150	17 Months	8.8																
	Building 2	Oracle	Harwood, ND	50	20 Months	10.0																
											0	0	0	0	150	200						
Delta Forge 1	Building 1	Hyperscaler #2	Boyce, LA	150	19 Months	7.9																
	Building 2	Hyperscaler #2	Boyce, LA	150	26 Months	11.5																
													0	0	0	0	0	150	150	300		
Polaris Forge 3	Building 1	Hyperscaler #2	Bismarck, ND	150	21 Months	7.1																
	Building 2	Hyperscaler #2	Bismarck, ND	150	28 Months	10.7																
													0	0	0	0	0	0	150	150	300	
Delta Forge 2	Building 1	Hyperscaler #2	Brookwood, AL	210	25 Months	8.4																
													0	0	0	0	0	0	0	210		
Contracted IT Load									100	100	100	175	175	250	400	600	600	750	900	1,260	1,410	1,410
IT Load Delivered									100	100	100	175	175	250	400	600	600	750	900	1,260	1,410	1,410
IT Load Outstanding									1,310	1,310	1,310	1,235	1,235	1,160	1,010	810	810	660	510	150	0	0
Incremental IT Load Delivered									**100**	**0**	**0**	**75**	**0**	**75**	**150**	**200**	**0**	**150**	**150**	**360**	**150**	**0**

Source: UBS estimates, company data

The next major milestones are the remaining 75MW at the second CoreWeave facility at Polaris Forge 1 and **Polaris Forge 2** as part of the 200MW lease with Oracle. Initial phased capacity and RFS for Oracle is October 1 (per rating agency documents) and we believe the company's lease commitments generally entail 25MW capacity blocks that are delivered roughly each month. We view Oracle's potential exercise of the 100MW expansion option at Polaris Forge 2 as an important upcoming catalyst. In addition to representing incremental contracted capacity, the decision would provide further validation that the campus is progressing on schedule and that Applied Digital can convert existing customer relationships into follow-on leasing activity.

Medium-term delivery requirements include the 810MW of leases for the high investment grade tenant, starting with **Delta Forge 1** in Louisiana with delivery windows from mid-2027 to 2028 for the 300MW campus. Given the lease was announced in mid-April, UBS Evidence Lab satellite imagery from July unsurprisingly indicates the site remains in the early stages of development.

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Figure 37: Delta Forge 1 in Boyce, LA

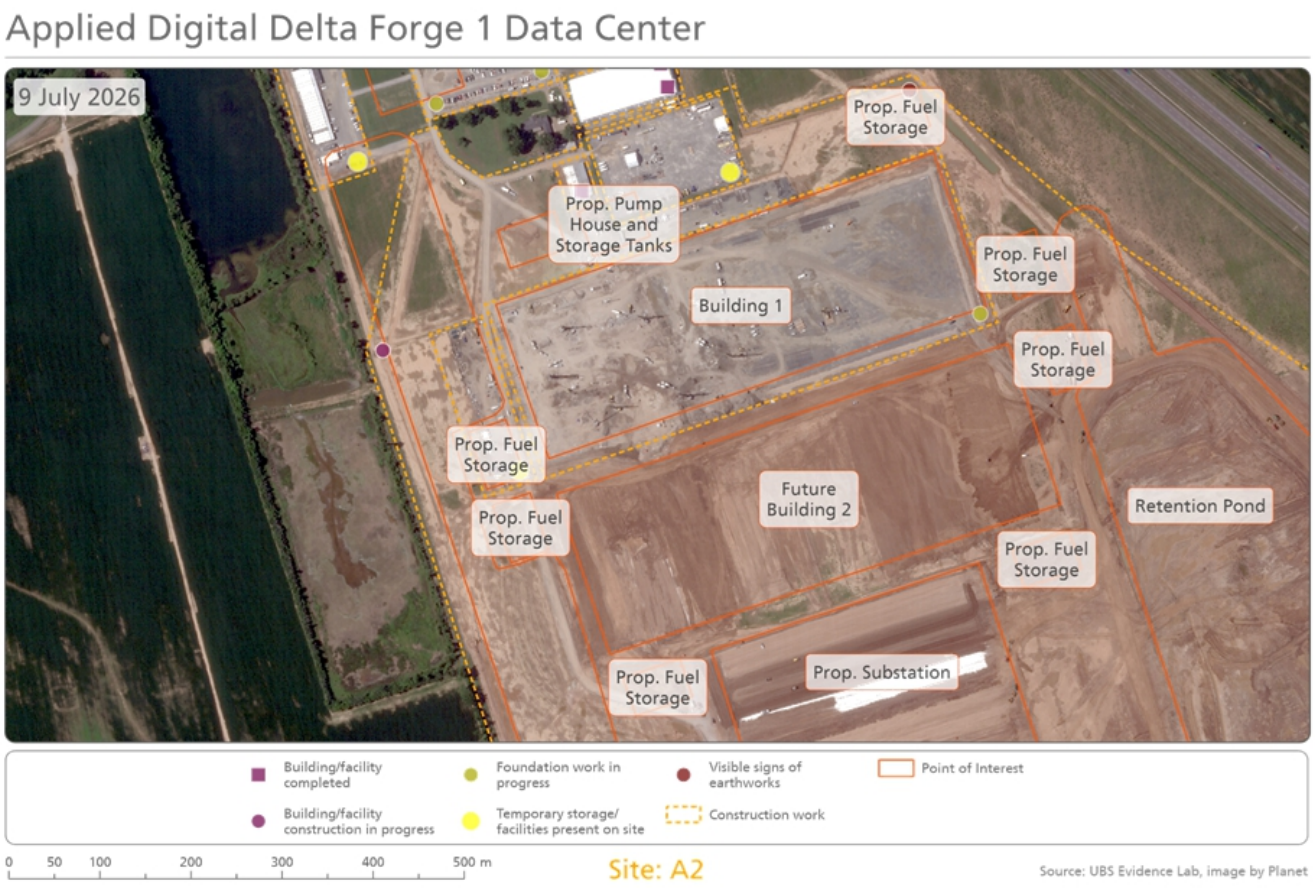


Source: UBS Evidence Lab; image by Planet

The imagery suggests development has progressed beyond initial site clearance and groundworks, with foundation activity appearing underway, particularly for the first building. The scale of the broader site preparation, relative to the apparent location of the two initial data centers in the northern portion of the image, also suggests meaningful expansion optionality over time. While still early, continued visible progress at Delta Forge 1 will be an important diligence point as the project moves toward its initial 2027 delivery window.

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Figure 38: Construction Progress at Delta Forge 1



Source: UBS Evidence Lab; Image by Planet

Project financing for these newer sites across Delta Forge 1, Polaris Forge 3 and Delta Forge 2 has not yet been raised, representing a remaining execution item as the company moves from lease signing toward development funding and capacity delivery. That said, we see relatively lower risks around financing given direct leases with a high investment-grade tenant and lack backstop requirements or structures to raise the capital.

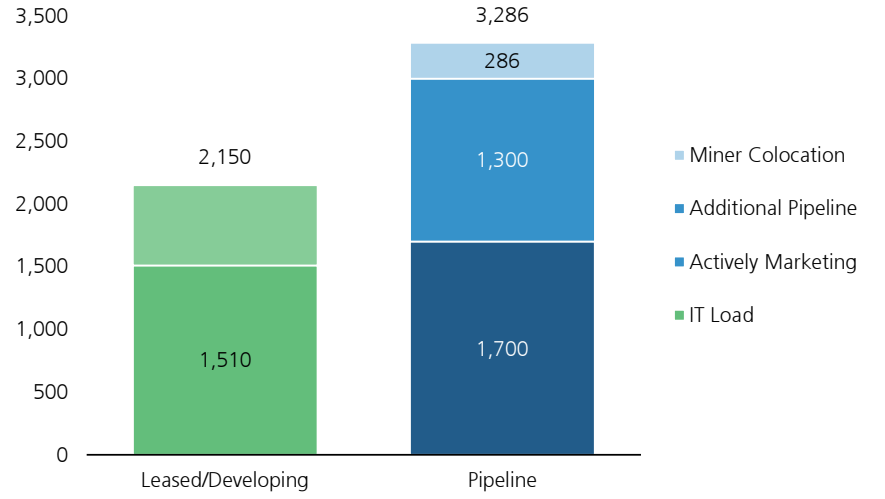
The company's partnership with Macquarie also provides immediate access to financing to advance earlier construction efforts. Macquarie is funding ~2.25M per MW (~18% of total capex requirements), in exchange for receiving preferred dividends at 12.75% annually and 15% common equity ownership at the developments. Management targets ~80% loan-to-cost financing on builds, with Macquarie providing the majority (~85%) of the ~20% equity component, allowing Applied Digital to contribute (or need to raise) very little internal equity for new developments.

Power Pipeline: Multi-GW of leasing optionality, though disclosures limited

Applied Digital provides less site-level detail on its forward pipeline than several peers, though the scale of its disclosed power inventory remains significant. Management discloses a current pipeline of ~3.0GW of utility power where it controls land and/or has executed utility agreements for power delivery. This includes expansion potential at existing campuses with several sites having a path toward 1GW of total capacity and we believe some contribution from the company's on-site generation initiative with Base Electron, which has secured 1.2GW of turbines from Siemens.

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Figure 39: Applied Digital Power Portfolio in Gross MW



Source: UBS, company data

Of the 3.0GW gross capacity, management has indicated that it is actively marketing 1.7GW, with two expansion opportunities appearing most likely to drive the next lease announcements. The first is the additional 100MW IT at Oracle's **Polaris Forge 2** campus while the second encompasses existing tenant expansion options for a third 150MW building at **Delta Forge 1** that management has similarly indicated is in advanced discussions. Given the scale of the Delta Forge 1 campus (as shown in the satellite imagery), further expansion and development appear likely. While the remaining locations within the 'Actively Marketing' category are not disclosed, our conversations with the company indicate they predominantly cover the Southeast but do not include Texas, leaving the company insulated from ERCOT developments. In addition, the company also discloses an extended pipeline of 5GW, where it is in early-stage discussions and diligence on land and power availability.

Longer term, management has stated that expansion across existing campuses alone provides visibility to more than 5GW of critical IT load by 2032, implying an incremental opportunity or target of ~700MW annually from 2028-32 that we expect would be contracted developments rather than speculative builds. Applied Digital has also highlighted that its annual build pace is constrained by the supply chain, with management suggesting it can procure ~700MW of IT mechanical and electrical equipment per year.

We estimate the recent leases should support $6.5M per MW of equity value creation, or ~$5.5M taking into account Macquarie's ~15% common unit ownership. Assuming ~20% higher rental rates on subsequent leases, this increases to ~$8.5M per MW of equity value creation or NAV, and ~$2.20 per APLD share for each 100MW. Thus, we estimate the 250MW of current tenant expansion options equates to $5.60 per share, while the full 1.7GW of gross capacity that is being actively marketed (UBSe ~1.2GW IT) could translate into ~$27 per share of value creation.

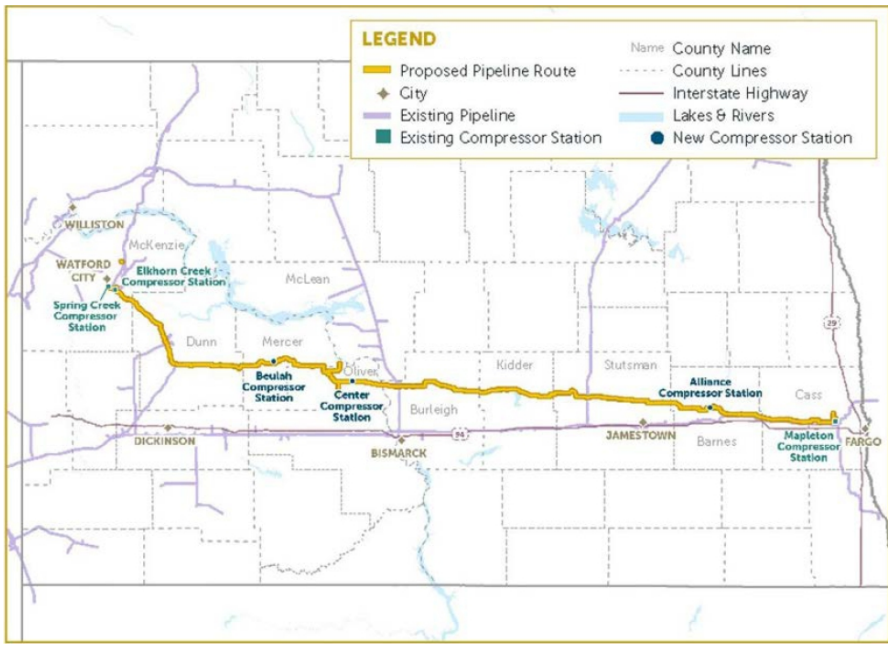
Taking greater control of future power availability through Base Electron

Applied Digital has taken a more proactive approach to future power availability through the formation of Base Electron, a new independent power producer established in collaboration with Babcock & Wilcox and regional utilities. Applied Digital holds a ~10% equity stake in the company, which plans to develop front-of-the-meter, on-grid natural gas generation capacity by tapping into the Bakken East Pipeline Project currently under development by MDU Resources.

Base Electron has secured 1.2GW of generation capacity through four 300MW Siemens turbines, suggesting potential IT load of ~800MW. We believe only a portion of this capacity is included in the company's disclosed 3.0GW of pipeline capacity, suggesting further upside to pipeline disclosures in time. Base Electron is also evaluating an option for an additional 1.2GW of generation capacity.

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Figure 40: Bakken East Pipeline Project



Source: Applied Digital

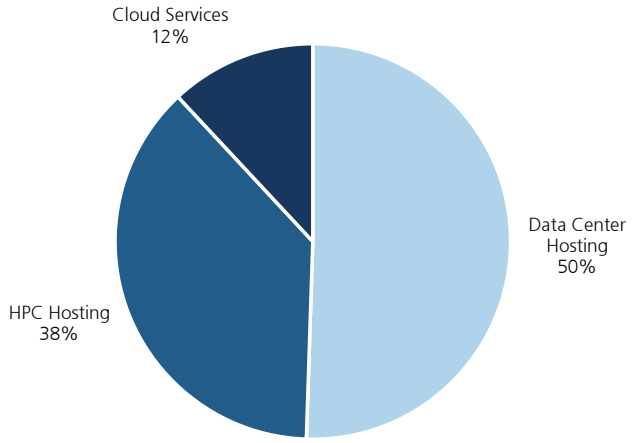
Management has suggested that initial Base Electron capacity could begin ramping in 2029/30, aligning with the targeted in-service dates for the Bakken East Pipeline. Phase 1, running from northern North Dakota to central North Dakota, has a targeted in-service date of November 2029. Phase 2, running from central to eastern North Dakota (ending near the Fargo/Harwood area), has a targeted in-service date of November 2030. While still early, Base Electron provides Applied Digital with an additional pathway to secure future power availability, reduce reliance on utility-driven timelines and support longer-term campus expansion.

Business Mix: HPC Colocation ramping, optionality in GPU cloud

Colocation services for bitcoin mining customers (Data Center Hosting segment) historically represented the majority of company revenue, but we expect that contribution to decline rapidly as contribution from AI/HPC data center leases (HPC Hosting segment) ramp. The Data Center Hosting assets in Jamestown and Ellendale, North Dakota offer access to low cost and scaled power at 286MW, though management has generally not indicated plans to repurpose these legacy facilities given the attractive yields they continue to generate.

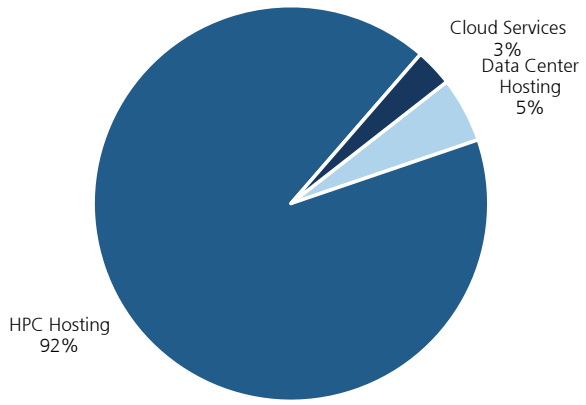
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Figure 41: Revenue Mix F2026



Source: UBS, company data Notes: Fiscal year ending May, HPC hosting revenues exclude one-time tenant fit out revenues

Figure 42: Revenue Mix F2029E



Source: UBS estimates, company data

Optionality in GPU Cloud through ChronoScale

Applied Digital also maintains some exposure to the GPU cloud market through ChronoScale, its cloud services platform. While ChronoScale was recently separated and publicly listed under the ticker CHRN, the company retains a 96% ownership stake and continues to consolidate the business within its financial statements. Over time, we expect the platform to become more fully separated given significantly different business models, investor bases and capital requirements required to scale a GPU cloud business. We also believe this plays into a potential REIT conversion as qualifying income extends only to colocation rental revenues.

That said, ChronoScale provides optionality and a potential catalyst. ChronoScale currently generates $70-80M of annual revenues but recently secured at 50MW AI compute deployment with Microsoft for GB300 NVL72 systems. Details were limited, but this alone could equate to $0.5-1.0B of annual revenues assuming pricing consistent with recent long-term offtake deals at $10-20M per MW annually. Should additional scaled opportunities materialize, we see a scenario in which ChronoScale becomes a tenant of Applied Digital's HPC infrastructure platform, effectively creating an internal demand channel for future capacity while providing exposure to both sides of the AI value chain.

UBS Forecasts for Applied Digital

We forecast Applied Digital's total revenue increasing from $940M in FY27E to $3.17B by FY29E, including $580M / $2.5B+ of base rental revenue under straight-line accounting as AI/HPC lease commencements ramp. Relative to currently leased capacity, our forecasts include an incremental 200MW of leased capacity commencing by YE F29 and an incremental 500MW in F30. We assume 88% NOI margins for the HPC segment, driving total company EBITDA (excluding ChronoScale, consistent with management reporting), from ~$450M in FY27E to ~$2.2B in FY29E, with total company margins reaching 65%. We estimate total capex of ~$18B from FY27E-29E.

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Figure 43: Applied Digital Summary Financials

	Aug-25	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	May-24	May-25	May-26	May-27	May-28	May-29	May-30	May-31
$ in Ms unless noted	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**F2024**	**F2025**	**F2026**	**F2027E**	**F2028E**	**F2029E**	**F2030E**	**F2031E**
Operating MW	286	419	419	419	518	684	849	1,084	286	286	419	1,084	2,121	2,529	3,246	3,246
Data Center Hosting	38	42	38	37	40	43	39	38	137	144	154	160	165	170	175	180
HPC Hosting	26	85	71	203	93	131	198	277	0	0	385	700	1,907	3,145	4,020	4,603
Cloud Services	0	0	18	18	19	20	20	22	29	71	36	81	90	92	93	94
Revenues	**64**	**127**	**127**	**259**	**153**	**194**	**257**	**337**	**166**	**216**	**576**	**941**	**2,162**	**3,407**	**4,287**	**4,876**
Cost of Revenues (excl. D&A)	52	92	53	199	52	68	84	108	68	109	395	312	666	981	1,229	1,392
Gross Profit	**13**	**34**	**74**	**60**	**101**	**127**	**173**	**230**	**98**	**106**	**181**	**630**	**1,496**	**2,426**	**3,059**	**3,485**
Gross Margin	20%	27%	58%	23%	66%	65%	67%	68%	59%	49%	31%	67%	69%	71%	71%	71%
SG&A	29	57	80	165	64	60	62	64	100	95	331	250	269	288	310	325
As % of Revenues	45%	45%	63%	64%	42%	31%	24%	19%	60%	44%	57%	27%	12%	8%	7%	7%
Adj. EBITDA	**1**	**20**	**44**	**42**	**65**	**83**	**127**	**182**	**23**	**52**	**107**	**455**	**1,289**	**2,200**	**2,812**	**3,226**
EBITDA Margin	1%	16%	35%	16%	42%	43%	49%	54%	14%	24%	19%	48%	60%	65%	66%	66%
Capex	249	552	775	1,289	657	1,550	2,049	2,057	142	682	2,866	6,313	7,456	4,649	4,273	153
Free Cash Flow	-331	-568	-720	-1,157	-618	-1,560	-2,039	-2,007	-131	-797	-2,776	-6,224	-7,087	-3,963	-3,224	1,065
Net Debt adj. for ITM Convertibles	123	38	314	727	1,202	2,370	4,416	5,931	101	301	727	5,931	12,928	16,833	20,063	19,568
LQA Net Leverage	57.4x	0.5x	1.8x	4.3x	4.7x	7.2x	8.7x	8.2x	4.4x	5.7x	6.8x	13.0x	10.0x	7.7x	7.1x	6.1x
HPC Hosting																
Operating MW	0	133	133	133	232	398	563	798	0	0	133	798	1835	2,243	2,960	2,960
PUE	0.00	1.33	1.33	1.33	1.33	1.33	1.33	1.33	0.00	0.00	1.33	1.33	1.38	1.39	1.40	1.40
Operating IT MW	0	100	100	100	175	300	425	600	0	0	100	600	1,325	1,610	2,110	2,110
Core Rental Rate ($ / kW / Mo)	0	80	147	147	195	153	151	149	0	0	147	162	135	146	147	148
Lease Revenues	0	12	44	44	80	109	164	228	0	0	100	582	1,559	2,564	3,279	3,760
Tenant Fit out	26	73	19	152	0	0	0	0	0	0	271	0	0	0	0	0
Power Pass Through & Other	0	0	8	7	13	22	34	49	0	0	15	118	348	581	741	843
Total Revenues	**26**	**85**	**71**	**203**	**93**	**131**	**198**	**277**	**0**	**0**	**385**	**700**	**1,907**	**3,145**	**4,020**	**4,603**
Net Operating Income	**1**	**11**	**41**	**40**	**72**	**95**	**145**	**201**	**0**	**4**	**92**	**512**	**1,365**	**2,265**	**2,894**	**3,316**
NOI Margin	-12750%	90%	93%	90%	90%	87%	88%	88%	0%	0%	92%	88%	88%	88%	88%	88%
Data Center Hosting																
Operating MW	286	286	286	286	286	286	286	286	286	286	286	286	286	286	286	286
Revenues / kW / Mo	46	51	46	46	49	52	47	47	62	48	47	49	50	52	54	55
Revenues	**38**	**42**	**38**	**37**	**40**	**43**	**39**	**38**	**137**	**144**	**154**	**160**	**165**	**170**	**175**	**180**
Net Operating Income	**11**	**20**	**18**	**16**	**13**	**16**	**12**	**11**	**51**	**57**	**64**	**52**	**57**	**60**	**63**	**66**
NOI Margin	29%	48%	48%	42%	33%	37%	30%	30%	37%	39%	42%	33%	35%	35%	36%	37%
Revenue Mix %																
Data Center Hosting	59%	33%	30%	14%	26%	22%	15%	11%	83%	67%	27%	17%	8%	5%	4%	4%
HPC Hosting	41%	67%	56%	78%	61%	68%	77%	82%	0%	0%	67%	74%	88%	92%	94%	94%
Cloud Services	0%	0%	14%	7%	13%	10%	8%	6%	17%	33%	6%	9%	4%	3%	2%	2%
MW Capacity Mix %																
Data Center Hosting	0%	32%	32%	32%	45%	58%	66%	74%	0%	0%	32%	74%	87%	89%	91%	91%
HPC Hosting	100%	68%	68%	68%	55%	42%	34%	26%	100%	100%	68%	26%	13%	11%	9%	9%

Source: UBS estimates, company data

Figure 44: UBS Estimates vs. Street

	Street	UBSe	Street	UBSe	Street	UBSe
	May-27	May-27	May-28	May-28	May-29	May-29
$ in Ms	**2027E**	**2027E**	**2028E**	**2028E**	**2029E**	**2029E**
Data Center Hosting	165	160	186	165	238	170
HPC Hosting	603	700	2,074	1,907	3,365	3,145
Cloud Services	83	81	101	90	-	92
Total Revenues	**809**	**941**	**2,125**	**2,162**	**3,230**	**3,407**
Gross Profit (incl. D&A)	312	419	1,044	908	1,649	1,475
Gross Margin	38.5%	44.5%	49.1%	42.0%	51.1%	43.3%
Adj. EBITDA	**304**	**455**	**1,115**	**1,289**	**1,777**	**2,200**
EBITDA Margin	37.6%	48.4%	52.5%	59.6%	55.0%	64.6%
Capex	5,898	6,313	5,828	7,456	4,741	4,649

Source: UBS estimates, Visible Alpha, company data

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Initiating Coverage of APLD with a Buy Rating

We are initiating coverage of APLD with a Buy rating and 12-month price target of $38. Our valuation applies a 16x multiple to our average FY28-29E EBITDA estimate (~calendar 2028), near the low end of the historical range for larger data center platform peers. We believe this is warranted given the company's current concentration to direct neocloud tenants and still early stage of development (particularly for the longer-dated deliveries with the high investment-grade tenant). This is balanced against a demonstrated ability to deliver scaled AI data center infrastructure, more favorable geographic mix compared to peers (including no exposure to Texas) and the strongest leasing volumes across the HPC/AI colocation group.

Figure 45: APLD Price Target Basis

Multiple Based Valuation					
$ in millions	May-27	May-28	May-29	May-30	May-31
	F2027E	**F2028E**	**F2029E**	**F2030E**	**F2031E**
Valuation Drivers					
Revenues	941	2,162	3,407	4,287	4,876
Cash NOI	399	1,097	1,833	2,389	2,818
HPC / Data Center EBITDA	455	1,289	2,200	2,812	3,226
AFFO/sh	0.31	1.52	2.53	3.52	3.85
Contracted IT MW	1,410	1,410	1,410	1,410	1,410
Portfolio IT MW	4,147	4,147	4,147	4,147	4,147
EV Bridge					
Shares outstanding	382	386	389	393	396
Market cap	10,755	10,851	10,946	11,039	11,131
Net debt	5,931	12,928	16,833	20,063	19,568
Chronoscale Equity	498	498	498	498	498
Capped Call	229	229	229	229	229
Series E/E-1 Preferred	63	63	63	63	63
MAM Preferred Equity	3,030	3,530	4,030	4,530	4,530
MAM Common Equity	864	971	1,092	1,229	1,382
Enterprise value	19,916	27,616	32,237	36,197	35,947
Multiples at Current Share Price					
EV / Sales	14.1x	9.2x	8.1x	7.5x	7.4x
Cap Rate	3.0%	5.5%	6.6%	7.4%	7.8%
EV / EBITDA	29.2x	15.5x	12.6x	11.5x	11.2x
P / AFFO	89.8x	18.4x	11.1x	8.0x	7.3x
Equity / Leased IT MW	7.5	7.6	7.7	7.8	7.8
Equity / Portfolio IT MW	2.6	2.6	2.6	2.6	2.7
Multiples at Price Target					
EV / Sales	18.0x	10.9x	9.2x	8.4x	8.2x
Cap Rate	2.4%	4.6%	5.8%	6.6%	7.0%
EV / EBITDA	37.2x	18.3x	14.3x	12.8x	12.4x
P / AFFO	120.9x	24.8x	15.0x	10.7x	9.8x
Equity / Leased IT MW	10.1	10.3	10.4	10.5	10.5
Equity / Portfolio IT MW	3.4	3.5	3.5	3.6	3.6

Price Target Basis: EV/EBITDA	
EBITDA (F28-29E)	1,744
Target multiple	16x
Enterprise value	**27,560**
(-) Net debt (F27-28E)	9,224
(+) Chronoscale (F27-28E)	498
(+) Capped Call (F27-28E)	229
(-) Series E/E-1 Preferred (F27-28E)	63
(-) MAM Preferred Equity (F27-28E)	3,530
Equity Value	**15,469**
(-) MAM Common Equity (F27-28E)	925
Equity to APLD Shareholders	**14,545**
Shares outstanding (F27-28E)	384
12mo Price Target	**38**
Current share price	28
% upside/(downside)	34.6%

Source: UBS estimates, company data

The Macquarie Partnership

The funding partnership with Macquarie is sizeable and nuanced, with funding costs not fully set at this point, leaving some uncertainty on Applied Digital's cost of capital and future liabilities. Macquarie's exit option in ~4-5 years is based on the higher of **(1)** a 1.8x MOIC on invested capital at $2.25MW per MW or **(2)** the accreted value of 12.75% dividends on preferred equity invested *plus* the fair market value of Macquarie's common units in Applied Digital's data center development subsidiary, APLD TopCo 2, which owns the company's HPC assets. Initial funding with Macquarie provided a 10% ownership in the common units, while more recent and future projects provide 15% ownership.

To value Macquarie's common units (and thus non-controlling interest to Applied Digital), we apply a ~7% cap rate to cash NOI of contracted assets at stabilization and deduct project debt and Macquarie preferred equity to arrive at a common equity value of the stabilized assets (~86%/~14% owned by Applied Digital and Macquarie). Our approach thus provides a value for Macquarie's stake based on existing contracted assets, and not optionality tied to future platform expansion. Our calculation incorporates **Option #2** (12.75% annual dividends plus ~14% common unit

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ownership),which translates into a high-teens cost of capital for this funding.

Other Enterprise Value Considerations

For in-the-money convertible debt, we include conversion into our diluted share count while reducing corporate net debt and giving credit for the value of the capped calls. Our share count also includes in-the-money warrants held by CoreWeave as part of initial lease agreements. Finally, we separately value Applied Digital's majority ownership in ChronoScale to reflect the distinct financial profile and potential separation value of the GPU cloud business.

Sum-of-the-Parts Framework

To derive a NAV for existing Applied Digital's currently leased assets, we apply a ~7% cap rate on cash NOI at F2029-30E (calendar ~2029). We then discount the value of property equity and total APLD equity back to our price target date (~YE27) at 14%, taking into account the execution uncertainty of projects still under development as of our price target date.

Our pipeline valuation includes a ~70% probability ascribed to the 250MW of expansion options at Polaris Forge 2 and Delta Forge 1, the company's most visible near-term opportunities in our view. Our Tier 2 category includes the remaining development pipeline that is being actively marketed, while our Tier 3 category includes all remaining utility capacity, Bitcoin mining colocation capacity and additional contribution for the Base Electron initiative.

Figure 46: APLD Implied Sum-of-the-Parts

Sum-of-the-Parts

$ in millions

(1) Contracted Assets

Stabilized NAV	**F28-29**
NTM Cash NOI (F29-30E)	1,742
Cap Rate	7.0%
Stabilized Property Value	**24,890**
Project Debt	14,090
MAM Preferred Equity	3,530
Property Equity	**7,270**
MAM Common Equity	1,030
APLD Property Equity	**6,240**
Corp Net Debt, CIP & Other	-2,024
APLD Total Equity	**8,263**

PV of NAV / Equity	**YE F26-27**	**YE F27-28**	**YE F28-29**
% Capacity Delivered	21%	60%	100%
Equity Cost of Capital	18%	14%	10%
APLD Property Equity	4,491	5,475	6,240
Total Equity	**5,948**	**7,250**	**8,263**
Contracted IT MW	1,410	1,410	1,410
Property Equity / MW	3.2	3.9	4.4
Total Equity / MW	4.2	5.1	5.9

(2) Pipeline Assets

Category	**Gross MW**	**IT MW**	**Value**	**Value / MW**	**Probability**	**Full Value**	**Full Value / MW**
Tier 1 Pipeline	355	250	1,527	6.1	70%	2,182	9
Tier 2 Pipeline	1,345	947	2,480	2.6	30%	8,267	9
Tier 3 Pipeline	2,186	1,539	3,287	2.1	24%	13,437	9
Total Pipeline	**3,886**	**2,737**	**7,294**	**2.7**	**31%**	**23,886**	**9**

Sum-of-the-parts (as of YE27)

	Value	**Per Share**	**%**
Property Equity	5,475	14	38%
Pipeline Equity	7,294	19	50%
Corp Net Debt, CIP & Other	1,775	5	12%
Total UBS Equity Value	**14,545**	**38**	**100%**

Source: UBS estimates, company data

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UPSIDE/DOWNSIDE SPECTRUM

APLD is trading at $28.12 as of September 18



Value drivers	Operating IT GW (YE F28)	EBITDA (F28-29)	Leased IT GW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$61 upside	1.4	$1.8B+	~2.6+	~$3.5B	~$6M
$38 base	~1.3	~$1.7B	~2.1	~$2.6B	~$3.5M
$9 downside	~1.0	~1.4B	1.4	~$1.7B	~$1M

Source: UBS

Risk to the current share price is skewed 1.7:1 to the upside

UPSIDE ($61): Our upside case assumes Applied Digital leases roughly half of its pipeline, or an additional 1.2GW of IT, bringing total contracted capacity to 2.6GW. Assuming enhanced economics compared to recent transactions (~12% development yields vs. 9-10%), we estimate this would support ~$1.8B of incremental cash NOI stabilization (~$3.5B in total) after additional capex requirements of ~$13B. Applying a 6.5% cape rate, consistent with recent hyperscale data center valuations, we arrive at an upside share price of $61.

BASE ($38): Our base case assumes Applied Digital's leased portfolio is delivered on time and schedule, supporting a ramp in revenue recognition as all leases commence by year-end 2028. Our outer year forecasts incorporate an additional ~700MW of leasing, bringing total leased capacity to 2.1GW. Our price target is based on 16x F2028-29E EBITDA, and implies ~50% of equity value ascribed to corporate and already contracted assets and ~50% to pipeline opportunities.

DOWNSIDE ($9): Our downside case assumes <6 month delays for capacity still set to be delivered after fiscal year 2027 and a further increase in yields. This would drive downside to our medium-term estimates and weigh on the multiple. We assume ~11x EBITDA on lowered F28-29 estimates for a downside share price of $9.

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UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Can CIFR execute on additional lease signings and generate ~$1B in revenues in 2028?
Yes. Cipher's pipeline includes three sites with UBSe ~350MW IT available for lease within the high-value 2027 delivery window. Our forecasts include ~450MW of leased capacity beyond what has already been contracted, including a partial year benefit in 2028. We expect this to drive ~$1.06B of revenues in '28 vs. Street's $1.05B.

Q: Can Cipher Digital generate ~$800M of EBITDA in 2028?
Yes. Our NOI estimate in 2028 is comprised of ~80% from already contracted assets and ~20% from new leases. We forecast ~$850M of EBITDA in 2028 (Factset cons $844M, VA $612M).

UBSVIEW

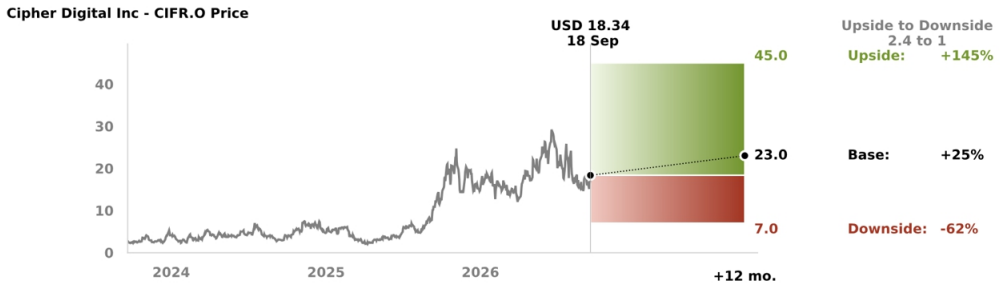
We are initiating coverage of CIFR with a Buy rating. Uncertainty on the timeline to power in Texas has pressured shares recently but we believe the risk-reward is favorable with upcoming catalysts across near-term capacity deliveries, greater pipeline clarity and incremental lease announcements. We believe Cipher has demonstrated solid progression across its successive lease announcements with improvements in lease economics, tenant quality and risk mitigation, supporting an estimated $12-14M per MW of equity value creation. Near-term leasing opportunities alone could drive ~$12 of per share value creation. While regulatory developments in Texas have lowered visibility for Cipher's remaining pipeline, we believe shares currently reflect little-to-no value for these developments, presenting a favorable risk skew as clarity improves.

EVIDENCE

Cipher Digital has signed 493MW IT of leases, including 207MW with Fluidstack/Google and 286MW with Amazon. These deals represent average annual NOI of ~$820M, or UBSe ~$660M of cash NOI at stabilization. Initial capacity for Amazon at the Black Pearl campus was delivered ~2 months ahead of schedule, and UBS Evidence Lab satellite imagery aligns with recent management disclosures on further construction progress for Phase I, with buildings and rooftop installations structurally complete and MEP equipment installed. The 4.6GW development pipeline (~3.2GW IT) is concentrated in Texas and thus largely subject to ERCOT's Batch Zero review. Cipher is moving forward with plans for an incremental 2.5GW of on-site generation, leveraging the region's abundant natural gas resources to expeditate time-to-power.

WHAT´S PRICED IN?

Applying a ~7% cap rate to cash NOI of leased assets, we estimate shares trade at a ~30% premium to the contracted lease portfolio. We believe a premium is warranted given upside potential from incremental near-term lease opportunities.



Value drivers	Operating IT MW (YE28)	EBITDA ('28E)	Leased IT MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$45 upside	700+	$900M+	~1,800	~$2.8B	~$7.0M
$23 base	690	~$850M	~940	~$1.3B	~$3.5M
$7 downside	493	~$640M	493	<$700M	~$1.1M

Source: UBS

COMPANY DESCRIPTION

Cipher Digital was founded as a Bitcoin mining company, building expertise in large-scale power development and digital asset infrastructure. The company has since broadened its strategy toward high-performance computing and data center development, positioning its infrastructure to support long-term hosting and colocation demand from hyperscale customers.

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PIVOTAL QUESTIONS

Q: Can Cipher Digital double its contracted lease portfolio and become a scaled data center platform?

UBSVIEW

Yes. We believe the company has demonstrated strong progression across its successive lease announcements, with improvements in lease economics, tenant quality and risk mitigation, supporting an estimated $12-14M per MW of equity value creation in recent deals. Three sites totalling UBSe 350MW IT are available for lease with availability in 2027, providing a high probability opportunity for incremental lease announcements (with hyperscale pre-leasing windows in the range of ~18 months prior to delivery). The remaining power pipeline represents ~6x the current leased footprint but is subject to regulatory developments in Texas. We believe recent disclosures on Batch Zero classifications is a positive first step towards supporting investor willingness to underwrite expansion opportunities that are receiving little to no valuation credit today.

EVIDENCE

Cipher Digital has signed 493MW of IT leases, representing average annual NOI of ~$820M, or UBSe ~$660M of cash NOI at stabilization. Initial capacity for Amazon at Black Pearl was delivered ~2 months ahead of schedule and UBS Evidence Lab satellite imagery of the campus aligns with management commentary on construction progress, with Phase I buildings and rooftop installations structurally complete and MEP equipment installed. The 4.6GW gross pipeline of un-leased capacity includes 477MW at sites not subject to ERCOT Batch Zero review, ~1GW with conditional Base Load classification, 2.1GW with conditional Studied Load classification and ~1GW subject to future batch reviews. Cipher is also moving forward with plans for an incremental 2.5GW of on-site generation, leveraging abundant natural gas resources in the region to expeditate time-to-power and bypass grid congestion.

WHAT'S PRICED IN?

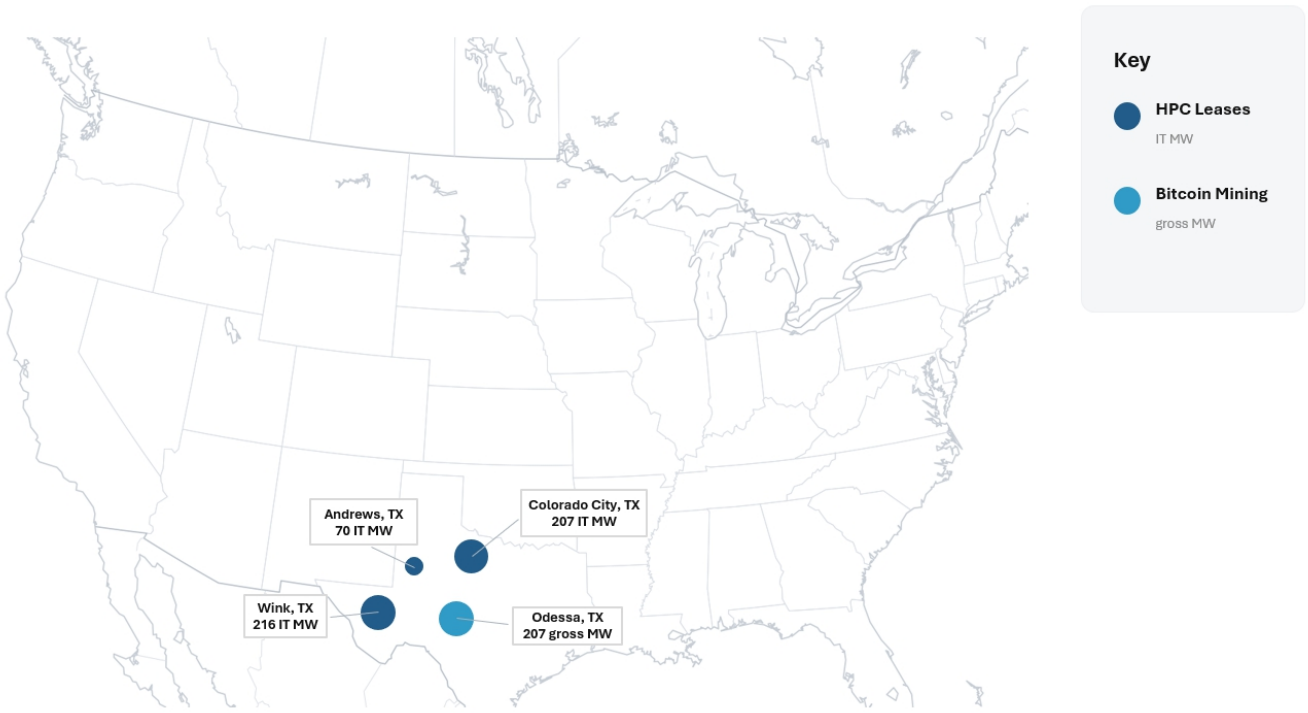
Applying a ~7% cap rate to cash NOI of leased assets, we estimate shares trade at a ~30% premium to the contracted portfolio. We believe this discounts the upside potential from incremental lease opportunities in the relatively near-term.

Cipher Digital: A Texas-sized footprint to ride the AI infrastructure build-out

Cipher Digital represents one of the clearest examples of the mining-to-HPC colocation transition. Since its formation in 2021, the company has assembled a portfolio of sites and grid interconnection positions across Texas, originally envisioned for bitcoin mining but with many attributes that have proven valuable for a pivot to large-scale AI data center development: low-cost and scaled power, abundant land availability for expansion and a conducive operating environment for construction. Cipher has modestly diversified its footprint through the acquisition of a development site in Ohio but remains mostly leveraged to Texas, with ~95% of its 5.3GW operational and development power portfolio located in the state. While this provides a significant platform for future growth, the concentration has more recently resulted in greater uncertainty around the timing and availability of power amid ERCOT's ongoing Batch Zero review process and other regulatory developments in the state.

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Figure 47: Cipher Digital Operating and Leased Data Center Footprint



Source: UBS, company data

To date, HPC/AI colocation leases have been signed across three sites with two tenants through a combination of mining retrofits and greenfield developments. In our view, the progression demonstrated across these agreements highlights the company's ability to secure improved terms across tenant quality, credit support, financing structure, delivery risk mitigation and, most importantly, project economics. Cipher's contracted portfolio currently totals 700MW of gross capacity and 493MW of IT load, reflecting the high ~1.40 PUEs to compensate for the Texas climate. The leases in aggregate represent ~ $11.3B of contracted revenue across 10-15 year durations, equating to ~$880M of annual revenue and ~$820M of NOI on average.

The leased portfolio represents a small portion of the company's power pipeline with ~4.6GW of unleased capacity remaining, or 6x+ the current leased footprint. This includes 477MW of capacity slated for availability in 2027, placing the company within active pre-leasing windows and creating an opportunity to expand its contracted portfolio by ~70% in the relatively near term. The remaining ~4.1GW reflects longer-dated capacity across Texas and remains subject to ERCOT's ongoing batch review process. That said, we believe shares are currently ascribing little-to-no value for pipeline opportunities beyond 2027, providing a positive risk-reward skew as clarity on power allocations and energization timelines improve in the coming months.

Contracted Lease Portfolio: Improving tenant quality and lease economics

Similar to Hut 8 and TeraWulf, Cipher Digital's AI/HPC colocation pivot was catalyzed by **Fluidstack's** aggressive efforts to secure capacity in late 2025. The initial agreement, signed last September, covered 168MW of IT load at the **Barber Lake** campus in Colorado City, Texas. An expansion option was exercised two months later, increasing total leased capacity to 207MW IT (300MW gross), with the option carrying improved economics. We estimate year-one revenue per MW of $1.8M for expansion capacity versus $1.6M in the initial tranche.

The lease carries a similar structure as TeraWulf's lease with Fluidstack, including a large bifurcation in Google's support and project risk pre- and post-RFS. Google is backstopping ~$1.7B of project financing that activates as rent commences and amortizes over time with principal repayments. In exchange, Google received warrants in Cipher representing ~5% of outstanding shares. Similar to the TeraWulf lease, tenant termination rights are available 180 days after the applicable target delivery date and,

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with Google's support only effective after capacity is delivered, on-time capacity delivery carries more meaningful implications relative to a simple deferral of lease revenue.

Once capacity is delivered and support commences, Google is expected to assume lease obligations in the event of a Fluidstack default. After six years, Google can elect to make a termination payment sufficient to repay outstanding debt that could result in equity ownership in the site, again consistent with TeraWulf's lease.

Figure 48: Cipher Digital Signed Leases ($Ms)

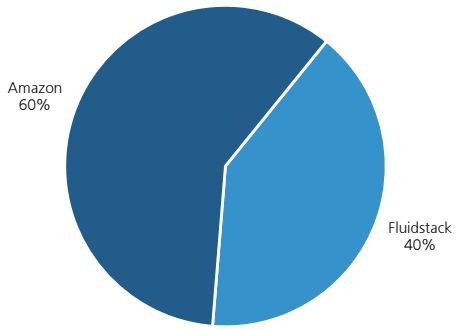
Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Year 1 Yield
Barber Lake #1	Colorado City, TX	168	Fluidstack	9/25/2025	10 Years	Modified Gross	3,000	300	1.56	2,475	248	1.29	1,680	13%
Black Pearl	Wink, TX	216	Amazon	11/3/2025	15 Years	NNN	5,500	367	1.37	5,500	367	1.37	2,052	14%
Barber Lake #2	Colorado City, TX	39	Fluidstack	11/20/2025	10 Years	Modified Gross	800	80	1.79	700	70	1.57	371	16%
Stingray	Andrews, TX	70	Amazon	3/25/2026	15 Years	NNN	2,000	133	1.54	2,000	133	1.54	735	15%
Cipher Digital		**493**			**13 Years**		**11,300**	**876**	**1.48**	**10,675**	**818**	**1.40**	**4,838**	**14%**

Source: UBS estimates, company data

The November 2025 exercise of Fluidstack's expansion option coincided with a meaningful step forward in Cipher's HPC transition, with the company signing its first direct hyperscaler lease with **Amazon** for 216MW IT, or 300MW gross, at the **Black Pearl** campus in Wink, Texas. Black Pearl had commenced Bitcoin mining operations in 2Q25, creating time-to-market advantages for HPC conversion given prior site-level investments in electrical infrastructure. Amazon subsequently expanded its relationship with Cipher in March 2026, leasing an additional 70MW IT, or 100MW gross, at the **Stingray** campus in Andrews, Texas.

We see the Amazon leases as perhaps the most attractive across our HPC colocation coverage. The leases meaningfully improved the risk profile of Cipher's contracted portfolio, pairing a high investment-grade tenant that is the direct offtaker of capacity, with triple-net structures and cost-overrun protection. As part of the leases, Amazon has committed to fund development costs above $9.5M per IT MW at Black Pearl and $10.5M per IT MW at Stingray. The progression from Black Pearl to Stingray also demonstrates Cipher's ability to capture improving economics with the same high quality tenant (year-one NOI per MW increasing from ~$1.3M to ~$1.6M).

Figure 49: Tenant Mix by Estimated Year 1 NOI



Source: UBS estimates, company data

Cipher's build costs appear relatively low at $9M to $11M per MW across the contracted portfolio, reflecting some benefit from repurposing Black Pearl from Bitcoin mining but also protected on the downside through Amazon's cost-coverage provisions. Based on these assumptions and management disclosures, we estimate initial stabilized development yields in the ~14% range, consistent with Hut 8 and TeraWulf leases.

Delivery Progress: Aggressive timelines, but demonstrating early execution

Cipher Digital's required delivery timelines appear relatively aggressive, with final deliveries at Black Pearl and Barber Lake targeted 15 to 16 months after announcement of the leases. That said, the company has demonstrated early progress against these

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timelines, with initial capacity at Black Pearl delivered ~2 months ahead of schedule.

The progression in lease economics and contractual terms has also been reflected in project financing outcomes. Financing for all three sites was secured shortly after lease announcement, with borrowing costs declining across successive raises despite increasing loan-to-cost ratios, from 71% at Fluidstack's Barber Lake project, to 85% at Amazon's Black Pearl project and ~98% at Amazon's Stingray project. Delay penalty structures have also become more favorable. Debt agency documents indicate the Amazon Black Pearl lease includes a four-month delay period, plus a 30-day cure period, before tenant termination rights are triggered. This was extended to a more typical six months, plus a 30-day cure period, at Amazon's Stingray lease signed ~5 months later.

Figure 50: Cipher Digital Estimated Delivery Schedule

Cipher Digital

Announced | Delivered | Target | Delay

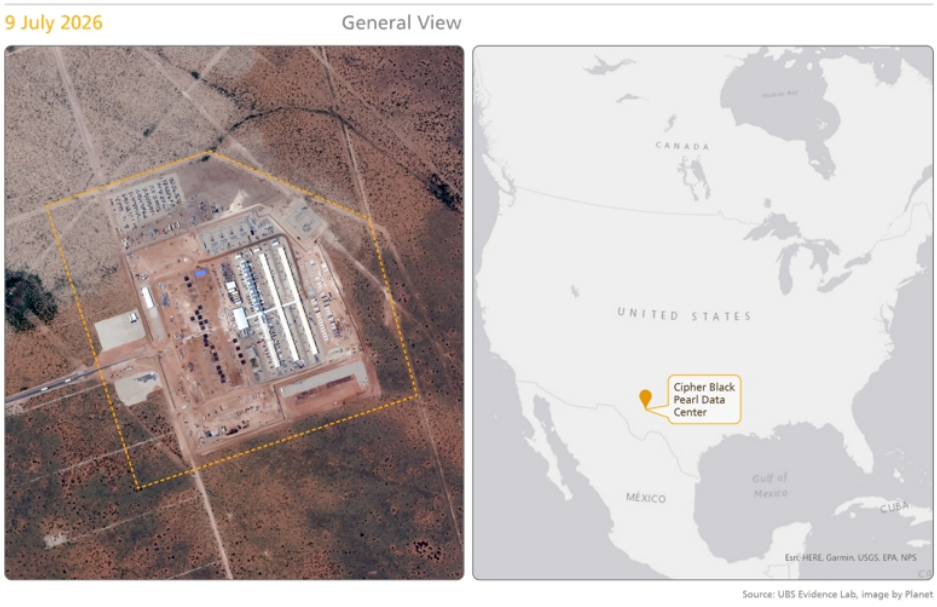
Site	Building	Tenant	Location	IT MW	Announce to Deliver	IT MW / Mo	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Barber Lake	Phase 1	Fluidstack	Colorado City, TX	168	12 Months	14.0												
	Phase 2	Fluidstack	Colorado City, TX	39	15 Months	13.8												
										0	**0**	**0**	**168**	**168**	**207**			
Black Pearl	Phase 1: DH1	Amazon	Wink, TX	50	9 Months	5.6												
	Phase 1: DH2	Amazon	Wink, TX	35	12 Months	7.1												
	Phase 1: DH3	Amazon	Wink, TX	35	13 Months	9.2												
	Phase 2	Amazon	Wink, TX	96	16 Months	13.5												
											0	**0**	**50**	**120**	**216**			
Stingray	Phase 1	Amazon	Andrews, TX	10	12 Months	0.8												
	Phase 2	Amazon	Andrews, TX	60	13 Months	5.4												
												0	**0**	**0**	**0**	**70**		
Cipher Digital Contracted IT Load										0	0	0	218	288	423	493	493	493
Incremental IT Load Delivered										**0**	**0**	**0**	**218**	**70**	**135**	**70**	**0**	**0**

Source: UBS estimates, company data

Delivering initial capacity ahead of schedule at Black Pearl

To track development progress at Black Pearl, we will be utilizing UBS Evidence Lab satellite imagery. The site includes two major phases, with full delivery of the 120MW Phase I, located on the east side of the campus, expected by the end of November and the remaining 96MW in Phase II, located on the west side, expected by the end of February.

Figure 51: Black Pearl in Wink, TX



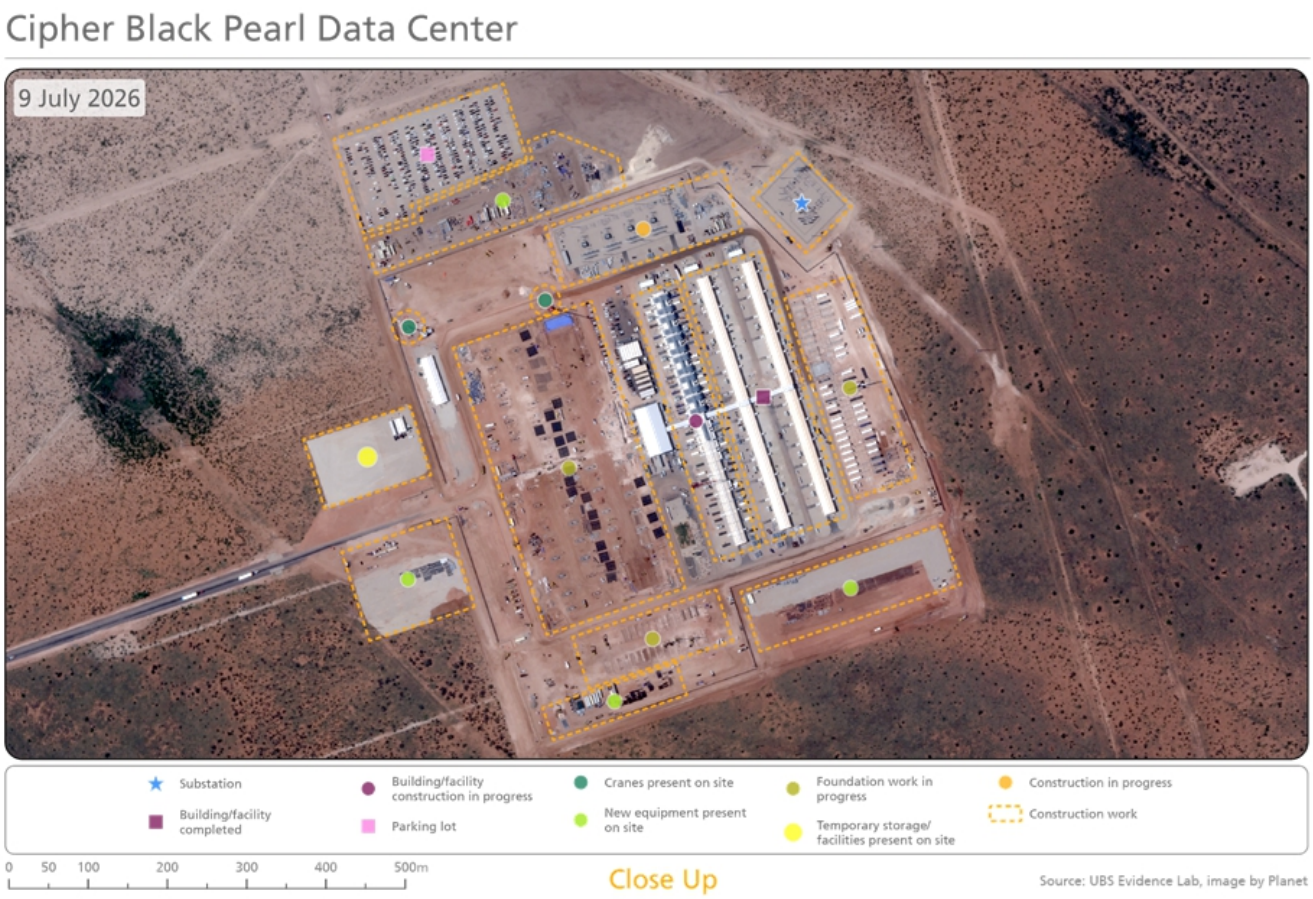
Source: UBS Evidence Lab; Image by Planet

The satellite images from mid-July indicate that Phase I is well on track, with buildings and rooftop installations structurally complete and MEP equipment broadly installed.

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This aligns with recent management commentary that initial Phase I capacity was delivered in August, roughly two months ahead of schedule. By the end of September, Cipher is expected to deliver the full 35MW in data hall #1 and 15MW for network hall #1. Remaining capacity in Phase I, consisting of data halls 2 and 3 totaling 70MW, is moving through MEP fit-out with targeted delivery at the end of October and November.

Figure 52: Construction Progress at Black Pearl



Source: UBS Evidence Lab; Image by Planet

This portion of the build benefited from existing infrastructure installed as part of the site's initial mining operations, suggesting the larger execution test remains for Phase II delivery. The images from July indicate that the west portion of the campus, or Phase II, was progressing through earthwork grading and equipment staging but with limited evidence of vertical construction. Management's more recent update from early August highlighted development of concrete foundations, structural steel and underground electrical all underway, suggesting an acceleration in construction progress.

Quickly approaching delivery targets at Barber Lake

Construction and capacity deliveries at Barber Lake is also expected to ramp in the near term. The first phase, totaling 168MW IT, is expected by the end of September, while the remaining 39MW IT tied to the exercised expansion option is expected by the end of January 2027. The company's most recent update indicated that the initial phase remains on track for rent commencement in October, with company-disclosed images showing substantial progress with structurally complete buildings and exterior MEP installations that appear largely ready.

Stingray is smaller in scope but also carries shorter delivery timelines at just 12 to 13 months from lease announcement with the full 70MW IT targeted for early May. The site remains in early construction with earthwork grading and pad preparation and underground electrical work underway. Management expects concrete foundations and steel erection to begin in 3Q26. Given limited room for delay under this timeline, we

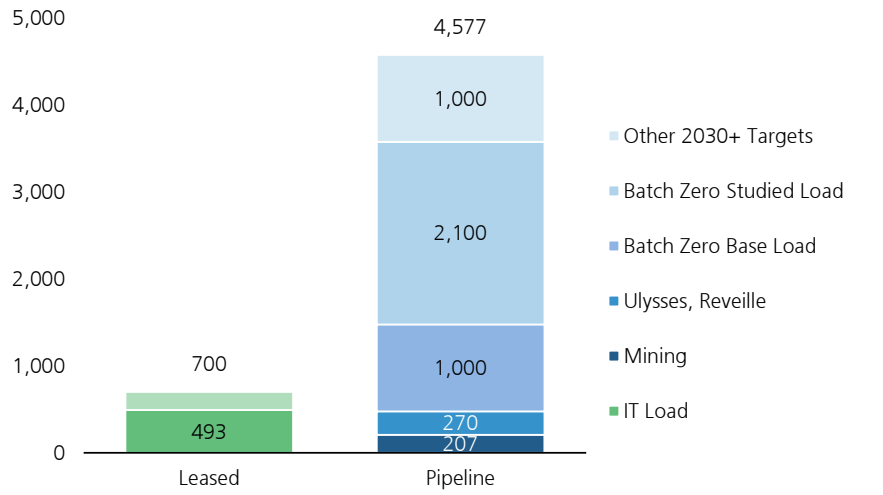
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expect Stingray to remain a key execution watch item over the next several quarters.

Cipher's Power Pipeline: Everything is Bigger in Texas

Cipher Digital provides perhaps the strongest pipeline disclosures for investors across our coverage universe, with site-level visibility into gross power capacity, expected ramp timing and development status. In total, the company has 4.6GW of unleased gross power, or an estimated ~3.2GW of IT load, with availability extending from 2027 through 2030 and beyond. We do not underwrite this portfolio uniformly, and instead separate Cipher's opportunity set across near-term capacity with a high degree of visibility, medium-term capacity with conditional Base Load or Studied Load designations and longer-dated optionality with sets that have extended timelines to energization and/or subject to future batch reviews.

Figure 53: Cipher Digital Power Portfolio (Gross MW)



Source: UBS, company data

Reveille, Ulysses and Odessa represent near-term leasing candidates

Cipher has 477MW of gross power (estimated ~340MW IT) that we view as well positioned for near-term leasing, supported by continued strength in tenant demand and the increasing scarcity of 2027 delivery windows across the industry. This includes the **Reveille** site in Cotulla, TX at 70MW gross, falling below ERCOT's large-load review threshold. Reveille has a targeted energization date in 3Q27, an approved ERCOT interconnection agreement and substation development that began earlier this year.

The **Ulysses** site in southern Ohio also screens as a near-term leasing candidate. Acquired in late 2025, the 200MW site is fully approved for interconnection into the PJM market and has a targeted energization date of 4Q27 with substation development underway. **Odessa**, with 207MW of self-mining operations, represents another potential HPC leasing opportunity as the existing PPA is renewed by mid-2027.

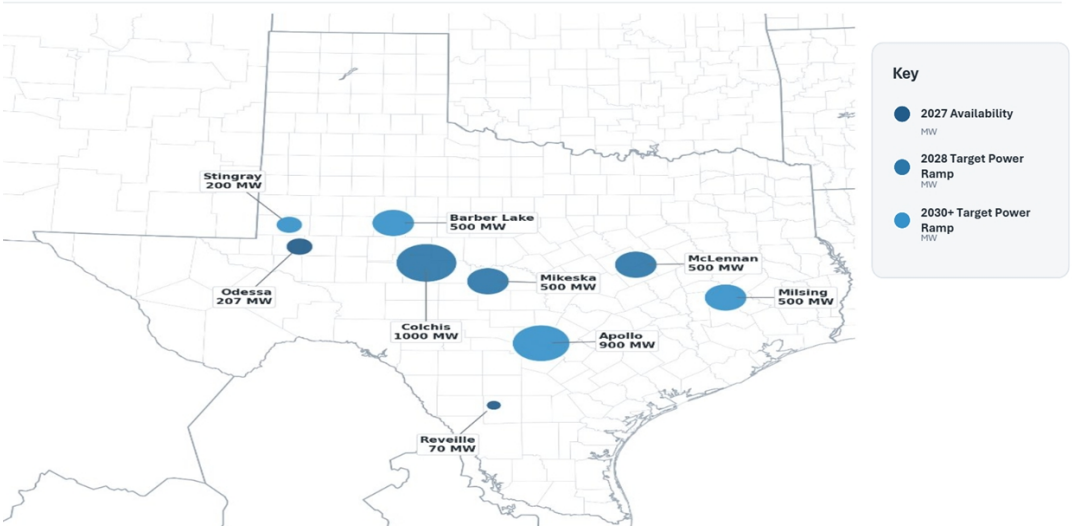
We view management's recent commentary around tenant interest and lease negotiations as a positive indicator. Management has described the demand environment as having "never been stronger" and noted engagement with multiple potential tenants across these sites. The company has emphasized its focus on securing the right deal rather than simply the first deal, which we interpret as Cipher using its time-to-power advantage to negotiate improved terms, consistent with the progression seen across prior lease agreements. We estimate Cipher's recent lease agreements equate to $12-14M per IT MW of equity value creation, suggesting comparable economics would translate into ~$12 per CIFR share of value creation for these near-term pipeline opportunities.

Remaining pipeline subject to ERCOT and Texas developments

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Cipher's remaining pipeline is substantial at 4.1GW but visibility towards commercialization across these sites varies significantly and all are subject to ongoing regulatory developments in Texas. In particular, improved clarity and lease conversions at three sites (Colchis at 1GW, McLennan at 500MW and Mikeska at 500MW) could represent a meaningful catalyst for CIFR given their scale (in absolute terms and relative to Cipher's current base of business) and near-term energization ramps of 2028-29.

Figure 54: Cipher Digital Power Pipeline in Texas



Source: UBS, company data

As previously highlighted, Batch Zero is intended to categorize large-load projects into different groups based on development readiness and grid deliverability. This includes **(1) Base Load**, where targeted power allocation is unlikely to be impacted, **(2) Studied Load**, where power allocations and timelines are likely to be haircut, and **(3) Excluded Load**, where projects will be deferred to a future batch process. Similar to peers, Cipher management recently disclosed the conditional classifications for projects included in Batch Zero.

Figure 55: Batch Zero Conditional Classifications

Site	Gross MW	Batch Zero Conditional Classification	Targeted Energization	Leased
Reveille	70	Exempt	3Q27	
Stingray	100	Base Load	4Q26	✓
Colchis	1,000	Base Load	2028-29	
Mikeska	500	Studied Load; PCLR Qualified	2028-29	
Apollo	900	Studied Load; PCLR Qualified	2030+	
Stingray Phase II	200	Studied Load; PCLR Qualified	2030+	
McLennan	500	Studied Load	2028	
Milsing	500	Excluded	2030+	
Barber Lake Phase II	500	Excluded	2030+	
Total	**4,270**			
Exempt / Base Load	1,170			
Studied Load	2,100			
Excluded	1,000			

Source: UBS, company data

The Base Load designation for the **Colchis (1GW)** site is a key positive development. While the site had demonstrated advancements towards commercialization (executed interconnection agreement with AEP, adjacent to an existing substation, requisite studies submitted to ERCOT prior to the start of the Batch Zero process), clarity on Base Load classification should provide the means to advance tenant engagement and thus investor willingness to underwrite its valuation potential.

An important distinction within the Studied Load category is the Provisionally Controllable Load Resource (PCLR) qualification for **Mikeska (500MW), Apollo (900MW)** and **Stingray Phase II (200MW)**. This designation changes how a site can operate before full transmission infrastructure is built out and generally supports the path to energization relative to other "Studied Load" projects. PCLR allocates part of the requested load as firm, with the non-firm portion flexible/curtailable until full transmission support arrives.

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Preliminary power allocation results for these sites (firm vs. non-firm), along with **McLennan (500MW**) also in the Studied Load category, is tentatively scheduled for April 2027. The remaining portion of Cipher's power portfolio at **Milsing (500MW)** and **Barber Lake Phase II (500MW)** was not included in Batch Zero and thus subject to power allocation risks in future batch reviews.

Distinguishing allocation vs. timing risks

ERCOT has indicated that Batch Zero classifications will determine a project's MW *allocation*, but transmission upgrades across the state remain relevant to the *timing* of energization ramps. To accommodate rapid load growth and improve long-distance power transfer across ERCOT, Texas plans to build a number of large-scale 765-kV transmission lines with targeted in-service dates between 2028-2030. Recent political and landowner opposition to proposed routes has increased uncertainty around the timing of individual projects, creating potential risks to late-decade large-load energization and ramp schedules. At this point, three of five planned 765kV lines for the Permian Basin have received approval by the PUCT.

Our rank order on visibility into Cipher's longer-dated power portfolio – taking into account both power *allocation* and *timing* risks – is (1) Colchis at 1GW, (2) Mikeska at 500MW, (3) McLennan at 500MW, (4) Apollo and Stingray Phase II at 1.1GW and (5) Misling and Barber Lake Phase II at 1GW. All that said, Cipher is likely to be constrained by financing and labor before it is constrained by the size of its longer-dated power portfolio. In fact, the most ideal scenario could be one where the sites with 2028 energization targets are less impacted from a timing perspective, but longer dated projects across the queue are further delayed, in turn increasing the scarcity value for this component of the company's power pipeline.

On-site generation as an accelerant in achieving time to power

Management has alluded to on-site generation as an opportunity to tap into the region's abundant natural gas resources and accelerate time to power, and recently moved forward with disclosures to the market, indicating the initiative could provide 2.5GW through collaboration with power providers. Construction of lateral pipelines at sites is now ongoing and management believes these pipelines provide a step towards new power availability before the end of 2027. Similar to peers, the approach would entail power generation with grid connection, rather than a fully behind-the-meter solution.

Based on the current portfolio, the Black Pearl campus located between Odessa and Pecos sits on the Permian Basin with the Agua Blanca pipeline running through the same county, while the Matterhorn Express pipeline runs through the county where Colchis is located. We expect Cipher to partner with an IPP for the generation build-out, allowing the company to remain focused on data center infrastructure while potentially improving power availability relative to increasingly unpredictable queue timelines.

Business Mix: On the verge of the earnings shift to HPC colocation

Cipher's revenue and business mix has been straightforward to date, with substantially all revenue generated from Bitcoin self-mining activities. With HPC/AI capacity deliveries set to ramp through the remainder of the year, we expect HPC revenues to represent ~25% of total revenues in 4Q26 and 90+% for full year 2027E. We assume HPC colocation revenues account for all revenues by 2H27 as remaining mining capacity at Odessa is repurposed for HPC lease opportunities.

UBS Forecasts for Cipher Digital

We forecast the full 207MW of IT capacity at Barber Lake delivered by the end of January 2027, 216MW at Black Pearl by the end of February 2027 and 70MW at Stingray by May 2027. We expect this delivery cadence to drive base HPC rental revenue from ~$110M in 2026E to ~$810M in 2027E, reflecting a near full-year contribution from all signed colocation leases under straight line accounting. We forecast self-mining operations at Odessa winding down by mid-2027 as the site is repurposed for HPC colocation leasing opportunities.

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We model blended NOI margins for the HPC segment of 86% in 2026E and 91% in 2027E, reflecting the mix of Fluidstack leases under modified-gross structures and Amazon leases under triple-net structures. In total, we expect roughly breakeven EBITDA in 2026E, ramping to ~$650M in 2027E, implying total company margins of 74%. Our EBITDA estimates exclude mark-to-market gains and losses on bitcoin holdings.

Figure 56: Cipher Digital Summary Financials

	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30
$ in Ms unless noted	**1Q26**	**2Q26**	**3Q26E**	**4Q26E**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Operating MW	207	207	221	618	807	700	700	700	207	357	618	700	913	1,055	1,197
HPC Infrastructure	0	0	5	111	158	211	221	221	0	0	116	811	1,063	1,267	1,459
Bitcoin Mining	35	25	27	35	34	25	8	0	151	224	121	67	0	0	0
Revenues	**35**	**25**	**32**	**146**	**192**	**236**	**229**	**221**	**151**	**224**	**237**	**879**	**1,063**	**1,267**	**1,459**
Cost of Revenues (excl. D&A)	16	13	13	29	31	26	20	18	57	73	70	95	62	62	64
Net Operating Income	**19**	**12**	**19**	**117**	**161**	**210**	**209**	**203**	**94**	**151**	**167**	**784**	**999**	**1,204**	**1,395**
NOI Margin	55%	49%	58%	80%	84%	89%	91%	92%	62%	67%	70%	89%	94%	95%	96%
SG&A	47	59	54	55	57	59	59	60	59	59	60	62	64	65	65
As % of Revenues	134%	237%	168%	38%	29%	25%	26%	27%	39%	26%	25%	7%	6%	5%	4%
UBS Adj. EBITDA	**-28**	**-23**	**-12**	**86**	**129**	**176**	**175**	**168**	**43**	**75**	**23**	**649**	**854**	**1,055**	**1,242**
EBITDA Margin	-80%	-94%	-36%	59%	67%	75%	76%	76%	29%	33%	10%	74%	80%	83%	85%
Capex	554	410	823	1,032	1,008	812	513	519	139	488	2,819	2,853	2,107	1,138	1,145
Free Cash Flow	-396	-597	-838	-941	-934	-705	-443	-449	-78	-481	-2,772	-2,531	-1,722	-678	-584
Digital Assets	76	38	39	26	13	0	0	0	93	125	26	0	0	0	0
Net Debt	**-562**	**-83**	**760**	**1,707**	**2,646**	**3,355**	**3,804**	**4,259**	**23**	**92**	**1,707**	**4,259**	**6,002**	**6,702**	**7,306**
LQA Net Leverage	2.9x	0.7x	-20.0x	5.0x	5.1x	4.8x	5.4x	6.3x	0.2x	2.3x	-820.7x	6.6x	7.0x	6.4x	5.9x
HPC Infrastructure															
Operating MW	0	0	14	411	600	700	700	700	0	0	411	700	913	1,055	1,197
PUE	0.00	0.00	1.39	1.43	1.42	1.42	1.42	1.42	0.00	0.00	1.43	1.42	1.42	1.42	1.42
Operating IT MW	0	0	10	288	423	493	493	493	0	0	288	493	643	743	843
Base Rental Rate ($ / kW / Mo)	0	0	333	129	149	154	149	149	0	0	67	150	156	152	153
Revenues	**0**	**0**	**5**	**111**	**158**	**211**	**221**	**221**	**0**	**0**	**116**	**811**	**1,063**	**1,267**	**1,459**
Cost of Revenues	0	0	0	15	18	19	18	18	0	0	15	72	64	62	64
Net Operating Income	**0**	**0**	**5**	**96**	**140**	**193**	**203**	**203**	**0**	**0**	**101**	**739**	**999**	**1,204**	**1,395**
NOI Margin	0%	0%	97%	86%	89%	91%	92%	92%	0%	0%	87%	91%	94%	95%	96%
Bitcoin Mining (ex JVs)															
Operating MW	207	207	207	207	207	0	0	0	207	357	207	0	0	0	0
Average Hashrate (EH/s)	16.5	11.6	11.6	11.6	11.6	8.7	2.9	0.0	7.4	15.9	12.8	5.8	0.0	0.0	0.0
Bitcoin Mined	451	346	383	430	415	303	99	0	2,375	2,188	1,610	818	0	0	0
Bitcoin Price Realized	77,246	71,783	70,606	80,508	81,703	82,803	83,903	85,038	63,693	102,350	75,364	82,378	0	0	0
Revenues	**35**	**25**	**27**	**35**	**34**	**25**	**8**	**0**	**151**	**224**	**121**	**67**	**0**	**0**	**0**
Cost of Revenues	16	13	13	13	13	8	2	0	57	73	55	23	0	0	0
Gross Profit	**19**	**12**	**14**	**21**	**21**	**18**	**6**	**0**	**94**	**151**	**66**	**45**	**0**	**0**	**0**
Gross Margin	55%	49%	51%	62%	62%	70%	76%	0%	62%	67%	55%	66%	0%	0%	0%
Revenue Mix %															
HPC Infrastructure	0%	0%	16%	76%	82%	89%	96%	100%	0%	0%	49%	92%	100%	100%	100%
Bitcoin Mining	100%	100%	84%	24%	18%	11%	4%	0%	100%	100%	51%	8%	0%	0%	0%
MW Capacity Mix %															
HPC Infrastructure	0%	0%	6%	66%	74%	100%	100%	100%	0%	0%	66%	100%	100%	100%	100%
Bitcoin Mining	100%	100%	94%	34%	26%	0%	0%	0%	100%	100%	34%	0%	0%	0%	0%

Source: UBS estimates, company data

Figure 57: UBS Estimates vs. Street

	Street	UBSe	Street	New	Street	New
$ in Ms	**2026E**	**2026E**	**2027E**	**2027E**	**2028E**	**2028E**
Bitcoin Mining	116	121	81	67	100	0
HPC Infrastructure	104	116	772	811	1,010	1,063
Total Revenues	**221**	**237**	**862**	**879**	**1,054**	**1,063**
Gross Profit	**142**	**160**	**692**	**781**	**849**	**1,000**
Gross Margin	64.2%	67.2%	80.2%	88.9%	80.6%	94.1%
Adj. EBITDA	**-23**	**-2**	**500**	**648**	**612**	**854**
EBITDA Margin	-10.6%	-0.9%	57.9%	73.8%	58.0%	80.3%
Capex	3,125	2,819	1,589	2,853	2,296	2,107

Source: UBS estimates, company data, Visible Alpha

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Initiating Coverage of CIFR with a Buy Rating

We are initiating coverage of CIFR with a Buy rating and 12-month price target of $23. Our price target applies 20x EV/2028E EBITDA, a slight discount to the historical average for data center REIT peers. While CIFR remains in the earlier stages of development with greater execution risks and has market concentration to Texas, we believe a multiple close to established peers is warranted given (1) near-term capacity deliveries with ~100% of the currently contracted portfolio set to be revenue generating by mid-27, (2) substantial near-term lease opportunities that could increase the contracted portfolio by ~70% and (3) a solid template for value creation in future lease agreements, as evidenced by recent lease announcements.

Figure 58: CIFR Price Target Basis

Multiple Based Valuation						
$ in millions	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30	Dec-31
	2026E	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Valuation Drivers						
Revenues	237	879	1,063	1,267	1,459	1,651
HPC Cash NOI	89	623	841	1,027	1,211	1,410
Adj. EBITDA	23	649	854	1,055	1,242	1,429
Contracted IT MW	493	493	493	493	493	493
Portfolio IT MW	3,724	3,724	3,724	3,724	3,724	3,724
EV Bridge						
Shares outstanding	579	583	587	591	595	599
Market cap	10,617	10,690	10,764	10,837	10,911	10,984
Net debt	1,707	4,259	6,002	6,702	7,306	6,722
Digital Assets	26	0	0	0	0	0
Capped Calls	565	565	565	565	565	565
Non-controlling interest	26	26	26	26	26	26
Enterprise value	12,323	14,975	16,791	17,564	18,242	17,732
Multiples at Current Share Price						
EV / Sales	43.6x	14.0x	14.1x	13.3x	12.0x	11.0x
Cap Rate	0.9%	5.1%	5.6%	6.1%	6.9%	7.7%
EV / EBITDA	451.0x	19.0x	17.5x	15.9x	14.1x	12.8x
Equity / Contracted MW	21.0	21.5	21.7	21.8	22.0	22.1
Equity / Portfolio MW	2.8	2.9	2.9	2.9	2.9	2.9
Multiples at Price Target						
EV / Sales	52.3x	16.5x	16.1x	15.0x	13.5x	12.4x
Cap Rate	0.7%	4.3%	4.9%	5.4%	6.1%	6.9%
EV / EBITDA	541.1x	22.3x	20.0x	18.0x	15.9x	14.3x
Equity / Contracted MW	26.4	27.0	27.2	27.4	27.6	27.8
Equity / Portfolio MW	3.5	3.6	3.6	3.6	3.6	3.7

Price Target Basis: EV/EBITDA	
EBITDA ('28E)	854
Target multiple	20x
Enterprise value	**17,077**
(-) Net debt ('27E)	4,259
(+) Digital Assets ('27E)	0
(+) Capped Calls ('27E)	565
(-) NCI ('27E)	0
Equity value	**13,383**
Shares outstanding ('27E)	583
12mo Price Target	**23**
Current share price	18
% upside/(downside)	25.4%

Source: UBS estimates, company data

Enterprise Value Considerations

Our enterprise value bridge assumes conversion of all convertible notes (with conversion prices range from $4.45 to $16.03) with the dilutive amount in our share count. In addition to the reduction in net debt, the dilutive impact is partially offset by the value ascribed to capped calls on the $1.3B convertible notes due 2030 (which provide a dilution offset up to a share price of $23).

Sum-of-the-Parts Framework

To derive a NAV for Cipher's existing leases, we apply a ~7% cap rate on cash NOI in '28E, a slight discount to only our assessed multiple for Hut 8, given Cipher's similarly attractive tenant mix. Our contracted asset valuation is applied to an earlier timeframe compared to others under coverage, with all leased assets set to commence by mid next year.

Our pipeline valuation includes a ~70% probability of conversion across the highest visibility opportunities at Ulysses, Reveille and Odessa. We include the Colchis site with ~1GW gross in our Tier II category given its conditional classification as Base Load and sites with conditional Studied Load classifications in our Tier III category to reflect greater uncertainty around ultimate power allocations and energization ramps.

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Figure 59: Cipher Digital Sum-of-the-Parts

Sum-of-the-Parts

$ in millions

(1) Contracted Assets

Stabilized NAV	**YE27**	**PV of NAV / Equity**	**YE26**	**YE27**
NTM Cash NOI ('28E)	698	% Capacity Delivered	58%	100%
Cap Rate	6.9%	Equity Cost of Capital	14%	10%
Stabilized Property Value	**10,121**	Property Equity	5,165	5,897
Project Debt	4,224	**Total Equity**	**6,463**	**7,378**
Property Equity	**5,897**			
Corp Net Debt, CIP & Other	-1,481	Contracted IT MW	493	493
Total Equity	**7,378**	Property Equity / MW	10.5	12.0
		Total Equity / MW	13.1	15.0

(2) Pipeline Assets

Category	**Gross MW**	**IT MW**	**Probability**	**Disc. Value**	**Value / MW**	**Full Value**	**Value / MW**
Tier 1 Pipeline	477	343	70%	2,549	7.4	3,642	11
Tier 2 Pipeline	1,000	704	30%	2,242	3.2	7,472	11
Tier 3 Pipeline	2,100	1,479	8%	1,214	0.8	15,691	11
Total Visible Pipeline	**3,577**	**2,526**	**22%**	**6,005**	**2.4**	**26,804**	**11**
Total Pipeline	4,577	3,231	18%	6,005	1.9	34,276	11

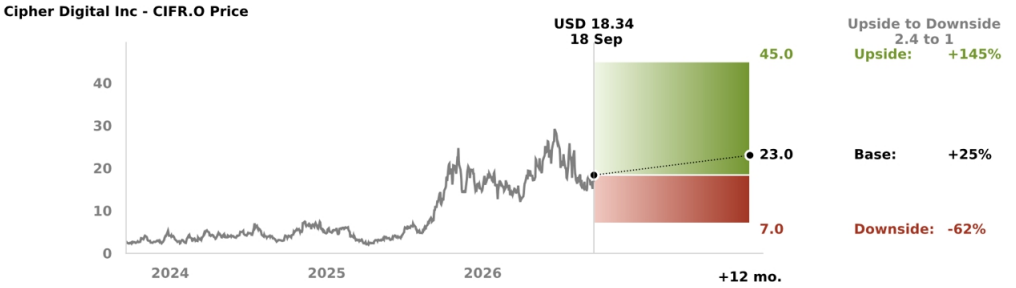
Sum-of-the-parts (as of YE27)

	Value	**Per Share**	**%**
Property Equity	5,897	10	44%
Pipeline Equity	6,005	10	45%
Corp Net Debt, CIP & Other	1,481	3	11%
Total UBS Equity Value	**13,383**	**23**	**100%**

Source: UBS estimates, company data

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UPSIDE/DOWNSIDE SPECTRUM



CIFR is trading at $18.34 as of September 18

Value drivers	Operating IT MW (YE28)	EBITDA ('28E)	Leased IT MW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$45 upside	700+	$900M+	~1,800	~$2.8B	~$7.0M
$23 base	690	~$850M	~940	~$1.3B	~$3.5M
$7 downside	493	~$640M	493	~$700M	~$1.1M

Source: UBS

Risk to the current share price is skewed 2.4:1 to the upside

UPSIDE ($45): Our upside case assumes Cipher receives positive updates on energization timelines and MW allocations for projects undergoing the Batch Zero review process. We assume ~40% of the company's pipeline is pre-leased, bringing the total leased portfolio to ~1.8GW. Assuming similar economics as recent lease agreements, we estimate this would support ~$2.1B of incremental cash NOI at stabilization (~$2.8B in total) after additional capex of ~$15B. Applying a 6.5% cap rate, consistent with recent valuations for hyperscale data center assets, we arrive at an upside per share price of $45.

BASE ($23): Our base case assumes Cipher Digital's leased portfolio is delivered on time, supporting a ramp in revenue recognition as all leases commence in early and mid-2027. We assume an additional ~450MW is leased with commencements from late 2028 through 2030. Our price target is based on 20x 2028 EBITDA estimates, and implies ~55% of equity value ascribed to corporate and already leased assets and ~45% to pipeline opportunities.

DOWNSIDE ($7): Our downside case assumes no incremental leases beyond what Cipher has already contracted. Combined with further increases in interest rates, this would weigh on the multiple and equity valuations. Our downside case assumes ~11x EBITDA on lower estimates for a per share price of $7.

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UBSResearch THESIS MAP a guide to our thinking and what's where in this report

PIVOTAL QUESTIONS

Q: Can Core Scientific execute on AMD leases and expansion options and generate ~$2.5B of revs in '29?
Yes. The recent acceleration in delivery execution for CoreWeave capacity supports our conviction on the company's ability to deliver ~530MW of capacity for AMD by YE28, while our longer-dated forecasts include an ~0.4 of ~1.9GW of AMD's expansion options. We expect this to drive total revenues of $2.5B in '29 vs. Street's $2.4B.

Q: Can Core Scientific generate $1B+ of EBITDA in 2028?
Yes. We expect ~860MW of operating capacity by YE27 (full CoreWeave capacity of 590MW by early 2027 and ~270MW for AMD) and the full ~1.1GW of currently leased capacity by YE28. We forecast colocation segment NOI of ~$1.35B in 2028E, supporting total EBITDA of ~$1.2B (Street ~$1.2B).

UBSVIEW

We are initiating coverage of CORZ with a Buy rating. We expect delivery of AMD (and AMD-backed) capacity to diversify and improve the risk profile of the tenant base, supporting investor confidence and valuation support. Combined with ~1.9GW of AMD expansion options, the company has a clear path to scaling the platform to ~3GW, solidifying it as one of the most scaled participants in broader colocation industry (i.e., comparable to Digital Realty with 3GW leased and ~$90B of enterprise value). We expect clarity on project financing and end offtakers of AMD leased capacity in the coming months to provide greater visibility on the durability of future cash flows. Core Scientific retains some exposure to ERCOT and Texas regulatory developments, but we believe the risk is modest given the advanced nature of the Hunt site (430MW) and behind-the-meter expansion opportunities that should accelerate time to power at Pecos.

EVIDENCE

Core Scientific has signed ~1.1GW of IT leases, including 590MW from CoreWeave, ~380MW directly from AMD and ~150MW from a neocloud with AMD support. These deals represent average annual revenue of ~$1.8B and estimated NOI of $1.5B+, or ~$1.0B+ of cash NOI at stabilization. The company has delivered ~440MW of capacity to CoreWeave, representing 75% of total CoreWeave commitments and ~40% of all contracted capacity. Pipeline opportunities include 1.9GW of expansion options for AMD and 170MW of residual bitcoin mining capacity.

WHAT'S PRICED IN?

Shares trade at 12x '28E EBITDA, a discount to HPC/AI colocation peers at 13-18x; we believe a reflection of concentration of capacity to neocloud tenants that should diversify and improve over time. Applying an ~8% cap rate to cash NOI of current leases, we estimate shares are pricing in the present value of leased assets at stabilization, implying execution risk is fully discounted with little value ascribed to expansion opportunities.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers	Operating IT MW (YE27)	EBITDA ('28E)	Leased IT GW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$36 upside	900+	~$1.2B+	~2.0	~$2.6B	~$5.5M
$24 base	~860	~$1.2B	~1.5	~$1.8B	~$3.5M
$7 downside	~700	~$950M	~1.1	~$1.3B	~$1M

Source: UBS

COMPANY DESCRIPTION

Core Scientific was established as one of the largest Bitcoin mining and hosting companies in North America. In recent years, it has expanded beyond cryptocurrency infrastructure by converting and developing facilities to support AI, high-performance computing, and colocation services.

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PIVOTAL QUESTIONS

Q: Can Core Scientific execute on AMD leases and expansion options?

UBSVIEW

Yes. The recent acceleration in delivery execution for CoreWeave supports our confidence in the company's ability to deliver for AMD. We expect ~860MW of operating capacity by YE27 (full CoreWeave commitments of 590MW by early 2027 and ~270MW for AMD) and the full ~1.1GW of currently leased capacity by YE28. This execution should improve and diversify the company's risk profile, supporting investor confidence and valuation support. Combined with ~1.9GW of AMD expansion options through 2028, we see a path to scaling the platform to ~3GW, which would place Core Scientific as one of the most scaled participants in broader colocation industry (i.e., comparable to Digital Realty's 3GW leased and ~ $90B enterprise value).

EVIDENCE

Core Scientific has signed ~1.1GW of IT leases including 590MW from CoreWeave, ~380MW directly from AMD and ~150MW from a neocloud with AMD support. These deals represent average annual revenue of ~$1.8B and estimated NOI of $1.5B+, or ~$1.0B+ of cash NOI at stabilization. The company is the furthest along in its pivot to AI/HPC colocation with ~440MW of capacity delivered to CoreWeave, representing 75% of total CoreWeave commitments and ~40% across all contracted capacity. Additional pipeline opportunities include 1.9GW of expansion options for AMD at three sites in Texas and Oklahoma and 170MW of residual bitcoin mining capacity in Kentucky and North Dakota. Pipeline opportunities include some exposure to ERCOT and Texas regulatory developments, with the Hunt campus (430MW gross; conditional Base Load classification) and Pecos (incremental 300MW gross in Studied Load), where the company is also pursing behind-the-meter expansion opportunities given the abundance of natural gas resources and pipelines in the region.

WHAT'S PRICED IN?

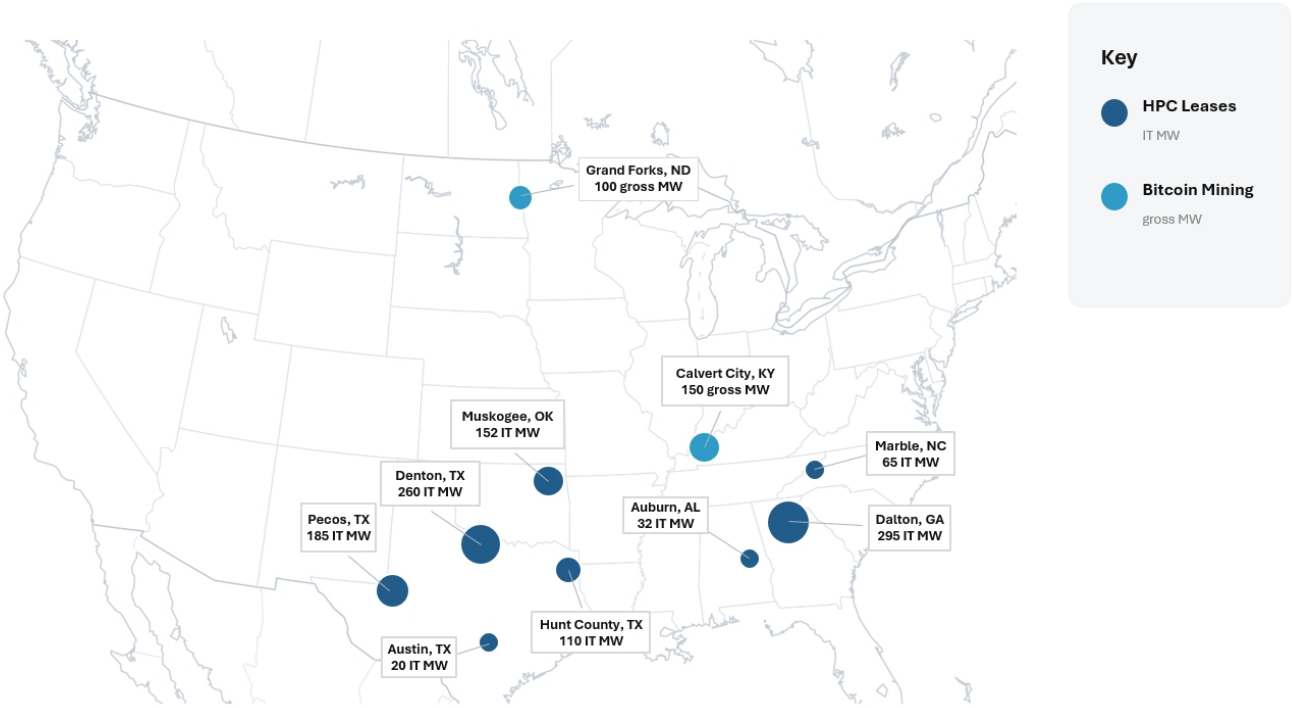
Shares trade at 12x '28E EBITDA, a discount to HPC/AI colocation peers at 13-18x; we believe a reflection of the current risk and concentration to CoreWeave that should diversify and improve over time. Applying an ~8% cap rate to cash NOI of leased assets (lower multiple than ascribed to peers to account for tenant mix and shorter lease durations), we estimate shares are pricing in the present value of currently leased capacity at stabilization, effectively discounting full execution risk and little-to-no value for expansion opportunities.

Core Scientific: First-mover AI/HPC pivot sets the stage to scale the platform

Core Scientific was the first bitcoin miner to highlight the scarcity value of access to scaled power and set the template for the industry's pivot to AI/HPC colocation. At its peak, Core Scientific operated more than 800MW of mining capacity with a relatively diversified geographic mix, positioning the company to capitalize on the initial land-grab phase of the AI infrastructure build-out.

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Figure 60: Core Scientific Data Center Footprint



Source: UBS, company data

Before many peers were able to bring scaled power offerings to market, Core Scientific secured 570MW of IT leases with CoreWeave across five locations. The agreements will likely go down as among the most economically attractive colocation leases in industry history, with CoreWeave funding the vast majority of development capex and providing prepayments to support Core Scientific's smaller capital contribution. With financing subsequently raised against those assets and leases, Core Scientific has effectively recycled the assets without a sale, creating a funding base to invest in new sites and advance earlier-stage developments to make them more attractive to prospective tenants. In this respect, the company's model has begun to resemble the approach used by scaled wholesale colocation providers such as Digital Realty, where upfront investment in site readiness can increase leaseability, rather than requiring project financing to progress development past initial site acquisition.

This approach set the stage for the recent 500MW+ multi-site agreement with AMD, bringing total leased capacity to ~1.1GW of IT and contracted revenues to $24B, or an average of ~$1.8B annually across 12-15 year lease durations. Given AMD's options across the majority of Core Scientific's remaining ~2.1GW development portfolio, we expect future catalysts to be driven by execution and further alignment with AMD. That said, we estimate shares are pricing in only ~80% of currently leased assets once they reach stabilization, providing opportunities for upside across delivery execution, the exercise of capacity options and eventual expansion of the broader development pipeline.

Contracted Lease Portfolio: Large multi-site agreements provide scale

The contracted AI/HPC lease portfolio is structured around two large multi-site agreements with CoreWeave and AMD, totaling ~1.12GW of IT capacity across eight locations. Initial HPC/AI leasing efforts benefited from both fortuitous timing and a long-standing relationship with **CoreWeave**, which positioned Core Scientific as one of its earliest scaled infrastructure partners.

The initial deployment was a smaller 16-20MW lease in **Austin**, but the footprint expanded materially in 2024 with the first scaled agreement for 200MW of IT capacity that was subsequently expanded to 500MW through three exercised options between across existing or planned bitcoin mining campuses in **Denton** (Texas), **Marble** (North Carolina), **Dalton** (Georgia) and **Muskogee** (Oklahoma).

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The CoreWeave leases do not include the investment-grade backstop structures that have become common in neocloud transactions, but the structure was far more favorable to Core Scientific from a capital intensity perspective, and essentially did not require support. For the initial 500MW, CoreWeave funded the vast majority of the build and conversion capex required for AI colocation. This included $1.5M/MW of funding that is being amortized against initial rent payments, effectively limiting Core Scientific's development exposure to just ~$1.5M/MW. At the end of the 12-year lease term, Core Scientific retains ownership of the assets.

Figure 61: Core Scientific Signed Leases ($Ms)

Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Year 1 Yield
Multiple	Denton, TX	200	CoreWeave	6/3/2024	12 Years	Modified Gross	3,500	292	1.20	2,888	241	0.99	300	66%
Multiple	Marble, NC	70	CoreWeave	6/25/2024	12 Years	Modified Gross	1,225	102	1.20	1,011	84	0.99	105	66%
Multiple	Dalton, GA	112	CoreWeave	8/6/2024	12 Years	Modified Gross	2,000	167	1.22	1,650	138	1.01	168	67%
Multiple	Muskogee, OK	120	CoreWeave	10/22/2024	12 Years	Modified Gross	2,000	167	1.14	1,650	138	0.94	180	63%
Denton	Denton, TX	70	CoreWeave	2/5/2025	12 Years	Modified Gross	1,200	100	1.17	990	83	0.97	105	65%
Multiple	Texas, Oklahoma	377	AMD	7/28/2026	15 Years	NNN	9,364	624	1.39	9,364	624	1.39	4,336	12%
Multiple	Georgia, Alabama	152	Neocloud	7/28/2026	15 Years	Modified Gross	4,400	293	1.61	3,784	252	1.39	1,748	12%
Core Scientific		**1,119**			**13 Years**		**24,001**	**1,771**	**1.33**	**21,088**	**1,569**	**1.18**	**6,942**	**19%**

Source: UBS estimates, company data

Notes: Total figures include 20MW lease in Austin, TX

In February 2025, **CoreWeave** leased an additional 70MW at the **Denton** campus that did not include customer prepayments, but development spend exposure remains limited to just $1.5M/MW. Combined with the initial Austin lease, total CoreWeave-leased capacity stands at 590MW, with $10.2B of contracted revenue over 12-year lease terms and 3.5% escalators. The leases are structured as modified gross, with management initially targeting 75-80% NOI margins and more recently increasing that framework to 80-85%. While the initial rental rate is below market levels at ~$100/ kW/ month (versus prevailing rates at $130-180/kW/month), the low capital burden implies a development yield of ~60%, or ~5x typical colocation yields.

The relationship ultimately led to CoreWeave's proposed acquisition of Core Scientific in July 2025, which was subsequently rejected by Core Scientific shareholders in October 2025. The pending acquisition process left the company somewhat in limbo from a business development standpoint, with management indicating it was not actively engaging additional potential tenants for a period of time. This contributed to a 16-month gap between the final CoreWeave lease expansion and the company's next major AI/HPC lease announcement.

AMD agreement expands the platform, at more market-based economics

Attractive economics from the CoreWeave leases and ~$3.3B of financing subsequently raised against those assets allowed the company to advance site development and acquisitions ahead of additional customer commitments. This positioned the company to offer near-term RFS timelines in 2027 and ultimately supported the scaled lease agreement with **AMD** announced in late July. The AMD transaction follows a similar multi-site blueprint, totaling 530MW of IT capacity and representing $14B of contracted revenue over 15 years, or ~$920M annually on average.

The AMD agreement includes a triple-net component with a direct lease from AMD totalling 380MW across **Pecos** (Texas), **Hunt** (Texas) and **Muskogee** (Oklahoma). The remaining 152MW is structured as a modified gross lease with an AMD-aligned neocloud tenant at **Dalton** (Georgia) and **Auburn** (Alabama), with that tenant also utilizing AMD Helios rack-level systems. Management only disclosed that NOI margins under the neocloud component of the lease as consistent with market (i.e., ~85%). We estimate ~ $620M of average annual revenue from AMD and ~$290M from the neocloud tenant, resulting in a ~96% blended NOI margin and a 68% / 28% revenue split.

While the neocloud tenant has not been disclosed, AMD-backed *TensorWave* announced a similar turn-key data center lease with Fermi roughly two weeks later in mid-August. The lease with Fermi includes a similar 15 year base duration, expansion options, initial delivery in 2027, deployment of AMD rack-level systems and expectations for certain obligations to be guaranteed. Disclosures around key economics terms were not provided, though capacity was disclosed at 222MW gross (or a similar ~160MW IT

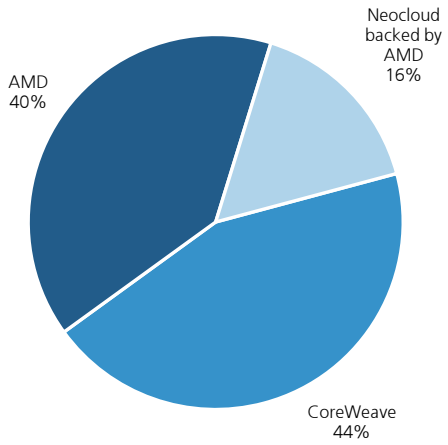
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assuming a PUE of 1.4).

The AMD lease requires typical development capex outlays with management guiding to $11-12M/MW, or $6B in total. Combined with our estimate of Year 1 stabilized NOI per MW at ~$1.4M, we estimate a development yield of ~12%, towards the lower end of recent miner transactions. Additionally, AMD received 6.5M warrants in CORZ (with an out-of-the-money exercise price of $23.47) in exchange for agreeing to backstop project financing for the neocloud portion of the lease, with AMD's support set for the full duration of the 15 year lease. That said, project financing has not yet been raised, so clarity around the degree and nuances of this support is still unknown (e.g., termination rights, timing of support commencement, lease assignability, etc.).

Lastly, AMD received expansion options totalling ~1.9GW that can be executed at various points through 2028. AMD receives additional warrants as future leases are executed equal to 12K warrants per leased MW, for total potential issuance of 30M warrants or ~6% of CORZ shares (though dilution is limited by the high exercise price).

Figure 62: Estimated Tenant Mix by NOI at Stabilization



Source: UBS estimates, company data

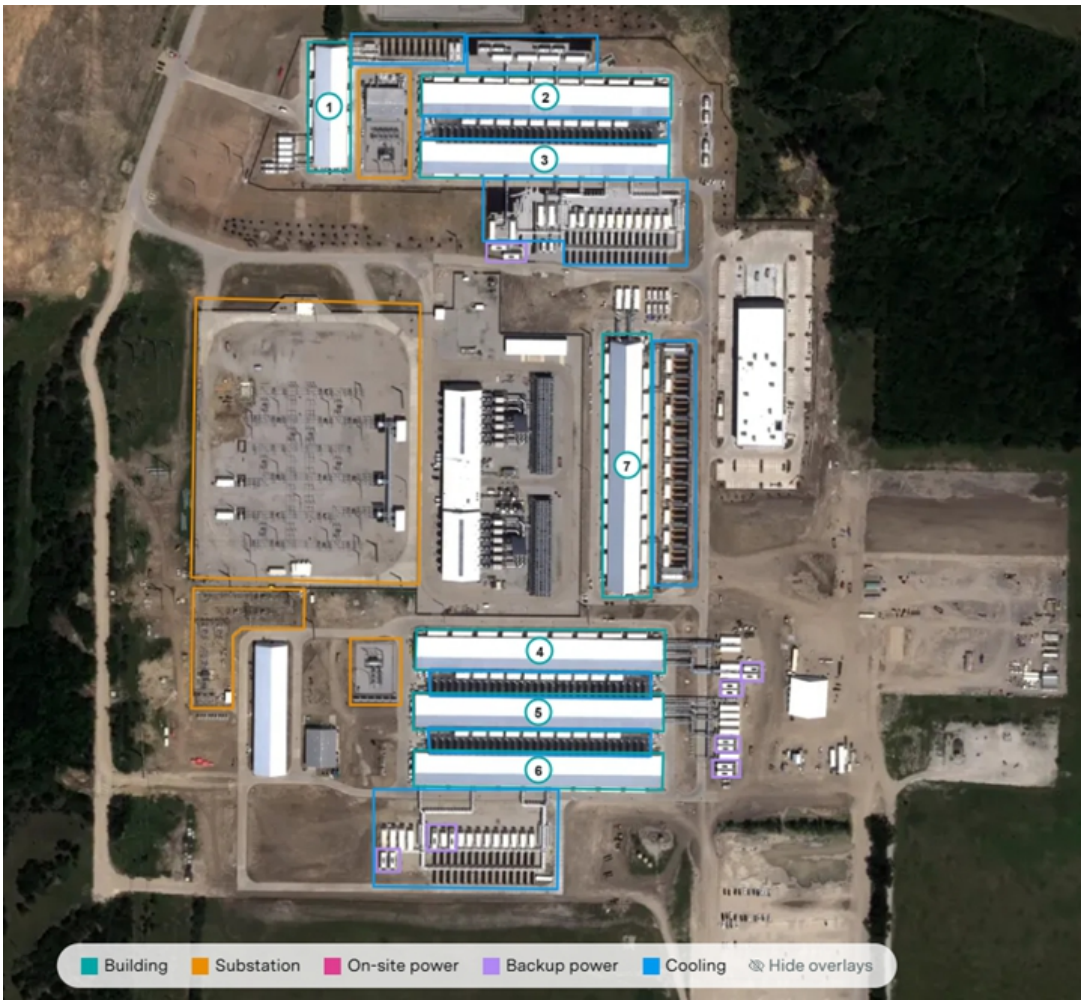
Delivery Progress: Focus shifting to AMD with CoreWeave nearly complete

Core Scientific has delivered the most colocation capacity across our new coverage universe, though early execution also highlighted the complexity of large-scale AI data center development. Management acknowledged earlier this year call that certain CoreWeave deliveries were behind initial targets, citing a combination of customer-driven design changes tied to the shift from GB200 to GB300 deployments, permitting delays, equipment procurement challenges and weather-related impacts.

More recent execution points to improved momentum. Core Scientific had 395MW of revenue-generating IT capacity as of 2Q26, up 170MW from the prior quarter. Management further indicated that 437MW of IT capacity had been delivered as of mid-July, with expectations to exit the summer at ~450MW, or ~75% of total CoreWeave-leased capacity. This includes full delivery at Denton, Core Scientific's largest individual AI/HPC site at 260MW, where early-July satellite imagery shows data halls as operational and no visible active construction.

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Figure 63: Core Scientific Denton Campus



Source: Epoch AI, 'Frontier Data Centers'

The only remaining capacity under the CoreWeave leases is Phase 2 at the Dalton campus, where the final ~145MW is expected by early 2027. More broadly, the CoreWeave buildout has driven an evolution in Core Scientific's development approach that we believe will support future execution and lower the risks around delay penalties. While the company initially sought to leverage existing mining infrastructure through retrofits, it has increasingly shifted toward purpose-built greenfield development for its remaining mining sites to reduce operational complexity.

Figure 64: Core Scientific Estimated Delivery Schedule

Core Scientific — Announced | Delivered | Target | Delay

Site	Campus / Facility	Tenant	Location	IT MW	Announce to Deliver	IT MW / Mo	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
CoreWeave Leases	Denton	CoreWeave	Denton, TX	190	20 Months	9.5																
	Denton Expansion	CoreWeave	Denton, TX	70	17 Months	4.1																
	Marble	CoreWeave	Marble, NC	65	20 Months	3.3																
	Muskogee	CoreWeave	Muskogee, OK	70	23 Months	3.0																
	Dalton Phase 1	CoreWeave	Dalton, GA	30	21 Months	1.4																
	Dalton Phase 2	CoreWeave	Dalton, GA	145	30 Months	5.8																
							0	0	0	0	255	425	425	425	570							
AMD Leases	Pecos Phase 1	AMD	Pecos, TX	95	11 Months	8.6																
	Pecos Phase 2	AMD	Pecos, TX	90	23 Months	8.0																
	Muskogee Phase 1	AMD	Muskogee, OK	41	17 Months	2.4																
	Muskogee Phase 2	AMD	Muskogee, OK	41	30 Months	2.7																
	Hunt County Phase 1	AMD	Hunt County, TX	55	23 Months	2.4																
	Hunt County Phase 2	AMD	Hunt County, TX	55	30 Months	3.7																
	Auburn Phase 1	Neocloud	Auburn, AL	16	11 Months	1.5																
	Auburn Phase 2	Neocloud	Auburn, AL	16	23 Months	1.4																
	Dalton Phase 1	Neocloud	Dalton, GA	60	17 Months	3.5																
	Dalton Phase 2	Neocloud	Dalton, GA	60	30 Months	4.0																
							0	0	0	0	0	0	0	0	0	111	111	212	212	373	373	529
Core Scientific Contracted IT Load							17	17	17	17	275	445	445	445	590	701	701	802	802	963	963	1,119
Incremental IT Load Delivered							**0**	**0**	**0**	**0**	**259**	**170**	**0**	**0**	**145**	**111**	**0**	**101**	**0**	**161**	**0**	**156**

Source: UBS estimates, company data

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For the AMD leases, management has provided broad site-level timing for initial capacity deliveries while indicating that ~half of the total 530MW is expected to be delivered in each of 2027 and 2028. The first delivery is expected at Pecos in 1H27, less than 12 months from deal announcement and a tighter timeline than any of the CoreWeave deliveries. That said, early development work should support the schedule with construction beginning earlier this year.

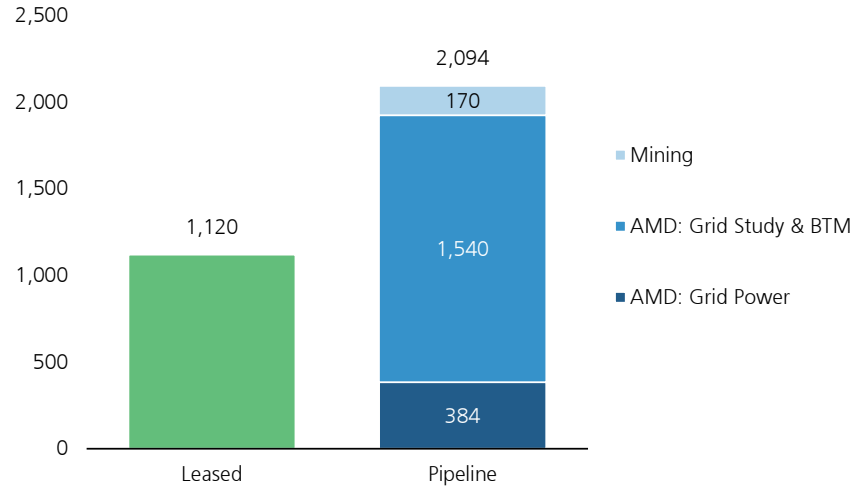
Similarly, construction on the first ~82MW building at Muskogee commenced earlier this year. The site is supported by the recent ~$445M acquisition of a subsidiary of crypto miner Polaris Technologies, which includes 440MW of gross power through an existing ESA with Oklahoma Gas Electric and initial power delivery expected in late 2027. We view the acquisition as another example of Core Scientific using the favorable economics and financing capacity from the CoreWeave leases to expand its power portfolio and support future growth.

Power Pipeline: AMD expansion options anchor new leasing potential

Remaining leasing opportunities and the development pipeline are largely concentrated in AMD's expansion options, which total ~1.92GW of reserved IT capacity. Management has noted that, at specified times and under specified conditions, AMD has exclusive reservation rights to lease additional capacity across a mix of grid-secured power, grid capacity under load study and behind-the-meter expansion opportunities. AMD's options extend through 2028 and we believe an initial exercise will be a key catalyst in ascribing value across the full expansion potential.

The highest-visibility portion of the pipeline includes 384MW of IT capacity across secured grid connections. This includes 192MW at **Muskogee**, supported by additional capacity acquired through the Polaris transaction, and 192MW at the Hunt site outside of Dallas acquired earlier this year. The Hunt site recently received conditional Base Load classification and includes an executed ESA supporting ~300MW of IT load, of which ~110MW is included in the initial AMD agreement and ~192MW in aforementioned expansion capacity.

Figure 65: Core Scientific Power Portfolio in IT MW



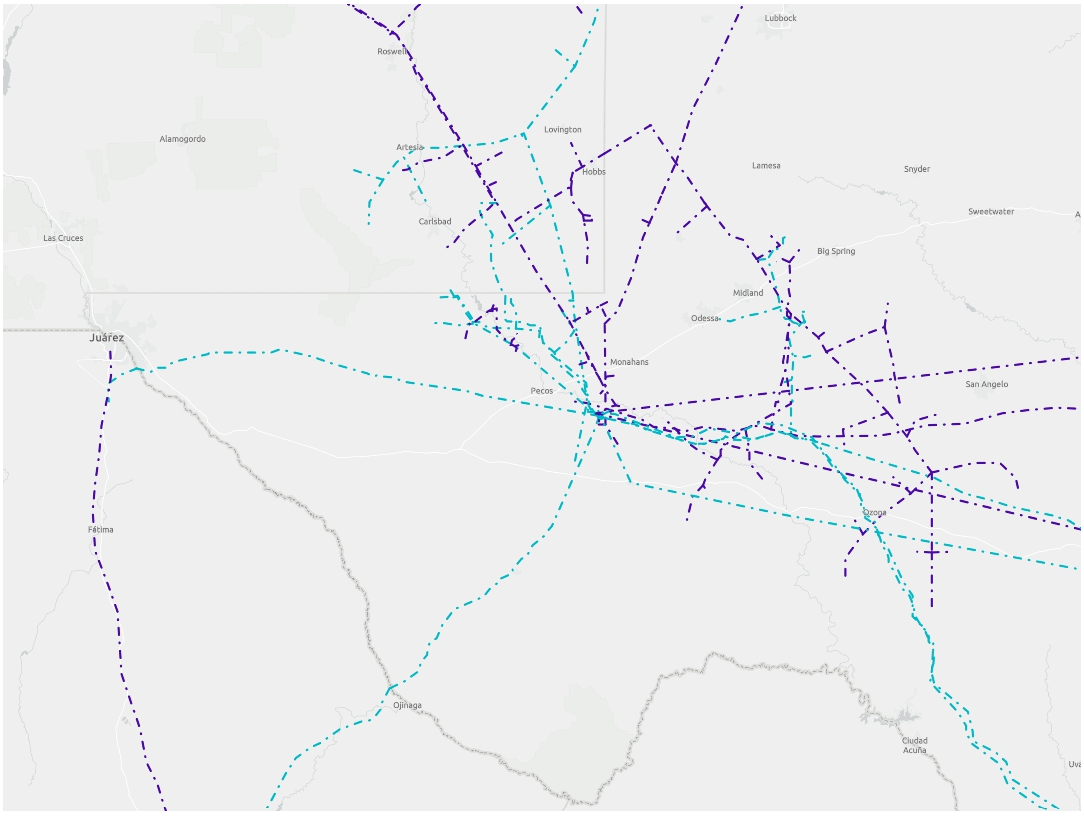
Source: UBS, company data

The remaining ~1.5GW of capacity under AMD's option framework includes grid capacity subject to review and behind-the-meter expansion opportunities at **Muskogee** (725MW) and **Pecos** (815MW). At full buildout, these campuses could become some of the largest in the sector, with aggregate potential capacity of ~1.5GW gross / ~1.0GW IT at each site. **Pecos** includes 300MW of gross utility power that recently received conditional classification as Studied Load, making this component of the expansion more susceptible to haircuts on power allocation and/or energization timelines. As such, we expect incremental capacity to skew towards behind-the-meter solutions, supported by access to low-cost Permian Basin natural gas. Pecos has emerged as *the* key market for behind-the-meter data center development with Microsoft / Chevron's planned

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2.7GW Project Kilby campus and Amazon's planned 7.65GW gas plant for "GW Ranch," highlighting the strategic value of Core Scientific's early infrastructure position in the region.

Figure 66: Natural Gas Pipelines in West Texas



Source: UBS, Datacenterhawk

Notes: Turquoise lines represent pipelines with capacity of 350-800 bcf/year, Purple lines represent 800+ bcf/year

Framing the AMD expansion upside

AMD's reservation rights contemplate delivery timelines from 2028 through 2030, aligning with the company's ability to expand given constraints around construction, financing and labor. Management has also emphasized that AMD's expansion options include only direct leasing opportunities, which should support tenant quality and potentially simplify future financing requirements. Assuming initial development yields of ~12%, consistent with our estimate for the first AMD lease, we estimate ~$6M per MW of equity value creation for Core Scientific. This implies ~$3B of incremental value, or ~$5 per CORZ share, from the higher-visibility 384MW of grid-secured capacity, and ~$15B of incremental value, or ~$23 per share, if the full ~1.9GW AMD expansion framework is exercised.

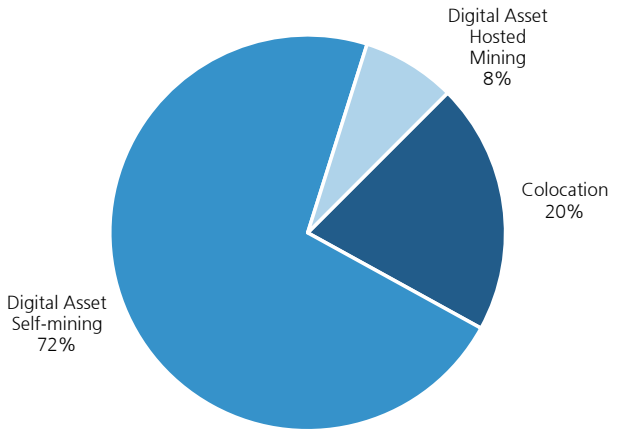
Beyond AMD expansion options, additional leasing opportunities include capacity at residual mining operations, with 70MW at Calvert City, KY and 100MW at Grand Forks, ND, Management has also identified 2GW+ of new site opportunities currently under evaluation and diligence, which we expect could move into the formal pipeline over time and replenish future leasing opportunities beyond the AMD-reserved capacity.

Business Mix: AI/HPC colocation already the primary revenue and profit driver

Across our coverage, Core Scientific's business and revenue mix is the furthest along in the AI/HPC pivot with colocation contributing the majority of company revenue and profitability since early 2026. While the company retains some exposure to both self-mining and third-party mining colocation, management has indicated that colocation for miners will cease by the end of 2026 and we similarly model self-mining operations winding down through 2027.

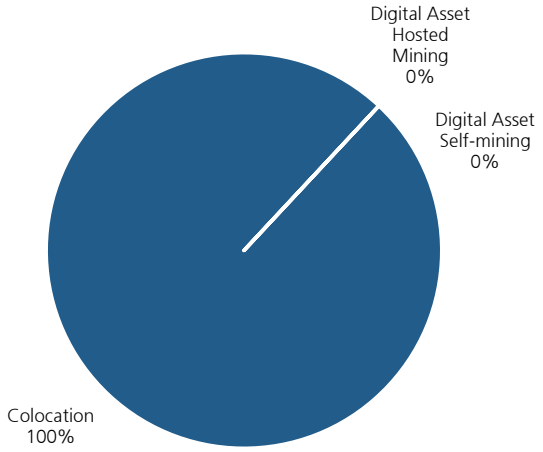
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Figure 67: Revenue Mix 2025



Source: UBS, company data

Figure 68: Revenue Mix 2028E



Source: UBS estimates, company data

UBS Forecasts for Core Scientific

We forecast colocation revenue increasing from ~$640M in 2026E to ~$1.3B in 2027E, including ~$475M and ~$1.0B of base license revenue. The growth reflects a near full-year contribution from the CoreWeave leases and the initial ramp under the AMD agreement. We expect AMD-related revenue scale through YE28, with the contracted colocation portfolio reaching full stabilization in 2029. Our outer year forecasts from 2029-2030 include an additional 400MW of leased capacity.

Figure 69: Core Scientific Summary Financials

	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Dec-24	Dec-25	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30
$ in Ms unless noted	**1Q26**	**2Q26**	**3Q26E**	**4Q26E**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Colocation	78	137	200	221	254	311	343	389	24	65	635	1,296	1,993	2,509	2,934
Digital Asset Self-mining	30	22	16	21	14	14	13	14	409	229	89	55	0	0	0
Digital Asset Hosted Mining	8	6	7	7	0	0	0	0	78	24	29	0	0	0	0
Revenues	**115**	**164**	**224**	**249**	**268**	**325**	**356**	**402**	**511**	**319**	**753**	**1,351**	**1,993**	**2,509**	**2,934**
Cost of Revenues	69	79	98	103	107	124	133	145	277	213	349	508	651	775	868
Cash Gross Profit	**46**	**85**	**126**	**146**	**161**	**201**	**223**	**258**	**233**	**106**	**404**	**844**	**1,342**	**1,734**	**2,066**
Gross Margin	40%	52%	56%	59%	60%	62%	63%	64%	46%	33%	54%	62%	67%	69%	70%
Adj. EBITDA	**4**	**41**	**103**	**105**	**122**	**157**	**179**	**215**	**157**	**-25**	**253**	**673**	**1,165**	**1,555**	**1,883**
EBITDA Margin	4%	25%	46%	42%	45%	48%	50%	53%	31%	-8%	34%	50%	58%	62%	64%
Capex	389	798	973	434	690	697	691	801	95	729	2,594	2,879	3,174	1,991	1,888
Free Cash Flow	-139	-816	-922	-401	-755	-757	-757	-857	-52	-451	-2,278	-3,127	-2,715	-1,425	-1,102
Net Debt	-185	662	1,587	1,991	2,750	3,510	4,271	5,132	-848	-336	1,991	5,132	7,861	9,300	10,417
LQA Net Leverage	-10.6x	4.0x	3.9x	4.7x	5.6x	5.6x	6.0x	6.0x	-5.4x	13.3x	7.9x	7.6x	6.7x	6.0x	5.5x
Colocation															
Operating MW	301	534	602	652	801	965	965	1193	20	161	652	1,193	1,550	1,824	2,098
PUE	1.34	1.35	1.35	1.35	1.36	1.38	1.38	1.38	1.21	1.35	1.35	1.38	1.38	1.38	1.38
Operating IT MW	225	395	445	481	590	701	701	863	17	120	481	863	1,119	1,319	1,519
Rental Revenue / kW / mo	114	106	120	120	120	122	123	126	147	115	115	123	130	132	133
License fees	59	99	151	167	193	236	259	296	17	48	476	984	1,528	1,933	2,264
Maintenance & other	-3	3	0	0	0	0	0	0	0	2	0	0	0	0	0
Power fees	21	35	49	54	61	75	83	93	7	16	159	312	465	576	670
Colocation Revenues	**78**	**137**	**200**	**221**	**254**	**311**	**343**	**389**	**24**	**65**	**635**	**1,296**	**1,993**	**2,509**	**2,934**
Cash Gross Profit	**46**	**85**	**124**	**137**	**159**	**198**	**221**	**254**	**3**	**21**	**392**	**832**	**1,342**	**1,734**	**2,066**
Gross Margin	59%	62%	62%	62%	63%	64%	65%	65%	11%	32%	62%	64%	67%	69%	70%
Gross Margin ex Power	81%	83%	82%	82%	82%	84%	85%	86%	15%	42%	82%	85%	88%	90%	91%
Digital Asset Self-mining															
Hashrate (EH/s)	13.4	9.4	7.1	7.1	4.7	4.7	4.7	4.7	19.1	15.7	7.1	4.7	0.0	0.0	0.0
Bitcoin Mined	395	300	230	262	174	164	161	161	6,595	2,276	1,187	659	0	0	0
Bitcoin Price Realized	76,215	71,783	70,606	80,508	81,703	82,803	83,903	85,038	61,977	100,706	74,954	83,327	0	0	0
Self-Mining Revenues	**30**	**22**	**16**	**21**	**14**	**14**	**13**	**14**	**409**	**229**	**89**	**55**	**0**	**0**	**0**
Cash Gross Profit	**-3**	**-2**	**0**	**6**	**2**	**3**	**2**	**3**	**203**	**76**	**0**	**11**	**0**	**0**	**0**
Gross Margin	-11%	-11%	-1%	28%	17%	22%	17%	26%	50%	33%	0%	21%	0%	0%	0%
Revenue Mix %															
Colocation	67%	83%	89%	89%	95%	96%	96%	97%	21%	84%	96%	100%	100%	100%	100%
Digital Asset Self-mining	26%	13%	7%	8%	5%	4%	4%	3%	72%	12%	4%	0%	0%	0%	0%
Digital Asset Hosted Mining	7%	4%	3%	3%	0%	0%	0%	0%	8%	4%	0%	0%	0%	0%	0%
Gross Profit Mix %															
Colocation	146%	114%	108%	101%	105%	103%	103%	101%	52%	110%	103%	100%	100%	100%	100%
Digital Asset Self-mining	-57%	-17%	-9%	-3%	-5%	-3%	-3%	-1%	27%	-13%	-3%	0%	0%	0%	0%
Digital Asset Hosted Mining	11%	3%	1%	2%	0%	0%	0%	0%	21%	3%	0%	0%	0%	0%	0%

Source: UBS estimates, company data

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We forecast colocation NOI margins improving from 82% in 2026E to 90% by 2029E, supported by the ramp of triple-net leases. Management has guided to cash SG&A in the low $30M per quarter range, representing an estimated 17% of total revenue in 2026E. We model continued SG&A growth to support platform expansion, but still expect operating leverage as contracted colocation revenue scales, with cash SG&A declining to ~6% of revenue by 2029E. This drives total company EBITDA from ~$250M in 2026E to ~$1.5B in 2029E, with EBITDA margins improving from 33% to 62% over the same period.

Figure 70: Figure 71: UBS Estimates vs. Street

	Street	UBSe	Street	UBSe	Street	UBSe	Street	UBSe
$ in Ms	**2026E**	**2026E**	**2027E**	**2027E**	**2028E**	**2028E**	**2029E**	**2029E**
Colocation	592	635	1,167	1,296	1,755	1,993	2,351	2,509
Digital Asset Self-mining	80	89	28	55	30	0	20	0
Digital Asset Hosted Mining	21	29	12	0	20	0	19	0
Total Revenues	**691**	**753**	**1,193**	**1,351**	**1,765**	**1,993**	**2,363**	**2,509**
Colocation	343	369	657	696	1,046	960	1,300	1,174
Digital Asset Self-mining	-47	-44	-25	-19	-10	0	-10	0
Digital Asset Hosted Mining	8	10	4	0	3	0	3	0
Gross Profit (incl. D&A)	**306**	**335**	**642**	**678**	**1,049**	**960**	**1,370**	**1,174**
Gross Margin	44.3%	44.5%	53.8%	50.2%	59.4%	48.2%	58.0%	46.8%
EBITDA	**224**	**253**	**695**	**673**	**1,198**	**1,165**	**1,645**	**1,555**
EBITDA Margin	32.4%	33.7%	58.3%	49.8%	67.8%	58.5%	69.6%	62.0%
Capex	2,575	2,594	4,639	2,879	4,528	3,174	3,538	1,991

Source: UBS estimates, company data, Visible Alpha

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Initiating Coverage of CORZ with a Buy Rating

We are initiating coverage of CORZ with a Buy rating and 12-month price target of $24. Our valuation applies 15x to 2028E EBITDA, at the low end of the historical range of data center REIT peers to account for the high concentration of current revenues from direct neocloud leases and delivery execution risks tied to higher credit quality tenants within Core Scientific's broader leased asset portfolio.

Figure 72: CORZ Price Target Basis

Multiple Based Valuation						
$ in millions	Dec-26	Dec-27	Dec-28	Dec-29	Dec-30	Dec-31
	2026E	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**
Valuation Drivers						
Revenues	753	1,351	1,993	2,509	2,934	3,146
Cash NOI	301	671	1,131	1,498	1,819	2,010
EBITDA	253	673	1,165	1,555	1,883	2,046
AFFO/sh	0.21	0.63	1.17	1.37	1.76	1.90
Contracted IT MW	1,119	1,119	1,119	1,119	1,119	1,119
Portfolio IT MW	3,213	3,213	3,213	3,213	3,213	3,213
EV Bridge						
Shares outstanding	482	490	497	504	512	519
Market cap	8,674	8,806	8,941	9,063	9,204	9,336
Net debt	1,991	5,132	7,861	9,300	10,417	9,697
Digital Assets	23	2	0	0	0	0
Enterprise value	10,641	13,936	16,802	18,364	19,621	19,032
Multiples at Current Share Price						
EV / Sales	11.8x	7.9x	7.0x	6.7x	6.3x	6.2x
Cap Rate	3.4%	6.3%	8.1%	8.9%	9.9%	10.2%
EV / EBITDA	35.0x	15.8x	12.0x	10.8x	9.8x	9.6x
P / AFFO	86.3x	28.7x	15.3x	13.1x	10.2x	9.5x
Equity / Leased IT MW	7.4	7.8	7.9	8.0	8.1	8.2
Equity / Portfolio IT MW	2.6	2.7	2.7	2.8	2.8	2.9
Multiples at Price Target						
EV / Sales	15.5x	10.0x	8.5x	7.9x	7.3x	7.2x
Cap Rate	2.6%	5.0%	6.7%	7.6%	8.5%	8.9%
EV / EBITDA	46.0x	20.1x	14.5x	12.7x	11.4x	11.1x
P / AFFO	115.1x	38.3x	20.5x	17.5x	13.6x	12.6x
Equity / Leased IT MW	9.9	10.3	10.5	10.7	10.8	11.0
Equity / Pipeline IT MW	3.5	3.6	3.7	3.7	3.8	3.8

Price Target Basis: EV/EBITDA	
EBITDA ('28E)	1,165
Target multiple	15x
Enterprise value	**16,899**
(-) Net debt ('27E)	5,132
(+) Digital Assets ('27E)	2
Equity value	**11,769**
Shares outstanding ('27E)	490
12mo Price Target	**24**
Current share price	18
% upside/(downside)	33.4%

Source: UBS estimates, company data

Enterprise Value Considerations

Our enterprise value bridge assumes conversion of all convertible notes (with conversion prices range from $11 to $22.49) with the dilutive amount in our share count. Our share count also incorporates the company's Tranche 1 and Tranche 2 warrants, along with the AMD warrants, using the treasury stock method.

Sum-of-the-Parts Framework

To derive a NAV for contracted Core Scientific leases, we apply an ~8% cap rate on cash NOI in '29E, a discounted valuation relative other HPC colocation operators to reflect tenant mix and shorter lease durations. We then discount estimated property equity and total CORZ equity back to our price target date at ~15% to reflect remaining execution risk as of price target date (~YE27).

Our pipeline valuation includes a ~30% probability ascribed to the 384MW of grid secured capacity at Muskogee and Hunt under AMD's expansion options, while remaining pipeline/AMD expansion operations is included in our Tier III category to account for greater uncertainty on longer dated grid power and behind-the-meter optionality.

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Figure 73: Core Scientific SOTP Framework

Sum-of-the-Parts						
$ in millions						
(1) Contracted Assets						
Stabilized NAV	**YE28**		**PV of NAV / Equity**	**YE26**	**YE27**	**YE28**
NTM Cash NOI ('29E)	1,362		% Capacity Delivered	43%	77%	100%
Cap Rate	7.9%		% AMD Capacity Delivered	0%	52%	100%
Stabilized Property Value	**17,241**		Equity Cost of Capital	19%	15%	10%
Project Debt	8,200		Property Equity	6,417	7,842	9,041
Property Equity	**9,041**		**Total Equity**	**7,580**	**9,264**	**10,680**
Corp Net Debt, CIP & Other	-1,639					
Total Equity	**10,680**		IT MW Contracted	1,119	1,119	1,119
			Property Equity / MW	5.7	7.0	8.1
			Total Equity / MW	6.8	8.3	9.5

(2) Pipeline Assets						
Category	**IT MW**	**Probability**	**Disc. Value**	**Value / MW**	**Full Value**	**Value / MW**
Tier 1 Pipeline	0	70%	0	5.4	0	8
Tier 2 Pipeline	384	30%	894	2.3	2,980	8
Tier 3 Pipeline	1,710	12%	1,611	0.9	13,268	8
Total Pipeline	**2,094**	**15%**	**2,505**	**1.2**	**16,248**	**8**

Implied SOTP			
	Value	**Per Share**	**%**
Property Equity	7,842	16	67%
Pipeline Equity	2,505	5	21%
Corp Net Debt, CIP & Other	1,422	3	12%
Total UBS Equity Value	**11,769**	**24**	**100%**

Source: UBS estimates, company data

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UPSIDE/DOWNSIDE SPECTRUM



CORZ is trading at $17.99 as of September 18

Value drivers	Operating IT MW (YE28)	EBITDA ('28E)	Leased IT GW	Cash NOI at Stabilization	Equity Value / Portfolio MW
$36 upside	900+	$1.2B+	~2.0	~$2.6B	~$5.5M
$24 base	~860	~$1.2B	~1.5	~$1.8B	~$3.5M
$7 downside	~700	$950M	~1.1	~$1.3B	~$1M

Source: UBS

Risk to the current share price is skew 1.6:1 to the upside

UPSIDE ($36): Our upside case assumes Core Scientific leases ~900MW of incremental capacity (~half of AMD expansion options), bringing total contracted capacity to ~2.0GW. Assuming similar economics as the original lease agreement, we estimate this would support ~$1.2B of incremental cash NOI at stabilization (~$2.6B in total) after additional capex of ~$10B. Applying a 7.5% cap rate, a discount to valuations for hyperscale data center assets to account for neocloud tenant mix, we arrive at an upside per share price of $36.

BASE ($24): Our base case assumes Core Scientific's leased portfolio is delivered on time and schedule, supporting a ramp in revenue recognition from AMD leases commence through 2027 and 2028. We assume an additional ~400MW is leased and incorporate in our outer year forecasts. Our price target is based on 15x 2028 EBITDA, and implies ~80% of equity value ascribed to corporate and currently leased assets and ~20% to pipeline opportunities.

DOWNSIDE ($7): Our downside case assumes <6 month delays for capacity deliveries and a further increase in interest rates that would compress valuation multiples. We flex our EBITDA multiple to 9x on lowered 2028 estimates for a downside per share price of $7.

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MINER BACKGROUND

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From ASIC Mining to AI/HPC Data Centers

The key value of mining sites is not the existing buildings, but the control of power, land and utility relationships:

- AI and HPC workloads require significantly different infrastructure than traditional bitcoin mining operations. Bitcoin mining is primarily focused on minimizing marginal power costs, resulting in lower levels of redundancy, greater use of interruptible power arrangements and simplified facility designs.
- AI and HPC deployments require higher service levels, often Tier III-equivalent infrastructure at 99.98% uptime requirements and N+1 or N+2 redundancy across critical electrical and mechanical systems. Supporting these requirements increases development costs to $10-15M per MW, compared with roughly $0.5-1.0M per MW for bitcoin mining facilities.
- AI workloads also require significantly more cooling and supporting infrastructure, resulting in greater electrical overhead, more complex facility designs and higher PUE levels (power usage effectiveness).
- While several early projects leveraged brownfield conversions of existing mining campuses, most new developments are following a greenfield approach. Developers are utilizing existing power entitlements, interconnection positions and utility relationships while constructing purpose-built AI data centers designed to meet hyperscale and HPC specifications.

Bitcoin Mining vs. AI/HPC Infrastructure Requirements

Metric	Bitcoin Mining	AI/HPC
Compute	Custom Mining ASICs	GPUs / advanced accelerators
Build Costs ($/MW)	$0.5-1.0M	$10-15M
PUE	1.00-1.05	1.15-1.40
Uptime Requirements	Flexible	99.98%+
Redundancy	Minimal / None	N+1 or N+2
Cooling	Air-cooled	Liquid or other advanced cooling
Power Flexibility	Curtailable	Firm Power
Economic Driver	Hashprice-driven	Long-term Contracted Rent

AI/HPC Data Center



ASIC Mining Data Center



Source: UBS, Applied Digital

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Miner Leasing Dashboard

Bitcoin Miner AI/HPC Data Center Leases ($Ms unless noted)

Company	Facility	Location	IT MW	Tenant	Announced	Length	Lease Type	Total Rev	Annual Rev	Yr 1 Rev / W	Total NOI	Annual NOI	Yr 1 NOI / W	Capex	Yr 1 Yield
Core Scientific	Multiple	TX, NC, GA, OK	502	CoreWeave	6/3/24-10/22/24	12 Years	Modified Gross	8,725	727	1.2	7,198	600	0.98	753	65%
TeraWulf	Lake Mariner	Lake Mariner, NY	60	Core42	12/23/2024	10 Years	Modified Gross	1,085	109	1.58	922	92	1.34	432	19%
Core Scientific	Denton	Denton, TX	70	CoreWeave	2/5/2025	12 Years	Modified Gross	1,200	100	1.17	990	83	0.97	105	65%
Galaxy Digital[1]	Helios	West Texas	133	CoreWeave	3/28/2025	15 Years	Modified Gross	4,500	300	1.82	3,825	255	1.55	1,596	13%
Galaxy Digital[1]	Helios	West Texas	260	CoreWeave	4/23/2025	15 Years	Modified Gross	8,500	567	1.76	7,225	482	1.49	3,120	12%
Applied Digital	Polaris Forge 1	Ellendale, ND	250	CoreWeave	5/28/2025	15 Years	Modified Gross	7,000	467	1.51	6,160	411	1.32	3,000	11%
Galaxy Digital[1]	Helios	West Texas	133	CoreWeave	8/5/2025	15 Years	Modified Gross	4,500	300	1.82	3,825	255	1.55	1,596	13%
Terawulf	Lake Mariner	Lake Mariner, NY	210	Fluidstack	8/14/2025	10 Years	Modified Gross	3,980	398	1.65	3,383	338	1.41	1,890	16%
Terawulf	Lake Mariner	Lake Mariner, NY	168	Fluidstack	8/18/2025	10 Years	Modified Gross	3,225	323	1.67	2,741	274	1.42	1,512	16%
Applied Digital	Polaris Forge 1	Ellendale, ND	150	CoreWeave	8/29/2025	15 Years	Modified Gross	4,000	267	1.43	3,520	235	1.26	1,800	11%
Cipher Digital	Barber Lake #1	Colorado City, TX	168	Fluidstack	9/25/2025	10 Years	Modified Gross	3,000	300	1.56	2,475	248	1.29	1,680	13%
Ionic Digital[1]	Ward County	Ward County, TX	234	Nscale	10/14/2025	10.5 Years	NNN	1,900	181	0.72	1,872	178	0.71	~	~
Applied Digital	Polaris Forge 2	Harwood, ND	200	Oracle	10/22/2025	15 Years	Modified Gross	5,000	333	1.39	4,300	287	1.20	2,400	10%
Terawulf/Fluidstack	Abernathy	Abernathy, TX	168	Fluidstack	10/28/2025	25 Years	Modified Gross	9,500	380	1.55	6,650	266	1.09	1,512	12%
Cipher Digital	Black Pearl	Wink, TX	216	Amazon	11/3/2025	15 Years	NNN	5,500	367	1.37	5,500	367	1.37	2,052	14%
Cipher Digital	Barber Lake #2	Colorado City, TX	39	Fluidstack	11/20/2025	10 Years	Modified Gross	800	80	1.79	700	70	1.57	371	16%
Hut 8	River Bend	River Bend, LA	245	Fluidstack	12/17/2025	15 Years	NNN	7,000	467	1.54	6,810	454	1.49	2,450	15%
Riot Platforms[1]	Rockdale	Rockdale, TX	25	AMD	1/16/2026	10 Years	Modified Gross	311	31	1.09	250	25	0.87	90	24%
Ionic Digital[1]	Ward County	Ward County, TX	89	Nscale	Feb 2026	10.5 Years	NNN	700	67	0.70	690	66	0.69	40	153%
Cipher Digital	Stingray	Andrews, TX	70	Amazon	3/25/2026	15 Years	NNN	2,000	133	1.54	2,000	133	1.54	735	15%
Applied Digital	Delta Forge 1	Boyce, LA	300	Meta	4/23/2026	15 Years	Modified Gross	7,500	500	1.34	6,375	425	1.14	3,600	10%
Riot Platforms[1]	Rockdale	Rockdale, TX	25	AMD	4/30/2026	10 Years	Modified Gross	325	33	1.13	260	26	0.91	80	28%
Hut 8	Beacon Point #1	Corpus Christi, TX	352	Nvidia	5/6/2026	15 Years	NNN	9,800	653	1.50	9,825	655	1.50	3,520	15%
Applied Digital	Polaris Forge 3	Bismarck, ND	300	Meta	5/20/2026	15 Years	Modified Gross	7,500	500	1.34	6,375	425	1.14	3,600	10%
Applied Digital	Delta Forge 2	Brookwood, AL	210	Meta	6/8/2026	15 Years	Modified Gross	5,200	347	1.33	4,420	295	1.13	2,520	9%
Terawulf	Justified Data	Hawesville, KY	401	Anthropic	7/6/2026	20 Years	Modified Gross	19,000	950	1.76	16,150	808	1.50	4,411	14%
Cleanspark[1]	Sandersville	Sandersville, GA	175	Meta	7/14/2026	20 Years	NNN	6,600	330	1.40	6,600	330	1.40	1,925	13%
Hut 8	Beacon Point #2	Corpus Christi, TX	352	Nvidia	7/20/2026	15 Years	NNN	9,800	653	1.50	9,825	655	1.50	3,520	15%
Core Scientific	Multi-Site	Texas, Oklahoma	377	AMD	7/28/2026	15 Years	NNN	9,364	624	1.39	9,364	624	1.39	4,336	12%
Core Scientific	Multi-Site	Georgia, Alabama	152	Neocloud	7/28/2026	15 Years	Modified Gross	4,400	293	1.61	3,784	252	1.39	1,748	12%
Bitdeer[1]	Tydal	Tydal, Norway	121	Volta	8/4/2026	16 Years	Modified Gross	4,700	294	1.93	4,230	264	1.73	484	43%
Riot Platforms[1]	Rockdale	Rockdale, TX	191	Anthropic	8/10/2026	20 Years	Modified Gross	9,100	455	1.77	7,735	387	1.51	2,197	13%
Fermi	Project Matador	Amarillo, TX	160	TensorWave	8/10/2026	15 Years	Modified Gross	6,500	433	2.18	4,875	325	1.64	3,200	8%
Total			**6,506**			**15 Years**		**182,215**	**12,275**	**1.53**	**160,854**	**10,836**	**1.35**	**62,274**	**14%**

(1) Non-covered bitcoin mining companies that have also signed AI/HPC data center leases (2) Base contract length before tenant renewal options (3) We assume 3% escalators over contract duration when actual escalators have not been disclosed

Source: UBS estimates, company data

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Residual Bitcoin Exposure and Transition Status

At this point, remaining bitcoin mining exposure is residual or a transitional use of power, with most operators planning to reallocate any remaining capacity toward AI/HPC lease opportunities. Below we outline where each stands in terms of bitcoin exposure and future plans.

TeraWulf

- TeraWulf retains some self-mining exposure at Lake Mariner. As of 2Q26, nameplate hash rate was 10.6 EH/s and management expects this to decline to 5-6 EH/s by late 2026.
- Lake Mariner has 750MW of total power commitments, with the HPC builds expected to consume ~530MW of gross power. As mining winds down, remaining power at Lake Mariner should be redirected toward AI/HPC leases.

Cipher Digital

- Cipher maintains self-mining operations at Odessa, TX, with 206MW operating at 11.6 EH/s. The site benefits from a fixed-price PPA with Vistra Luminant, including a 5% curtailment option that results in an attractive power cost of just 2.7c/kWh.
- The PPA expires at the end of July 2027, at which point the PPA could be renegotiated for AI/HPC leasing.

Applied Digital

- Applied Digital is the only company in our coverage without self-mining exposure. Its exposure is limited to colocation facilities serving third-party miners, reducing direct sensitivity to spot bitcoin prices and network competition.
- The mining colocation portfolio includes Jamestown, ND (106MW) and Ellendale, ND (180MW) at Polaris Forge 1.

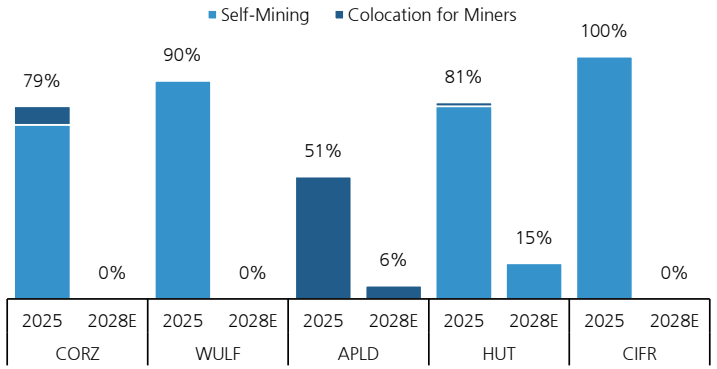
Hut 8

- Hut 8 shifted much of its bitcoin exposure to publicly listed American Bitcoin (ABTC). The company currently retains a 54% equity stake in ABTC, and thus results are consolidated in Hut 8's financials despite underlying mining operations residing at ABTC.
- We expect Hut 8's ownership in ABTC to decline over time, potentially shifting the accounting treatment to an equity-method investment. Hut 8 has a colocation service agreement with ABTC, which is currently eliminated in inter-company financial reporting.

Core Scientific

- Core Scientific was one of the first miners to repurpose bitcoin mining infrastructure for AI/HPC colocation and continues to reduce mining exposure.
- Remaining mining operations are concentrated at Calvert City, KY (150MW) and Grand Forks, ND (100MW). Management expects mining activity to wind down through 2026, with only one or two mining sites by YE.

Exposure to Bitcoin Mining (% of total revenues)



Current Bitcoin Mining Exposure

Company	Self Mining	Colocation for Miners	Mining Gross MW	EH/s	Fleet Efficiency (J/TH)	Balance Sheet: Bitcoin Quantity	Balance Sheet: Bitcoin Value
Applied Digital		✓	286	~	~	~	~
Hut 8[1]	✓	✓	567	~32	16.0	9,314	~$560M
TeraWulf	✓		145	10.6	17.2	~	~
Cipher Digital	✓		207	11.6	17.2	646	$38M
Core Scientific	✓	✓	150	~12.0	24.6	848	$50M

(1) Hut 8 Balance sheet figures exclude Digital Assets consolidated but held at American Bitcoin. Capacity figures include 50% share of 280MW King Mountain joint venture

Source: UBS, company data

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Bitcoin Mining, a Brief Primer

Bitcoin mining sits at the opposite end of the infrastructure risk spectrum from AI/HPC leasing, with earnings driven by commodity-like exposure to bitcoin prices, network competition and electricity costs rather than long-term contracted revenue.

What is bitcoin mining?

- Bitcoin mining is the process of validating transactions on the Bitcoin network. Miners compete to solve cryptographic calculations and, in return, receive newly issued bitcoin as a reward.
- The probability of earning the reward is determined by a miner's share of total network hashrate. For example, a miner operating 50 exahashes per second (EH/s), or one quintillion calculations per second, on a 1,000 EH/s network (the collection of all miners) would be expected to earn ~5% of network rewards over time.
- The current block reward is 3.125 bitcoin and network difficulty adjusts every ~2 weeks to maintain an average block time of ~10 minutes (thus ~41K bitcoins awarded annually across the network).
- The reward is reduced by 50% every ~4 years, with the next halving event expected in 2028.

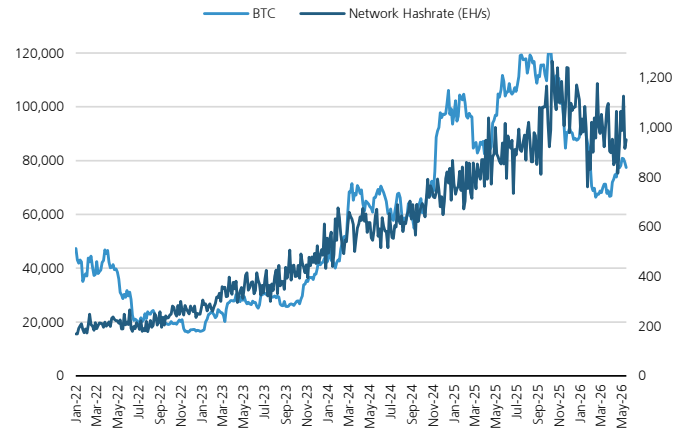
Mining economics are primarily determined by four variables: bitcoin prices, network hashrate, power costs and fleet efficiency.

- A miner's hashrate (EH/s) is a function of the power devoted to mining and the efficiency of its ASIC fleet. Efficiency is measured in Joules per terahash (J/TH), with lower values translating into lower electricity consumption and better economics, all else equal.
- Network hashrate has historically followed bitcoin prices with a lag. As bitcoin prices rise, additional mining capacity is deployed, increasing competition and reducing rewards on a per-machine basis. When bitcoin prices fall, higher marginal cost operators typically exit the network over time.
- **Electricity cost is an important determinant of mining profitability and a key reason miners historically secured sites in some of the lowest-cost power markets in North America.** At current network conditions, power costs generally need to be in the mid-single-digit cents per kWh range to support mining returns.
- New ASIC generations typically deliver improvements in energy efficiency, requiring miners to replace older hardware to maintain competitiveness and preserve network share.

Bitcoin Mining Forecast Methodology

- Given bitcoin mining's diminishing relevance to the stocks, our mining forecasts are based on the bitcoin forward curve and a projected network hashrate based on the historical relationship between bitcoin prices and industry hashrate growth. Our estimates also reflect the next halving event in 2Q28E, which will reduce the block reward from 3.125 bitcoin to 1.5625 bitcoin.
- Our forecasts reflect mining wind-down plans across our coverage, with only the only self mining activities currently forecast beyond 2027 at Hut 8 through consolidation of American Bitcoin.

Bitcoin Price vs. Network Hashrate



Marginal Cost of Mining a Bitcoin

Fleet Efficiency (J/TH) \ Power Costs (c/kWh)	3.0	4.5	6.0	7.5	9.0
15.0	24,000	36,000	48,000	60,000	72,000
17.5	28,000	42,000	56,000	70,000	84,000
20.0	32,000	48,000	64,000	80,000	96,000
22.5	36,000	54,000	72,000	90,000	108,000
25.0	40,000	60,000	80,000	100,000	120,000

Notes: Based on Network Hashrate of 1,000 EH/s for illustrative purposes

Source: UBS

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Hut 8 Corp (HUT.O)

Income Statement (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**97**	**162**	**235**	**326**	*38.6*	**616**	*89.2*	**1,503**	**2,331**	**3,026**
Gross profit	42	76	127	217	*70.5*	419	*93.0*	1,374	2,190	2,874
EBITDA (UBS)	**17**	**14**	**55**	**101**	*84.7*	**293**	*189.1*	**1,235**	**1,933**	**2,541**
Depreciation & amortisation	(18)	(48)	(102)	(153)	*-50.0*	(242)	*-58.3*	(660)	(997)	(1,305)
EBIT (UBS)	**(1)**	**(34)**	**(47)**	**(51)**	*-9.5*	**51**	-	**575**	**937**	**1,237**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	48	516	(223)	(133)	*40.2*	(69)	*48.5*	(106)	(106)	(106)
Net interest	(25)	(30)	(30)	(303)	*NM*	(664)	*-119.5*	(771)	(760)	(738)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**22**	**452**	**(300)**	**(487)**	*-62.5*	**(682)**	*-39.9*	**(301)**	**71**	**393**
Tax	0	(113)	52	27	*-48.2*	0	-	0	(31)	(91)
Profit after tax	**22**	**338**	**(248)**	**(460)**	*-85.6*	**(682)**	*-48.1*	**(301)**	**41**	**302**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	(7)	22	(45)	-	(83)	*-84.8*	(9)	(35)	(42)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**22**	**332**	**(226)**	**(505)**	*-123.4*	**(765)**	*-51.3*	**(311)**	**6**	**260**
Net earnings (UBS)	**22**	**332**	**(226)**	**(505)**	*-123.4*	**(765)**	*-51.3*	**(311)**	**6**	**260**
Tax rate (%)	0.9	25.1	0.0	0.0	-	0.0	-	0.0	42.9	23.1

Per Share (US$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.40	3.28	(2.15)	(4.31)	*-100.9*	(6.11)	*-41.6*	(2.44)	0.04	1.84
EPS (local GAAP, diluted)	0.40	3.28	(2.15)	(4.31)	*-100.9*	(6.11)	*-41.6*	(2.44)	0.04	1.84
EPS (UBS, basic)	0.43	3.63	(2.15)	(4.31)	*-100.9*	(6.11)	*-41.6*	(2.44)	0.04	1.98
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	0.71	3.76	(1.18)	(3.01)	*-155.0*	(4.17)	*-38.8*	2.75	7.19	11.07
Book value per share	5.51	10.44	12.92	12.51	*-3.1*	9.12	*-27.1*	8.63	10.67	14.43
Average shares (diluted)	55	101	105	117	*11.2*	125	*6.9*	127	139	141

Balance Sheet (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	31	86	49	4,730	*NM*	3,346	*-29.3*	1,775	952	957
Other current assets	31	171	360	69	*-80.9*	114	*65.7*	358	739	1,203
Total current assets	**62**	**257**	**408**	**4,799**	*NM*	**3,459**	*-27.9*	**2,132**	**1,690**	**2,160**
Net tangible fixed assets	118	222	643	3,530	*NM*	9,241	*161.8*	12,836	15,586	17,477
Net intangible fixed assets	75	66	221	215	*-2.6*	212	*-1.6*	208	208	208
Investments / other assets	486	974	1,481	1,840	*24.2*	1,630	*-11.4*	1,424	1,680	1,952
Total assets	**741**	**1,519**	**2,754**	**10,384**	*277.1*	**14,542**	*40.0*	**16,600**	**19,165**	**21,797**
Trade payables & other ST liabilities	48	84	176	136	*-22.9*	144	*5.9*	152	156	160
Short term debt	65	70	200	235	*17.4*	235	*0.0*	235	200	200
Total current liabilities	**113**	**154**	**376**	**370**	*-1.4*	**378**	*2.2*	**386**	**356**	**360**
Long term debt	124	255	210	7,395	*NM*	11,619	*57.1*	14,032	16,310	18,378
Other long term liabilities	17	130	478	449	*-6.3*	443	*-1.2*	66	66	66
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**253**	**538**	**1,064**	**8,214**	*NM*	**12,441**	*51.5*	**14,485**	**16,732**	**18,804**
Common s/h equity	**488**	**977**	**1,422**	**1,554**	*9.3*	**1,151**	*-25.9*	**1,106**	**1,389**	**1,908**
Minority interests	0	4	268	617	*130.4*	949	*54.0*	1,009	1,044	1,085
Total liabilities & equity	**741**	**1,519**	**2,754**	**10,384**	*277.1*	**14,542**	*40.0*	**16,600**	**19,165**	**21,797**

Cash Flow (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	22	332	(226)	(505)	*-123.4*	(765)	*-51.3*	(311)	6	260
Depreciation & amortisation	18	48	102	153	*50.0*	242	*58.3*	660	997	1,305
Net change in working capital	6	(14)	(51)	70	-	(42)	-	(241)	(378)	(461)
Other operating	(65)	(434)	36	2	*-94.2*	7	*243.7*	(11)	56	29
Operating cash flow	**(20)**	**(69)**	**(139)**	**(281)**	*-101.5*	**(558)**	*-98.7*	**97**	**681**	**1,133**
Tangible capital expenditure	(1)	(124)	(203)	(2,847)	*NM*	(5,949)	*-109.0*	(4,252)	(3,747)	(3,196)
Intangible capital expenditure	0	0	(1)	0	-	0	-	0	0	0
Net (acquisitions) & disposals	1	5	6	65	*NM*	0	-	0	0	0
Other investing	65	(69)	(556)	(84)	*84.9*	650	-	120	0	0
Investing cash flow	**65**	**(188)**	**(754)**	**(2,866)**	*-280.0*	**(5,299)**	*-84.9*	**(4,132)**	**(3,747)**	**(3,196)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	0	185	324	130	*-59.8*	0	-	0	0	0
Other financing	0	0	447	313	*-30.0*	250	*-20.1*	50	0	0
Change in debt & pref shares	(25)	127	85	7,385	*NM*	4,223	*-42.8*	2,413	2,243	2,068
Financing cash flow	**(24)**	**312**	**856**	**7,828**	*NM*	**4,473**	*-42.9*	**2,463**	**2,243**	**2,068**
Cash flow inc/(dec) in cash	**21**	**55**	**(37)**	**4,682**	-	**(1,384)**	-	**(1,571)**	**(823)**	**5**
FX / non cash items	-	0	0	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**-**	**55**	**(37)**	**4,682**	-	**(1,384)**	-	**(1,571)**	**(823)**	**5**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	27.6	4.0	NM	NM	NM	NM	NM	56.2
P/E (UBS, diluted)	27.6	4.0	(12.1)	(24.0)	(16.9)	(42.4)	NM	56.2
P/CEPS	14.2	3.1	NM	NM	NM	37.7	13.3	8.7
Equity FCF (UBS) yield %	(3.9)	(16.2)	(12.6)	(24.5)	(51.1)	(32.6)	(24.1)	(16.2)
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	2.0	1.3	2.0	8.3	11.3	12.0	9.7	7.2
EV/revenues (core)	-	8.1	NM	NM	NM	NM	NM	10.0
EV/EBITDA (UBS core)	-	95.3	59.1	>100	66.0	19.6	14.4	12.0
EV/EBIT (core)	-	NM	NM	NM	>100	42.1	29.7	24.6
EV/OpFCF (core)	-	95.3	59.1	>100	66.0	20.1	14.9	12.4
EV/op. invested capital	-	1.5	2.1	4.3	2.5	1.9	1.7	1.6

Enterprise value (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	522	1,194	2,730	12,741	12,741	12,741	12,741	12,741
Net debt (cash)	-	198	300	1,631	5,704	10,500	14,025	16,590
Buy out of minorities	0	4	268	617	949	1,009	1,044	1,085
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**-**	**1,396**	**3,298**	**14,988**	**19,395**	**24,250**	**27,810**	**30,416**
Non core assets	(83)	(88)	(52)	(42)	(34)	(26)	(24)	(22)
Core enterprise value	**-**	**1,308**	**3,247**	**14,947**	**19,361**	**24,224**	**27,786**	**30,394**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	67.8	44.8	38.6	89.2	143.9	55.1	29.8
EBITDA (UBS)	-	(19.0)	NM	84.7	189.1	NM	56.5	31.4
EBIT (UBS)	-	NM	(38.0)	(9.5)	-	NM	62.8	32.0
EPS (UBS, diluted)	-	NM	-	(100.9)	(41.6)	60.0	-	NM
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	43.4	46.6	54.2	66.6	68.0	NM	NM	NM
EBITDA margin	17.5	8.4	23.4	31.1	47.6	NM	NM	NM
EBIT (UBS) margin	(0.7)	(21.0)	(20.0)	(15.8)	8.3	38.3	40.2	40.9
Net earnings (UBS) margin	22.6	NM	NM	NM	NM	NM	0.2	8.6
ROIC (EBIT)	-	NM	NM	NM	0.7	4.6	5.8	6.4
ROIC post tax	-	NM	NM	NM	0.7	4.6	3.3	4.9
ROE (UBS)	-	45.3	(18.9)	(34.0)	(56.5)	(27.5)	0.5	15.8

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	9.3	17.4	6.6	28.6	29.0	10.1	8.0	6.9
Net debt / total equity %	32.4	24.3	21.4	133.6	NM	NM	NM	NM
Net debt / (net debt + total equity) %	24.5	19.6	17.6	57.2	80.2	85.5	86.5	85.5
Net debt/EV %	-	14.2	9.1	10.9	29.4	43.3	50.4	54.5
Capex / depreciation %	3.5	NM	NM	NM	NM	NM	NM	NM
Capex / revenue %	0.6	NM	NM	NM	NM	NM	NM	NM
EBIT / net interest	-	-	-	-	0.1	0.7	1.2	1.7
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	97	162	235	326	616	1,503	2,331	3,026
Total	**97**	**162**	**235**	**326**	**616**	**1,503**	**2,331**	**3,026**

EBIT (UBS) by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	(1)	(34)	(47)	(51)	51	575	937	1,237
Total	**(1)**	**(34)**	**(47)**	**(51)**	**51**	**575**	**937**	**1,237**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Terawulf Inc (WULF.O)

Income Statement (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**69**	**140**	**168**	**260**	*54.2*	**852**	*228.2*	**1,782**	**2,294**	**2,994**
Gross profit	42	77	86	209	*143.6*	728	*248.3*	1,541	2,001	2,612
EBITDA (UBS)	**32**	**60**	**(23)**	**51**	-	**476**	*NM*	**1,158**	**1,559**	**2,072**
Depreciation & amortisation	(28)	(60)	(89)	(123)	*-39.4*	(286)	*-131.5*	(565)	(696)	(916)
EBIT (UBS)	**4**	**1**	**(112)**	**(73)**	*35.1*	**190**	-	**593**	**863**	**1,156**
Associates & investment income	0	(9)	3	(4)	-	(23)	*NM*	0	0	0
Other non-operating income	(33)	(74)	(508)	(1,231)	*-142.5*	(31)	*97.5*	(57)	(75)	(80)
Net interest	(35)	(16)	(41)	(89)	*-116.3*	(284)	*-218.1*	(510)	(632)	(653)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**(64)**	**(98)**	**(657)**	**(1,397)**	*-112.5*	**(147)**	*89.5*	**25**	**156**	**422**
Tax	0	0	0	0	-	1	*224.4*	0	(2)	(4)
Profit after tax	**(64)**	**(98)**	**(657)**	**(1,396)**	*-112.4*	**(145)**	*89.6*	**25**	**155**	**418**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(9)	26	(4)	(23)	*NM*	0	-	0	0	0
Extraordinary items	0	0	0	1	-	0	-	0	0	0
Net earnings (local GAAP)	**(73)**	**(72)**	**(661)**	**(1,418)**	*-114.4*	**(145)**	*89.7*	**25**	**155**	**418**
Net earnings (UBS)	**(73)**	**(72)**	**(661)**	**(1,419)**	*-114.5*	**(145)**	*89.8*	**25**	**155**	**418**
Tax rate (%)	0.0	0.0	0.0	0.0	-	0.0	-	1.0	1.0	1.0

Per Share (US$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	(0.35)	(0.21)	(1.66)	(2.97)	*-78.8*	(0.29)	*90.3*	0.04	0.24	0.63
EPS (local GAAP, diluted)	(0.35)	(0.21)	(1.66)	(2.97)	*-78.7*	(0.29)	*90.3*	0.04	0.24	0.63
EPS (UBS, basic)	(0.35)	(0.21)	(1.66)	(2.97)	*-78.8*	(0.29)	*90.3*	0.05	0.30	0.75
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	(0.21)	(0.04)	(1.44)	(2.72)	*-88.5*	0.28	-	1.05	1.33	2.00
Book value per share	0.90	0.61	0.34	0.24	*-29.4*	0.21	*-9.5*	0.34	1.87	3.71
Average shares (diluted)	210	351	398	477	*20.0*	503	*5.3*	563	638	668

Balance Sheet (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	54	274	3,723	1,869	*-49.8*	2,358	*26.2*	1,057	2,008	611
Other current assets	8	7	22	53	*143.2*	148	*178.0*	423	781	1,211
Total current assets	**63**	**281**	**3,745**	**1,922**	*-48.7*	**2,506**	*30.4*	**1,481**	**2,790**	**1,822**
Net tangible fixed assets	205	412	1,508	5,060	*235.6*	7,781	*53.8*	10,434	12,698	14,483
Net intangible fixed assets	0	0	55	55	*0.0*	55	*0.0*	55	55	55
Investments / other assets	110	94	1,250	915	*-26.8*	883	*-3.5*	875	866	858
Total assets	**378**	**788**	**6,558**	**7,953**	*21.3*	**11,225**	*41.2*	**12,845**	**16,408**	**17,218**
Trade payables & other ST liabilities	29	52	1,200	2,471	*106.0*	2,471	*0.0*	2,471	2,472	2,472
Short term debt	125	0	536	1,193	*122.5*	1,193	*0.0*	1,193	1,193	1,193
Total current liabilities	**155**	**52**	**1,736**	**3,664**	*111.1*	**3,664**	*0.0*	**3,664**	**3,665**	**3,665**
Long term debt	0	488	4,635	4,061	*-12.4*	7,341	*80.8*	8,901	11,657	11,393
Other long term liabilities	1	3	47	114	*145.5*	112	*-1.7*	110	108	106
Preferred shares	9	9	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**165**	**552**	**6,418**	**7,839**	*22.1*	**11,117**	*41.8*	**12,675**	**15,430**	**15,164**
Common s/h equity	**213**	**235**	**140**	**113**	*-19.5*	**108**	*-4.7*	**170**	**978**	**2,054**
Minority interests	0	0	0	0	-	0	*0.0*	0	0	0
Total liabilities & equity	**378**	**788**	**6,558**	**7,953**	*21.3*	**11,225**	*41.2*	**12,845**	**16,408**	**17,218**

Cash Flow (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	(73)	(72)	(661)	(1,418)	*-114.4*	(145)	*89.7*	25	155	418
Depreciation & amortisation	28	60	89	123	*39.4*	286	*131.5*	565	696	916
Net change in working capital	(11)	(10)	71	(176)	-	(97)	*44.7*	(277)	(358)	(432)
Other operating	60	(2)	378	1,270	*235.8*	114	*-91.1*	117	131	136
Operating cash flow	**4**	**(24)**	**(123)**	**(200)**	*-62.3*	**157**	-	**430**	**623**	**1,038**
Tangible capital expenditure	(75)	(268)	(1,060)	(2,912)	*-174.7*	(2,957)	*-1.5*	(2,918)	(2,959)	(2,701)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	23	(10)	(252)	*NM*	(50)	*80.1*	(300)	0	0
Other investing	(3)	153	(299)	440	-	130	*-70.4*	0	0	0
Investing cash flow	**(78)**	**(91)**	**(1,369)**	**(2,724)**	*-99.0*	**(2,877)**	*-5.6*	**(3,218)**	**(2,959)**	**(2,701)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	136	(8)	(157)	1,070	-	(11)	-	(12)	587	586
Other financing	(11)	0	0	0	-	0	-	0	0	0
Change in debt & pref shares	(6)	344	5,098	1	*-100.0*	3,220	*NM*	1,500	2,700	(320)
Financing cash flow	**120**	**335**	**4,941**	**1,070**	*-78.3*	**3,209**	*199.7*	**1,488**	**3,287**	**266**
Cash flow inc/(dec) in cash	**46**	**220**	**3,449**	**(1,854)**	-	**489**	-	**(1,300)**	**951**	**(1,397)**
FX / non cash items	-	0	0	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**-**	**220**	**3,449**	**(1,854)**	-	**489**	-	**(1,300)**	**951**	**(1,397)**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	NM	NM	NM	NM	NM	NM	72.0	27.9
P/E (UBS, diluted)	(4.3)	(19.1)	(4.4)	(5.9)	(60.3)	NM	72.0	27.9
P/CEPS	NM	NM	NM	NM	62.5	15.0	10.7	7.2
Equity FCF (UBS) yield %	(22.2)	(21.2)	(39.6)	(36.7)	(33.0)	(29.4)	(27.6)	(19.6)
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	1.7	6.5	21.8	73.7	NM	52.0	9.3	4.7
EV/revenues (core)	-	NM	NM	NM	NM	9.0	8.0	6.6
EV/EBITDA (UBS core)	-	25.4	NM	>100	27.8	13.9	11.8	9.6
EV/EBIT (core)	-	>100	NM	NM	69.7	27.1	21.3	17.2
EV/OpFCF (core)	-	25.4	NM	>100	27.8	13.9	11.8	9.6
EV/op. invested capital	-	4.7	4.2	4.7	2.7	2.1	1.8	1.5

Enterprise value (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	318	1,381	2,989	8,475	8,475	8,475	8,475	8,475
Net debt (cash)	-	152	836	2,417	4,780	7,606	9,939	11,408
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**-**	**1,532**	**3,824**	**10,892**	**13,256**	**16,081**	**18,414**	**19,884**
Non core assets	(99)	0	(446)	(24)	0	0	0	0
Core enterprise value	**-**	**1,532**	**3,378**	**10,868**	**13,256**	**16,081**	**18,414**	**19,884**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	102.3	20.3	54.2	NM	109.0	28.7	30.5
EBITDA (UBS)	-	89.5	-	-	NM	143.1	34.7	32.9
EBIT (UBS)	-	(83.8)	-	35.1	-	NM	45.6	33.9
EPS (UBS, diluted)	-	40.9	NM	(78.8)	90.3	-	NM	158.2
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	60.5	55.3	50.9	NM	NM	NM	NM	NM
EBITDA margin	46.0	43.1	NM	19.6	55.9	65.0	68.0	69.2
EBIT (UBS) margin	5.1	0.4	(66.3)	(27.9)	22.3	33.3	37.6	38.6
Net earnings (UBS) margin	NM	NM	NM	NM	NM	1.4	6.7	14.0
ROIC (EBIT)	-	0.2	NM	NM	3.9	7.7	8.2	8.9
ROIC post tax	-	0.2	NM	NM	3.9	7.6	8.1	8.9
ROE (UBS)	-	(32.3)	(352.2)	<-500	(131.8)	18.1	26.9	27.6

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	2.5	3.7	(62.7)	66.5	13.0	7.8	7.0	5.8
Net debt / total equity %	37.6	94.8	NM	NM	NM	NM	NM	NM
Net debt / (net debt + total equity) %	27.3	48.7	91.2	96.8	98.3	98.2	91.7	85.4
Net debt/EV %	-	9.9	21.9	22.2	36.1	47.3	54.0	57.4
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	NM
Capex / revenue %	NM	NM	NM	NM	NM	NM	NM	NM
EBIT / net interest	0.1	-	-	-	0.6	1.2	1.4	1.8
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	69	140	168	260	852	1,782	2,294	2,994
Total	**69**	**140**	**168**	**260**	**852**	**1,782**	**2,294**	**2,994**

EBIT (UBS) by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	4	1	(112)	(73)	190	593	863	1,156
Total	**4**	**1**	**(112)**	**(73)**	**190**	**593**	**863**	**1,156**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Applied Digital Corp (APLD.O)

Income Statement (US$m)	05/24	05/25	05/26	05/27E	%ch	05/28E	%ch	05/29E	05/30E	05/31E
Revenues	**166**	**216**	**576**	**941**	*63.4*	**2,162**	*129.6*	**3,407**	**4,287**	**4,876**
Gross profit	19	23	129	419	*224.6*	908	*116.8*	1,475	1,873	2,150
EBITDA (UBS)	**15**	**32**	**84**	**491**	*NM*	**1,333**	*171.2*	**2,251**	**2,869**	**3,288**
Depreciation & amortisation	(79)	(84)	(67)	(236)	*-250.2*	(608)	*-157.7*	(971)	(1,205)	(1,354)
EBIT (UBS)	**(64)**	**(51)**	**17**	**256**	*NM*	**725**	*183.6*	**1,280**	**1,664**	**1,934**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	(17)	(21)	(219)	(87)	*60.5*	(86)	*0.5*	(93)	(101)	(109)
Net interest	(27)	(28)	(24)	(338)	*NM*	(669)	*-97.8*	(1,124)	(1,312)	(1,569)
Exceptionals (incl goodwill)	(39)	(103)	23	0	-	0	-	0	0	0
Pre-tax profit	**(148)**	**(204)**	**(203)**	**(169)**	*16.5*	**(31)**	*81.8*	**63**	**251**	**256**
Tax	0	0	(2)	2	-	0	*-81.8*	(1)	(3)	(3)
Profit after tax	**(148)**	**(204)**	**(205)**	**(168)**	*18.1*	**(31)**	*81.8*	**63**	**249**	**254**
Preference dividends	0	(3)	(6)	(6)	*3.4*	(6)	*0.0*	(6)	(6)	(6)
Minorities	0	0	(59)	(258)	*-334.5*	(379)	*-46.9*	(411)	(475)	(539)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**(147)**	**(206)**	**(270)**	**(432)**	*-59.7*	**(416)**	*3.7*	**(355)**	**(232)**	**(291)**
Net earnings (UBS)	**(108)**	**(103)**	**(293)**	**(432)**	*-47.3*	**(416)**	*3.7*	**(355)**	**(232)**	**(291)**
Tax rate (%)	0.0	0.0	0.0	0.0	-	0.0	-	1.0	1.0	1.0

Per Share (US$)	05/24	05/25	05/26	05/27E	%ch	05/28E	%ch	05/29E	05/30E	05/31E
EPS (UBS, diluted)	(0.95)	(0.51)	(1.07)	(1.48)	*-38.9*	(1.41)	*4.9*	(1.19)	(0.77)	(0.96)
EPS (local GAAP, diluted)	(1.29)	(1.02)	(0.98)	(1.48)	*-50.6*	(1.41)	*4.9*	(1.19)	(0.77)	(0.96)
EPS (UBS, basic)	(0.95)	(0.51)	(1.07)	(1.48)	*-38.9*	(1.41)	*4.9*	(1.19)	(0.77)	(0.96)
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	(0.25)	(0.10)	(0.82)	(0.67)	*18.2*	0.65	-	2.07	3.23	3.50
Book value per share	0.90	2.22	6.07	5.18	*-14.7*	4.02	*-22.4*	3.11	2.64	2.02
Average shares (diluted)	114	201	275	292	*6.0*	295	*1.2*	298	301	304

Balance Sheet (US$m)	05/24	05/25	05/26	05/27E	%ch	05/28E	%ch	05/29E	05/30E	05/31E
Cash and equivalents	25	114	3,973	6,383	*60.7*	1,398	*-78.1*	508	1,003	1,523
Other current assets	6	317	690	707	*2.6*	786	*11.1*	820	868	901
Total current assets	**30**	**431**	**4,663**	**7,090**	*52.1*	**2,184**	*-69.2*	**1,328**	**1,872**	**2,424**
Net tangible fixed assets	340	1,206	4,236	10,339	*144.0*	17,207	*66.4*	20,905	23,993	22,811
Net intangible fixed assets	372	19	199	174	*-12.5*	154	*-11.5*	134	114	94
Investments / other assets	20	214	831	943	*13.5*	1,223	*29.7*	1,683	2,183	2,683
Total assets	**763**	**1,870**	**9,929**	**18,546**	*86.8*	**20,768**	*12.0*	**24,050**	**28,162**	**28,012**
Trade payables & other ST liabilities	232	534	1,099	1,139	*3.6*	1,179	*3.5*	1,207	1,225	1,233
Short term debt	154	24	64	64	*0.0*	64	*0.0*	64	64	64
Total current liabilities	**386**	**558**	**1,163**	**1,203**	*3.4*	**1,243**	*3.3*	**1,271**	**1,289**	**1,297**
Long term debt	143	678	4,970	12,584	*153.2*	14,596	*16.0*	17,611	21,336	21,361
Other long term liabilities	110	0	53	53	*0.0*	53	*0.0*	53	53	53
Preferred shares	0	136	63	63	*0.0*	63	*0.0*	63	63	63
Total liabilities (incl pref shares)	**638**	**1,372**	**6,249**	**13,903**	*122.5*	**15,954**	*14.8*	**18,998**	**22,741**	**22,774**
Common s/h equity	**125**	**498**	**1,717**	**1,522**	*-11.4*	**1,192**	*-21.7*	**931**	**799**	**617**
Minority interests	0	0	1,963	3,122	*59.0*	3,622	*16.0*	4,122	4,622	4,622
Total liabilities & equity	**763**	**1,870**	**9,929**	**18,546**	*86.8*	**20,768**	*12.0*	**24,050**	**28,162**	**28,012**

Cash Flow (US$m)	05/24	05/25	05/26	05/27E	%ch	05/28E	%ch	05/29E	05/30E	05/31E
Net income (before pref divs)	(147)	(204)	(264)	(426)	*-61.2*	(410)	*3.8*	(348)	(226)	(285)
Depreciation & amortisation	79	84	67	236	*250.2*	608	*157.7*	971	1,205	1,354
Net change in working capital	6	(149)	1,817	810	*-55.4*	(198)	-	(377)	(505)	(1,063)
Other operating	73	154	(1,531)	(531)	*65.3*	369	-	441	576	1,211
Operating cash flow	**11**	**(115)**	**90**	**89**	*-0.5*	**369**	*313.5*	**686**	**1,049**	**1,218**
Tangible capital expenditure	(142)	(682)	(2,866)	(6,313)	*-120.3*	(7,456)	*-18.1*	(4,649)	(4,273)	(153)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	20	25	5	0	-	0	-	0	0	0
Other investing	(50)	(11)	(76)	0	-	0	-	0	0	0
Investing cash flow	**(172)**	**(668)**	**(2,936)**	**(6,313)**	*-115.0*	**(7,456)**	*-18.1*	**(4,649)**	**(4,273)**	**(153)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	130	146	157	0	-	0	-	0	0	0
Other financing	(60)	(158)	(341)	(6)	*98.2*	(6)	*0.0*	(6)	(6)	(6)
Change in debt & pref shares	77	887	5,236	7,740	*47.8*	1,988	*-74.3*	2,990	3,700	0
Financing cash flow	**147**	**875**	**5,052**	**7,734**	*53.1*	**1,982**	*-74.4*	**2,984**	**3,694**	**(6)**
Cash flow inc/(dec) in cash	**(15)**	**92**	**2,205**	**1,510**	*-31.5*	**(5,105)**	-	**(979)**	**470**	**1,059**
FX / non cash items	11	(2)	1,654	900	*-45.6*	121	*-86.6*	89	25	(539)
Balance sheet inc/(dec) in cash	**(4)**	**89**	**3,859**	**2,410**	*-37.6*	**(4,985)**	-	**(890)**	**495**	**520**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Valuation (x)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
P/E (local GAAP, diluted)	NM	NM	NM	NM	NM	NM	NM	NM
P/E (UBS, diluted)	(6.0)	(13.1)	(24.1)	(19.0)	(20.0)	(23.7)	(36.5)	(29.4)
P/CEPS	NM	NM	NM	NM	43.3	13.6	8.7	8.1
Equity FCF (UBS) yield %	(21.1)	(58.3)	(39.3)	(76.7)	(87.3)	(48.8)	(39.7)	13.1
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	6.3	3.0	4.2	5.4	7.0	9.1	10.7	13.9
EV/revenues (core)	4.8	8.7	NM	NM	NM	8.4	7.6	7.0
EV/EBITDA (UBS core)	51.9	57.7	>100	32.0	16.8	12.7	11.4	10.4
EV/EBIT (core)	NM	NM	>100	61.6	31.0	22.3	19.7	17.7
EV/OpFCF (core)	51.9	57.7	>100	32.0	16.8	12.7	11.4	10.4
EV/op. invested capital	3.0	2.3	3.5	2.0	1.5	1.4	1.4	1.3

Enterprise value (US$m)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Market cap.	621	1,368	7,068	8,116	8,116	8,116	8,116	8,116
Net debt (cash)	167	498	924	3,726	9,826	15,277	18,845	20,212
Buy out of minorities	0	0	2,639	3,893	4,501	5,122	5,759	5,912
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**788**	**1,866**	**10,631**	**15,735**	**22,443**	**28,516**	**32,719**	**34,240**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**788**	**1,866**	**10,631**	**15,735**	**22,443**	**28,516**	**32,719**	**34,240**

Growth (%)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Revenue	198.9	30.2	167.4	63.4	129.6	57.6	25.9	13.7
EBITDA (UBS)	-	113.0	161.1	NM	171.2	68.9	27.4	14.6
EBIT (UBS)	NM	19.9	-	NM	183.6	76.6	29.9	16.2
EPS (UBS, diluted)	(99.3)	45.9	(108.0)	(38.9)	4.9	15.6	35.1	(24.2)
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Gross profit margin	11.2	10.5	22.4	44.5	42.0	43.3	43.7	44.1
EBITDA margin	9.2	15.0	14.7	52.2	61.7	66.1	66.9	67.4
EBIT (UBS) margin	(38.7)	(23.8)	3.0	27.1	33.5	37.6	38.8	39.7
Net earnings (UBS) margin	NM	NM	NM	NM	NM	NM	NM	NM
ROIC (EBIT)	NM	NM	0.6	3.2	5.0	6.3	6.9	7.6
ROIC post tax	NM	NM	0.6	3.2	5.0	6.3	6.8	7.5
ROE (UBS)	(117.2)	(33.1)	(26.5)	(26.7)	(30.6)	(33.4)	(26.9)	(41.1)

Capital structure & Coverage (x)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Net debt / EBITDA	17.9	22.4	13.3	12.9	10.0	7.7	7.1	6.1
Net debt / total equity %	217.6	145.5	30.5	136.3	276.8	NM	NM	NM
Net debt / (net debt + total equity) %	68.5	59.3	23.4	57.7	73.5	77.3	79.1	79.2
Net debt/EV %	21.2	26.7	8.7	23.7	43.8	53.6	57.6	59.0
Capex / depreciation %	179.1	NM	NM	NM	NM	NM	NM	11.4
Capex / revenue %	NM	NM	NM	NM	NM	NM	NM	3.1
EBIT / net interest	-	-	0.7	0.8	1.1	1.1	1.3	1.2
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Others	166	216	576	941	2,162	3,407	4,287	4,876
Total	**166**	**216**	**576**	**941**	**2,162**	**3,407**	**4,287**	**4,876**

EBIT (UBS) by division (US$m)	05/24	05/25	05/26	05/27E	05/28E	05/29E	05/30E	05/31E
Others	(64)	(51)	17	256	725	1,280	1,664	1,934
Total	**(64)**	**(51)**	**17**	**256**	**725**	**1,280**	**1,664**	**1,934**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Cipher Digital Inc (CIFR.O)

Income Statement (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**127**	**151**	**224**	**237**	*6.0*	**879**	*270.1*	**1,063**	**1,267**	**1,459**
Gross profit	77	89	143	160	*11.8*	781	*389.6*	1,000	1,204	1,395
EBITDA (UBS)	**48**	**106**	**40**	**(2)**	-	**648**	-	**854**	**1,055**	**1,242**
Depreciation & amortisation	(59)	(102)	(199)	(104)	*47.9*	(361)	*-248.2*	(451)	(466)	(539)
EBIT (UBS)	**(11)**	**4**	**(159)**	**(106)**	*33.4*	**287**	-	**403**	**589**	**703**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	(10)	(50)	(650)	(266)	*59.1*	(107)	*59.9*	(108)	(117)	(126)
Net interest	(2)	2	(17)	(69)	*-306.0*	(234)	*-238.0*	(319)	(430)	(508)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**(22)**	**(44)**	**(826)**	**(441)**	*46.6*	**(54)**	*87.9*	**(24)**	**42**	**68**
Tax	(4)	0	3	2	*-33.2*	3	*21.0*	1	(2)	(3)
Profit after tax	**(26)**	**(45)**	**(822)**	**(439)**	*46.7*	**(51)**	*88.4*	**(23)**	**40**	**64**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**(26)**	**(45)**	**(822)**	**(439)**	*46.7*	**(51)**	*88.4*	**(23)**	**40**	**64**
Net earnings (UBS)	**(26)**	**(45)**	**(822)**	**(439)**	*46.7*	**(51)**	*88.4*	**(23)**	**40**	**64**
Tax rate (%)	0.0	0.0	0.0	0.0	-	0.0	-	0.0	5.0	5.0

Per Share (US$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	(0.10)	(0.14)	(2.16)	(0.95)	*55.9*	(0.11)	*88.6*	(0.05)	0.06	0.10
EPS (local GAAP, diluted)	(0.10)	(0.14)	(2.16)	(0.95)	*55.9*	(0.11)	*88.6*	(0.05)	0.06	0.10
EPS (UBS, basic)	(0.10)	(0.14)	(2.16)	(1.07)	*50.4*	(0.12)	*88.6*	(0.05)	0.09	0.15
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	0.13	0.18	(1.63)	(0.73)	*55.6*	0.66	-	1.01	0.79	0.94
Book value per share	1.91	1.94	1.99	1.31	*-34.0*	1.39	*5.8*	1.55	1.87	2.27
Average shares (diluted)	252	329	381	462	*21.0*	469	*1.7*	422	640	644

Balance Sheet (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	86	20	2,665	2,772	*4.0*	1,910	*-31.1*	1,836	670	1,476
Other current assets	69	163	263	100	*-62.1*	203	*103.8*	369	545	726
Total current assets	**155**	**183**	**2,928**	**2,872**	*-1.9*	**2,113**	*-26.4*	**2,205**	**1,215**	**2,202**
Net tangible fixed assets	244	481	622	3,923	*NM*	6,416	*63.5*	8,073	8,746	9,353
Net intangible fixed assets	8	9	77	77	*-0.3*	78	*0.5*	78	78	79
Investments / other assets	159	183	664	621	*-6.5*	622	*0.1*	622	620	618
Total assets	**566**	**855**	**4,292**	**7,493**	*74.6*	**9,228**	*23.2*	**10,979**	**10,660**	**12,252**
Trade payables & other ST liabilities	30	96	657	1,284	*95.4*	1,292	*0.6*	1,300	1,302	1,304
Short term debt	3	36	42	97	*130.7*	97	*0.0*	97	97	97
Total current liabilities	**34**	**132**	**699**	**1,381**	*97.6*	**1,389**	*0.6*	**1,397**	**1,399**	**1,401**
Long term debt	11	7	2,715	5,452	*100.8*	7,141	*31.0*	8,811	8,344	9,755
Other long term liabilities	30	34	42	88	*107.3*	88	*0.3*	88	88	89
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**75**	**173**	**3,456**	**6,920**	*100.2*	**8,618**	*24.5*	**10,296**	**9,832**	**11,245**
Common s/h equity	**491**	**682**	**806**	**547**	*-32.1*	**584**	*6.9*	**657**	**802**	**981**
Minority interests	0	0	30	26	*-15.3*	26	*0.0*	26	26	26
Total liabilities & equity	**566**	**855**	**4,292**	**7,493**	*74.6*	**9,228**	*23.2*	**10,979**	**10,660**	**12,252**

Cash Flow (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	(26)	(45)	(822)	(439)	*46.7*	(51)	*88.4*	(23)	40	64
Depreciation & amortisation	59	102	199	104	*-47.9*	361	*248.2*	451	466	539
Net change in working capital	(11)	18	(68)	(156)	*-129.8*	(132)	*15.6*	(162)	(175)	(180)
Other operating	(117)	(164)	483	336	*-30.4*	51	*-84.8*	120	129	138
Operating cash flow	**(94)**	**(88)**	**(208)**	**(155)**	*25.4*	**229**	-	**385**	**460**	**562**
Tangible capital expenditure	(20)	(139)	(488)	(2,819)	*NM*	(2,853)	*-1.2*	(2,107)	(1,138)	(1,145)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	73	(53)	151	246	*62.4*	92	*-62.5*	(1)	(1)	(1)
Investing cash flow	**53**	**(192)**	**(337)**	**(2,574)**	*NM*	**(2,761)**	*-7.3*	**(2,109)**	**(1,140)**	**(1,147)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	129	194	156	74	*-52.4*	(12)	-	(12)	(12)	(12)
Other financing	(13)	(6)	(88)	(4)	*95.0*	0	-	0	0	0
Change in debt & pref shares	0	25	3,121	2,766	*-11.4*	1,681	*-39.2*	1,662	(474)	1,402
Financing cash flow	**116**	**214**	**3,189**	**2,836**	*-11.1*	**1,669**	*-41.1*	**1,650**	**(486)**	**1,390**
Cash flow inc/(dec) in cash	**74**	**(66)**	**2,645**	**108**	*-95.9*	**(862)**	-	**(74)**	**(1,166)**	**806**
FX / non cash items	-	0	0	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**-**	**(66)**	**2,645**	**108**	*-95.9*	**(862)**	-	**(74)**	**(1,166)**	**806**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	NM	NM	NM	NM	NM	NM	NM	NM
P/E (UBS, diluted)	(25.6)	(32.3)	(3.9)	(19.9)	NM	NM	NM	NM
P/CEPS	19.8	24.5	NM	NM	25.5	18.7	16.3	13.8
Equity FCF (UBS) yield %	(17.5)	(16.0)	(21.7)	(38.0)	(33.5)	(22.0)	(8.7)	(7.5)
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	1.4	2.3	4.2	14.4	13.6	12.2	10.1	8.3
EV/revenues (core)	-	8.8	NM	NM	NM	NM	NM	NM
EV/EBITDA (UBS core)	-	12.6	81.0	NM	18.3	16.4	14.4	12.8
EV/EBIT (core)	-	>100	NM	NM	41.2	34.7	25.9	22.6
EV/OpFCF (core)	-	12.6	81.0	NM	19.0	17.3	15.2	13.4
EV/op. invested capital	-	2.6	4.2	4.3	2.6	2.0	1.9	1.8

Enterprise value (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	656	1,414	3,204	7,830	7,830	7,830	7,830	7,830
Net debt (cash)	-	(24)	58	1,434	4,052	6,200	7,421	8,074
Buy out of minorities	0	0	30	26	26	26	26	26
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**-**	**1,390**	**3,292**	**9,216**	**11,846**	**14,006**	**15,239**	**15,903**
Non core assets	(35)	(54)	(29)	0	0	0	0	0
Core enterprise value	**-**	**1,336**	**3,263**	**9,216**	**11,846**	**14,006**	**15,239**	**15,903**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	19.3	48.0	6.0	NM	21.0	19.2	15.2
EBITDA (UBS)	-	120.3	(62.1)	-	-	31.7	23.5	17.7
EBIT (UBS)	-	-	-	33.4	-	40.2	46.0	19.4
EPS (UBS, diluted)	-	(32.9)	NM	55.9	88.6	49.6	-	60.5
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	60.3	58.8	63.7	67.2	NM	NM	NM	NM
EBITDA margin	38.0	70.2	18.0	NM	73.8	NM	NM	NM
EBIT (UBS) margin	(8.6)	2.5	(70.9)	(44.5)	32.7	37.9	46.5	48.2
Net earnings (UBS) margin	NM	NM	NM	NM	NM	NM	3.1	4.4
ROIC (EBIT)	-	0.7	NM	NM	6.2	5.9	7.2	7.8
ROIC post tax	-	0.7	NM	NM	6.2	5.9	6.8	7.4
ROE (UBS)	-	(7.6)	(110.6)	(64.9)	(9.0)	(3.7)	5.5	7.2

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(1.5)	0.2	2.3	NM	8.2	8.3	7.4	6.7
Net debt / total equity %	(14.6)	3.4	11.0	NM	NM	NM	NM	NM
Net debt / (net debt + total equity) %	(17.1)	3.3	9.9	82.9	89.7	91.2	90.4	89.3
Net debt/EV %	-	(1.7)	1.8	15.6	34.2	44.3	48.7	50.8
Capex / depreciation %	34.7	136.8	NM	NM	NM	NM	NM	NM
Capex / revenue %	16.1	NM	NM	NM	NM	NM	NM	NM
EBIT / net interest	-	-	-	-	1.2	1.3	1.4	1.4
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	127	151	224	237	879	1,063	1,267	1,459
Total	**127**	**151**	**224**	**237**	**879**	**1,063**	**1,267**	**1,459**

EBIT (UBS) by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	(11)	4	(159)	(106)	287	403	589	703
Total	**(11)**	**4**	**(159)**	**(106)**	**287**	**403**	**589**	**703**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Core Scientific Inc (CORZ.O)

Income Statement (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**502**	**511**	**319**	**753**	*135.9*	**1,351**	*79.5*	**1,993**	**2,509**	**2,934**
Gross profit	112	121	38	335	*NM*	678	*102.3*	960	1,174	1,355
EBITDA (UBS)	**159**	**157**	**(25)**	**253**	-	**673**	*165.5*	**1,165**	**1,555**	**1,883**
Depreciation & amortisation	(96)	(113)	(69)	(70)	*-2.1*	(167)	*-138.4*	(383)	(562)	(712)
EBIT (UBS)	**63**	**44**	**(94)**	**183**	-	**505**	*176.0*	**782**	**993**	**1,171**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	(234)	(1,321)	(195)	(1,520)	*NM*	(75)	*95.1*	(81)	(88)	(95)
Net interest	(86)	(37)	3	(128)	-	(310)	*-142.1*	(459)	(735)	(821)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**(257)**	**(1,314)**	**(286)**	**(1,465)**	*NM*	**120**	-	**242**	**170**	**256**
Tax	(1)	(1)	(1)	(4)	*NM*	(6)	*-41.3*	(48)	(34)	(51)
Profit after tax	**(258)**	**(1,315)**	**(287)**	**(1,470)**	*NM*	**114**	-	**194**	**136**	**205**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**(258)**	**(1,315)**	**(287)**	**(1,470)**	*NM*	**114**	-	**194**	**136**	**205**
Net earnings (UBS)	**(258)**	**(1,315)**	**(287)**	**(1,470)**	*NM*	**114**	-	**194**	**136**	**205**
Tax rate (%)	0.0	0.0	0.0	0.0	-	5.0	-	20.0	20.0	20.0

Per Share (US$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	(0.68)	(5.14)	(0.90)	(3.63)	*-302.2*	0.23	-	0.39	0.27	0.40
EPS (local GAAP, diluted)	(0.68)	(5.14)	(0.90)	(3.63)	*-302.2*	0.23	-	0.39	0.27	0.40
EPS (UBS, basic)	(0.68)	(5.14)	(0.90)	(4.56)	*NM*	0.35	-	0.59	0.41	0.60
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	(0.43)	(4.70)	(0.69)	(3.45)	*NM*	0.57	-	1.16	1.38	1.78
Book value per share	(3.23)	(3.22)	(3.06)	(7.30)	*-138.3*	(6.61)	*9.4*	(5.68)	(4.93)	(3.99)
Average shares (diluted)	380	256	318	405	*27.4*	492	*21.5*	499	507	516

Balance Sheet (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	70	837	311	4,727	*NM*	2,996	*-36.6*	277	768	161
Other current assets	27	67	584	382	*-34.6*	515	*34.9*	733	977	1,227
Total current assets	**97**	**904**	**896**	**5,109**	*NM*	**3,512**	*-31.3*	**1,010**	**1,745**	**1,389**
Net tangible fixed assets	585	433	1,293	3,143	*143.0*	5,855	*86.3*	8,646	10,075	11,251
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	30	139	159	418	*163.1*	406	*-2.9*	394	382	370
Total assets	**712**	**1,476**	**2,348**	**8,670**	*269.3*	**9,773**	*12.7*	**10,050**	**12,202**	**13,010**
Trade payables & other ST liabilities	488	135	781	2,739	*250.5*	2,454	*-10.4*	2,451	2,453	2,455
Short term debt	0	0	0	0	-	0	-	0	0	0
Total current liabilities	**488**	**135**	**781**	**2,739**	*250.5*	**2,454**	*-10.4*	**2,451**	**2,453**	**2,455**
Long term debt	684	1,074	1,060	7,803	*NM*	9,213	*18.1*	9,223	11,153	11,663
Other long term liabilities	137	1,210	1,469	479	*-67.4*	268	*-44.1*	264	260	256
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,309**	**2,419**	**3,310**	**11,021**	*232.9*	**11,935**	*8.3*	**11,937**	**13,865**	**14,373**
Common s/h equity	**(597)**	**(943)**	**(963)**	**(2,351)**	*-144.2*	**(2,162)**	*8.0*	**(1,887)**	**(1,663)**	**(1,364)**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**712**	**1,476**	**2,348**	**8,670**	*269.3*	**9,773**	*12.7*	**10,050**	**12,202**	**13,010**

Cash Flow (US$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	(258)	(1,315)	(287)	(1,470)	*NM*	114	-	194	136	205
Depreciation & amortisation	96	113	69	70	*2.1*	167	*138.4*	383	562	712
Net change in working capital	175	(28)	525	45	*-91.5*	(647)	-	(224)	(242)	(248)
Other operating	52	1,272	(28)	1,670	-	119	*-92.9*	105	110	117
Operating cash flow	**65**	**43**	**278**	**316**	*13.5*	**(247)**	-	**458**	**566**	**785**
Tangible capital expenditure	(16)	(95)	(729)	(2,594)	*-255.8*	(2,879)	*-11.0*	(3,174)	(1,991)	(1,888)
Intangible capital expenditure	(1)	0	(10)	0	*99.3*	0	-	0	0	0
Net (acquisitions) & disposals	13	0	3	4	*13.5*	0	-	0	0	0
Other investing	0	0	(5)	0	-	0	-	0	0	0
Investing cash flow	**(4)**	**(95)**	**(741)**	**(2,590)**	*-249.7*	**(2,879)**	*-11.2*	**(3,174)**	**(1,991)**	**(1,888)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	0	57	(25)	(35)	*-38.9*	0	-	0	0	0
Other financing	0	0	0	0	-	0	-	0	0	0
Change in debt & pref shares	(45)	763	(38)	6,725	-	1,396	*-79.2*	(4)	1,916	496
Financing cash flow	**(45)**	**820**	**(63)**	**6,690**	-	**1,396**	*-79.1*	**(4)**	**1,916**	**496**
Cash flow inc/(dec) in cash	**17**	**767**	**(526)**	**4,416**	-	**(1,731)**	-	**(2,719)**	**491**	**(606)**
FX / non cash items	-	0	0	0	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**-**	**767**	**(526)**	**4,416**	-	**(1,731)**	-	**(2,719)**	**491**	**(606)**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	-	NM	NM	NM	NM	47.3	68.3	46.3
P/E (UBS, diluted)	-	(1.7)	(14.9)	(5.1)	79.5	47.3	68.3	46.3
P/CEPS	-	NM	NM	NM	21.2	10.5	8.8	6.8
Equity FCF (UBS) yield %	-	(2.4)	(11.3)	(38.4)	(52.7)	(45.8)	(24.0)	(18.6)
Dividend yield (net) %	-	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	-	NM	NM	NM	NM	NM	NM	NM
EV/revenues (core)	-	5.0	NM	NM	7.7	6.7	6.1	5.6
EV/EBITDA (UBS core)	-	16.3	NM	30.8	15.6	11.4	9.8	8.8
EV/EBIT (core)	-	57.9	NM	42.6	20.7	17.0	15.4	14.1
EV/OpFCF (core)	-	16.3	NM	33.8	16.9	12.3	10.5	9.3
EV/op. invested capital	-	NM	NM	30.5	4.4	2.4	1.9	1.7

Enterprise value (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	-	2,136	4,070	5,929	5,929	5,929	5,929	5,929
Net debt (cash)	-	426	493	1,912	4,646	7,581	9,666	10,944
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**-**	**2,561**	**4,563**	**7,805**	**10,464**	**13,317**	**15,314**	**16,497**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**-**	**2,561**	**4,563**	**7,805**	**10,464**	**13,317**	**15,314**	**16,497**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	-	1.6	(37.5)	135.9	79.5	47.5	25.9	16.9
EBITDA (UBS)	-	(1.0)	-	-	165.5	73.3	33.4	21.1
EBIT (UBS)	-	(29.7)	-	-	176.0	54.9	26.9	17.9
EPS (UBS, diluted)	-	NM	82.5	NM	-	68.0	(30.8)	47.6
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	22.3	23.7	11.9	44.5	50.2	48.2	46.8	46.2
EBITDA margin	31.6	30.8	NM	33.7	49.8	58.5	62.0	64.2
EBIT (UBS) margin	12.5	8.7	(29.5)	24.3	37.4	39.3	39.6	39.9
Net earnings (UBS) margin	NM	NM	NM	NM	8.4	9.7	5.4	7.0
ROIC (EBIT)	-	NM	20.5	71.6	21.1	14.1	12.6	12.4
ROIC post tax	-	NM	20.5	71.6	20.1	11.3	10.1	9.9
ROE (UBS)	-	170.8	30.1	88.7	(5.0)	(9.6)	(7.7)	(13.5)

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	3.9	1.5	(29.7)	12.1	9.2	7.7	6.7	6.1
Net debt / total equity %	(102.9)	(25.1)	(77.8)	(130.8)	(287.5)	NM	NM	NM
Net debt / (net debt + total equity) %	NM	(33.6)	NM	NM	NM	NM	NM	NM
Net debt/EV %	-	16.6	10.8	24.5	44.4	56.9	63.1	66.3
Capex / depreciation %	16.8	83.9	NM	NM	NM	NM	NM	NM
Capex / revenue %	3.2	18.6	NM	NM	NM	NM	NM	NM
EBIT / net interest	0.7	1.2	-	1.4	1.6	1.7	1.4	1.4
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	502	511	319	753	1,351	1,993	2,509	2,934
Total	**502**	**511**	**319**	**753**	**1,351**	**1,993**	**2,509**	**2,934**

EBIT (UBS) by division (US$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	63	44	(94)	183	505	782	993	1,171
Total	**63**	**44**	**(94)**	**183**	**505**	**782**	**993**	**1,171**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Bitcoin Site Construction Monitor

This report leverages the following UBS Evidence Lab asset: Bitcoin Site Construction Monitor. UBS Evidence Lab utilizes high-resolution satellite imagery from leading commercial providers to monitor the construction progress of bitcoin mining and data center developments. Satellite data is collected at regular intervals for predefined Areas of Interest and analyzed to identify key construction milestones, infrastructure expansion, and site activity. By comparing imagery over time, Evidence Lab tracks development progress, evaluates delivery timelines, and provides an independent assessment of project execution and operational readiness. Satellite images are selected based on image quality and the absence of significant cloud cover or atmospheric haze. Standard preprocessing techniques, including atmospheric correction, are applied to enhance image clarity and improve the visibility of site features. This ensures consistent and reliable monitoring of construction progress across all observation periods.

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Valuation Method and Risk Statement

Hut 8

Price target is based on multiples analysis. Risks include customer concentration, timely execution, financing cost and availability, energization delays, AI demand, market pricing, leverage, bitcoin exposure and evolutions in AI hardware. In addition, the company faces economic, regulatory and political risks. Exposure to regulatory developments in Texas and the absence of any AI data center capacity delivered to date.

Applied Digital

Price target is based on multiples analysis. Risks include customer concentration, timely execution, financing cost and availability, energization delays, AI demand, market pricing, leverage and evolutions in AI hardware. In addition, the company faces economic, regulatory and political risks. High customer concentration with all revenues being generated from a high yield credit quality tenant currently. Greater risks surrounding labor and construction availability given developments in more remote locations compared to peers.

TeraWulf

Price target is based on multiples analysis. Risks include customer concentration, timely execution, financing cost and availability, energization delays, AI demand, market pricing, leverage and bitcoin exposure. In addition, the company faces economic, regulatory and political risks. High exposure to developments in more population dense locations that are experiencing pushback to data center development.

Cipher Digital

Price target is based on multiples analysis. Risks include customer concentration, timely execution, financing cost and availability, energization delays, AI demand, market pricing, leverage and bitcoin exposure. In addition, the company faces economic, regulatory and political risks. High market concentration with current developments and pipeline largely concentration in Texas.

Core Scientific

Price target is based on multiples analysis. Risks include customer concentration, timely execution, financing cost and availability, energization delays, AI demand, market pricing, leverage and bitcoin exposure. In addition, the company faces economic, regulatory and political risks. High customer concentration with all revenues being generated from a high yield credit quality tenant currently and exposure to regulatory developments in Texas.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Applied Digital Corp

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Cipher Digital Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	2
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	5
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	

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Question	Response
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Core Scientific Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	2
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Hut 8 Corp

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst

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Question	Response
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Terawulf Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	2
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
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2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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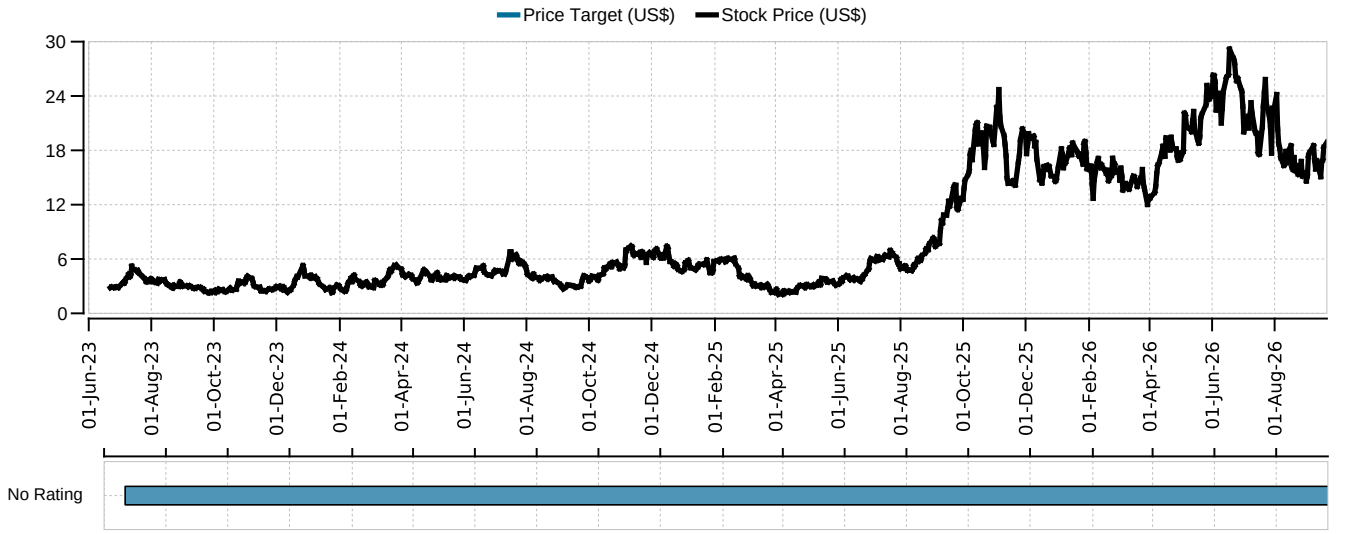
Company Name	Reuters	12-month rating	Price	Price date
Applied Digital Corp[13,16,28]	APLD.O	No Rating	US$28.19	21 Sep 2026
Cipher Digital Inc[13,4,16,6,28]	CIFR.O	No Rating	US$18.90	21 Sep 2026
Core Scientific Inc[16,28]	CORZ.O	No Rating	US$18.36	21 Sep 2026
Hut 8 Corp[16,28]	HUT.O	No Rating	US$103.42	21 Sep 2026
Terawulf Inc[16,28]	WULF.O	No Rating	US$17.45	21 Sep 2026

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Cipher Digital Inc (US$)

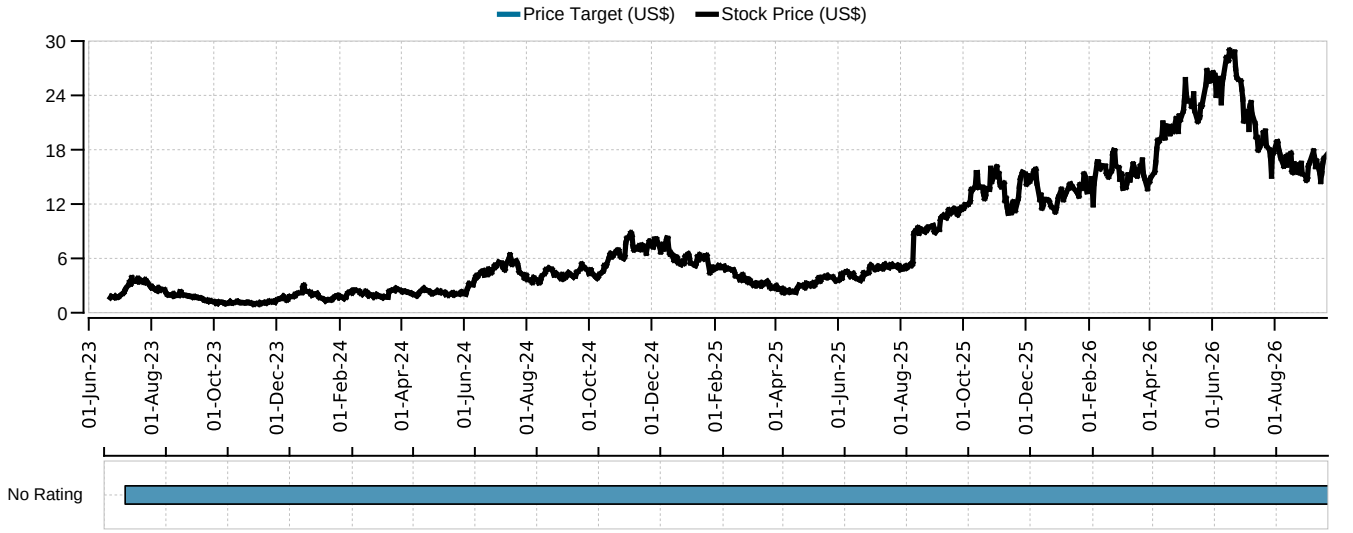


Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-21	2.96	-	No Rating

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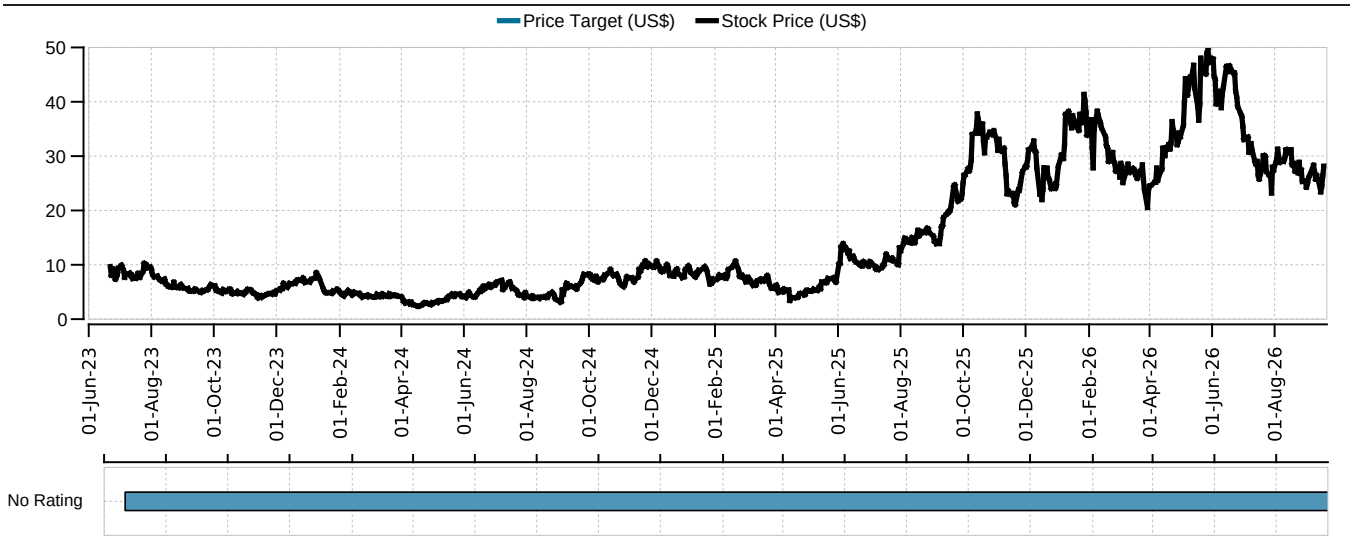
Terawulf Inc (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-21	1.70	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 21-Sep-2026. All prices as of local market close. Ratings as of date shown.

Applied Digital Corp (US$)

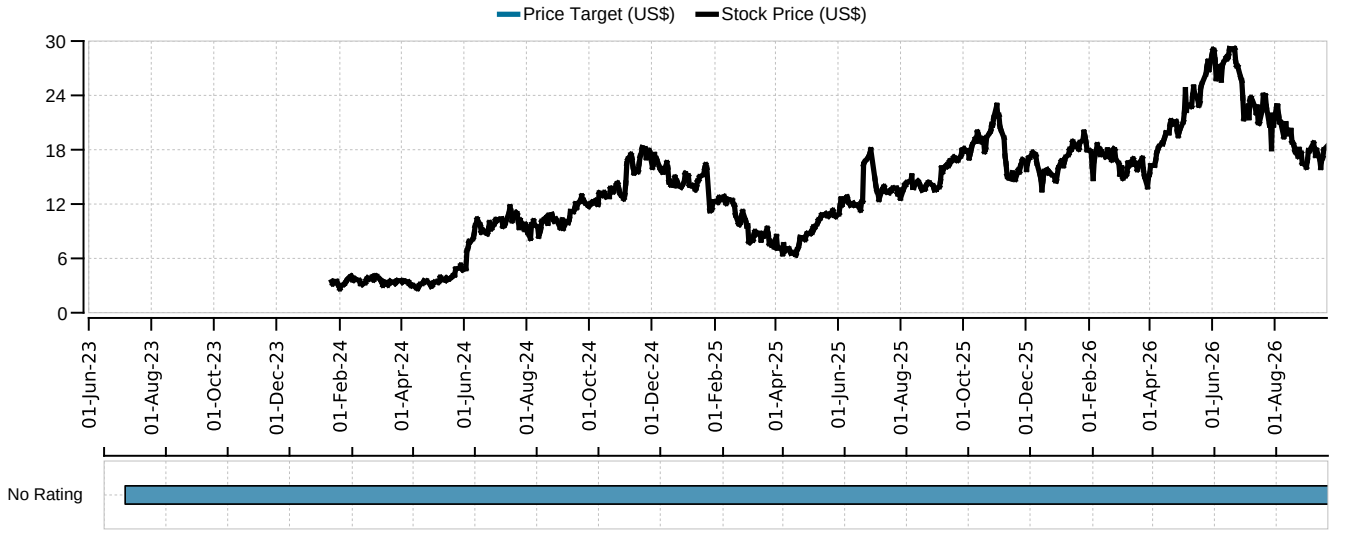


Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-21	9.12	-	No Rating

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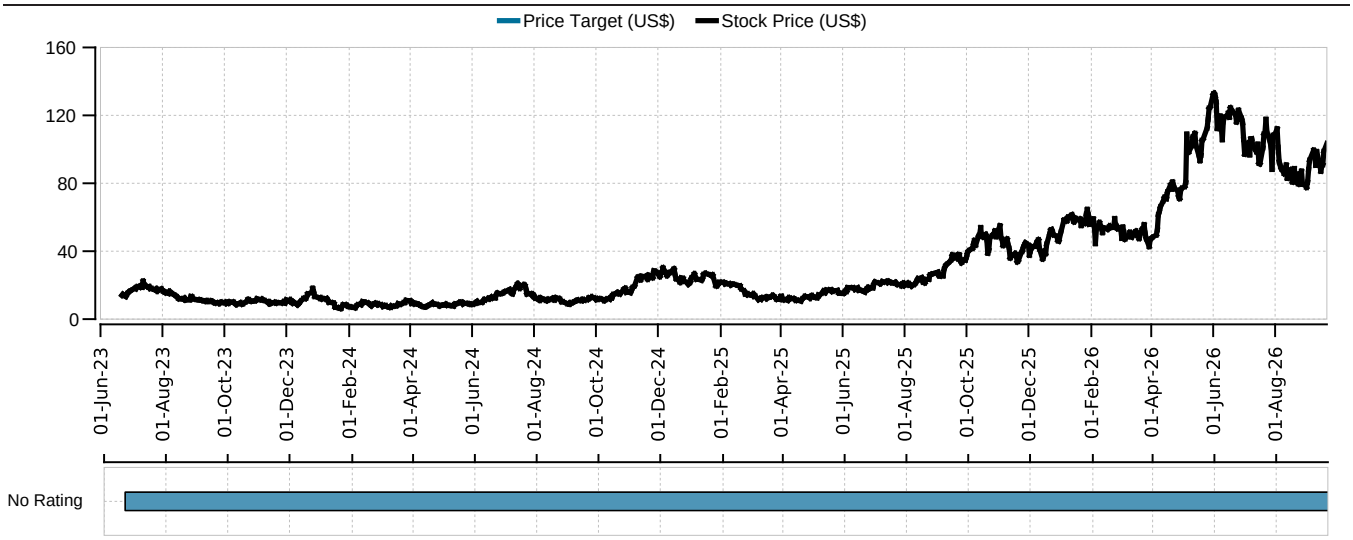
Core Scientific Inc (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-21	NaN	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 21-Sep-2026. All prices as of local market close. Ratings as of date shown.

Hut 8 Corp (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-21	13.80	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 21-Sep-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Digital Realty Trust, US$186.33 (21 Sep 2026); Fermi Inc., US$5.06 (21 Sep 2026); Equinix Inc, US$1057.26 (21 Sep 2026); Source: UBS. All prices as of local market close.

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